Towards Excellence

ANNUAL REPORT
2019-20

Global IME Bank
ग्लोबल आइएमई बैंक लि.
सबैका लागि बैंक

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An Overview

Global IME Bank Ltd. (GIBL) has been a prominent name in the baking industry of Nepal with glorious 14 years of operation. Originally referred to as Global Bank Limited, was established in the year 2007 as an 'A' class commercial bank in Nepal with the highest capital base of 1 billion among the commercial banks. GIBL has always been offering customer oriented and value driven banking and financial services to its rich and diverse base of customers since its inception. Global IME Bank Ltd came into existence with the successful merger of an "A" class commercial bank - Global Bank Ltd, a "C" class financial institutions - IME Financial Institution and Lord Buddha Finance Ltd. in the year 2012. A year later in Financial Year 2012-13, two more "B" class development banks namely Social Development Bank and Gulmi Bikas Bank were acquired by Global IME Bank Ltd. In the financial year 2013-14 a historic merger was completed with "A" class commercial bank - Commerz and Trust Bank Nepal Ltd.

The Bank not only boasts an ever growing business and profitability base but its also possess a well diversified assets to benefit overall Nepalese economy.

In the Financial Year 2015-16, Global IME Bank Ltd acquired two "B" class development banks namely Pacific Development Bank and Reliable Development Bank as an initiative to further strengthen its capital base as well as to expand its service area.

Global IME Bank Ltd completed its acquisition of a "C" class finance company named Hathway Finance Company Ltd in the first quarter of Financial Year 2019-20 and completed the biggest merger in Nepalese Banking history with another "A" class commercial bank – then Janata Bank Nepal Limited.

Within all these journey of operation Global IME Bank Ltd remains the highest capital base Bank in the Nepalese Banking Industry.

The Bank's utmost vision to be "The Bank for All" is best justified by its ever growing capital base, extensive branch network, significant and loyal customer base, technologically efficient and customer oriented products and services, dedicated and competent human resource composition and above all its strict adherence to the highest standards of ethics and corporate governance. The Bank has always kept the needs and wellbeing of its customers at the core of its daily operations which has enabled the Bank to create a nationwide customer base of more than 2.1 Million loyal customers.

The Bank not only boasts an ever growing business and profitability base but it's also possess a well-diversified assets with a healthy and balanced exposure in areas

PROMOTER SHAREHOLDERS
NPR 9744 Million



PUBLIC SHAREHOLDERS
9231 Million

beneficial to the overall Nepalese economy namely hydropower, manufacturing, service industry, exports, agriculture, trading and several micro-finance projects scattered all over the country. The Bank's utmost attention to its fulfill the diverse needs of its customers via an array of well thought, innovative and customer focused banking products and services along with its unaltered attention to the diversity and quality of its business portfolio, adherence to various national and international rules and regulations, higher compliance to corporate governance as well as contribution to the Nepalese society through a range of corporate social responsibility projects and activities have successfully established the Bank as a trusted name amidst a group of diverse stakeholders. As a result of this, the Bank has been operating as one of the few commercial banks trusted by the Government of Nepal for handling the revenue transactions of its various offices throughout the country.

The Bank truly understand the value of its dedicated and committed staff base in enhancing the success and sustainability of the Bank. As a result of this, it has placed undivided attention on the enhancement of skills, competencies and capabilities of its human resource.

The Bank has been able to bag several prestigious international awards for its excellence including GIBL "The Bank of the Year Award 2014" for Nepal awarded by the Bankers Magazine (Publication of the Financial Times, UK), "Best Internet Bank 2016- Nepal" awarded by International Finance Magazine, London and "Best Employer Award 2018" awarded by World HRD Congress, India to name a few.

Vision

The Bank shares a common vision of " The Bank for All" amongst its Promoters, Directors, Management Team and Staff in commitment to providing the highest standard of services for customers from all regions and societies.

Mission

To win respectable market share through customer focused quality products and services, innovative business solutions and technology driven banking thereby enhancing the growth and profitability of the bank so as to ensure the optimum benefit to all stake holders at all times.

Strategic Objectives

The Bank aims to fulfill the needs and expectations of its valued customers and all other stakeholders while assisting the Government in its nationwide drive to ensure economic transformation in various sectors of the country. In order to achieve the stated objective, the Bank plans to implement some key strategies as follows:

- Development of innovative technology based products and services
- Diversification of deposit and credit portfolio
- Expansion of new streams of revenues as well as emphasis on deposit mobilization
- Healthy growth of capital fund

Core Values

ETHICS AND PROFESSIONAL INTEGRITY

The underlying business philosophy of the Bank is to conduct each and every business practices following higher standards of ethics and professional integrity.

TEAM WORK AND COLLABORATION

The Bank's success lies in its uncompromising emphasis on teamwork and collaboration. It is only through the combined efforts and contributions of all the concerned stakeholders that the Bank can achieve its vision, mission and its fundamental business philosophies. The Bank has always considered its customers as its business partners and valued members of its core team. As such it is continuously involved in exchange of ideas, skills, competencies and information with its valued clientele, which has enabled the Bank to scale greater heights not only in terms of business growth but also in aspects of customer loyalty.

RESPECT AND HUMILITY

The Bank strongly abides by the fact that an individual can achieve his/her strategic aims and aspirations by following the virtues of respect and humility. The Bank's focus has always been on creating an amicable atmosphere where it offers equal respect to various culture, language, race, ethnicity, social values and beliefs of diverse individuals and offers them equal opportunities so as to create synergistic effects in all of its activities.

PROFESSIONALISM

The Bank conducts each of its operations with strict adherence to the highest benchmarks of service excellence and professionalism. The Bank has been continuously strengthening its relationship with its varied stakeholders by offering them qualitative, dependable and safe banking services and this was achievable only because of the Bank's utmost focus on customer oriented, research based innovation in its market offerings and business processes.

CORPORATE GOVERNANCE

The Bank abides by the directives, guidelines and regulations necessitated by Nepal Rastra Bank with respect to corporate governance so that it is able to further strengthen transparency in its business and regular operations and create an empowering and robust internal control mechanism.

LOYALTY

The Bank has always been a loyal partner for its diverse stakeholders. It is fully committed to serve as a reliable partner for its business stakeholders especially its customers even during the tough times. The Bank intends to falsify the age-old belief of banks being there for customers only during favorable times and intends to validate the concept that 'bankers are partners for their customers at all times'.

Bank's performance alignment with strategies

The Bank has been successful in catering its valuable customers with qualitative services with the help of its world class technology and competent workforce. In mere 14 years of its establishment, the Bank has significantly expanded its business base and has established itself as one of the leading commercial banks through its dedicated service to about 2.1 million customers. Throughout these years, the Bank has also solidified its capital base through merger and acquisition of 18 different financial institutions.

The bank has also been able to make its International presence with its Representative Offices in Sydney (Australia), New Delhi (India) and Hampshire (United Kingdom). The bank has been maintaining harmonious correspondent relationships with more than 90 different international banks from various countries to facilitate trade, remittance and other cross border services. With the leverage of international presence and relationship with international institutions Global IME Bank has been able to execute the loan agreement with International Finance Corporation (IFC) and KFW Development Bank. GIBL has executed loan agreement of USD 20 million with International Finance Corporation (IFC).

Due to the strength of GIBL on increasing SME/Agriculture portfolio, KFW Development bank has entrusted the bank as one of the partner banks with soft loan in order to increase M-SME business under Sustainable Economic Development in Rural and Semi- urban Areas (SEDRA project).



2.1

MILLION
CUSTOMERS

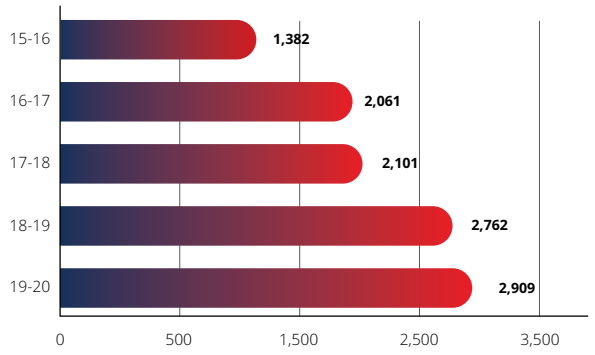
14

YEARS OF
ESTABLISHMENT

Financial Highlights and Reviews

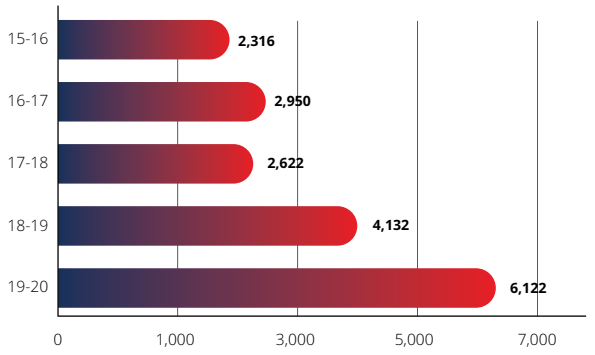
Profit After Tax

(Rs. in Million)



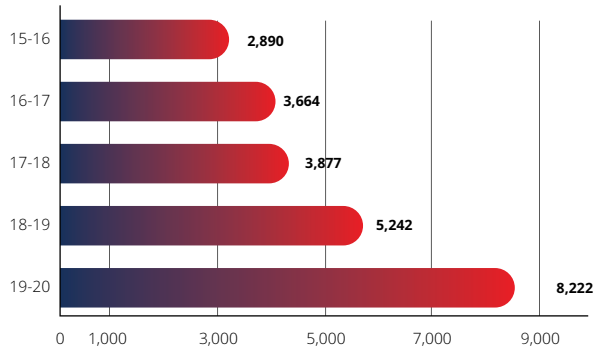
Operating Profit

(Rs. in Million)



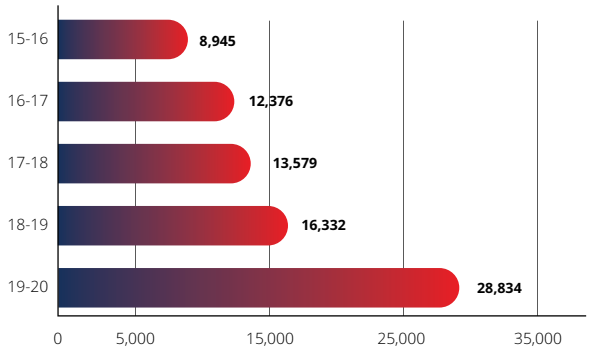
Net Interest Income

(Rs. in Million)



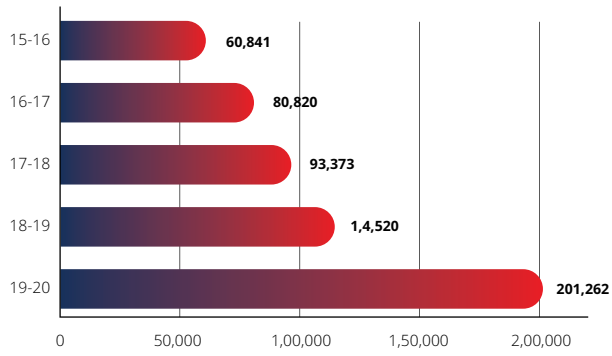
Shareholders Equity

(Rs. in Million)



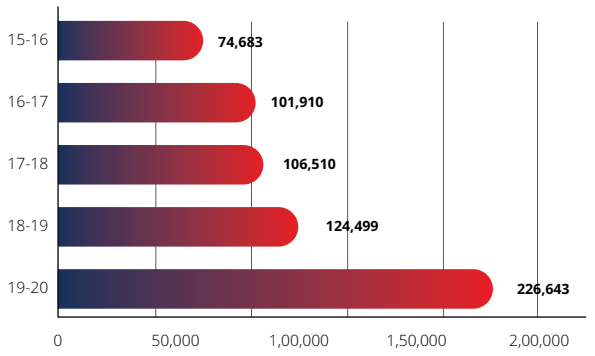
Total Loans and Advance

(Rs. in Million)



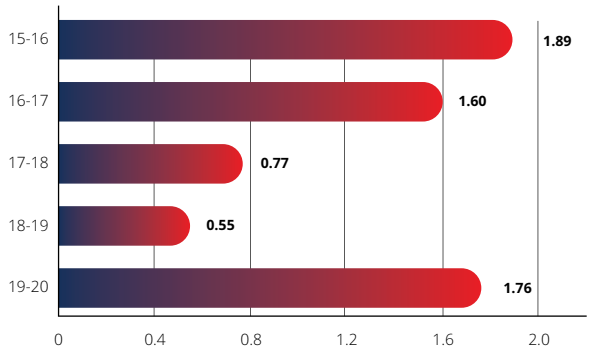
Deposits

(Rs. in Million)



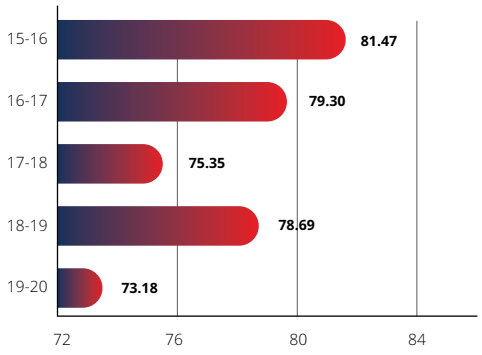
Non Performing Loan

(In %)



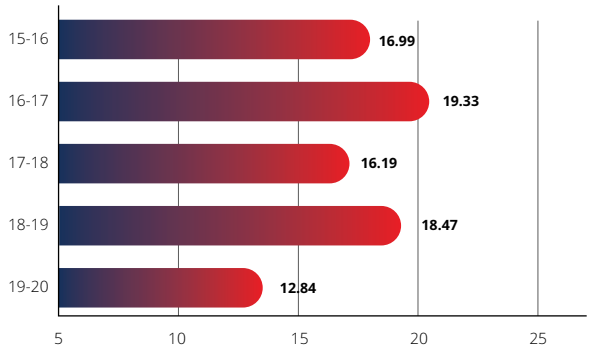
Credit to Deposit Ratio

(In %)



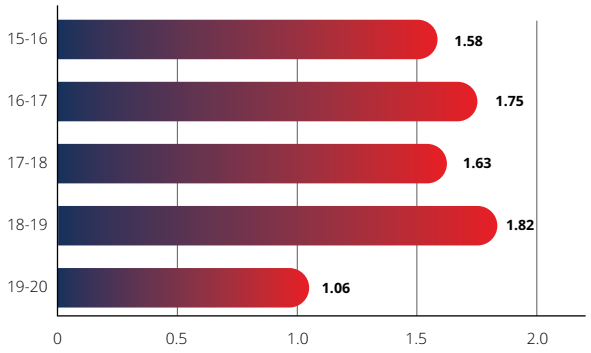
Return on Equity

(In %)



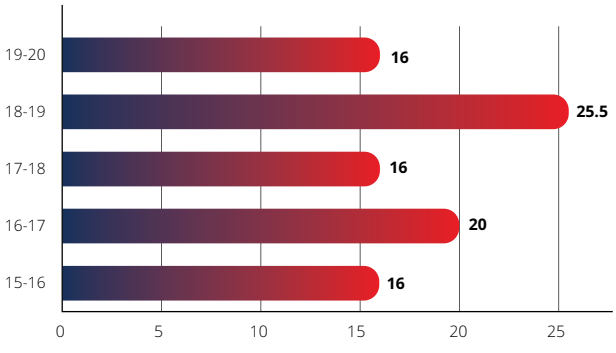
Return on Total Assets

(In %)

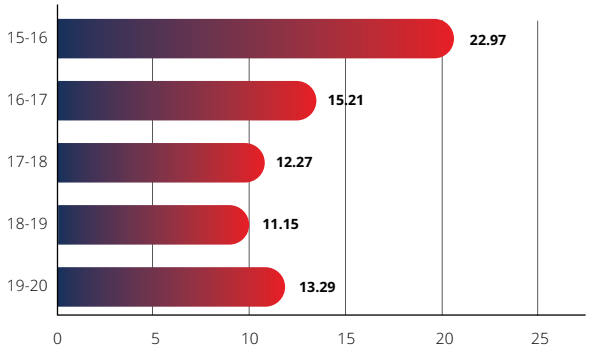


Dividend per Share

(In %)

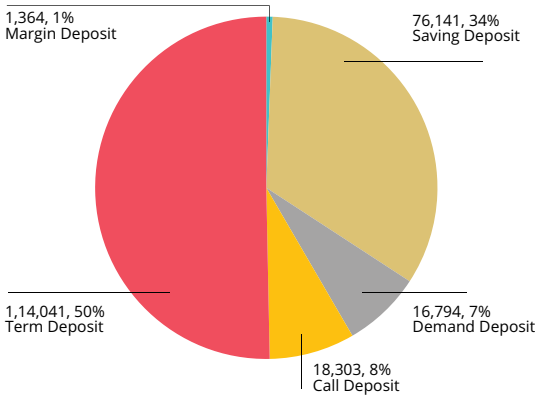


Price to Earning Ratio



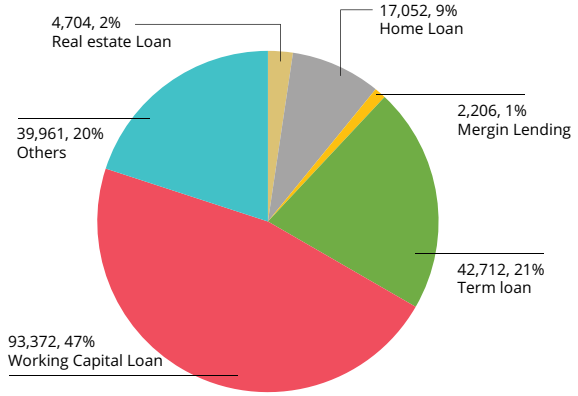
Deposit Mix

(Rs. in Million)



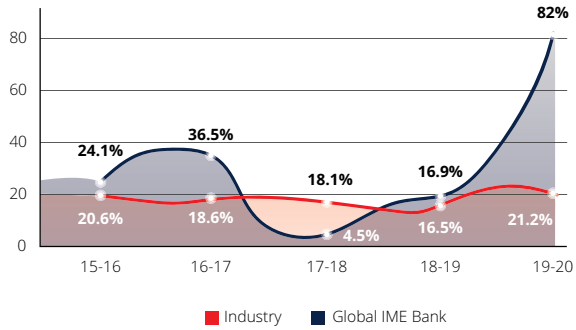
Credit Mix

(Rs. in Million)

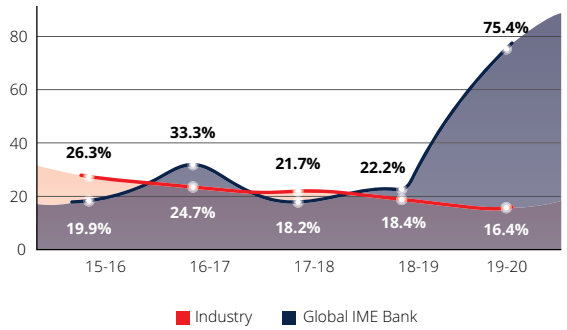


Comparision with Total Commercial Banks

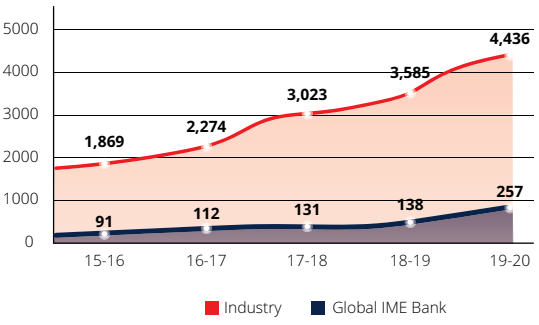
Deposit Growth Rate



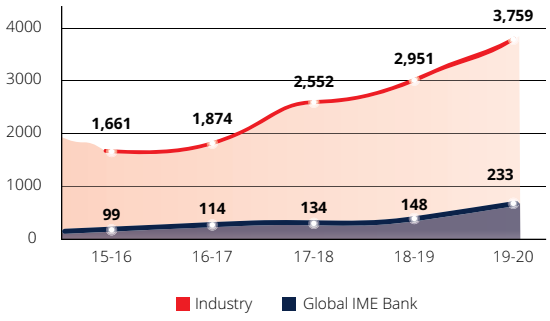
Credit Growth Rate



Number of Branches



Number of ATMs



Bank's Strength

LARGEST PAID UP CAPITAL AMONG COMMERCIAL BANKS

18.97 BILLION

LARGEST WORK FORCE AMONG COMMERCIAL BANKS

3,059 EMPLOYEES

Bank's Outlets

264 BRANCHES

239 ATMS

243 BRANCHLESS BANKING

47 EXTENSION/ REVENUE COUNTER

Only Bank in Nepal with International Presence



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International Recognition

13th EMPLOYER BRANDING AWARDS
BEST EMPLOYER 2018-2019

Credit Rating

ICRA Nepal Limited has assigned Issuer Rating of **"[ICRANP - IR] A-"**

Macroeconomic Outlook

GLOBAL PERSPECTIVE

The global economy has been continuously struggling against the health crisis as well as economic hardships resulting from the occurrence of the COVID-19 pandemic. The pandemic has severely increased the cost of saving human lives as it has spread rapidly all over the globe. Precautionary measures for the pandemic namely lockdown and social distancing have played a serious toll on the economic activities throughout the world.

In this challenging scenario where the entire world is struggling to survive both from the virus as well as the economic hardships, the International Monetary Fund (IMF) has forecasted that the global economy shall face a contraction or recession of 3 percent in the year 2020.



IMF has forecasted that the global economy shall face a contraction or recession of 3 percent in the year 2020 due to the challenging scenario of entire world from pandemic.

DOMESTIC PERSPECTIVE

The first nine months of FY 2076/77 had witnessed remarkable growth in the number of tourists visiting the country paving way for healthy growth of the domestic economy. Though the number of individuals opting for foreign employment had seen a decrease of 39 percent in the review period, the country's income from remittance had seen an increment of 21 percent. However, the scenario was completely revamped with the occurrence of the COVID-19 pandemic and its effects were seen in the various economic and financial indicators of the country.

The Central Bureau of Statistics (CBS) has forecasted the the Nepalese economy shall register a growth of 2.27 percent in its Gross Domestic Product (GDP) for the FY 2076/77

owing to the precautionary measures implemented for control of the severe effects of COVID-19 pandemic which have a direct effect on the economic activities of the country. This growth rate paints a rather gloomy picture of the economy as the GDP growth was encouraging for the past few years. The economic growth rate of Nepal from FY 2073/74 to FY 2075/76 was well above 6.5 percent. As such the annual budget for the FY 2076/77 had forecasted a growth rate of 8.5 percent. However, in the changed dynamics resulting from the pandemic, the economic growth rate of the country is sure to plummet.

Some of the major highlights of the various economic and financial indicators of the country as published by Nepal Rastra Bank are presented below:

During the review period, the country's export saw an increment of 12.9 percent and has reached a total of Rs. 78.82 billion as compared to an increase of 17.7 percent in the previous year. On the other hand, Nepal's imports witnessed a down flow of 7.5 percent and amounted to Rs. 982 billion; the country's imports had seen an increment of 21.30 percent in the preceding year. As a result of this, the country's total trade deficit decreased by 8.9 percent, amounting to Rs. 93.72 billion whereas the export to import ratio reached 8 percent in the FY2076/77 as compared to a ratio of 6.6 percent last year.

In the FY 2076/77, there was a decrease of 4 percent in the remittance income of the country and as such the remittance income stands at Rs. 623 billion. In the previous fiscal year, there was an increment of 20.9 percent in the country's remittance income.

In the FY 2076/77, banks and financial institutions were able to register a growth of 9.7 percent in their deposit portfolio as compared to a growth of 10.60 percent in the previous year. In the review period, credit to private sectors has increased by 11.5 percent as compared to a growth rate of 16.5 percent in the same period of previous fiscal year.

In the first nine months of the FY 2076/77, Nepal Rastra Bank has injected liquidity of Rs. 58 billion in the Nepalese economy by using various liquidity instruments.

Economic and financial indicators of the country has been severily affected by the COVID-19 Pandemic and will take time for revamp.

The FY 2076/77 also witnessed interbank transactions between commercial banks worth Rs. 12.62 billion.

There had been a decrease in the average interest rate of 91 daysTreasury Bills in the month of Chaitra and the rate stood at 2.13 percent as compared to a rate of 4.44 percent in the preceding year. Similarly, the average rate of interbank transactions between commercial banks stood at 2.13 percent as compared to the rate of 5.28 percent in the previous year.

Commercial banks maintained a base rate of 9.36 percent in comparison to the base rate of 9.64 percent in the FY 2075/76.



2.27%
GROWTH IN GDP

4%
REMITTANCES DECREASED

8.9%
TRADE DEFICIT DECREASED

12.9%
EXPORT INCREASED

Highlights from the annual budget of FY 2077/78

The Government of Nepal has published its annual budget amounting Rs. 147.40 billion for the FY 2077/78 which is a decrease of Rs. 58.32 billion i.e. 3.8 percent as compared to annual government budget of Rs 153.32 billion in the previous fiscal year. The budget for the FY 2077/78 aims to register an economic growth of 7 percent and curtail the rate of inflation to 7 percent. The major highlights of the annual budget for the FY 2077/78 have been presented below:

The Government of Nepal (GoN) aims to achieve economic growth of 7 percent for the FY 2077/78 as compared to 8.5 percent in the preceding year. Though there has been no changes in the rate of Value Added Tax (VAT), the government has made some changes in the import tax on certain imported goods for the FY 2077/78.

The Government has allocated a total of Rs. 1.71 billion in the sector of science and technology in the FY 2077/78 as compared to Rs. 163 billion in the FY 2076/77. The government has declared provisions of free education till secondary level, virtual/online learning, establishment of 800 new schools, free distribution of textbooks, free lunch facilities or students till class 5 and distribution of sanitary napkins to female school students. The GoN has also allocated a total of Rs. Rs. 6 billion for the educational sector through the 'President Educational Reform Program'.

For the health sector, the GoN has allocated Rs. 90.69 billion for the FY 2077/78 as compared to an allocation of Rs. 68 billion for the FY 2076/77. A total of Rs. 6 billion shall be immediately spent for COVID-19 pandemic. The GoN has allocated Rs. 12.46 billion for development of health related infrastructure while an amount of Rs. 14.27 billion has been set aside for construction of new hospitals. The Government also aims to make provisions of health insurance, national disease prevention center, free insurance for health professionals and establish National Trauma Center during the FY 2077/78.

A total of Rs. 67.85 billion has been segregated for continuation of disbursement of social security allowance by the Government. In addition to this, a separate provision of Rs. 300,000 has been made for the senior/elderly citizens of the country.

Rs. 8.66 billion has been set aside by the government for development of necessary infrastructures for the railway and airway services while a total of Rs. 19.42 billion has been allotted for construction of four new international airports in the country during the review period. For the FY 2077/78, the GoN has allotted funds worth Rs. 55 billion for the purpose of reconstruction of infrastructures damaged by the earthquake as the government plans to complete all the reconstruction activities in the stated fiscal year.

The annual budget for the FY 2077/78 also states that in the review period, mergers between banks and financial institutions shall be further encouraged by the government and priority shall be given to implementation and enhancement of digital payments, cashless payments and national payment gateway. Provisions have been made to offer credit facilities to micro and small and medium enterprises at a subsidized rate of 5 percent and to achieve this objective a total of Rs. 100 billion has been allocated for the Refinancing Fund and an additional allotment of Rs. 50 billion shall be maintained in the Relief and Recovery Fund. As such, each branch of a commercial bank and a development bank are required to provide 10 subsidized loans and 5 subsidized loans to the aforementioned micro and small and medium enterprises. In addition to this, the government also plans to fully digitize Nepal Stock Exchange in the FY 2077/78. The government also plans to encourage cooperatives for entering into merger agreements as well as to initiate and implement cashless transactions while ensuring the safety of the deposits maintained in these institutions.

The GoN has allotted a budget of Rs. 2.36 billion for youth and sports sector in the FY 2077/78 while a total of Rs.1.14 billion has been segregated for the President's Women Empowerment Program which is run under the Ministry of Women, Children and Senior Citizen. The government has also decided to offer partial waivers in the electricity charges of individual households with lower electricity usage and to offer waivers in the demand charges of industrial customers for such charges incurred during the lockdown period. The government also plans to promote opportunities of employment generation and startup enterprises in the country in the FY 2077/78.

Impact of COVID-19 pandemic in the national economy

The occurrence of COVID-19 pandemic has not only halted the free flow of people, goods and services throughout the world but also left deep impacts on the global economy. The Nepalese economy is not an exception to the dire economic effects resulted worldwide from the pandemic. It is imperative that these effects shall continue to have their impact on the Nepalese economy in the upcoming fiscal year as well. It has been forecasted that there shall be continuation in adverse trends like decline in the overall demand, closure of business entities, rise in unemployment and so on.

Though the economic activities are slowly revising in Nepal after a long period of nationwide lockdown to curtail the pandemic, various industries have started their operations at a lower capacity. The businesses are still facing the pressures resulted by the pandemic and as such one can see remarkable decline in the overall cash flow in the entire economy.

While businesses are slowly reviving from the challenges posed by the pandemic, it is to be acknowledged that each business and sector of the economy shall take its own time to recover from the impacts of COVID-19. Organizations operating in sectors related to essential services are bound to have a comparatively quicker recovery as compared to enterprises working in the sectors of travel, tourism and hospitality.

The remittance inflow of the country is expected to be severely hit by the adverse economic effects of the pandemic. Data shows that a total of Rs. 592 billion had entered the Nepalese economy in the form of remittance inflow in the months from Shrawan to Falgun in the year 2076 as compared to an inflow of Rs. 582 billion of remittance inflow in the same time period in the preceding year. Also, the remittance flow in the month of Chaitra stood at Rs. 34.48 billion as compared to Rs. 71 billion in the same period last year. This implies that in the FY 2076/77 it was expected that there shall be a decline of 19 percent or an amount of Rs. 170 billion in the remittance inflow of the country in comparison to an inflow of Rs. 879 billion in the preceding fiscal year.

Since remittance income has been a very significant and dependable source of income for Nepalese economy and as the remittance income accounts for approximately 26 percent of the nation's GDP, the sharp decline in the remittance income shall have a direct impact on the purchasing power off the general customers as well as overall demand for the goods and services, ultimately creating a strong adverse impact in the sustainability and growth of the entire economy. Apart from this, remittance has always been one of the sources to enhance the deposit base of Nepalese banks and financial institutions, hence the overall decline in remittance is bound to have some impact in the overall deposit base of the banking industry.

Existing and potentials challenges created by the pandemic in the Nepalese banking sector

It is a well-known fact that the effects of the COVID-19 pandemic will take a couple of years to subside and as such the Nepalese economy shall take its own time to bounce back to its pre pandemic stage. The economy's very high dependence on remittance income have made it comparatively more vulnerable in the era of the pandemic. As long as the pandemic exists and an effective solution is developed and implemented to curb the transmission of COVID-19, it is imperative that a sense of imbalance shall be created in the Nepalese economy in terms of charges and recovery of credit facilities offered the industries and sectors hard hit by the pandemic. This new yet risky scenario has necessitated Nepalese banks and financial institutions to practice robust risk assessment and management mechanisms and strategies so as to downsize the effects of such risks on their overall business portfolio.

It is highly probable that banks and financial institutions shall witness an increase in the credit risk of their lending portfolio because of obstructions in the credit repayment by both individual and institutional customers. The incidences of decline in cash flow of various businesses, along with employee layoffs as a cost cutting mechanism adopted by various organization clearly portray a scenario of lower credit demand in the economy as well as delay the loan repayment by both organizations and individuals, thereby presenting possibilities of increment in the bad debt ratio of banks and financial institutions. The pandemic shall also inculcate a habit of holding cash by individuals and households in the light of uncertainties regarding their present and future cash flows. All these impacts shall severely affect the business portfolio as well as overall performance of banks and financial institutions. There might also be increment in unhealthy competition amidst the market players in the banking industry as banks and financial institutions might attempt to lure the same set/sector of customers for business generation. This poses the possibility of degradation in the overall credit quality of Nepalese banks and financial institutions.

Existing Scenario

The current scenario does not clearly highlight the socio-economic effects of the pandemic and in addition to this, the recovery time of various sectors of the Nepalese economy is still uncertain. In the past few months, there has been a sharp decline in the demand for credit facilities yet continuous increment in the deposit base of banks and financial institutions. As such, the Credit to Deposit ratio of commercial banks has been hovering in the range of 70 to 75 percent. Further, the demand for credit facilities is bound to be regressive in the upcoming fiscal year as well. In this scenario, banks and financial institutions possessing comparatively less operational expenses and lower cost of fund shall be able to maintain a comparatively lower base rate, thereby enhancing their overall competitiveness. However, it is imperative that the future is going to be even more competitive for banks and financial institutions with higher base rates as they are sure to struggle to find newer avenues of business generation.

The Government of Nepal has also declared assistance packages to various sectors through the budget for the FY 2077/78. Taxes levied on micro loans have been scrapped off while provisions of reduction in import tax and subsidized electricity charges for sectors namely small and medium enterprises, retail businesses, tourism, agriculture and other production based industries are expected to create a favorable environment for upliftment of various sectors and businesses of the economy. Subsequently, the various relief packages announced by the GoN shall definitely assist in enhancing the growth of the entire economy amidst the challenges resulted by the pandemic. Policies and relief packages targeted towards development of new enterprises, land bank, and special agricultural regions shall also play an instrumental role in creation of ample employment opportunities in the country. The government has also created a positive impact by announcing COVID-19 relief packages both for individuals as well as organizations hard hit by the pandemic. It has also delayed the loan repayment and tax repayment of businesses to assist them to manage their financial stature. The government also expects that economic activities carried out with enough precautionary measures shall assist in the economic empowerment of the country even during these challenging times resulted by COVID-19.

The Bank has attempted to analyze its key performance indicators for the FY 2076/77 by considering the twelve months' data of the review period. It is to be understood that the performance indicators of the Bank are not satisfactory as compared to the overall budget of the country and business volume of the Bank. Some of such major analysis are presented below:

- The country faced a strict nationwide lock down from Chaitra 11, 2076 which clearly impacted the regular and business operations of the Bank
- Based on the forecasts of Central Bureau of Statistics (CBS), the Gross Domestic Product of the country for the FY 2076/77 is expected to remain at 2.27 percent owing to decline in overall production in the economy because of the pandemic
- The expected Capital Expenditure of the government for the review period stands at Rs. 239 billion which is 59 percent of the total allotted Capital Expenditure of 408 billion
- The deposit growth for the first nine months of the current fiscal year stands at 9.7 percent as compared to the credit growth rate of 11.5 percent. It is expected that the deposit growth rate might increase in the days to come while the credit growth rate is expected to remain at the same level throughout the year.
- In the month of Chaitra 2076, the Bank offered a waiver of 10 percent to its credit customers amounting to Rs. 450 million in its total interest income for the FY 2076/77. The waiver had been offered with reference to the directive issued by Nepal Rastra Bank asking commercial banks to offer interest waivers to loan maturing in the month of Chaitra 2076.
- The Bank has also contributed Rs. 730 million in order to offer interest rate waiver of 2 percent to almost all of its loan customers, except few customers not meeting the eligibility criteria for the waiver. In addition to this, the Bank had also waived penalty chares, other service charges and commissions to its loan customers for the period from Chaitra 2076 to Asadh 2077. This has impacted the interest income of the Bank leading to a decline of Rs. 780 million in its overall interest income.

BANK'S MARKET SHARE

	ALL COMMERCIAL BANKS	GLOBAL IME BANK LTD	SHARE OF GLOBAL IME BANK
	Amt in Million		
Loans and Deposits			
Total Loans Mobilized	**2,910,231**	**200,006**	**6.87%**
Loan Growth rate	16.41%	75.35%	
Total Deposit Collection	**3,490,101**	**226,643**	**6.49%**
Deposit Growth rate	21.18%	82.04%	
Term Deposit	1,646,630	114,041	6.93%
Saving Deposit	1,087,517	76,141	7.00%
Current Deposit	389,700	16,794	4.31%
Call Deposit	332,548	18,303	5.50%
Other Deposit	33,706	1,364	4.05%
	Actual Numbers		
Financial Reach			
Number of Branches	4,436	257	5.79%
Deposit Accounts	27,724,764	2,116,464	7.63%
Loan Accounts	1,196,289	54,306	4.54%
Branchless Banking	1,574	249	15.82%
Mobile Banking Customers	10,115,313	768,894	7.60%
Internet Banking Customers	1,001,866	123,290	12.31%
Number of ATMs	3,759	233	6.20%
Debit Card	7,062,472	498,534	7.06%
Credit Card	160,297	17,437	10.88%
Weighted Average cost of Deposit	6.01%	6.74%	
Weighted Average Yield on Loan	10.11%	11.86%	

Profile of Directors



Mr. Chandra Pd. Dhakal
Chairman

Mr. Chandra Prasad Dhakal is one of the reputed names when it comes to entrepreneurship and responsible business in the country. Mr. Dhakal leads the IME Group of Companies in the capacity of Executive Chairman, which is one of the rapidly growing business conglomerates of the country that has multiple companies in the field of Banking, Remittances, IT, Trading, Hydropower, Travel, Infrastructure and Hospitality sectors.

Mr. Dhakal pioneered the Nepalese remittance industry thereby creating a dependable medium for numerous Nepalese citizens residing abroad to transfer funds to their families back home. He established International Money Express (IME) in 2001 in Nepal and Malaysia to offer remittance services to Nepalese migrant workers in Malaysia. The establishment not only proved to be productive but also paved avenues of institutionalizing remittance inflow in the country. This has also indirectly assisted the nation to enhance access to finance to individuals and households in the far flung areas of the country as well as in the achievement of Millennium Development Goals.

Mr. Dhakal was conferred with the Commercially Important Person (CIP) award 2014 by the Government of Nepal, Business Personality of the Year 2014 by Kantipur Publications and Gorkha Dakshin Bahu IV from the then King of Nepal, Gyanendra Bir Bikram Shah in recognition of his exemplary contribution in the remittance sector of the economy. His visionary leadership was well reflected in his efforts to institutionalize the merger policy of the Government of Nepal and Nepal Rastra Bank through Global IME Bank – an institution which has successfully merged with 18 different banks and financial institutions.

Mr. Dhakal is the Honorary Consul of the Republic of Indonesia to Nepal since 2010, Chairman of Global IME Bank Limited and Executive Chairman of IME Group of Companies, a business conglomerate that has a wide array of investment portfolios and IME Ltd., the number one remittance company of Nepal. He is also involved in various other national level boards and committees of the country. As such he is involved as a member (Permanent Invitee) of Investment Board Nepal (Government body chaired by the Prime Minister of Nepal),Director of Securities Board of Nepal, Vice Chairman of Federation of Nepalese Chambers of Commerce and Industry (FNCCI), Chairperson of International and NRN Investment Promotion Committee, President of Nepal Malaysia Chamber of Commerce and Industry, Vice-Chairman of International Chamber of Commerce and Industry Nepal (ICC-N), Nepal German Chamber of Commerce and Industry (NGCCI) and Western Development Forum (a non-profit organization for the overall development of the western part of Nepal.

Mr. Dhakal's investment portfolio includes the following:

1. **Banking:** Global IME Bank Ltd.
2. **Remittance:** IME Ltd.
3. **Travel and Tours:** IME Travels and Tours Pvt. Ltd.
4. **Freight Forwarding:** Mount Pumori Air Cargo Pvt. Ltd.
5. **Trading:** C.M. Trading Enterprises Pvt. Ltd.
6. **Automobiles:** IME Automotives Pvt. Ltd.
7. **Infrastructure:** Chandragiri Hills Ltd and Mountain Energy Ltd.

Mr. Dhakal has actively participated in several international conferences and seminars throughout the world including the 6th and 7th NRNA European Regional Meeting 4th & the 5th NRNA Women's Conference, Regional Conference on Money Service Business organized by Bank Negara Malaysia (Central Bank of Malaysia), Courtesy call on Hon'ble Dr. Mahathir bin Mohamad, former Prime Minister of Malaysia, at his residence to extend an invitation for participation in Nepal Business Conclave 2014, India Infrastructure Summit 2013 & AGM of Indo-Canadian Business Chamber, 12th Meeting of Nepal-China Non- Governmental Forum, 4th Bhutan Construction Expo & FNCCI Delegation to Bhutan, 31st Association of Nepalese in America, Global Forum on Remittances 2013 organized by the World Bank and IFAD.



Mr. Keshav Bdr. Rayamajhi
Director

Mr. Keshav Bahadur Rayamajhi is involved as the Board Member and Managing Director of "Peoples Hydropower Company Private Limited". Mr. Rayamajhi holds a Bachelor's Degree in Management from Tribhuvan University. He has over 15 years of work experience with various hydro power companies and other business house. Mr. Rayamajhi served as Chairman of the board of then Janata Bank Nepal Limited prior to merger with Global IME Bank Limited



Mr. Sudarsun Krishna Shrestha
Director

Mr. Sudarsun Krishna Shrestha is one of the renowned names in the Nepalese banking industry with comprehensive knowledge of various banking operations. He has served for a period of 30 years at Rastriya Banijya Bank and holds a Master's Degree in Economics. Mr. Shrestha's area of expertise lies in credit, branch operations and international banking.



Mr. Suman Pokharel
Director

Mr. Suman Pokharel is currently entitled with the role of Chief Executive Officer at IME Ltd. Mr. Pokharel completed his Master's in Business Studies from Tribhuvan University. He possesses eleven years of banking experience in Everest Bank and Global Bank Limited. His area of expertise lies in banking operations, credit, international remittance and correspondence banking.



Mr. Krishna Pd. Sharma
Director

Mr. Krishna Prasad Sharma is one of the prominent bankers of the Nepalese banking industry with more than 32 years of banking experience. He has also served as the Chief Executive Officer at Rastriya Banijya Bank. In the past, he has also served in the capacity of Director in various esteemed organizations namely Nabil Bank Limited, Nepal Investment Bank Limited., Employees Provident Fund, National Life Insurance, NLG General Insurance, Credit Information Center, Deposit Insurance Credit Guarantee Company to name a few. Mr. Sharma holds a Master's Degree in Business Administration (MBA), Masters of Arts in Sociology (MA) and Bachelor of Science in Agriculture (BSC).



Mr. Vineet Kumar Agrawal
Director

Mr. Vineet Kumar Agrawal is currently serving as the Director of Inter-tech Group of Companies. In addition to this, he is also associated with several other corporate organizations in different capacities. Mr. Agrawal holds a Master of Business Administration (MBA) from Pokhara University. Mr. Agrawal served in the capacity of Board of Director of then Janata Bank Nepal Limited.



Mr. Devendra Pratap Shah
Director

Mr. Devendra Pratap Shah is one of the pioneer names in Nepalese banking industry with an extensive experience of 35 years. He is a qualified Chartered Accountant and also holds Masters' Degree in Commerce (M. Com) and a Bachelor's Degree in Law. He has successfully led Agricultural Development Bank Nepal Ltd. and Nepal Bank Ltd. in the capacity of Chief Executive Officer. Mr. Shah also served as the Executive Chairman of the Insurance Board of Nepal.



Chairman's Statement

Global IME Bank, through its performance in the financial year 2019-20, has ensured the value-creation for all its stakeholders irrespective of the immense challenge faced by the entire economy!!

Though it seems that the impact of COVID-19 pandemic, which crippled the entire globe for more than a year, has reached its declining stages; I strongly feel that the struggle for recovery has just begun. It was one of those very rare timeframes in the known history that barely left any part of the society, economy or geography untouched and the world economy virtually reached the stage of a standstill.

Amidst the challenges, it is evident that these events also proved to be the starting point for a new normal and helped us redefine the way we do business. The move towards digitization, which was much talked about but was less of a priority earlier, has become evident now. This shift in priority is expected to initiate the new technological paradigms that are difficult to be envisaged as on date. I strongly feel that the Financial Year 2020-21 is going to be a turning point for all of us in several ways, mainly due to the crisis we went through for more than a year.

Financial Year 2019-20 not only proved to be a year full of challenges but also paved us the way towards redefining our operation modality. With the acquisition of Hathway Finance Company Ltd and the historical merger with then Janata Bank Nepal Ltd, Global IME Bank Ltd has once again proven itself to be a pioneer in the industry by completing the merger / acquisition of 18 different financial institutions in total. Being a melting pot for diverse cultural and business orientations accumulated from a number of institutions has its own challenges, but I strongly believe the opportunities created by this diverse exposure is even greater. Streamlining the operations, in all areas possible, thereby achieving the synergy and efficiency expected from the successful mergers / acquisitions shall be the focus for Global IME Bank for the year 2020-21.

Recent pandemic have had a significant impact in the business, revenues as well as our cost structure in the FY 2019-20. Amidst these losses and curtail of revenue streams due to various reasons, the bank has reported a net profit of Rs. 2.91 Billion (excluding the profit of Rs. 451 Mio reported by then JBNL till the date of merger) along with a reasonable growth in business size. The bank's deposit base grew by 82.04% to Rs. 226 Billion, and lending portfolio increased by 75.35% to Rs. 201 Billion during the reporting year, where the growth was mostly supported by merger with then Janata Bank Nepal Ltd.

Although the pandemic has affected the world's economy at large, it has also highlighted the importance of going digital and forced us to rethink our modus operandi applicable in all areas. Global IME Bank Limited is committed to capitalize on these opportunities, unearthed recently in all fronts possible, especially towards improving the quality of services and operational efficiency through exploitation of innovative digital platforms. Global Smart, an advanced mobile banking application rolled out a few years back proved to be an extremely handy tool that enabled out customers to avail banking services from their own devices, thus providing them a greater freedom and control in managing their finances and payments. The bank has also introduced various other digital products to support cashless transactions with the highest degree of efficiency, convenience and security. This is expected to contribute to our drive towards a true cashless economy.

Global IME Bank Limited is well aware of its role as a custodian of the hard earned money of more than 2.1 million customers, thus we are committed towards being prudent, ethical and transparent in our operations. We have a robust mechanism supported by an effective structure and the set of clear and well defined policy guidelines to ensure corporate governance at all levels. All our activities, in all fronts,

are guided by the highest degree of professionalism and in the best interest of all our stakeholders.

The bank has been able to reach a diverse customer base through its 795 service outlets that includes 264 branches, 239 ATMs, 3 representative offices, 47 extension /revenue collection counters and 243 branchless banking centers. Our network is further strengthened by 7 resourceful provincial offices that are contributing towards a sustained de-centralization strategy in line with the federal system adopted by the country.

I must place on record my appreciation for the cooperation extended by my fellow Board Members for their professionalism in providing a strategic guidance to the bank management. I would also like to convey my appreciation to all the employees for their dedication and passion, which is the greatest source of our competitive advantage.

I express my sincere gratitude for the guidance and support from Nepal Rastra Bank, Securities Board of Nepal, Nepal Stock Exchange, Office of Company Registrar, Ministry of Finance, Government of Nepal and all other regulatory bodies.

My sincere gratitude to our shareholders – your support over the years has been the source of immense strength for the Bank and I look forward to your continued support in this journey of excellence.

To our loyal customers, the Bank is infinitely grateful for the trust and confidence you have placed in Global IME Bank. You remain the pivot for our motivation to succeed, innovate and grow.

Thank You !!

Mr. Chandra Pd. Dhakal
Chairman

Director's Report

It gives me immense pleasure to share with you all yet another successful year marked with remarkable achievements of the Bank. The Bank has successfully completed its 14 years of successful operations in the ever-competitive banking industry of Nepal. It is a notable fact that the Bank's excellence and success despite myriads of prevalent challenges and opportunities has been possible only because of the constant support and encouragement that the Bank has received from its diverse stakeholders including but not limited to shareholders, customers, regulatory authorities and employees to name a few.

On behalf of the Board of Directors, I present to you the Annual Report for the Financial Year 2019-20, along with Statement of Financial Position (Balance Sheet), Statement of Profit or Loss, Statement of Cash Flows, and various activities and disclosures as at 15th July 2020. This Annual report has been prepared in conformity with the provisions laid down in the Bank and Financial Institution Act, 2073, Companies Act, 2063 and Nepal Rastra Bank's Directives.

Overview of the National Economy

It is a known fact that like any other economy of the world, Nepalese economy had to face the adverse effect of the global pandemic of COVID-19. The domestic economy was hard hit by the much required precautionary measure of the extensive lockdown period of ninety days and the banking sector was no exception to these negative impacts resulted by the pandemic. As such, the economic activities and financial system of the entire country is posed to some novel and additional risks that were nonexistent before the pandemic. During this challenging times, Global IME Bank is aware of the fact that it has to adopt proactive measures to balance the newer kinds of risks posed by the changed scenario and continue offering its customer oriented products and services effectively while abiding by the various policies, guidelines and directives implemented by Nepal Rastra Bank – the supreme regulatory body for Nepalese Banks and Financial Institutions (BFIs).

Talking about the national economy in the FY 2076/77, the country's GDP saw a decline of 2.28 percent as compared to the previous year thereby remaining at a level of 2.28 percent while the country's inflation recorded a rate of 4.64 percent as compared to 6.15 percent in the preceding year. The country's remittance income was severely compromised in the review period since the pandemic barred interested individuals to opt for as well as continue their foreign employment as the entire world had to face restrictions in free mobility of people from one place to another. As such, the US Dollar based remittance of the country recorded a downfall of 3.3 percent in the FY 2076/77.

Referring to the sector of foreign trade, Nepalese economy witnesses a decline of 15.6 percent in the country's exports. However, the country was able to record satisfactory growth in its foreign exchange reserve which can be attributed to a minimal increment in the country's export and the decline in trade deficit which assisted in improving the Balance of Payments of the country.

The Financial Year 2076/77 saw a growth of 17.27 percent in the deposit mobilization of BFIs record an aggregate deposit mobilization of Rs. 3,933 billion while their loans and advances portfolio grew by 12.32 percent, amounting Rs. 3273 billion in the review period as compared to a growth of 20.27 percent in the last fiscal year. The imbalance in the deposit and credit growth as well as reduction in the overall economic activities of the country has hence resulted a state of excess liquidity in the economy. As a result of this, the lending rates of BFIs have been directly impacted and the overall revenue generation capacity of BFIs have been compromised as compared to previous fiscal years. The inability of the credit customers to furnish payments of the credit facilities enjoyed by them has also resulted adverse effects on the profitability of BFIs. However, the relief and relaxations in the policies brought forward by various regulatory authorities especially Nepal Rastra Bank is commendable.

Review of the Bank's overall performance in the FY 2076/77:

Financial snapshot:

AMOUNT IN '00,000'

DESCRIPTION	ASADH END		GROWTH	
	2077	2076	AMOUNT (RS.)	PERCENTAGE (%)
Paid up Capital	181,758.80	103,105.16	86,653.64	84.04
Deposits	2,266,430.83	1,244,993.16	1,021,437.67	82.04
Loans and Advances	1,980,088.89	1,130,322.41	849,766.48	75.18
Investment	273,627.99	136,925.05	136,702.14	99.84
Reserve and Fund	84,069.64	60,216.54	23,853.39	39.61
Debenture and Bond	14,970.65	14,964.53	6.12	0.04

As evident in the above table, the Bank has been able to register remarkable growth in its capital base as well as deposit and credit portfolio. This growth and the positive impacts in almost all of the major financial indicators of the Bank can primarily be attributed to the merger of Janata Bank Limited and Hathway Finance Company into Global IME Bank Limited. The financial details of both the aforementioned institutions at the time of merger has been provided below:

AMOUNT IN '00,000'

DESCRIPTION	JANATA BANK LIMITED MERGER DATE: DECEMBER 6, 2019	HATHWAY FINANCE ACQUISITON DATE: SEPTEMBER 3, 2019
Paid up Capital	84,808.33	3,000
Deposits	770,502.63	2,798.55
Loans and Advances	714,984.07	3,286.95
Investment	90,569.91	1
Reserve and Fund	21,433.85	(574.54)

In the FY 2076/77, the Bank was able to generate Operational Profit of Rs. 4.17 billion and a Net Profit after tax of Rs. 2.19 billion. A brief snapshot of the Bank's profitability has been highlighted in the following table:

AMOUNT IN '00,000'

DESCRIPTION	ASADH END		GROWTH	
	2077	2076	AMOUNT (RS.)	PERCENTAGE (%)
Interest Income	204,894.01	135,308.85	69,585.16	51.43
Interest Expenses	122,673.88	82,885.39	39,788.49	48
Net Interest Income	82,220.13	52,423.46	29,796.67	56.84
Fees and Commission	22,491.05	17,835.68	4,655.37	26.10
Employee and Operational Cost	43,448.03	28,938.08	14,549.94	50.28
Expected Differential Loss Reserve	19,544.27	1,981.87	17,562.40	886.15
Profit after all Operations	41,678.88	39,339.18	2,339.70	5.95
Tax Expenses	12,592.24	11,719.65	872.59	7.45
Net Profit	29,086.64	27,619.54	1,467.11	5.31

Note: FY 2075-76 does not include the figures of then Janata Bank Nepal Ltd and Hathway Finance Company Ltd.

The Bank registered a growth of Rs. 6.49 billion in its interest income in the review period of 2076/77. In addition to the interest income, the positive growth in other income stream of the Bank has been resulted because of the Bank's merger with Janata Bank Limited and its acquisition of Hathway Finance. On the expenses side, there has been increment in the employee and operating expenses of the Bank due to significant rise in the employee base as well as branch network of the Bank.

Despite the positive growth in the Bank's overall revenue base, its Net Profit has been constrained at Rs. 2.91 billion; an increment of 5.31 percent since the Bank had to keep aside substantial amount of Rs. 1.95 billion as a reserve for risk management primarily attributable to the COVID-19 pandemic. The Bank has been able to register satisfactory growth even amidst the challenges created by the pandemic namely increased market competition in terms of interest rates and the decline in economic activities in Nepal during the review period.

Review of the Bank's performance in the first three months of the FY 2077/78

The Bank has witnessed a growth of Rs. 13 billion in its deposit portfolio thereby creating a deposit base of Rs. 240.53 billion while its credit portfolio grew to Rs. 206.56 billion which is a growth of Rs. 6.57 billion. Similarly, the Bank has been able to record Net Profit of Rs. 1 billion in the same time period. In the present context where the impact of COVID-19 is still felt in the country and the economy shall take considerable time to return to its normal or pre-COVID state, it has become imperative for the Bank to be fully cautious in terms of the inherent risks so as to expand its transactions and services and ensure effective adoption and implementation of digital technologies to enhance the quality as well as effectiveness of its products and services.

Merger and acquisition

The Bank is well aware of the role of fruitful mergers and acquisitions in assisting the national drive to strengthen and empower the overall economy of the country after scrutinizing and analyzing the risks involved in such acts of mergers and acquisitions. On the basis decisions and discussions during the Bank's 13th Annual General Meeting for merger with then Janata Bank Nepal Limited a "A" Class Financial Institution and acquisition of then Hathway Finance Company Ltd a "C" class financial institution, the Bank has completed the merger/acquisition process. On completion of merger and acquisition of then Janata Bank Nepal Limited and Hathway Finance Company Ltd, 18 different banks and financial institutions (including those merged or acquired by the institution acquired by the Bank) have been brought together in its 14 years of operating history. This has led the bank to be one of the pioneer institution of the country in terms consolidating the financial sector and has been leader to help the national policy for consolidation of financial sector. The Bank has acknowledged to continuously support the national economic development by its action towards those policy. The recent merger and acquisition has also enabled the Bank to achieve significant improvements in almost all of its major financial indicators and has establish itself as one of the largest and strongest Bank in Nepalese Banking industry.

Future Plans

The Bank plans to achieve healthy and balanced growth in its deposit base, credit portfolio and business expansion in line with its strategic objectives in the days to come as well. The Bank aims to enhance the effectiveness of its products and services by adopting customer friendly and robust digital technologies so that it is able to minimize the adverse effects of COVID-19 in its overall business and the entire economy and provide the maximum return and safeguard of investments of our investors.

The Bank aims to implement allowing plans and strategies in the upcoming days:

- The Bank aims to further enhance the scope of its business through expansion of branch network as well as representative offices within and beyond the country so as to enhance the financial inclusion and also fulfill its motto of becoming 'Bank for All' for its diverse stakeholders. Currently the Bank has been serving more than 2.1 million customers through its extensive network of branches, branchless banking outlet, ATM, extension counters and in 73 districts of the country. The Bank is committed as ever to bring the larger mass of customers still beyond the reach of the formal banking channels.

- In order to assure a dependable source of capital generation, the Bank has already initiated the process for issuance of Debenture with 10-year tenure and an amount of Rs. 3 billion in the FY 2077/78. This shall assist the Bank to enhance its business base along with the dividend offered to its shareholders.

- On visualization of the problems faced during the resource mobilization in Nepal economy the Bank has mobilized the resources from the international financial institutions using the facilities provided by Nepal Rastra Bank and has further plans to mobilize additional resources from such sources this year as well. These additional resources from the international market shall not only enable the Bank to enhance its credibility but also help to identity itself in the international market.

- Ever since the inception, the Bank has prioritized in offering suitable credit facilities to the small and medium enterprises on the basis of underlying geographical structure, as the Bank believes that the country's economy can prosper only with the prosperity of small and medium enterprises. In addition to this, the Bank has also prioritized deposits of the general public and has given utmost importance as Bank's sustainable resources. In the days to come, the Bank shall prioritize further enhancement of its financial reach to the nooks and corners of the country through expansion of its services networks.

- The Bank has established a dedicated department focusing on offering financing services to the agricultural sector - a sector which acts as the medium of survival for approximately 65 percent of the country's total population and also accounts for 27 percent of the national economy. The Bank aims to develop and implement appropriate policies and guidelines to achieve its aim of empowering the agricultural sector through proper financial back up.

- In the present context where one can see continuous growth in infrastructure development activities, the Bank aims to forge fruitful collaborations with concerned businesses and stakeholders in the sector of construction and infrastructure development. In order to enhance the effectiveness of the reach of the service

to be extended to this profitable sector, the Bank plans to establish a separate department and cater to the unique financial needs of the construction sector.

- Apart from being backbone of the domestic economy, remittance is a vital and reliable source of business for Global IME Bank Limited. The Bank has played an active role in ensuring the inflow of significant remittance income in the country through establishment of representative offices, remittance agents and strategic partners in different countries throughout the globe. The Bank shall continue prioritizing the systematic and effective management of its remittance business in the days to come so as to generate substantial remittance income for the overall country.

- To extend the policy of international recognition and assist in increasing the remittance and international business the Bank has already established its representative offices in Australia, India and United Kingdom. Through these representative offices the Bank aims to identify the feasible markets for remittance business as well as to forge strategic partnerships with the concerned stakeholders to offer easy banking services to Nepalese working and residing abroad. The Bank shall continue to identify the similar additional avenues of offering remittance based services in other feasible countries as well.

- The Bank has implemented the policy of offering world class banking services to its valued clientele via proper adaptation and implementation of innovative and robust banking technologies. As such, there is a separate unit entitled Digital Banking Unit in place that takes care of development of necessary digital infrastructure as well as identification and management of the inherent risks when it comes to adoption and implementation of such technologies.

- The Bank will minutely study, supervise and minimize the various operation costs of the Bank and implement appropriate mechanism to curtail the overall cost of operations. The Bank is continuously striving to automate its internal operations and processes to ensure that it is able to further strengthen its customer service and overall state of service excellence.

- Apart from streamlining its business processes, the Bank has equally emphasized the fact that the Bank's core strength lies in the skills and competence of its dedicated employees. The Bank invests in enhancement of the skills and capabilities of its employees through appropriate training and development programs. In the days to come, the Bank intends to further enhance the effectiveness of such training and development initiatives through digital interventions and platforms that follow the timelines of the annual staff development and training calendar.

- The Bank shall continue to offer qualitative services to various governmental offices and authorities and further enhance its credibility as a dependable financial institution to effectively handle government transactions.

- In line with the federal system of governance implemented throughout the country, the Bank has established its province offices in each of the province of the country and plans to further strengthen with clear demarcation of their respective roles, work scope and authority.

- As a responsible corporate citizen, the Bank shall continue to prioritize its corporate social responsibility initiatives in sectors of education, health, natural calamities and environmental conservation. The Bank also plans to develop and implement suitable initiatives to assist in enhancing the standard of living of marginalized communities.

- The Bank has always abided to the declared policies of Nepal Government and Nepal Rastra Bank. It has already brought 18 different banks and financial institutions under its umbrella as per the policies regarding mergers and acquisitions as demarcated by Nepal Government and Nepal Rastra Bank. The Bank also plans to continue various effective programs and activities to ensure proper management and to enhance the skills and career development of diverse employees coming together after such mergers and acquisitions through appropriate initiatives.

- The Bank has always prioritized risk management and has taken a proactive role to identify and implement several risk management strategies and activities. For the intense focus on risk management, the Bank has a separate Risk Management Committee that is actively involved in identification of sources and incidences of risk as well as implementation of proper corrective measures to minimize those risks to which the Bank is exposed to.

In the future as well, the Bank shall actively look out for feasible options for merger and acquisition while giving uncompromised attention on business expansion as well as sound risk management so that it is able to ensure a safe environment and justifiable returns to its valued shareholders.

Customer Relationship Management

As undeterred commitment of the Bank to offer robust, technology friendly and above all customer oriented products and services, the Bank has witnessed continuous increment in its customer base ever since its inception. After its merger with then Janata Bank Nepal Limited and acquisition of Hathway Finance Company Limited, the Bank has been successfully serving a diverse customer base of more than 2.1 Million customers. The Bank aims to further streamline its business processes and enhance its service delivery and product offerings keeping in mind the unique needs of its valued customers in the days to come.

Branch Network

The Bank has always played an active role in enhancing the range of banking products and services that it offers to its customers considering their needs and expectations. The Bank currently has a total of 264 branches, 23 extension counters, 1 CDS Clearing Counter, 23 Revenue Collection countesr,243 branchless banking outlets, 239 ATM, 3 representative offices in India, UK and Australia. In the FY 2076/77, the Bank added 18 new branches (Nagarjun, Solu, Khotang, Bhojpur, Dailekh, Holeri, Udipur, Nawalpur, Okhaldhunga, Bandipur, Charikot, Pipalabazar, Bhairahawa SEZ, Gulariya, Krishnanangar, Baluwapati, Kamalbinayak and Sanagaun).

The Bank has already obtained preliminary approval from Nepal Rastra Bank to establish representative offices in Japan and South Korea, which is currently put hold for execution due to the global pandemic. The Bank has been facilitating banking services to its customers through 795 different outlets and has also established the provincial offices in each of the seven provinces of the country which oversees the branches under each provincial offices.

Information Technology

Rapid development and innovation in the field of information technology has created numerous opportunities for banking industry. At the same time, it has also added additional challenges and risks. The Bank aims to strike a fine balance between offering innovative, tech based products and services to offer high quality banking products and services to its customers while at the same time managing and minimizing the associated risks in the process of doing so. The Bank is committed to offer easily accessible digital or off the counter services to its customers in the future. For this, the Bank aims to adapt and implement relevant technologies in its business processes and procedures which shall also enable it to curtail its overall operating expenses.

The Bank shall also prioritize on updating the functional as well as security aspects of its tech based products and services namely VISA Card, Mobile Banking, QR Code Payment System, Internet Banking and so on. The Bank has already initiated the process to update its core banking software from Finacle 7 to Financle Version 10. This shall assist the Bank to further enhance the effectiveness of its service delivery to the myriad of customer segments scattered within and beyond the country as well as to streamline and minimize the various business and operational risks that might arise as a result of significant expansion in the Bank's customer base, branch networks and business portfolio. The Bank also believes that its recently implemented Document Management System, Business Intelligence and BIG-IP Edge Client shall further enhance the robustness of its data and information management.

In line with the NRB Directives as well as the prevailing laws of Anti Money Laundering, the Bank aims to further enhance the effectiveness of its AML software that has been implemented with a view to ensure proper customer database management and identification and reporting of suspicious transactions.

The Bank is fully aware of the inherent risks related with information technology that might arise in the course of its business especially in the current scenario where digital platform has been an alternate to offer contact less banking services to the customers. For the same, the Bank has in place Information Technology Incident Response Team as necessitated by NRB while the Bank shall continue conducting Information System Audit to ensure robustness of its information technology infrastructures.

Contribution in the National Economy

In the FY 2019/20, the bank has paid a total of Rs.3 billion in the forms of corporate tax and tax deducted at source. In the review period, the Bank has made significant contribution in strengthening the industrial development of the country via collection and disbursement of funds in the form of loans and advances through its extensive branch network spread all over Nepal. The Bank has been able to generate employment opportunities for more than 3,200 Nepalese citizens creating a positive impact in the standard of living of its fellow citizens.

Corporate Social Responsibility

In addition to assisting in the overall economy of the country through financial and economic transactions with different groups of stakeholders, the Bank has effectively fulfilled its corporate social responsibility. The Bank has contributed a total of Rs. 500.64 million in the FY 2019/20 in the sectors of education, health, sports, pandemic control, banking awareness, financial literacy, natural calamities, and environmental conservation and so on.

Apart from this, the credit facilities those are targeted to the small and medium enterprises has played a vital role in economic empowerment of the marginalized communities of the country by giving them a chance of self-employment. Likewise the Bank has been satisfying the banking needs of its customers in the far flung area via its branchless banking service and also assisted the government in revenue collection especially for Department of Transportation Management, Department of Immigration, Department of Passport, Department of Foreign Employment, Traffic Police Department to name a few.

Corporate Governance

The Bank's board of directors and management team have always focused on maintaining highest standards of corporate governance in the organization. It has also imparted enough attention on making timely and needed updates in the corporate governance mechanism of the Bank in view of the expansion in the business base and points of representation of the Bank. The members of the Board of directors as well as employees are subject to the Code of Conduct, including the one

issued by Nepal Rastra Bank which is being complied with in full.

On the basis of the Bank's extended businesses and other operating activities, internal process control and other workforce areas are being further strengthened. Additionally, for further extending the employee's capabilities, the bank's organizational structure and official responsibilities are being amended as per the necessity. The Audit Committee of the Bank monitors all activities and ensures that the processes and procedures in place are adequate and operational along with the compliance of the Nepal Rastra Bank directives. The Bank has always adopted a proactive approach towards good corporate governance practice with a commitment to operate in a very transparent manner.

Dividend Recommended

Utilizing the profit of the Financial Year 2019-20, retained earnings of previous years and the reserves transferred from merged and acquired financial institution, the Board has recommended for the approval of the issuance of bonus shares equivalent to NPR 2,656,623,179.98 (14.00 percent of Paid up Capital) and cash dividend of NPR 379,517,597.14 (2.00 percent of Paid up Capital) to our valued shareholders. We would like to bring to your notice that after the issuance of such bonus shares the Issued Capital of our Bank will reach 21.63 billion. With this development in capital structure, we believe that we will be able to gain confidence from all the concerned parties which will indeed support us in increasing the business.

The fraction share shall be kept as it is in the name of the respective shareholder until it is converted into a whole share. Though the tax on dividend to shareholders is exempted in accordance with the Merger and Acquisition By Law, 2073 B.S. for a period of two years from the date of merger, the Income Tax Act has exempted such tax to only those shareholders who held the shares at the time of merger/acquisition. We propose that the tax on dividend for the bonus shares be collected from such shareholders after the acquisition date, at which time the bonus shares will be distributed accordingly.

Financial Statements and Audit

The Consolidated Statement of Financial Position as at the year ended 15 July 2020 (31st Ashad 2077), Consolidated Statement of Profit and Loss for FY 2019-20, Consolidated Cash Flow Statement, Related Annexure, as well as the Auditor's Report have been attached herewith and placed as an integral part of this report. The various details as required by the Companies Act, 2063 B.S. is presented in "Annexure A".

Change in Management and Board of Directors

The Bank's board committee consists of Mr. Chandra Prasad Dhakal (Chairman, Promoter Shareholder Group), Mr. Keshav Bahadur Rayamajhi (Promoter Shareholder Group) Mr. Sudarsun Krishna Shrestha (General Shareholder Group), Mr. Suman Pokharel (General Shareholder Group), Mr. Krishna Prasad Sharma (General Shareholder Group), Mr. Vineet Kumar Agrawal (General Shareholder Group) and Mr. Devendra Pratap Shah (Independent Director). Mr. Pawan Bhimsariya, who was elected from the Promoter Shareholder Group, submitted his resignation citing health concerns which was approved by the board committee on 1st October 2019 and Independent Director Mr. Numanath Poudel who resigned from the Board citing the busy work schedule was approved by the board committee on 14th January 2020. Merger agreement between Global IME Bank Ltd and then Janata Bank Nepal Ltd which took place on 25th October 2019, was completed on 5th December 2019. After the merger process Mr. Keshav Bahadur Rayamajhi and Mr Vineet Kumar Agrawal have represented the Board of Director from then Janata Bank Nepal Ltd. The Board of Director has appointed Mr. Devendra Pratap Shah a veteran and experienced banker (former Chief Executive Officer of Nepal Bank Ltd) as independent director on 24th January 2020.

Likewise to ensure efficiency within the governance structure and to carry out its independent oversight function the board has formed board level audit committee, employee service & benefit committee, risk management committee, assets (money) laundering prevention committee.

Present Board has completed their tenure and new board committee will be elected in this 14th Annual General Meeting. I thank all the directors for their efforts and contribution during their tenure of board.

As per the merger agreement between Global IME Bank Ltd and then Janata Bank Nepal Ltd, dated 25th october 2019, Mr. Parshuram Kunwar continued as chief executive officer of the bank from 6th december 2019. Mr. Kunwar resigned from the post citing his health problem on 9th july 2020. Mr. Ratna Raj Bajracharya with the long history of banking experience has been appointed as chief executive officer with effect from 17th august 2020.

Acknowledgement

Lastly, I would like to express my sincere gratitude to all of our shareholders. Your patronage over the years has been a source of immense strength for the Bank, and for our customers to perpetually believe in us. I would like to appreciate the Government of Nepal, Ministry of Finance, Nepal Rastra Bank, Company Registrar's Office, Securities Exchange Board of Nepal, Nepal Share Exchange Limited, other regulatory bodies, and the media for guiding us on the road map towards success, towards benefit, and towards progress. Similarly I would like to thank all of the Bank's employees who have worked tirelessly for the growth and prosperity of the Bank. I would like to once again reiterate our commitment to providing the highest quality services and to providing increasing returns to our respected shareholders in the years ahead.

Chandra Prasad Dhakal
Chairman



CEO's Statement

Nepal has witnessed one of the most peak period of this Pandemic. The BFIs in Nepal have been brave to continue their services during the pandemic despite significant number of their staffs getting infected.

Dear Stakeholders
Financial Year 2019-20 marks the remarkable fourteen years of journey where there has been continuous growth in business, services, network and brand image. This has been possible under the guidance of our Board of Directors and tireless contribution of our hardworking staff where we have moved ahead from strength to strength in this period.

MERGER SYNERGY
During the year, Janata Bank Nepal Ltd, a "A" class commercial bank has merged with the bank in December 2019 and Hathway Finance Company Ltd., a "C" class financial institution has also been acquired. The merger and acquisition has been very much instrumental to reach at the top level with

(i) highest Core Capital base of NRs. 2,650 million,

(ii) largest customer base of 2.1+ million, with deposits of NRs. 226, Billion, and

(iii) Largest amount of loan exposures at NRs 200 Billion.

The synergy has been such that the bank is already on the path of becoming the biggest bank in Nepal.

COVID-19 AND THE WAY FORWARD
The financial reports covers a period that includes the beginning of the COVID pandemic (March 2020) to its peak period (July 2020). It does not require explaining here the impact of the same in the economy, the businesses and ultimately the financial institutions. Regular debt collection, primarily during the last two quarter falling within this period were hit hard. The pandemic situation has not improved even after the year closing and is also not expected to improve any time soon either.

Nepal has witnessed one of the most peak period of this Pandemic. The BFIs in Nepal have been brave to continue their services during the pandemic despite significant number of their staffs getting infected. Bank's business is significantly impacted due to not only stagnation in economic activities, hardships faced by the borrowers to honor their debt obligations but also sluggishness witnessed in the

remittance inflows, which is one of the principal functional areas for our bank. Going forward in this situation, the bank will have to structure strategic move ahead.

Supporting small businesses in this pandemic is crucial. Thanks goes to Nepal Rastra Bank for their various supportive stimulus policies and packages. Continuation of the same for further period will definitely be assisting the most needy to sustain. The second leg for future success is considered to be going through digitization process. Serving the customers digitally without requiring them to walk into bank premises has been gaining momentum and will continue to be so. The bank is already one of the most automated / digitized bank and the process is continuous.

OUR VISION

My joining of Global IME Bank Ltd is the second inning after a gap of 5 years. I am glad to see that all the values and work culture which helped Global IME Bank Ltd to grow exponentially in the last decade has remained very much intact.

My stepping into Global IME Bank at this juncture has given many challenges in terms of post-merger mobilization of its dynamic yet diversified work force as well as streamlining the business pattern/ culture and focus on growth. Successful emergence out of Covid-19 effects will remain center stage. One good thing about Nepalese economy is, there remain plenty of good business scope, which needs to be explored and focused on. An example would be, penetration in SMEs and Agriculture sector – the backbone of Nepalese economy. As mentioned earlier, the availability of more skilled manpower has to be looked upon as the potential partners in this progress. The expanded network of Global IME Bank and its workforce has been considered very much ideal for venturing into the sector successfully. We intend to emerge as the most successful retail banking institution in Nepal.

Being the largest bank in the economy, we shoulder greater responsibility in showing path and corporate governance. We are committed and prepared to lead the way in all functional areas from standing tall with exemplary corporate governance practices, digitization, reaching to far-flung denizens satisfying their need for their business, accomplishing targets in prioritized areas for economic development.

THE ACCOUNTING ISSUE Nepalese financial institutions are required to prepare their financial statements as per NFRS (local Accounting Standard Board has adopted the IFRS with renaming). Recognizing revenue (interest accruals) on accrual basis has been one fundamental policies of NFRS, which requires banks to recognize interest accruals on "due" basis irrespective of their status.

We have a history in Nepal where our long existing government banks were pushed at the verge of collapse due to this accounting system. Capital erosion on account of payment of tax and staff incentive on uncollectible "interest income" have resulted in continuous depletion of financial health of the institutions. Ultimately, a cash basis of accounting to recognize interest income was introduced.

The policy (cash basis) has been discontinued with the introduction of NFRS. Even during the COVID, the policy remains intact. The result – BFIs are ending up with payment of income tax and incentive bonus to the staffs on profit including interest receivables, which remain doubtful for collection.

In consideration of sustaining the financial sector, I feel it is high time for re-introduction of cash basis accounting once again.

I would like to express my sincere gratitude to the Board of Directors as well as regulators for their continuous guidance and oversight, and to the staff members for their dedicated works. Sincere appreciation also goes to our cherished customers who provide us the impetus for continual betterment.

Ratna Raj Bajracharya
Chief Executive Officer

Team Profile



Mr. Ratna Raj Bajracharya
Chief Executive Officer

Mr. Ratna Raj Bajracharya has rejoined Global IME Bank Ltd as the Chief Executive Officer from August 17, 2020. Previously also he has served as the Chief Executive Officer of the bank from May 2011 to May 2015.

Before rejoining the bank, he has successfully completed his 4 years tenure as the Chief Executive Officer of Sunrise Bank Ltd. (2015-2019). He has also been Chief Executive Officer of Nepal Credit and Commercial Bank Ltd. (2007-2011), both "A" class commercial banks. He was a senior member of the foreign management team (2002-2005) that undertook the management contract for reform of Nepal Bank Ltd, the oldest commercial bank of the country under the World Bank funded Financial Sector Reform Project.

Mr. Bajracharya holds MBA degree and is a qualified Chartered Accountant bearing almost 5 decades professional experience in various areas, including but not limited to, as regulator, independent management / banking consultant and commercial banker. He started his career with Nepal Rastra Bank, the central bank of Nepal. After serving for 20 years in various positions, he opted out of the employment and founded his own accounting firm in 1992. The firm was primarily engaged in providing consulting and auditing services especially to financial sector and multinational companies. He also pioneered in setting up a training institution in the field of practical accounting, taxation, finance and general banking.

During his professional career, Mr. Bajracharya has served as the President of the Association of the Chartered Accountants of Nepal and President of the Institute of Chartered Accountants of Nepal. He has also served as member of the Board of Directors of Securities Board of Nepal (twice) and other various institutions.



Mr. Mahesh Sharma Dhakal
Senior Deputy Chief Executive Officer

Mr. Mahesh Sharma Dhakal, a professional banker with about 20 years of experience, is the Senior Deputy Chief Executive Officer of Global IME Bank Ltd.. He is a Fellow Chartered Accountant (FCA) by qualification and also holds a Master's Degree in Economics from Tribhuvan University.

Mr. Dhakal carries proven experience in various areas of banking including business, operations, finance, compliance, internal audit etc. He started his career from Nepal Bank Ltd. and he successfully fulfilled leadership roles in various financial institutions including then Commerz & Trust Bank Nepal Ltd. (Chief Manager), then Siddhartha Bank Ltd. (Chief Executive Officer), then Tourism Development Bank Ltd. (Chief Executive Officer) and Mega Bank Nepal Ltd. (Senior Deputy General Manager) before joining Global IME Bank Ltd. in 2018. Mr. Dhakal is a sitting Council Member of the Institute of Chartered Accountants of Nepal (ICAN) and has also represented different companies to the Board of Directors of Nepal Insurance Company Ltd., Sana Kisan Bikash Bank Ltd., Growmore Merchant Banker Ltd., Sparsha Laghubitta Bittiya Sanstha Ltd., Global IME Capital Ltd. and Reliable Nepal Life Ltd..



Mr. Kalyan Bikram Pande
Deputy General Manager

Mr. Kalyan Bikram Pande, MBA from Bangalore University along with Bachelor of Technology in Electrical Engineering started his banking career from Kumari Bank Ltd. as corporate credit relationship manager in 2004 Mr. Pande had assumed various senior roles including senior corporate relationship manger in Laxmi Bank Ltd. and joined erstwhile Janata Bank Nepal Ltd. (now Global IME Bank Ltd.) in 2009. With over 17 years of rich banking experience, Mr. Pande possess extensive knowledge in credit analysis, resource development and risk management. At present, he is leading corporate credit and Infrastructure & Project Financing portfolios of the bank in the capacity of Chief Business Officer.



Mr. Surendra Raj Regmi
Deputy General Manager

Mr. Surendra Raj Regmi possess more than 31 years of banking experience. His experience includes working in entire gamut of banking activities. Mr. Regmi started his career from Rastriya Banijya Bank where he was head, Small and Medium Enterprise (SME) banking prior to joining Global IME Bank Ltd in 2008. Mr. Regmi is also serving as Chairman of First Microfinance Laghubitta Bittiya Sanstha Ltd representing Global IME Bank Ltd. In addition to MA (Economics) from Tribhuvan University, Mr. Regmi holds an international MBA from University of Wales, Bangor.



Mr. Bhawani Dhakal
Assistant General Manager

Mr. Bhawani Dhakal possess more than 15 years of banking experience. Mr. Dhakal started his career as Private Legal Practitioner as an Advocate for about 13 years prior to joining Global IME Bank Ltd in 2006. Mr. Dhakal has worked in all facets of banking industry working as Head Human Resource, Head of Legal and Share Department, General Service Department, Credit Administration Department, and Branch Management. He has been currently heading Compliance Department. He is currently representing Global IME Bank Ltd. as the board member of Banking Finance & Insurance Institute of Nepal. Mr. Dhakal holds Master's Degree in Commercial Law from Tribhuvan University.

Team Profile



Mr. Buddhi Akela
Assistant General Manager

Mr. Buddhi Akela possess more than 17 years of banking experience. Mr. Akela started his banking career as Deputy Manager in Nepal Bank Ltd. in 2004. He has been associated with Global IME Bank since 2006. Mr. Akela has worked in various areas of banking like Credit, Credit Risk, and Credit Administration etc. He has been currently heading Integrated Risk Department. He is also serving as Chairman of Global IME Laghubitta Bittiya Sanstha Ltd; a subsidiary of Global IME Bank Ltd. Mr. Akela holds Master's Degree in Business Administration from Pokhara University.



Mr. Anil Joshi
Chief Manager

Mr. Anil Joshi possess more than 21 years of banking experience in the field of Information Technology. He holds Master Degree in Computer Engineering from Technological University of Podillia, Ukraine and Executive MBA degree from Purbanchal University. Mr. Joshi started banking career from Machhapuchchhre Bank Ltd. as a Head of IT. He served Machhapuchchhre Bank Ltd. from April 2000 to June 2008. He was appointed as a Head of IT in Global IME Bank on June 2008. Prior to joining the bank, he worked as a Software developer for 4 years in different reputed software houses like Professional Computer Systems and Mercantile Office Systems. He is currently representing Global IME Bank Ltd. as the board member of Nepal Electronic Payment System Ltd.



Mr. Raja Aryal
Chief Manager

Mr. Raja Aryal has more than 17 years of banking experience with his exposure in diverse area. He started his career with Nepal Bank Ltd. in 2004 and joined Global IME Bank Ltd. (then Global Bank Ltd.) in 2007 and currently he has been assigned with the responsibility of Chief Financial Officer.

Mr. Aryal holds Master's Degree in Business Administration from Pokhara University and has proven his capacity in various leadership roles in the areas of credit, branch management, recovery, compliance, finance etc. He is currently representing Global IME Bank Ltd. as the board member of Mero Microfinance Laghubitta Bittiya Sanstha Ltd.



Mr. Deep Chandra Regmi
Chief Manager

Mr. Deep Chandra Regmi with more than 14 years of banking career started his career from Standard Chartered Bank of Nepal as second in charge to Central Trade Finance prior to joining Global IME Bank Ltd in 2009. His experience includes working in entire area of banking activities. He has assumed various senior roles including senior relationship manager, Head-Trade Finance and Chief Financial Officer. He has been currently working as Chief Human Resource Officer. Mr. Regmi holds Master's Degree in Business Administration from Asian Institute of Technology, Thailand. He is currently representing Global IME Bank Ltd. as the board member of IME Life Insurance Company Ltd.



Mrs. Shanta Shiwakoti
Chief Manager

Ms. Shanta Shiwakoti began her banking career, with the erstwhile NIC Bank Ltd. in 2000; before moving on to Global IME Bank Ltd. in 2006, where she headed the Treasury and correspondent banking department. She subsequently led the Bank's operations as Chief Operating officer. She also played instrumental role in setting up of the Corporate Hub for the high profile corporate clients of the Bank and headed the corporate credit department. Ms. Shiwakoti was the initiator and the Project Head of CREF Handling Bank (Central Renewable Energy Fund; a collaborative effort of Nepal Government and Donor Funded Project) for three years. With diversified banking experience, Ms. Shiwakoti is now leading the Marketing and Business Promotion department, where she is playing instrumental role in scaling up of the Bank's business as well as uplifting the Bank's Brand. Ms. Shiwakoti also worked as a contributing member of the Board of the Global IME Laghu Bitta Bittiya Sanstha Ltd; a subsidiary of Global IME Bank Ltd. Ms. Shiwakoti holds Master's Degree in Business Studies from Tribhuvan University.



Mr. Parmeswor Shrestha
Chief Manager

Mr. Parmeswor Shrestha possess more than 24 years of banking experience. Mr. Shrestha started his career from Bank of Kathmandu as In charge- International Trade followed by Head Special Projects and research in then Bank of Asia (now NIC ASIA Bank Ltd), Head Digital Banking - NIC Asia Bank and Head Digital Banking in Civil Bank Ltd prior to joining Global IME Bank Ltd in 2019. Mr. Shrestha holds Master's Degree in Business Administration from Pokhara University. Mr. Shrestha's unique and mix career in core banking service and technology has helped in taking bank's digital transformation journey forward. He is currently serving as the board member of Global IME Laghubitta Bittiya Sanstha Ltd; a subsidiary of Global IME Bank Ltd.

Corporate Governance



Governance at a Glance

The Bank's board of directors as well as the management team have always emphasized on maintenance of vigorous corporate governance in the organization. The Bank has always taken a proactive approach to streamline and make necessary adaptations in its organizational structure and processes so as to further enhance the state of governance especially in the light of expansion of the overall service network and business portfolio of the Bank. The Bank fully abides by all the national and international directives, principles and regulations pertaining to corporate governance. **The Bank's board of directors have a strict adherence to the expected roles and behaviors as necessitated by Nepal Rastra Bank for enhancement of the culture of corporate governance in the organization.**

With the growth in the business base, operations and overall network of the Bank, necessary amendments are made in the internal control mechanism of the Bank including but not limited to change in the organizational structure, amendments in the roles and responsibilities of high ranking officials and enhancement of necessary skills and competence of the employees. The Bank's Audit Committee diligently scrutinizes the regular operations of the Bank and also ensures that the Bank is working at par with the various regulations and policies of the supreme regulator – Nepal Rastra Bank. The Audit Committee also ensures suitability and sufficiency of the Bank's workflow and processes with reference to such directives and policies. The Bank has always been committed to ensure transparency in each and every operations so as to enhance the state of corporate governance in the organization, thereby creating higher benchmarks of service and operational excellence.

Some of the major highlights that portray the Bank's adherence to Corporate Governance are shown below:

- The Bank completely abides by the prevalent laws, rules, regulations, directives and policies issued by various regulatory authorities including but not limited to Nepal Rastra Bank
- The Bank regularly conducts meetings of the Bank's management committee (MANCO)
- The Bank has streamlined and strengthened the composition and role of the Bank's internal audit department
- The Bank regularly conducts the meetings of the board of directors as well as other sub committees reporting the board of directors on a regular basis
- The Bank regularly conducts meetings of its Asset, Liability and Risk management committee
- The Bank's Board of Directors share undeterred commitment on adherence and enhancement of corporate governance at all levels of the organization

It is an inevitable fact that corporate governance helps a bank to create a sense of direction, regularity and control in its operations. The Bank has clearly defined the rights, roles and responsibilities of its board of directors, shareholders, employees as well as all other concerned stakeholders so as to ensure effective implementation of corporate governance throughout the organization. The Bank's board of directors and the management team share a common vision to ensure higher degree of corporate governance in the Bank. The bank also maintains a watchful eye to initiate and implement suitable measures to adapt to the new realities resulting from expansion in its business and branch base to maintain its adherence to corporate governance principles and mechanisms.

The Bank has in place various committees and sub committees such as audit committee, risk management committee, employee welfare committee, anti-money laundering committee as well as various other managerial committees to enhance the effectiveness of its internal procedures while marinating the corporate governance and transparency standards necessitated by various national and international organizations. All of these committees and subcommittees are effectively fulfilling their designated roles and responsibilities while taking care of the authority entrusted to them by the Bank.

In order to ensure effective implementation of corporate governance, the Bank has developed and implemented a comprehensive code of conduct for its employees and also has a dedicated governance unit in place for monitoring and initiation of corrective actions as and when necessary. The Bank regularly updates all of its concerned stakeholders on the relevant information about the Bank and its activities through various notices and information sources.

The Bank has always taken a proactive approach to streamline and make necessary adaptations in its organizational structure and processes so as to further enhance the state of governance.

Risk Management and Review



Appropriate measures to timely identify and analyze various kinds of potential risks play an instrumental role in downsizing the risk exposure of a bank as well as to initiate and implement timely corrective measures to outplay the adverse impacts of the various risk categories. The Bank has in place a well-defined risk management mechanism comprising various committees and policies.

BOARD LEVEL COMMITTEE

The primary purpose of any risk management practice is to protect the quality of its assets by being fully aware of the inherent risks that might arise during the course of operation of a bank. There are various categories of risks to which any bank is exposed to. Some of the major categories of risks that a commercial bank has to curtail in the course of its operations includes credit risk, operational risk, market risk, liquidity risk, technological and human resource related risk to name a few. A commercial bank has to timely identify, analyst and minimize the triggers of these kinds of risks in order to ensure sustainability of its business and regular operations.

The Bank has in place both board level and management level committees for management of risks that address the various inherent risks that might arise in the course of business and operations and implements appropriate risk management measures depending on the severity of the risk incidents. The two major such committees that the Bank has in place are:

- **Risk Management Committee** (Board level committee)
- **Integrated Risk Management Committee** (Managerial Level committee)

RISK MANAGEMENT AND CONTROL ENVIRONMENT

The Bank has in place a well-defined risk management mechanism that is involved in creating an organizational culture that is not only aware of the inherent risks involved but also in the minimization of such risk through effective and integrated efforts. Under the supervision of its risk management department, the Bank not only identifies risk areas effectively and efficiently but also ensures full adherence to the various guidelines of Nepal Rastra Bank as well as its own internal policies and procedures that are developed in line with the risk management guidelines issued time and again by various national and international regulatory bodies.

The Bank's Integrated Risk Management Department has assisted the Bank to develop a proactive internal culture that supports effective risk management. The Department assists the Risk Management Committee with respect to credit risk, operational risk, market risk, management risks so as to ensure a risk management mechanism that is self-regulated as well as regulated by the relevant risk management directives and policies issued by various regulatory authorities. The Department is also responsible for development of a proactive risk management system inside the Bank in full coordination with various departments and divisions of the Bank. The Integrated Risk Management Department primarily emphasizes:

- Credit Control
- Credit Risk
- Operational Risk
- Market Risk
- Data Security
- Environmental and Social risks
- Risks associated with the Bank's Goodwill

Corporate Social Responsibility

Ever since its inception, the Bank has been actively involved in directly or indirectly enhancing the livelihood of several sectors and classes of the society through its corporate social responsibility initiatives. The Bank has prioritized four major sectors for contributing to the society in form of various corporate social responsibility initiatives:

- **Education and Sports**
- **Financial Literacy**
- **Community Health**
- **Conservation and promotion of cultural heritage and natural calamities management**

Over the last fourteen years, the Bank is continuously sharing our success with the society as a responsible corporate citizen in responsibility initiative targeting the overall society, general public and environmental conservation.



Cheque hand over to 'Aama Ghar Sewa Asram'.

CSR POLICIES AND INITIATIVES

The Bank has always focused on the overall social welfare while conducting each of its Corporate Social Responsibility (CSR) initiatives. The Bank is actively involved in identification of varied sectors to carry out its CSR initiatives so as to ensure that its efforts benefit the entire society and not any hidden individual interests. While doing so, the Bank also ensures that the sectors that it choses for its CSR activities are at par with the CSR sectors identified and highlighted by Nepal Rastra Bank.

Currently, the Bank has allowed 5 percent of the fund of its Corporate Social Responsibility Fund for financial inclusion initiatives targeting women and socially disadvantaged communities. The Bank also provided COVID-19 insurance facilities as well as incurred all the expenses related to prevention and cure of COVID-19 for its staff members.

The Bank has in place a dedicated CSR Committee, comprising four members, that is responsible for identification of appropriate sectors to conduct the Bank's CSR activities. The Committee meets on a monthly basis to determine probate sectors for implementing CSR initiatives and to pave the way forward for effective CSR activities. The Bank has been actively involved in offering financial assistance for prevention and control of COVID-19 so as to lessen the public anxiety regarding the disease. The Bank has ensured that it conducts its CSR activities in view of the overall social and national welfare rather than just to abide by the regulatory requirement to contribute in CSR initiatives.


Global IME Bank
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Global IME Bank
NPR TEN LAKH ONLY
NPR 10,00,000/-
2


GO
GO
GO
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ट्राफिक प्रहरी
ट्राफिक प्रहरी
ट्राफिक प्रहरी
3


CHEQUE HANDOVER
PROGRAM
4





PHOTO CAPTION:

1. Tree Plantation by bank's Chairman and Senior Deputy Chief Executive Officer.
2. Cheque hand over to province 1 for COVID-19 Pandemic control.
3. Traffic stand hand over to traffic department by Senior Deputy Chief Executive Officer.
4. Cheque hand over to patient of spinal cord.
5. Jacket hand over to photo press.
6. Blood donation programme during bank's 13th Anniversary.

Human Resource Management

Any commercial bank can offer qualitative banking services to meet the unique banking needs of its varied customers only through effective management of its available workforce. The Bank has in place a dedicated Human Resource Department that is actively involved in enhancement of skills and competence of its active employee base of more than 3,000 employees through various kinds of training and development activities so that it can keep its promise of 'Bank for All' for its internal stakeholders as well.

One of the major tasks entrusted to the Human Resource Department includes identification and management of competent employees. To ensure this, the Department is involved in various activities and operations including recruitment and selection, promotion, annual performance review, compensation and benefits, compliance to employee bylaws, induction of new employees, training and development, employee database, salary and allowances, employee transfers to name a few.



1,966

TOTAL NUMBER OF MALE EMPLOYEES

1,093

TOTAL NUMBER OF FEMALE EMPLOYEES

Human Resource Policies

The Human Resource Department works in close coordination with various departments and their strategic partners and it also ensures proper compliance of various internal and external laws, guidelines and directives. The Department is fully committed to ensure effective implementation of and compliance with Labour Law, various directives and policies issued by Nepal Rastra Bank and internal policies and procedures of the Bank that assists it in maintaining effective human resource management and enhances the state of corporate governance in the Bank.



Contribution Toward HR

In line with the directives of Nepal Rastra Bank, the Bank allocates 3 percent of its total salary and allowances for the purpose of training and development of its dedicated employee base. It is imperative that effective employee performance is possible only through creation of a favorable work environment in the organization. To ensure this it is necessary that there is effective identification of priorities of human resource as well as proper identification of possible future trends in the sector of human resource development. The Human Resource Department of the Bank has already initiated operational policies and procedures to assist in the overall human resource development of the Bank.

With the assistance of the digital banking department of the Bank, the Department has initiated some regular operations related to human resource management. As such, the Bank has started training and development of its staff through digital platforms like MS Teams after properly scrutinizing the existing skill base of its staff. This has assisted the Bank to enhance not only the work based competence but also professional development of its staff. The digital platform has been especially effective to offer training facilities to its staff located in the rural areas of the country where it is sometimes challenging to conduct actual physical training. In addition to this, those platforms have also helped in regularly and effectively operating the branches located in those far flung areas. The e-learning platform of the Bank that is based on innovative digital technologies has enhanced the ease and effectiveness of the learning and development of its staff base without the restrictions of time and place to conduct such training and development activities. Some of such training provided to the staff have covered some mandatory areas like Anti Money Laundering (AML) and Know Your Customer (KYC).

Key HR Indicators

The sustainable development and progress of any organization depends on clear understanding of the employees of the organization on what is expected of them in terms of their performance. It is also necessary that the organization has proper performance benchmarks in place as well as there is a proper mechanism to identify and ensure transparency and effectiveness of the performance of its employees. For this, the Bank has kept in place a few performance indicators to evaluate the overall performance of its employees working in various divisions and departments

The key performance indicators of the Bank shall also assist in enhancing the effectiveness of the performance evaluation mechanism of the Bank while at the same time increase the transparency in the regular work processes of the Bank. These indicators also play a vital role in promoting effective coordination amidst various departments and divisions of the Bank.

Human Resource Committee

As per the guidelines of Nepal Rastra Bank, the Bank has established a board level employee welfare committee. The committee has been fulfilling its roles and responsibilities in line with the provisions mentioned in Nepal Rastra Bank's Unified Directives No 6. Section 67. Mr. Suman Pokhrel has been undertaking the role of Member Secretary of the Committee. The committee has conducted a total of 10 meetings in the review period. The working scope of the committee has been highlighted below:

- Assist the management committee in development of 'Compensation Determination Policy'
- Identify and analyze pay scale of the employees at regular intervals as well as recommend amendments in the pay scale of the employees
- Recommend the management committee of the bank for necessary increment in the salary and benefits of the employees ranging from Chief Executive Officer to junior level staffs as per the prevalent policies and market trends
- Evaluate the performance of the employees on the basis of the performance evaluation mechanism of the Bank and the roles and responsibilities assigned to each staffs
- Recommend necessary policies, procedures and mechanism to the management committee regarding employee recruitment and selection, job division, promotion and transfers, skills development, rewards and punishment and labor laws
- Recommend the management committee regarding the roles and authorities assigned to staffs on the basis of their designation and work scope.



287

TOTAL NUMBER
OF TRAININGS

6,567

TOTAL
BENIFICIERIES







Customer centric business model

The Bank has always kept its customers at the forefront of its business philosophy and has always emphasized on developing qualitative, cost effective and reliable products and services to cater to their varied needs. Some of the key highlights of the customer centric initiatives of the Bank are presented below:

- Easily accessible digital banking services like mobile banking, internet banking, connectIPS along with facility of self-generated password facilities to customers for services like mobile banking and connectIPS
- Availability of customer friendly and prompt banking services namely online account opening, online loan application, online cheque book request and so on to offer banking service on the go for its customers
- Free debit card facility to existing account holders with an average balance of Rs. 25,000 in their accounts
- Free debit card facility to new customers for the first year of account opening
- Introduction of a new fixed deposit product entitled 'Meri Unilai' to enhance the financial inclusion of the female customers

The customer centric business model of the Bank has not only enabled it to create a diverse pool of dependable customers but also enabled it to enhance its sustainability and profitability.



Products & Services

Global IME Bank Limited (GIBL) has always focused on offering tailored products and services to effectively fulfill the plethora of banking needs of its customers ranging from individual customers to business professionals, corporate houses, government organizations, multilateral agencies, NGO, INGO to name a few.

The Bank's drive to deliver customer centric products and services backed by world class technological infrastructure has not only enabled the Bank to create a varied pool of loyal customers but also to create newer and better benchmarks of service excellence in the banking industry of the country.

Global IME being one of the largest commercial bank of the nation, with a vision "Bank for All" has always positioned itself in forefront for providing qualitative & reliable service with its diverse products & services. With the aim to render hassle-free financial services and deliver superior customer experience, we have been focusing on building digital product/service portfolio capitalizing on available technological resources. With the objective of "DIGITAL 2020", Bank has designed its digital products i.e. GLOBAL SMART-Mobile banking & Global Online-Internet banking for its valued customers to access banking service from Anywhere & Anytime. The Bank Continues to reimagine sales, services and processes with an increased focus on digital channels and payment services.



233
TOTAL NUMBER
OF ATMS

0.5 MILLION
TOTAL NUMBER
OF DEBIT CARD USERS

Technology Driven

SECURED CONVENIENT AND EASE

Why Stand in queue when you can do online? You can Bank how, where and when it's most convenient for you. Global IME Bank gives you a powerful, comprehensive, low risk set of digital banking tools to the valued customers.

Some of the digital services that are offered by the Bank are as below:

1. Online Account Opening
2. Online Fixed Deposit
3. Global Remit
4. Online Loan Application
5. Online Credit Card
6. GIBL Secured eCom
7. QR Code Payments
8. Missed Call Banking
9. Viber Banking
10. Global IME Chatbot to respond customer queries

Deposits

GIBL offers unique products and services to cater to the banking needs of its diverse customers. Its deposit products offer a unique blend of banking and technological services and facilities and are thus highly referred by both individual and institutional customers.

Under the saving deposit category, the bank has a variety of saving schemes namely Sabai Nepaliko Bachat Khata targeting small individual savers, Global Share Lagani Bachat Khata for stock investors, Global Navaratna Bachat Khata for savers seeking higher returns on their saving deposits, Global Sansthagat Bachat Khata for nonprofit making entities as well as a range of other saving schemes like Global Suraksha Bachat, Global Premium Savings Account, Global Branchless Banking Savings Account, Global Remittance Bachat Khata, Global Janmabhumi Bachat, Global Students Saving Account ,Foreign Currency Savings Deposit Account, Global Balbalika Bachat, Global Karmachari Bachat, Global Nari Bachat, Global Normal Savings, Global Senior Citizen Account, Global Nari Shakti Bachat Khata, Global NRN Deposit Account that have been serving almost every customer segment of the country.

GIBL offers Fixed Deposit facility to its customers who wish to maintain comparatively longer term deposits with the Bank. The Bank has various kinds of fixed deposit products namely Global General Fixed Deposit, Global Top-Up Fixed Deposit, Meri Unilai Fixed Deposit (a special term deposit for female customers) and Global IME Retirement Fund.

In addition to the saving and fixed deposit, the Bank also offers current deposit services to cater to the short term fund placement requirements of both its individual and institutional customers by offering them a dependable banking platform backed by world class infrastructure.

GIBL offers Fixed Deposit facility to its customers who wish to get greater return for longer period.





226 BILLION
TOTAL
DEPOSITS

2.12 MILLION
DEPOSIT
CUSTOMERS

Remittance

Global Remit is dedicated to provide fastest and safest way of money transfer and very competitive in terms of offering remittance with lowest sending fee and highest exchange rate. So far with the lowest sending fee and highest exchange rate offered to its customers, Global Remit has established a strong bond amongst its customers.

GIBL has been one of the strong market players in terms of offering premium customer centric, technology oriented remittance services to its customers. It offers a robust web based remittance service equipped with the latest security and technological features that support remittance from various International destinations to any bank's accounts and any locations in Nepal. Customer can send money through our international remittance partner using their branches or using digital platform.

With the presence of 3 representative offices in United Kingdom, Australia and India, Global IME Bank has tie up with licensed partners from more than 13 countries for international remittance to Nepal which consist of more than 40 receiving partners/banks. The remittance payment of the bank can be collected from more than 30,000 IME and GME's agents along with banks own 264 branches. In addition Bank also provides domestic remittance service in Nepal via all its branches.

Loans and Advances

In order to cater to the needs of the customers who seek financial assistance to fulfill their personal as well as professional requirement of funds, GIBL has in place loans and advances facilities of various nature and duration. These credit services cater to the fund deficit of individual customers, small and medium enterprises, corporate houses, manufacturing organizations, infrastructure projects and so on.

Under the consumer loans category, GIBL has been offering credit facilities like Global Mortgage Loan (Personal Loan), Global Education Loan, Global Hire Purchase Loan, Global Auto Loan, Global Home Loan, Global IME Professional Loan to name a few.

Similarly to meet the requirements of the corporate and trading sector, the Bank offers credit facilities like Letter of Credit, Letter of Guarantee/Bank Guarantee, documentary collection to name a few so as to fulfill the trade finance requirements of its valued customers. In addition to this, the Bank offers facilities of funded loans to meet the fund requirement of corporate houses, infrastructure/ project and consortium loans to back up large projects, Global IME Krishi Karja to empower the agricultural sector. It also uplifts the businesses of various small and medium enterprises by offering them credit facilities like Global Small Business Loan, Global IME SME Loan and so on.

200 BILLION

TOTAL LOANS
AND ADVANCES

54 THOUSAND

LOAN
CUSTOMERS



Branch less Banking

The Bank has played a crucial role in catering to the rural customers who were earlier devoid of formal banking services because of their geographical location. The Bank has been offering apt products and swift services to empower these rural customers by inculcating a habit of saving in them. The Bank's technologically robust and operationally efficient branchless banking service has not only served the banking needs of its rural customers but also played a major role in economic empowerment of the rural communities who were earlier untouched by the formal banking channels.





Mobile Banking

Global Smart - the mobile banking service of GIBL has been a great tool for its varied customers to carry out their banking transactions at their fingertips. Though the quick, simple and convenient platform of mobile banking, the Bank has been offering services of fund transfer, bank statements, interbank fund transfer, missed call banking, utility payment, credit card payment, account information, information on exchange rates, bank branches, offers and discounts of the Bank to name a few.

0.77
MILLION
MOBILE BANKING USERS

0.12
MILLION
INTERNET BANKING USERS



ASBA & Demat Services

CASBA is centralized application on ASBA (Application Supported By blocked Amount) Based issuance. Main objective of this system is to eliminate the invalid and error data by verifying the demat account number and bank account number before applying for public issues through ASBA system. Securities Board of Nepal (SEBON) provides the license for ASBA services. Global IME Bank is one of the leading ASBA member in Nepal to provide ASBA services to customers for share apply

DP CASBA Unit performs the functions of supporting, guiding, coordinating, and controlling the DP/ CASBA related activities carried out in branches and DP unit. We have now two separate DPs and one subsidiary companies/Merchant Banking (Global IME Capital). This unit coordinates with capitals and branches. Main focus of this unit is to provide the support to branches and quality services to the customers related to DP/CASBA.

Services Offered:

1. Demat Account Opening and renewal, Mero Share Registration and renewal.
2. Providing Demat statement/detail of customer.
3. Reset of Mero Share password of customers upon request.
4. Dematerialization of Share certificate.
5. Collection DRN DIS request from outside valley branches and provide to Global IME Capital Ltd and Global IME Bank Ltd. DP (erstwhile Janata Bank Ltd. DP) for needful action.
6. Pledge and release of shares as per request of customers on Global IME Bank Ltd.DP (erstwhile Janata Bank Ltd. DP) only.
7. Grievance handling of customer related to Demat, Mero Share, bonus, tax etc.



Global Connect- Customer Care Service

Global IME Bank has launched Call Center Service called Global Connect from Bhadra 1, 2077. The Call Center is an important communication link to customers and is an important source of contact for requesting information and support services. The call center will be the primary contact point for responding to public enquiries. The Call Center centrally manages all calls coming into the Bank via a dedicated hotline telephone number.

In this age of digitization, we need to have a digital platform where the customers are attended by the Bank therefore the Global Connect has been established. In the initial phase, customers can contact Global Connect from 8:00 a.m. in the morning to 7:00 p.m. in the evening in weekdays and 8:00 a.m. in the morning to 4:00 p.m. in the evening during Fridays. Customers can also put up their query and complaints as well as request for information and give suggestions to the Bank via Global Connect.

Treasury & International Banking

"Treasury & International Banking is pivotal department of a bank dealing with acceptable level of risk and utilizing the consolidated fund of the bank optimally and profitably. The purpose of the department is to manage a bank's overall liquidity and to mitigate its financial and operational risk. The overall objective of the department is to safeguard the bank's holdings optimally and to follow the long-term strategy set out by the bank for obtaining desired results.

The Bank operates Treasury & International Banking within the parameters of the foreign exchange rules and regulations issued by Nepal Rastra Bank (NRB) and Foreign Exchange and Money Dealers' Association of Nepal (FEDAN). The department is accountable for balancing and managing the daily cash flow and liquidity of funds within the bank. The department also handles the bank's investments in securities, foreign exchange and cash instruments. The department is also highly focused on market research and development. The department recognizes and plans for the potential impact of deviations in market scenarios, banks operations, and the financial situation in which a bank operates. Treasury & International Banking has served as centralized function of the bank who administers buy/sell of foreign exchange currencies (FX), money market dealings, investment in government treasury bills/bonds, and bullion trading and transfer pricing.

Treasury & International Banking is also looking after bank's the correspondent banking relationship. Through correspondent banking relationships, bank has access to financial services in different jurisdictions and provide cross-border payment services to their customers, supporting international trade and financial inclusion. Treasury department facilities the branches/units with the management and funding of required nostros, cross border payment, pricing the international trade's deals. The department also act a communication bridge with correspondent bank for various kinds of issues like payment process, pricing, RMA and compliance requirement for both parties."



INTERNATIONAL CORRESPONDENT BANKS

List of International Correspondent Banks SWIFT/BIC Codes
For Settlement through: **GLBB NP KA**

CURRENCY	CORRESPONDENT BANK	SWIFT/BIC
AUD	**Standard Chartered Bank,** Singapore	SCBL SG 22
EUR	**Standard Chartered Bank,** Frankfurt am Main	SCBL DE FX
GBP	**Standard Chartered Bank,** London	SCBL GB 2L
INR	**HDFC Bank Ltd,** Mumbai	HDFC IN BB
INR	**Standard Chartered Bank,** Mumbai	SCBL IN BB
INR	**AXIS Bank,** Mumbai	AXIS IN BB FIC
INR	**IDBI Bank,** Chennai	IBKL IN BB 005
INR	**YES Bank,** Mumbai	YESB IN BB
INR	**RBL Bank,** Mumbai	RATNINBB
INR	**ICICI Bank,** Mumbai	ICICINBBA
JPY	**Standard Chartered Bank,** Tokyo, Japan	SCBL JP JT
KRW	**Kookmin Bank,** Seoul	CZNB KR SE
CNY	**China Construction Bank,** Shanghai, China	PCBC CN BJ
SGD	**Standard Chartered Bank,** Singapore	SCBL SG 22
USD	**Habib American Bank,** New York	HANY US 33
USD	**Kookmin Bank,** Seoul	CZNB KR SE
USD	**Standard Chartered Bank,** New York	SCBL US 33
USD	**KEB Hana Bank,** Seoul, Korea	KOEX KR SE
USD	**Mashreq Bank PSC,** New York	MSHQ US 33
USD	**Industrial Bank of Korea,** Seoul, Korea	IBKO KR SE
USD	**ICICI Bank,** Hong Kong	ICICHKHHCLR
AED	**Standard Chartered Bank,** Dubai	SCBL AE AD
AED	**Mashreq Bank,** Dubai	BOMLAEAD

As Required By Sec 109 Of Companies Act 2063, Remaining Point Wise Particulars To Be Included Separately In Board's Report

1. **Information on shares forfeited by the Bank during the year:**
   There is no forfeiture of share during the Fiscal year 2019-20.

2. **Financial positions of the Bank and its subsidiary in the previous year ended:**
   The detailed financial position of the bank and its subsidiaries have been provided in the Director's Report and Audited Consolidated Financial Statement for the year 2019-20. The Bank's Performance has also been highlighted in the Board Report for FY 2019-20.

3. **Major transactions carried out by the Bank and its subsidiary during the financial year 2018-19, and any significant changes in the business of the Bank during the period:**
   The major transactions carried out by the bank and its subsidiary and the change in transactions is provided in the attached Consolidated Statement of Financial Position, Consolidated Statement of Profit or Loss, Consolidated Statement of Other Comprehensive Income, Consolidated Cash Flow Statement, Statement of Changes in Equity, Significant Accounting Policies and Notes to Accounts.

4. **Information provided by key shareholder to the company during the previous fiscal year.**
   No such transaction noted.

5. **Information regarding the purchase and ownership of shares by the Directors and high officials of the company, and further information received by the company from the directors if involved in the share transactions.**
   The Directors and members of management team are not involved in the share transaction of the company. Management team has not taken any shares apart from the ones separated for the employees. Shareholding patterns of the Directors are as follows:

S.NO.	NAME OF SHAREHOLDER	REPRESENTATIVE	NO. OF SHARES
1.	Mr. Chandra Prasad Dhakal	Promoter, IME Investment P. Ltd	6,941,989
2.	Mr. Keshav Bahadur Rayamajhi	Promoter Shareholder	91,959
3.	Mr. Sudarsun Krishna Shrestha	General Shareholder	239
4.	Mr. Suman Pokharel	General Shareholder	11,916
5.	Mr. Krishna Prasad Sharma	General Shareholder	1,893
6.	Mr. Vineet Kumar Agrawal	General Shareholder	32,911
7.	Mr. Devendra Pratap Shah	Independent Director	3,335

6. **Information provided to the company by any directors or his close relatives on their personal interest in the company related agreements in the previous fiscal year.**
   No such information have been provided to the company.

7. **If company has purchased its own shares, the reason for purchasing its own shares, the number of shares purchased and the amount and also the payment by the company for such kind of purchase details.**
   No such transaction took place.

8. **Distribution of Profit:**
   The bank has recommended distributing bonus shares of Rs. 2,656,623,179.93 (i.e. 14.00%) and cash dividend of Rs. 379,517,597.13 (i.e. 2.00%) from its net profit of current year and retained earnings. Net profit has been transferred to various statutory reserves and funds as directed by Nepal Rastra Bank and such distribution has been shown in the financial statements accordingly.

9. Statement of the total management expenses for the financial year

Particulars of the total management expenses for the financial year 2019-29 are as follows:

PARTICULARS	AMOUNT
Staff Expenses *	2,474,636,607.52
Other Operating Expenses	1,874,166,690.48
Total	**4,348,803,298.00**

* Staff expenses includes annual staff bonus of Rs. 463,098,685.61

10. Details on the members of the Audit Committee; salary, bonus and facilities provided to the members; work carried out by the committee and any suggestions given:

The Bank has Audit Committee comprising of the following members:
Mr. Krishna Prasad Sharma - Coordinator
Mr. Suman Pokharel – Member
Mr. Sushil Shrestha - Member Secretary (Chief – Internal Audit Department)

For every audit meeting held, the audit committee members get Rs. 15,000/- allowance. In this current fiscal year, a total allowance of Rs. 455,000/-has been presented to the audit committee members. Audit committee in regular intervals discusses internal and annual audit report prepared by Internal Audit Department and presents it to the Board of Directors. During the review year, Audit Committee meeting was held 17 times with different agenda. As a result, the committee has given suggestions to the Board of Directors on various areas such as financial position, internal control operation, legal compliance and risk minimization.

11. Payments due to the Bank from any Directors, Managing Director, Chief Executive or the key shareholders of the Bank and their close relatives, or from any firm, company or corporate body in which they are involved in.

No payment is due to the Bank from any Directors, Managing Director, Chief Executive or the basic shareholders of the Bank or any of their close relatives, or from any firm, company or corporate body in which they are involved in.

12. Remuneration, allowances and facilities provided to the Directors, Managing Director, Chief Executive Officer and other official of the bank.

The amounts paid as remunerations, allowances and facilities to the Directors, Chief Executive Officer and other office bearers are as provided below:

a. Chairman and Board members:

Chairman of the Board of Directors and the Board members get Rs. 17,000 and Rs. 15,000 respectively as meeting allowance per meeting and the sub-committee members get Rs. 15,000 as meeting allowance per meeting. Sum of Rs. 10,000 per month is provided to directors for communication and travelling facilities.

During the fiscal year a sum of Rs 2,802,000 has been paid to the Chairman and the board members as allowance and Rs 1,225,000 for sub-committee members (including audit committee members). Rs. 1,363,957.20 has been incurred as other expenses during the board meeting and Rs. 4,549,917.89 has been incurred for participation of board members in different meeting / conference on behalf of the Bank.

b. Chief Executive Officer, Company Secretary and other officials:

i. The detail of salary and allowance paid to CEO and Acting CEO are as below:
After the merger of Global IME Bank Ltd and then Janata Bank Nepal Ltd, CEO of then Janata Bank Nepal Ltd Mr. Parshuram Kunwar was appointed as CEO of Global IME Bank Ltd from 6th December 2019. Before the appointment of Mr. Parshuram Kunwar as CEO Mr. Mahesh Sharma Dhakal was working as Acting CEO till 5th December 2019. The following table is the combined details of Mr. Mahesh Sharma Dhakal till 5th December 2019 and Mr. Parshuram Kunwar from 6th December 2019 to 15th July 2020.

PARTICULARS	AMOUNT
Salary	9,027,000.00
Allowance	1,104,000.00
Provident Fund	902,700.00
Dashain Allowance	600,000.00
Others (Medical Expenses)	1,053,000.00
Total	**12,686,700.00**

ii. The performance based salary provided to the Acting CEO is as follows:

a) Employee Bonus	Rs. 2,823,612.79
b) Facility as per existing condition	None
c) Others	None

iii. Other Facilities

a) Telephone & Mobile Expense	Rs. 54,884.13
b) Repair and maintenance of vehicle	Rs. 199,993.05
c) Fuel	Rs. 122,515.00

c. Other facilities

- For staffs up to the position of assistant manager, salary, allowance and provident fund totaling to Rs. 243,018,820.13 and in addition to this, fuel and mobile facility is provided as per the bank's rule.
- Company Secretary has been paid remuneration of Rs 1,811,000.00 during the year.
- Remuneration and facilities so provided has been paid only after deducting income tax and TDS as per Income Tax Act.
- Other facilities and allowances have been provided as per the company's employee bye- laws and any decision made by the board of directors.

d. During the fiscal year total employee expenses including the annual staff bonus provision is Rs. 2,474,636,607.52.

13. Dividend yet to be collected by the Shareholders:

The dividend yet to be collected by shareholders is Rs. 96,727,754.01.

14. Details of property purchased or sold u/s 141 by the Bank during the year:

a) The details of assets required by the bank such as vehicle, office equipment, capital expenditure, leasehold improvement purchased and sold has been shown under schedule 4.13 of the attached financial statement.

b) The bank has purchased or sold the assets as per the prevailing market price and the procedures prescribed in the financial policy of the bank.

15. Details of transactions between related companies u/s 175.

The details of transaction between the related companies have been provided in Note 5.7 of the financial statement published with this annual report.

16. Details to be disclosed as per the Company Act and other related acts regarding board meeting :

Not Applicable

17. Any other issues:

Not Applicable

DISCLOSURE RELATED TO SUB RULE (2) OF RULE 26 OF SECURITIES REGISTRATION AND ISSUANCE REGULATION, 2073

1. **Report of Board of Directors:**
   Included in the Annual Report

2. **Report of the Auditors:**
   Included in the Annual Report

3. **Audited Financial Details:**
   Included in the Annual Report

4. **Details relating to Legal Action**

   a. Law Suits filed by/against the Bank:
   No such except business cases.

   b. Law Suits filed by/against the promoters/directors involving charge of regulatory violations or criminal offences:
   No information received by the Bank.

   c. Case filed against any promoters/directors for financial fraud:
   No information received by the Bank.

5. **Analysis of share transaction and progress of organized institution:**

   a. Management view on share transactions of the bank on Nepal Stock Exchange:
   Since the share prices are determined by open market operations at Nepal Stock Exchange under the supervision of Securities Board of Nepal, management has no comment on the same.

   b. Maximum, minimum and closing share price of organized institution including total transacted number of shares and transacted days during the Year 2075-76 (as per the table):

QUARTER (MONTHS)	MAXIMUM SHARE PRICE	MINIMUM SHARE PRICE	CLOSING SHARE PRICE	TOTAL TRANSACTED NUMBER OF SHARES	TOTAL NUMBER OF TRADING DAYS
I Quarter (Shrawan- Ashwin)*					
II Quarter (Kartik- Poush)*					
III Quarter (Magh- Chaitra)	331	236	248	9,777,789	43
IV Quarter (Baisakh- Ashad)	268	211	239	859,985	15

* Due to the Merger process between then Janata Bank Nepal Ltd. and Global IME Bank Ltd, share transaction was suspended.

6. Problems and Challenges

a. Problems and Challenges Faced:

Internal

- Increase in operational risk and cost due to increase in transactions and branch as a result of merger.
- Challenges arising due to use of technology in Banking transactions and related problems.
- Safety of customers and employees during the period of pandemic and providing Banking Service.

External

- Default in payment due to the spread of worldwide COVID-19 pandemic
- Adverse effect in national economy due to the spread of COVID 19 worldwide and its direct effect in interest income of loans and other income of bank.
- Presence of high liquidity in the market
- Unfair Competition in the banking market
- Increasing NPL in baking sector and its management
- Inheritance risk due to the use of technology

b. Strategy followed by the management in solving such problems and challenges:

- Assets and liabilities management and diversification of portfolio on the basis of risk.
- Management of economic crisis by collaborating with business house and individual who are directly affected by COVID 19
- Effectively monitoring of Bank's Expenses and management of high risk assets
- Assessment of Operation, market and business risk and effectively managing such risks
- High priority in recovery and management of Non-Performing Loan.
- Strengthening of Compliance and Risk Management Department.
- Strategic Work schedule regarding employee's training.

7. Corporate Governance

- The Bank has been fully complying with the directions, guidelines issued by NRB regarding corporate Governance.
- Regular Central Management Committee meetings to review progress in various areas of operations.
- Bank's Internal Audit Department has been strengthened.
- Board of Directors and its Committees' meeting are held on regular basis.
- Asset Liabilities and Committee and Risk Management Committee (Operation, Credit and Market) meetings are held regularly.
- Board of Directors and Management are committed to maintain corporate governance.

Relationship with Shareholders

We owe a debt of gratitude to all of our shareholders for envisioning a great corporate voyage that now we are harboring.

Global IME Bank Ltd. believes in maintaining interactive and cordial relationship among its stakeholders to protect their fundamental rights. All the activities that we conduct are derived from the thrust of profit making because it's the only way we can take care of employees, secure the interest of shareholders and contribute to country's revenue.

With these in mind we concentrate in enhancing the profitability to increase the earnings per share, dividends and confidence of our shareholders.



SHAREHOLDER'S QUERIES AND CURIOSITY

Global IME Bank Ltd addresses all the queries and curiosity raised by our shareholder during the time of our Annual General Meeting and other queries raised through various channels. All the necessary information that will be required by the shareholders for their decision making or being informed about the Bank's activities are shared through our official website, newspapers and information officer.

DISTRIBUTION OF OWNERSHIP

	ASHAD 2077		ASHAD 2076	
	NO. OF SHARES	PERCENT	NO. OF SHARES	PERCENT
Nepal Government	218,156	0.11%		0.00%
Public Shareholders	92,316,832	48.65%	50,320,308	48.80%
Promoter Shareholders	97,223,810	51.24%	52,784,851	51.20%
Total	**189,758,799**	**100%**	**103,105,159**	**100%**

DIVIDEND FOR FY 2075-76

PARTICULARS	AMOUNT
13th AGM Notice Date	09/07/2076
13th AGM Holding Date	02/08/2076
Dividend Approved	
Cash (%)	12.75
Bonus (%)	12.75

PROPOSED DIVIDEND 2076-77

PARTICULARS	AMOUNT
14th AGM Notice Date	08/09/2077
14th AGM Holding Date	29/09/2077
Dividend Proposed	
Cash (%)	2.00
Bonus (%)	14.00

DIVIDEND TAX ON THE DIVIDENDS

Tax on dividends declared by the Bank have been exempt for the period of two years from the date of merger with then Janata Bank Nepal Ltd. However tax is exempt for only those shareholders who held the shares till the date of merger.

MARKET PRICE INFORMATION

MONTH	NEPSE HIGH	NEPSE LOW	NO. OF SHARES TRADED
Shrawan 2076			Not Traded
Bhadra 2076			Not Traded
Ashwin 2076			Not Traded
Kartik 2076			Not Traded
Mangsir 2076			Not Traded
Poush 2076			Not Traded
Magh 2076	331.00	245.00	4,670,989.00
Falgun 2076	325.00	268.00	4,337,399.00
Chaitra 2076	275.00	236.00	769,401.00
Baisakh 2077	244.00	234.00	1,153.00
Jestha 2077			Not Traded
Ashad 2077	268.00	211.00	858,832.00

Trading of the bank in NEPSE had been suspended from 1st July 2019 to 19th January 2020 because of ongoing merger process with then Janata Bank Nepal Ltd. whereas trading in the month of Jestha 2077 was suspended because of nationwide lockdown due to the spread of COVID 19 pandemic.

CREDIT RATING

ICRA Nepal Limited has assigned Issuer Rating of "[ICRANP - IR] A-" as on May 2020. Issuer with rating of "[ICRANP - IR] A-" are considered to have adequate degree of safety regarding timely servicing of financial obligations and the rated entity carries low credit risk.

QUARTERLY FINANCIALS

QUARTERLY RESULTS	AS OF	EPS (RS.)
Unaudited Results of 1st Quarter	30th Ashwin 2076	28.87
Unaudited Results of 2nd Quarter	29th Poush 2076	22.53
Unaudited Results of 3rd Quarter	30th Chaitra 2076	22.16

FIVE YEARS FINANCIAL HIGHLIGHTS

	2073	2074	2075	2076	2077
INCOME STATEMENT					
Interest Income	4,988.28	7,463.64	11,481.73	13,530.88	20,489.40
Interest Expenses	2,098.72	3,799.26	7,604.85	8,288.54	12,267.39
Net interest income	**2,889.55**	**3,664.38**	**3,876.88**	**5,242.35**	**8,222.01**
Fees and Commission Income	748.27	866.51	933.46	1,181.096	1,472.135
Operating Income	363.53	399.40	462.01	602.472	776.970
Operating Expenses	1,684.94	1,980.07	2,650.21	2,893.809	4,348.803
Operating Profit (profit before provision and tax)	**2,316.41**	**2,950.22**	**2,622.14**	**4,132.11**	**6,122.31**
Provision for Loans, Investments and other Assets	354.63	(18.50)	(289.84)	198.19	1,954.43
Profit Before Tax	**1,961.79**	**2,968.73**	**2,911.98**	**3,933.92**	**4,167.89**
Tax Expense (Income Tax and Deferred Tax)	579.56	907.49	810.61	1,171.96	1,259.22
Profit After Tax	**1,382.22**	**2,061.24**	**2,101.36**	**2,761.95**	**2,908.66**
BALANCE SHEET					
Authorized Capital	10,000.00	10,000.00	10,000.00	16,000.00	25,000.00
Paid-up Capital	6,164.27	8,080.34	8,888.38	10,310.52	18,975.88
Shareholders' Equity	8,945.23	12,376.43	13,578.68	16,332.17	28,834.40
Deposits	74,682.92	101,910.48	106,510.44	124,499.32	226,643.08
Borrowings NRB	-	39.38	1,034.65	1,231.80	1,339.36
Borrowings Foreign	-	-	-	-	2,404.00
Debenture	400.00	400.00	400.00	1,500.00	1,500.00
Loans & Advances (Excl Staff Loans and Accrued Interest)	59,219.30	78,965.10	93,373.42	114,060.45	200,006.02
Accrued Interest	243.76	358.85	292.29	298.89	1,953.70
Investments	11,856.07	10,638.20	16,838.49	13,692.50	27,362.72
Fixed Assets (Net)	934.94	1,030.66	1,324.47	1,373.57	2,543.21
Total Assets	88,682.56	117,893.94	125,847.43	151,653.56	273,876.59
Total Liabilities	79,737.34	105,517.51	112,268.75	135,321.39	245,042.19
Total Off-balance Sheet Items	26,979.90	37,810.51	44,309.06	43,822.64	58,313.12
CAPITAL MEASURES					
Risk Weighted Exposures	75,934.08	101,537.94	117,890.25	140,948.19	237,628.88
Core Capital (Tier-I)	8,358.62	10,387.60	12,165.79	14,884.90	25,695.10
Supplementary Capital (Tier-II)	1,022.64	1,155.67	1,357.60	2,465.72	3,966.18
Total Regulatory Capital	9,381.26	11,543.27	13,523.39	17,350.62	29,661.28
Capital Adequacy Ratio	12.35%	11.37%	11.47%	12.31%	12.48%
Tier-I Capital Ratio	11.01%	10.23%	10.32%	10.56%	10.81%
CREDIT QUALITY					
Non Performing Loans (NPL)	1,149.02	1,296.57	717.44	622.52	3,520.71
NPL to Total Loans and Advances (%)	1.89%	1.60%	0.77%	0.55%	1.76%
Provision for Non Performing Loans	947.00	988.69	529.42	491.09	2,193.17
Provision for Performing Loans	675.07	866.04	1,035.49	1,272.01	2,979.84
DISTRIBUTION TO SHAREHOLDERS					
Earnings per Share (Rs)	22.42	25.51	23.64	26.46	17.99
Market value per Share (Public) (Rs)	515.00	388.00	290.00	295.00	239.00
Price to Earning Ratio	22.97	15.21	12.27	11.15	13.29
Total Assets Value Per Share (Rs)	1,438.66	1,459.02	1,415.87	1,470.86	1,443.29
Net Worth Per share (Rs)	145.11	153.17	152.77	158.40	151.95
Return on Equity (%)	16.99%	19.33%	16.19%	18.47%	12.88%
Dividend Paid					
Cash (%)	0.00	10.00	0.00	12.75	2.00
Stock (%)	16.00	10.00	16.00	12.75	14.00

	2073	2074	2075	2076	2077
PROFITABILITY & PERFORMANCE RATIO					
Net Interest Margin (Spread) (%)	4.52%	3.36%	4.86%	4.47%	5.12%
Credit to Deposit Ratio (%)	72.96%	71.24%	75.35%	78.69%	73.18%
Cost of Fund (%)	3.26	4.60	7.43	7.18	6.53
Cash Reserve Ratio (%)	6.30	6.44	6.21	4.34	5.72
Statutory Liquidity Ratio (%)	22.46	24.11	23.77	17.39	19.29
Total Cost to Total Income Ratio	42.11	40.16	50.27	41.19	41.53
Operating Profit per Employee (Rs in Million)	2.09	2.19	1.60	2.44	2.00
Operating Profit per Branch (Rs in Million)	25.46	26.34	20.02	29.94	23.82
OTHER INFORMATION					
Number of Branches	91	112	131	138	257
Number of ATMs	99	114	134	148	233
Number of Represetative Offices	2	2	3	3	3
Number of BLB Agents	40	46	100	171	249
Number of Extension and Revenue Counters	17	20	21	29	38
Number of Deposit Accounts	617,455	779,346	964,841	1,136,122	2,116,464
Number of Loan Accounts	17,481	24,436	24,983	29,433	54,306
Debit Card reg	-	-	222,383	310,890	498,534
Credit Card reg	5,232	8,707	12,672	15,271	17,437
Mobile Banking Customer	207,558	260,780	425,707	656,154	768,894
Internet Banking Customer	48,176	60,158	81,577	105,943	123,290
Number of Employees	1,107	1,348	1,638	1,696	3,059
Male Employees	707	844	1,062	1,125	1,966
Female Employees	400	504	576	571	1,093
Managerial Level Female Employees	6	7	9	10	11
Managerial Level Male Employees	42	52	57	59	98

HORIZONTAL AND VERTICAL ANALYSIS OF STATEMENT OF FINANCIAL POSITION

	MID		HORIZONTAL ANALYSIS VARIANCE	VERTICAL ANALYSIS VARIANCE	
	JUL-20	JUL-19	2019-2020	2020	2019
Assets					
Cash and Cash Equivalents	20,084	11,532	74.16%	7.33%	7.60%
Due from Nepal Rastra Bank	11,775	5,217	125.70%	4.30%	3.44%
Placement with Bank and Financial Institutions	-	-	100.00%	0.00%	0.00%
Derivative financial instruments	8,876	4,113	115.83%	3.24%	2.71%
Other trading assets	-	-	0.00%	0.00%	0.00%
Loan and advances to B/Fls	7,672	4,055	89.22%	2.80%	2.67%
Loans and advances to customers	190,337	108,978	74.66%	69.50%	71.86%
Investment securities	26,401	13,153	100.72%	9.64%	8.67%
Current Tax Assets	1,640	1,260	30.18%	0.60%	0.83%
Investment in subsidiaries	557	220	153.48%	0.20%	0.14%
Investment in associates	404	320	100.00%	0.15%	0.21%
Investment property	335	119	182.51%	0.12%	0.08%
Property and equipment	2,543	1,374	85.15%	0.93%	0.91%
Goodwill and intangible assets	240	28	749.35%	0.09%	0.02%
Deferred Tax Assets	282	212	32.77%	0.10%	0.14%
Other Assets	2,729	1,075	153.88%	1.00%	0.71%
Total Assets	**273,877**	**151,654**	**80.59%**	**100.00%**	**100.00%**
Liabilities					
Due to Banks and Financial Institutions	14,328	4,411	224.83%	5.23%	2.91%
Due to Nepal Rastra Bank	1,339	1,232	-100.00%	0.00%	0.81%
Derivative financial instruments	8,773	3,880	126.13%	3.20%	2.56%
Deposit from customers	212,315	120,088	76.80%	77.52%	79.19%
Borrowings	2,404	-	100.00%	0.88%	0.00%
Current tax liabilities	1,295	1,203	7.65%	0.47%	0.00%
Provisions	-	-	0.00%	0.00%	0.00%
Deferred Tax Liabilities	-	-	0.00%	0.00%	0.00%
Other Liabilities	3,091	3,011	2.63%	1.13%	1.99%
Debt securities issued	1,497	1,496	0.04%	0.55%	0.99%
Subordinated Liabilities	-	-	0.00%	0.00%	0.00%
Total Liabilities	**245,042**	**135,321**	**81.08%**	**89.47%**	**89.23%**
Equity					
Share capital	18,976	10,311	84.04%	6.93%	6.80%
Share premium	5	-	100.00%	0.00%	0.00%
Retained earnings	1,674	2,664	-37.17%	0.61%	1.76%
Reserves	8,180	3,358	143.58%	2.99%	2.21%
Total equity attributable to equity holders	**28,834**	**16,332**	**76.55%**	**10.53%**	**10.77%**
Non-controlling interest					
Total Equity	**28,834**	**16,332**	**76.55%**	**10.53%**	**10.77%**
Total Liabilities and Equity	**273,877**	**151,654**	**80.59%**	**100.00%**	**100.00%**

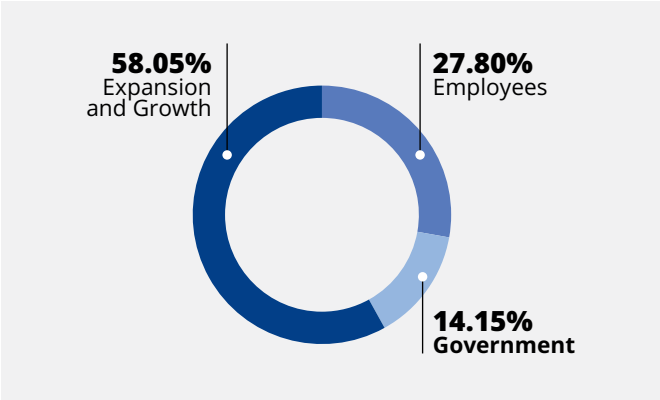
HORIZONTAL AND VERTICAL ANALYSIS OF INCOME EXPENES

	MID		HORIZONTAL ANALYSIS VARIANCE	VERTICAL ANALYSIS VARIANCE	
	JUL-20	JUL-19	2019-2020	2020	2019
Interest Income	20,489.40	13,530.88	51.43%	100.00%	100.00%
Interest Expenses	12,267.39	8,288.54	48.00%	59.87%	61.26%
Net interest income	**8,222.01**	**5,242.35**	**56.84%**	**40.13%**	**38.74%**
Fees and Commission Income	1,472.14	1,181.10	24.64%	7.18%	8.73%
Fees and Commission Expenses	**242.01**	**216.43**	**11.82%**	**1.18%**	**1.60%**
Net fee and commission income	**1,230.13**	**964.66**	**27.52%**	**6.00%**	**7.13%**
Net interest, fee and commission income	9,452.14	6,207.01	52.28%	46.13%	45.87%
Net Trading Income	579.52	412.13	40.62%	2.83%	3.05%
Other Operating Income	196.81	163.06	20.70%	0.96%	1.21%
Total operating income	**10,228.47**	**6,782.19**	**50.81%**	**49.92%**	**50.12%**
Impairment charge/(reversal) for loans and other losses	1,954.43	198.19	886.15%	9.54%	1.46%
Net Operating Income	**8,274.04**	**6,584.00**	**25.67%**	**40.38%**	**48.66%**
Operating Expenses	**-**	**-**			
Personnel Expenses	2,474.64	1,579.66	56.66%	12.08%	11.67%
Other Operating Expenses	1,248.83	859.41	45.31%	6.10%	6.35%
Depreciation and Amortization	304.12	238.30	27.62%	1.48%	1.76%
Operating profit	**4,246.46**	**3,906.63**	**8.70%**	**20.73%**	**28.87%**
Non operating income	0.64	27.29	-97.65%	0.00%	0.20%
Non operating expense	79.21	-	100.00%	0.39%	0.00%
Profit before income tax	**4,167.89**	**3,933.92**	**5.95%**	**20.34%**	**29.07%**
Income Tax Expense	-	-			
Current tax	1,294.60	1,202.57	7.65%	6.32%	8.89%
Deferred tax	(35.38)	(30.61)	15.60%	-0.17%	-0.23%
Profit for the Year	**2,908.66**	**2,761.95**	**5.31%**	**14.20%**	**20.41%**
Earnings per Share					
Adjusted Basic earnings per share	**17.99**	**23.47**	**-23.37%**		
Adjusted Diluted earnings per share	**17.99**	**23.47**	**-23.37%**		

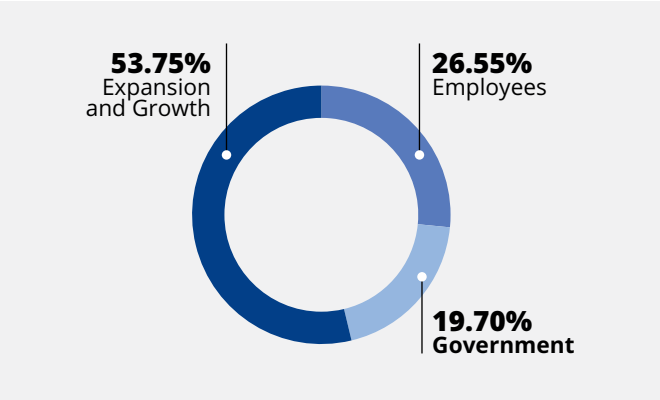
VALUE ADDED STATEMENT AND WEALTH DISTRIBUTION

	2020		2019	
	RS. MILLION	IN PERCENTAGE	RS. MILLION	IN PERCENTAGE
Revenue	22,738.51		15,314.45	
Net Cost for the Services	(13,837.43)		(9,364.38)	
Total Wealth Created	**8,901.07**	**100.00**	**5,950.07**	**100**
Wealth Distributed as				
To Employees				
Benefits and Remuneration	2,474.64	27.80	1,579.66	26.55
To Government				
Current Taxation	1,259.22	14.15	1,171.96	19.70
To Expansion and Growth				
Depreciation, Amortization and Impairment	2,258.55	25.37	436.49	7.34
Profit for the Year Attributable to Shareholders	2,908.66	32.68	2,761.95	46.42
Total Wealth Distributed	**8,901.07**	**100.00**	**5,950.07**	**100.00**

WEALTH DISTRIBUTION 2020



WEALTH DISTRIBUTION 2019



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INDEPENDENT AUDITOR'S REPORT
TO THE SHAREHOLDERS OF GLOBAL IME BANK LIMITED

Qualified Opinion

We have audited the accompanying consolidated financial statements of Global IME Bank Ltd (hereinafter referred to as "the Bank") and its subsidiaries (collectively referred to as the Group), which comprise consolidated statement of financial position as at Ashadh 31, 2077 (July 15, 2020), consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended and a summary of significant accounting policies and notes to the consolidated financial statements.

In our opinion, except for the effects of the matters described on the Basis for Qualified Opinion section here in below, accompanying consolidated financial statements give a true and fair view of the consolidated financial position of the group as at Ashadh 31, 2077, its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with Nepal Financial Reporting Standards (NFRSs).

Basis for Qualified Opinion

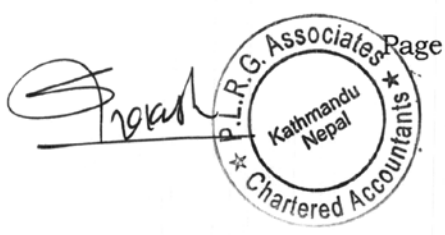
During the financial year, the Bank has acquired then M/S Hathway Finance Company Limited and merged with then M/S Janata Bank Nepal Limited and the purchase considerations have been provided in the form of equity shares of the Bank as per due diligence audit carried out for the purpose of the acquisition and merger. The Bank has followed the procedures for the business combinations as per the Merger and Acquisition Bylaws, 2073 issued by Nepal Rastra Bank (NRB) which is binding on banks and financial institutions in the country. Accordingly, the resulting difference amount on share swap of the entities is transferred to Capital Reserve as per the provisions of the NRB Bylaws. The Bank has also measured identifiable assets acquired and liabilities assumed on cost basis and purchase consideration transferred at face value.

However, as per Nepal Financial Reporting Standard 3: Business Combinations and Carve-Out issued by The Institute of Chartered Accountants of Nepal dated 2077/07/25 BS, the Bank shall measure the identifiable assets acquired, the liabilities assumed and consideration transferred at their acquisition date fair value and recognize goodwill or bargain purchase gain for the difference between net assets acquired and the consideration provided. Had the Bank applied NFRS 3 on business combinations related transactions, goodwill would have been Rs. 8,432,132,397, bargain purchase gain would have been Rs. 1,695,000 and other component of equity-share premium would have been Rs. 9,857,908,352. Accordingly, this has resulted in understatement of the Bank's assets, bargain purchase gain and other component of equity-share premium by respective abovementioned amounts and net impact of fair values of assets acquired and liabilities assumed Rs. 153,650,993 is also not reflected in the financial statements.

Key Audit Matters

Key audit matters are matters based on our judgment, are of most significance in the audit of the financial statements of the current period, which were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon. We do not provide separate opinion on these matters. In addition to the matters described in the Basis for Qualified Opinion section, we have determined the matters described below as the key audit matters to be communicated in our report.
The results of our audit procedures, including the procedures performed to address the matters below, provides the basis for our audit opinion on the accompanying financial statements.





Following are the Key Audit Matters:

S.No.	Key Audit Matters	How the matters were addressed in our audit
1.	**Investment Securities Valuation** Ref. Note no. 4.8 and accounting policies to the financial statements.	
	The Bank has total investment securities of Rs. 26,401,401,393 as at 31st Ashadh 2077 classified into different categories as "Available-for-sale", "Held for trading" and "Held to maturity", which in aggregate represent 10 % of the total assets of the Bank. Classification of investment into different categories as Available-for-sale', "Held for trading" and "Held to maturity" warrant management judgement and it impacts on valuation of investment securities and impairment allowance. Due to the percentage of volume over total assets and the requirement of management judgment for measurement of impairment allowance, considered this as key audit matter.	We applied following procedures in respect of Investment verification: ➢ Review of accounting policies adopted by the Bank based on Nepal Financial Reporting Standards and the Directives issued by NRB and compliance of the same. ➢ Evaluation of management's assessment to categorize investments into classified into different categories as "Available-for-sale", "Held for trading" and "Held to maturity" ➢ Verification of valuation of investment on sampling basis in reference to its cost and quoted market price as the case may be. ➢ Verification of impairment allowance provided for different investments in commensurate with NFRSs and NRB Directives. Accounting policies, classification, valuation and impairment allowances for the investments are considered acceptable.
2.	**Covid 19 Impact** Ref. Note no. 4.29 and accounting policies to the financial statements.	
	Long period of lock down due to Covid 19 has impacted operational revenue as well as profitability of the Bank. Further, the circulars issued by NRB for granting interest discount, rebate on interest rate as well as relaxation on repayment of loan to Covid impacted borrowers has also significantly impacted financial performance of the Bank, accordingly we considered this as key audit matter.	We applied following procedures in respect of Covid 19 impact verification: ➢ Verification of interest discount provided to the borrowers who has paid interest before specified date on sampling basis. ➢ Verification of rebate of interest in the IT system on sampling basis. ➢ Verification of additional loan loss provision required as per NRB circulars for those borrowers who were categorized as pass loan on Poush end 2076 and categorized differently at the end of financial year due to overdue of interest and installment of loan. Compliances of regulatory requirements by the bank are considered acceptable.

3.	**Loan Loss Provision** Ref. Note no. 4.7 and accounting policies to the financial statements.	
	The Bank's advances to the customers represent 69 % of its total assets at the end of period under review and are stated at Rs. 190.336 billion which is net of provision of Rs. 5.96 billion. The provision against advances was identified as a key audit matter as it involves a considerable degree of management judgment and compliance with Directives and Circulars issued by Nepal Rastra Bank.	We applied following procedures in respect of verification of loan loss provision: ➢ Review of borrower's files, which includes evaluation of borrowers' repayment behavior, assessment of financial strength based on the available financial statements, adequacy of security/collateral, obtainment of required legal documents, CIC reports, and compliance with prudential regulations. ➢ Business sites visit of the borrowers on sampling basis. ➢ Review of IT system to provide loan loss provision based on overdue payments. ➢ On sampling basis, verification of accuracy of provision against non-performing loan calculated by the IT system and manual calculation sampling basis. ➢ Evaluation of appropriateness of subjective judgement made by the management for performing loans' borrowers. ➢ Review of Board's evaluation and decisions on loans. Loan loss provision made by the Bank is considered acceptable.

Other Matters

1. We did not audit the financial statements and other financial information of subsidiaries. These financial statements and other financial information have been audited by other auditors whose report has been furnished to us by the management and our opinion on the financial statements in so far as it relates to the accounts and disclosures included in respect of these subsidiaries are based solely on the report of the other auditors.

2. Previously, the Bank had prepared its financial statements in accordance with the carve-out approved by the Accounting Standards Board, Nepal in respect of the accounting treatments of business combinations related transactions. Goodwill and Bargain Purchase Gain were adjusted with Other Component of Equity- Share Premium Account. However, as the Institute of Chartered Accountants of Nepal has not issued a carve-out in this regard, the Bank has revised its financial statements for the year as per the NRB Merger and Acquisition Bylaws, 2073.

K.A.S. ASSOCIATES Baneshwor Kathmandu

P.L.R.G. Associates Kathmandu Nepal Chartered Accountants

Hence, we have revised our opinion given on the previous financial statements, which is not approved by Nepal Rastra Bank for publication to the general public and issued this modified report withdrawing the report originally issued by us on 2077/07/14.

Responsibilities of the Management and Those charged with Governance for the consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Nepal Financial Reporting standards (NFRSs) and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing as applicable matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the company or to cease operations or has no realistic alternative but to do so, those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with NSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements. As part of an audit in accordance with NSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

We communicate with those charged with governance regarding among other matters, the planned scope and timing of the audit and significant audit findings including any significant deficiencies in internal control that we identify during our audit.

K.L.S. ASSOCIATES Baneshwor Kathmandu

R.G. Associates Kathmandu Nepal Chartered Accountants

Report on Other Legal and Regulatory Requirements

On the basis of our examination, we would like to further report that:

I. We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of audit.

II. The accounts and records of the Bank have been maintained as required by law except as mentioned above.

III. Financial statements are in agreement with the books of account maintained by the Bank.

IV. The capital fund, risk bearing fund and the provision for possible impairment of assets of the Bank are adequate as per the Directives issued by Nepal Rastra Bank.

V. In our opinion and to the best of our information and according to the explanations given to us, the Board of Directors, the representative or any employee of the Bank has not acted contrary to the provision of law relating to accounts nor caused direct loss or damage to the Bank deliberately or acted in a manner that would jeopardize the interest and security of the Bank.

VI. The operations of the Bank are within its jurisdiction.

VII. The Bank has not acted in a manner to jeopardize the interest and security of the depositors and investors.

VIII. The Bank has a centralized core accounting system and details received from branches of the Bank though the statements are independently not audited, were adequate for our audit, and

IX. We have not come across any fraudulence in the accounts, so far as it appeared from our examination of the books of account.

K.A.S. ASSOCIATES Baneshwor Kathmandu

CA. Binay Prakash Shrestha
Proprietor
K.A.S. Associates
Chartered Accountants
UDIN No. 201218CA00116D0x7k

P.L.R.G. Associates Kathmandu Nepal Chartered Accountants

CA. Prakash Lamsal
Partner
P.L.R.G. Associates
Chartered Accountants
UDIN No.: 201218CA00154fb6wk

Date : 2077.09.03
Place: Putalisadak, Kathmandu

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As on 31st Asar 2077 (15th July 2020)

Amount in Rs.

	NOTE	GROUP		BANK	
		CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Assets					
Cash and Cash Equivalents	4.1	20,776,412,504	11,943,820,100	20,083,658,794	11,531,556,889
Due from Nepal Rastra Bank	4.2	11,803,412,752	5,239,466,652	11,775,494,215	5,217,312,678
Placement with B/FIs	4.3	2,500,000	40,000,000	-	-
Derivative financial instruments	4.4	8,876,123,504	4,112,517,152	8,876,123,504	4,112,517,152
Other trading assets	4.5	490,759,779	383,381,622	-	-
Loan and advances to B/FIs	4.6	6,224,560,350	3,508,806,424	7,672,036,520	4,054,633,604
Loans and advances to customers	4.7	193,898,783,257	112,195,294,276	190,336,852,590	108,977,607,686
Investment securities	4.8	26,430,345,133	13,164,986,491	26,401,401,393	13,153,151,992
Current Tax Assets	4.9	1,712,793,918	1,317,330,086	1,639,870,182	1,259,701,665
Investment in subsidiaries	4.1	-	-	557,095,250	219,775,000
Investment in associates	4.11	551,669,736	422,148,079	404,222,561	319,577,861
Investment property	4.12	335,304,055	118,685,464	335,304,055	118,685,464
Property and equipment	4.13	2,589,596,362	1,419,110,762	2,543,213,440	1,373,573,734
Goodwill and intangible assets	4.14	242,660,855	35,817,033	240,269,800	28,288,609
Deferred Tax Assets	4.15	265,634,282	220,120,199	281,572,951	212,078,419
Other Assets	4.16	2,784,130,125	1,113,694,624	2,729,475,798	1,075,101,633
Total Assets		**276,984,686,611**	**155,235,178,964**	**273,876,591,053**	**151,653,562,387**
Liabilities					
Due to B/FIs	4.17	15,436,854,113	6,297,101,138	14,327,698,147	4,410,876,030
Due to Nepal Rastra Bank	4.18	1,339,361,371	1,231,800,211	1,339,361,371	1,231,800,211
Derivative financial instruments	4.19	8,773,443,817	3,879,901,668	8,773,443,817	3,879,901,668
Deposit from customers	4.2	212,949,111,584	120,943,260,203	212,315,385,060	120,088,440,064
Borrowings	4.21	2,404,000,000	18,000,000	2,404,000,000	-
Current tax liabilities	4.9	1,343,033,016	1,245,969,517	1,294,604,441	1,202,570,465
Provisions	4.22	-	-	-	-
Deferred Tax Liabilities	4.15	-	-	-	-
Other Liabilities	4.23	3,777,967,966	3,413,016,987	3,090,637,007	3,011,351,016
Debt securities issued	4.24	1,497,064,851	1,496,452,596	1,497,064,851	1,496,452,596
Subordinated Liabilities	4.25	-	-	-	-
Total Liabilities		**247,520,836,718**	**138,525,502,319**	**245,042,194,695**	**135,321,392,050**
Equity					
Share capital	4.26	18,975,879,857	10,310,515,959	18,975,879,857	10,310,515,959
Share premium		5,393,490		5,393,490	
Retained earnings	4.27	2,037,412,184	2,825,449,981	1,673,609,973	2,663,622,463
Reserves	4.27	8,233,886,885	3,441,671,122	8,179,513,038	3,358,031,915
Total equity attributable to equity holders		**29,252,572,416**	**16,577,637,063**	**28,834,396,358**	**16,332,170,337**
Non-controlling interest		211,277,477	132,039,582		
Total Equity		**29,463,849,893**	**16,709,676,645**		
Total Liabilities and Equity		**276,984,686,611**	**155,235,178,964**	**273,876,591,053**	**151,653,562,387**
Contingent Liabilities and Commitment	4.28			58,313,120,337	43,822,644,966
Net Assets Value per Share				151.95	158.4

The accounting policies and notes on pages 9 through 118 form an integral part of the Financial Statements.

Ratna Raj Bajracharya
CHIEF EXECUTIVE OFFICER

Chandra Prasad Dhakal
CHAIRMAN

Sudarsun Krishna Shrestha
DIRECTOR

Krishna Prasad Sharma
DIRECTOR

Raja Aryal
CHIEF FINANCIAL OFFICER

Keshav B. Rayamajhi
DIRECTOR

Suman Pokharel
DIRECTOR

Vineet Kumar Agrawal
DIRECTOR

Devendra Pratap Shah
DIRECTOR

DATE: **September 16, 2019**
PLACE: **Kathmandu, Nepal**

Prakash Lamsal, FCA
PARTNER
P.L.R.G. ASSOCIATES
CHARTERED ACCOUNTANTS

Binay Prakash Shrestha, FCA
PROPRIETOR
K.A.S. ASSOCIATES
CHARTERED ACCOUNTANTS

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For the year ended 31st Asar 2077 (15th July 2020)

Amount in Rs.

	NOTE	GROUP		BANK	
		CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Interest Income	4.29	21,123,338,411	13,930,670,471	20,489,400,668	13,530,884,797
Interest Expenses	4.3	12,568,161,660	8,494,409,611	12,267,387,871	8,288,538,779
Net interest income		**8,555,176,751**	**5,436,260,860**	**8,222,012,797**	**5,242,346,018**
Fees and Commission Income	4.31	1,587,652,225	1,310,074,547	1,472,135,345	1,181,096,127
Fees and Commission Expenses	4.32	246,306,898	238,738,243	242,005,492	216,433,567
Net fee and commission income		**1,341,345,327**	**1,071,336,304**	**1,230,129,853**	**964,662,560**
Net interest, fee and commission income		**9,896,522,078**	**6,507,597,164**	**9,452,142,650**	**6,207,008,578**
Net Trading Income	4.33	647,610,345	443,073,174	579,515,071	412,125,157
Other Operating Income	4.34	211,930,414	186,298,992	196,813,300	163,057,647
Total operating income		**10,756,062,837**	**7,136,969,330**	**10,228,471,021**	**6,782,191,382**
Impairment charge/(reversal) for loans and other losses	4.35	2,027,223,985	220,593,802	1,954,426,612	198,187,082
Net Operating Income		**8,728,838,851**	**6,916,375,528**	**8,274,044,409**	**6,584,004,300**
Operating Expenses					
Personnel Expenses	4.36	2,625,896,472	1,692,613,488	2,474,636,608	1,579,661,879
Other Operating Expenses	4.37	1,297,409,653	899,270,940	1,248,828,973	859,409,263
Depreciation and Amortization	4.38	314,871,185	247,916,568	304,121,934	238,304,434
Operating profit		**4,490,661,541**	**4,076,574,532**	**4,246,456,895**	**3,906,628,724**
Non-operating income	4.39	45,518,526	68,188,546	641,568	27,289,531
Non-operating expense	4.4	79,210,292	-	79,210,292	-
Profit before income tax		**4,456,969,775**	**4,144,763,078**	**4,167,888,171**	**3,933,918,255**
Income Tax Expense	4.41				
Current tax		1,343,033,015	1,245,969,517	1,294,604,441	1,202,570,465
Deferred tax		(9,513,792)	(27,968,044)	(35,380,637)	(30,605,877)
Profit for the Year		**3,123,450,552**	**2,926,761,605**	**2,908,664,367**	**2,761,953,667**
Profit attributable to:	**4.42**				
Equity holders of the Bank		3,081,514,339	2,892,357,853		
Non-controlling interest		41,936,213	34,403,752		
Profit for the Year		**3,123,450,552**	**2,926,761,605**	**2,908,664,367**	**2,761,953,667**
Earnings per Share					
Adjusted Basic earnings per share				17.99	23.47
Adjusted Diluted earnings per share				17.99	23.47

The accounting policies and notes on pages 9 through 118 form an integral part of the Financial Statements.

Ratna Raj Bajracharya
CHIEF EXECUTIVE OFFICER

Chandra Prasad Dhakal
CHAIRMAN

Sudarsun Krishna Shrestha
DIRECTOR

Krishna Prasad Sharma
DIRECTOR

Raja Aryal
CHIEF FINANCIAL OFFICER

Keshav B. Rayamajhi
DIRECTOR

Suman Pokharel
DIRECTOR

Vineet Kumar Agrawal
DIRECTOR

Devendra Pratap Shah
DIRECTOR

DATE: **September 16, 2019**
PLACE: **Kathmandu, Nepal**

Prakash Lamsal, FCA
PARTNER
P.L.R.G. ASSOCIATES
CHARTERED ACCOUNTANTS

Binay Prakash Shrestha, FCA
PROPRIETOR
K.A.S. ASSOCIATES
CHARTERED ACCOUNTANTS

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31st Asar 2077 (15th July 2020)

Amount in Rs.

	NOTE	GROUP		BANK	
		CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Profit for the year		**3,123,450,552**	**2,926,761,605**	**2,908,664,367**	**2,761,953,667**
Other comprehensive income, net of income tax					
a) Items that will not be reclassified to profit or loss					
Gains/(losses) from investments in equity instruments measured at fair value	4.8	13,137,011	(29,435,602)	12,617,770	(28,888,651)
Gains/(losses) on revaluation	4.13				-
Actuarial gain/(losses) on defined benefit plans	4.23	69,458,433	16,800,614	69,458,433	16,800,614
Income Tax relating to above items	4.41	(24,778,633)	3,867,372	(24,622,861)	3,626,412
Net other comprehensive income that will not be reclassified to profit or loss		**57,816,811**	**(8,767,616)**	**57,453,342**	**(8,461,625)**
b) Items that will be reclassified to profit or loss					
Gains/(losses) on cash flow hedge					
Exchange gains/(losses) (arising from translating financial assets of foreign operation)					
Income Tax relating to above items					
Reclassify to profit or loss					
Net other comprehensive income that will be reclassified to profit or loss				**-**	**-**
c) Share of other comprehensive income of associate accounted as per equity method					
Other comprehensive income, net of income tax		**57,816,811**	**(8,767,616)**	**57,453,342**	**(8,461,625)**
Total comprehensive income for the year		**3,181,267,363**	**2,917,993,989**	**2,966,117,709**	**2,753,492,042**
Total comprehensive income attributable to:					
Equity holders of the Bank		3,139,230,859	2,883,668,815		
Non-controlling interest		42,036,503	34,325,174		
Total comprehensive income for the period		**3,181,267,363**	**2,917,993,989**	**2,966,117,709**	**2,753,492,042**

The accounting policies and notes on pages 9 through 118 form an integral part of the Financial Statements.

Ratna Raj Bajracharya
CHIEF EXECUTIVE OFFICER

Chandra Prasad Dhakal
CHAIRMAN

Sudarsun Krishna Shrestha
DIRECTOR

Krishna Prasad Sharma
DIRECTOR

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CHIEF FINANCIAL OFFICER

Keshav B. Rayamajhi
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Devendra Pratap Shah
DIRECTOR

DATE: **September 16, 2019**
PLACE: **Kathmandu, Nepal**

Prakash Lamsal, FCA
PARTNER
P.L.R.G. ASSOCIATES
CHARTERED ACCOUNTANTS

Binay Prakash Shrestha, FCA
PROPRIETOR
K.A.S. ASSOCIATES
CHARTERED ACCOUNTANTS

STATEMENT OF CHANGES IN EQUITY

For period 1st Shrawan 2076 to 31st Asar 2077 (17th July 2019 to 15th July 2020)

Amount in Rs.

	GROUP										
	ATTRIBUTABLE TO EQUITY HOLDERS OF BANK										
	SHARE CAPITAL	SHARE PREMIUM	GENERAL RESERVE FUND	EXCHANGE EQUALIZATION FUND	REGULATORY RESERVE	FAIR VALUE RESERVE	ACCUMULATED PROFIT/LOSS	OTHER RESERVE	TOTAL SHAREHOLDERS' FUNDS	NON CONTROLLING INTEREST	TOTAL EQUITY
Balance as at Shrawan 1, 2076	**10,310,515,959**	**-**	**2,564,971,175**	**121,192,258**	**579,293,295**	**(3,199,623)**	**2,825,449,982**	**179,414,017**	**16,577,637,063**	**132,039,582**	**16,709,676,645**
Comprehensive Income for the year									**-**		**-**
Profit for the year							**3,081,514,339**		**3,081,514,339**	**41,936,213**	**3,123,450,552**
Other Comprehensive income, net of tax											
Gains/(losses) from investments inequity instruments measured at fair value						9,095,617			9,095,617	100,291	9,195,908
Gains/(losses) on revaluation									-		-
Actuarial gains/(losses) on defined benefit plans								48,620,903	48,620,903		48,620,903
Gains/(losses) on cash flow hedge									-		-
Exchange gains/(losses) arising from translating financial assets of foreign operation)									-		-
Total comprehensive income	**-**	**-**	**-**	**-**	**-**	**9,095,617**	**3,081,514,339**	**48,620,903**	**3,139,230,859**	**42,036,504**	**3,181,267,363**
Transfer to reserve during the period											**-**
General Reserve Fund	-	-	596,767,532	-	-	-	(596,767,532)	-	-		-
Exchange Fluctuation Fund	-	-	-	24,086,732	-	-	(24,086,732)	-	-		-
Client Protection Fund	-	-	-	-	-	-	(542,577)	9,166,398	8,623,821		8,623,821
Corporate Social Responsibility Fund	-	-	-	-	-	-	19,726,103	(20,203,976)	(477,873)		(477,873)
Regulatory reserve	-	-	-	-	141,454,831	-	(141,454,831)	-	-		-
Investment Adjustment Reserve	-	-	-	-	-	-	(378,423,738)	378,423,738	-		-
Debenture Redemption Reserve	-	-	-	-	-	-	(379,111,842)	379,111,842	-		-
Transfer from reserve during the period									**-**		**-**
Regulatory reserve	-	-	-	-	(127,822,469)	-	127,822,469	-	-		-
Other Reserve	-	-	-	-	-	-	31,991,450	(9,471,816)	22,519,633		22,519,633
Transactions with owners, directly recognized in equity									**-**		**-**
Transfer from Merged/Acquired entity	7,334,708,118	5,393,490	1,278,533,760	18,643,287	622,894,224	13,274,475	202,826,636	1,406,388,377	10,882,662,366		10,882,662,366
Dividends to equity holders											
Bonus shares Issued	1,330,655,780	-	-	-	-	-	(1,357,717,867)	-	(27,062,088)		(27,062,088)
Cash Dividend Paid	-	-	-	-	-	-	(1,373,813,674)	-	(1,373,813,674)		(1,373,813,674)
Others	-	-	-	-	-	-	-	23,252,308	23,252,308		23,252,308
Minority Interest	-	-	-	-	-	-	-	-	-	37,201,391	37,201,391
Balance at Asar end, 2077	**18,975,879,857**	**5,393,490**	**4,440,272,467**	**163,922,277**	**1,215,819,881**	**19,170,469**	**2,037,412,185**	**2,394,701,791**	**29,252,572,416**	**211,277,477**	**29,463,849,893**

STATEMENT OF CHANGES IN EQUITY For period 1st Shrawan 2076 to 31st Asar 2077 (17th July 2019 to 15th July 2020)

Amount in Rs.

	BANK								
	ATTRIBUTABLE TO EQUITY HOLDERS OF BANK								
	SHARE CAPITAL	SHARE PREMIUM	GENERAL RESERVE FUND	EXCHANGE EQUALIZATION FUND	REGULATORY RESERVE	FAIR VALUE RESERVE	RETAINED EARNING	OTHER RESERVE	TOTAL SHAREHOLDERS' FUNDS
Balance as at Shrawan 1, 2076	**10,310,515,959**	**-**	**2,547,591,343**	**121,192,258**	**550,314,646**	**(2,155,546)**	**2,663,622,463**	**141,089,214**	**16,332,170,337**
Comprehensive Income for the year									
Profit for the year							**2,908,664,367**		**2,908,664,367**
Other Comprehensive income, net of tax									**-**
Gains/(losses)from investments in equity instruments measured at fair value						8,832,439			8,832,439
Gains/(losses) on revaluation									-
Actuarial gains/(losses) on defined benefit plans								48,620,903	48,620,903
Gains/(losses) on cash flow hedge									-
Exchange gains/(losses) arising from translating financial assets of foreign operation)									-
Total comprehensive income	**-**	**-**	**-**	**-**	**-**	**8,832,439**	**2,908,664,367**	**48,620,903**	**2,966,117,709**
Transfer to reserve during the period									
General Reserve Fund			581,732,873				(581,732,873)		-
Exchange Fluctuation Fund				24,086,732			(24,086,732)		-
Corporate Social Responsibility Fund							20,686,992	(20,686,992)	-
Regulatory reserve					209,447,934		(209,447,934)		-
Investment Adjustment Reserve							(378,423,738)	378,423,738	-
Debenture Redemption Reserve							(379,111,842)	379,111,842	-
Transfer from reserve during the period									**-**
Training Reserve							-	-	-
Investment Adjustment Reserve							-	-	-
Regulatory reserve					(127,822,469)		127,822,469		-
Share Premium		-					-		
Deferred Tax Reserve							-	-	
Transactions with owners, directly recognised in equity									**-**
Transfer from Merged/Acquired entity	7,334,708,118	5,393,490	1,278,533,760	18,643,287	622,894,224	13,274,475	186,928,361	1,406,388,377	10,866,764,091
Dividends to equity holders									
Bonus shares Issued	1,330,655,780						(1,330,655,780)		-
Cash Dividend Paid							(1,330,655,780)		(1,330,655,780)
Balance at Asar end, 2077	**18,975,879,857**	**5,393,490**	**4,407,857,977**	**163,922,276**	**1,254,834,335**	**19,951,368**	**1,673,609,973**	**2,332,947,082**	**28,834,396,357**

CONSOLIDATED STATEMENT OF CASH FLOWS

For year ended 31st Asar 2077 (15th July 2020)

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
CASH FLOW FROM OPERATING ACTIVITIES				
Interest Received	17,713,792,776	12,816,946,062	17,134,526,386	12,449,143,623
Fees and Other Income Received	1,604,633,892	1,268,091,009	1,489,117,012	1,139,112,588
Dividend received	-	-	-	-
Receipts from other operating activities	675,542,803	501,483,119	645,409,886	456,353,044
Interest Paid	(12,294,657,457)	(8,412,545,883)	(12,032,428,811)	(8,227,758,020)
Commission and Fees Paid	(245,625,791)	(238,738,244)	(242,005,492)	(216,433,567)
Cash Payment to Employees	(1,964,897,175)	(1,478,622,406)	(1,825,050,737)	(1,380,842,687)
Other Expenses Paid	(1,319,387,535)	(899,938,023)	(1,269,518,712)	(859,409,263)
Operating cash flows before changes in operating assets and liabilities	**4,169,401,511**	**3,556,675,634**	**3,900,049,532**	**3,360,165,718**
(Increase) / Decrease in operating assets				
Due from Nepal Rastra Bank	(6,563,946,100)	(463,077,127)	(6,558,181,537)	(448,325,653)
Placements with B/FIs	212,500,000	140,000,000	-	-
Other trading assets	(58,307,112)	(170,264,315)	-	-
Loans and advances to B/FIs	(2,725,013,595)	(34,054,776)	(3,635,770,150)	(585,395,363)
Loans and advances to customers	(81,501,615,854)	(22,032,991,370)	(81,081,144,753)	(19,893,849,237)
Other assets	(6,490,098,906)	(1,106,882,263)	(6,563,399,318)	(1,035,015,050)
	(97,126,481,566)	**(23,667,269,851)**	**(97,838,495,758)**	**(21,962,585,303)**
(Increase) / Decrease in operating liabilities				
Due to Nepal Rastra Bank	107,561,160	197,151,621	107,561,160	197,151,621
Due to bank and financial institutions	9,139,752,973	3,642,537,044	9,916,822,117	2,750,949,772
Deposit from customers	92,005,851,382	15,761,311,577	92,226,944,997	15,237,929,671
Borrowings	2,386,000,000	18,000,000	2,404,000,000	-
Other liabilities	4,405,726,173	453,258,050	4,317,136,388	461,073,775
	108,044,891,688	**20,072,258,292**	**108,972,464,662**	**18,647,104,839**
Net cash flow from operating activities before tax paid	**15,087,811,633**	**(38,335,925)**	**15,034,018,436**	**44,685,254**
Income taxes paid	(1,640,863,414)	(1,242,820,153)	(1,582,738,982)	(1,197,890,203)
Net cash flow from operating activities	**13,446,948,219**	**(1,281,156,078)**	**13,451,279,454**	**(1,153,204,949)**
CASH FLOW FROM INVESTING ACTIVITIES				
Purchase of investment securities	(13,474,024,104)	(21,520,661)	(13,474,024,105)	(21,520,661)
Receipt from sale of investment securities	8,887,318	3,057,427,099	-	3,057,427,101
Purchase of property and equipment	(1,463,409,031)	(287,010,719)	(1,457,801,994)	(269,939,533)
Receipt from sale of property and equipment	-	-	-	-
Purchase of intangible assets	(233,246,195)	(10,621,066)	(233,124,155)	(8,026,203)
Receipt from sale of intangible assets	-	-	-	-
Purchase of investment properties	(207,688,035)	(26,768,385)	(207,688,035)	(26,768,385)
Receipt from sale of investment properties	-	-	-	-
Interest received	947,255,835	806,827,297	898,621,726	780,521,976
Dividend received	37,367,784	39,333,469	31,465,889	35,606,539
Net cash used in investing activities	**(14,384,856,428)**	**3,557,667,034**	**(14,442,550,674)**	**3,547,300,834**

contd... CONSOLIDATED STATEMENT OF CASH FLOWS

contd... CONSOLIDATED STATEMENT OF CASH FLOWS

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
CASH FLOW FROM FINANCING ACTIVITIES				
Receipt from issue of debt securities	-	1,496,452,596	-	1,496,452,596
Repayment of debt securities	-	(400,000,000)	-	(400,000,000)
Receipt from issue of subordinated liabilities	-	-	-	-
Repayment of subordinated liabilities	-	-	-	-
Receipt from isssue of shares	137,542,515	77,405,650	-	-
Dividend paid	(1,316,570,517)	(24,013,440)	(1,264,359,990)	(628,209)
Interest paid	(155,913,058)	(77,321,924)	(155,377,902)	(74,000,554)
Other receipt/payment	11,009,094,746	-	10,866,764,091	-
Net cash from financing activities	**9,674,153,686**	**1,072,522,882**	**9,447,026,199**	**1,021,823,833**
Net increase/(decrease) in cash and cash equivalents	**8,736,245,477**	**3,349,033,838**	**8,455,754,979**	**3,415,919,718**
Cash and Cash Equivalents as at 1st Shrawan	11,943,820,100	8,506,651,247	11,531,556,889	8,027,502,157
Effect of exchange rate fluctuation on Cash & Cash Equivalents	96,346,926	88,135,015	96,346,926	88,135,015
Cash and Cash Equivalents as at Asar End	**20,776,412,504**	**11,943,820,100**	**20,083,658,794**	**11,531,556,889**

The accounting policies and notes on pages 9 through 118 form an integral part of the Financial Statements.

Ratna Raj Bajracharya
CHIEF EXECUTIVE OFFICER

Raja Aryal
CHIEF FINANCIAL OFFICER

Chandra Prasad Dhakal
CHAIRMAN

Keshav B. Rayamajhi
DIRECTOR

Sudarsun Krishna Shrestha
DIRECTOR

Suman Pokharel
DIRECTOR

Krishna Prasad Sharma
DIRECTOR

Vineet Kumar Agrawal
DIRECTOR

Devendra Pratap Shah
DIRECTOR

DATE: **September 16, 2019**
PLACE: **Kathmandu, Nepal**

Prakash Lamsal, FCA
PARTNER
P.L.R.G. ASSOCIATES
CHARTERED ACCOUNTANTS

Binay Prakash Shrestha, FCA
PROPRIETOR
K.A.S. ASSOCIATES
CHARTERED ACCOUNTANTS

Notes to Consolidated Financial Statement

1. BANK

1.1. CORPORATE INFORMATION

Global IME Bank Limited (hereinafter referred to as "The Bank") is a public limited company, incorporated on 29th May 2006 as per the then Companies Act 1964 of Nepal. The Bank obtained its operating license from Nepal Rastra Bank on 31st December 2006. The registered office of the Bank is located at Kamaladi, Kathmandu, Nepal. Its ordinary shares are listed on the Nepal Stock Exchange Limited (the sole stock exchange in Nepal) for public trading.

GLOBAL IME BANK LTD

The principal activities of the Bank are to provide commercial banking services including, agency services, trade finance services, remittance, card services, e-commerce products and services to its customers through its strategic business units, branches, extension counters, ATMs and network of agents.

GLOBAL IME CAPITAL LTD

The principal activities of the Global IME Capital Ltd is to provide merchant banking services that include management of public offerings, portfolio management, registrar to shares, underwriting of securities, and fund management of mutual fund schemes, depository participant's service under Central Depository Service (CDS), corporate advisory services and administration and record keeping of securities of its clients.

GLOBAL IME LAGHUBITTA BITTIYA SANSTHA LTD

The principal activities of the Global IME Laghubitta Bittiya Sanstha Ltd (Previously Reliable Microfinance Bittiya Sanstha Ltd) is to provide the sustainable microfinance services to the deprived group of people and small entrepreneurs and mostly to the female entrepreneurs to help them in developing self-employment opportunities and various income generating activities. This microfinance is offering a broad range of microfinance products, to the public, who do not have access to mainstream financial services.

JANATA CAPITAL LTD

The principal activities of the Janata Capital Ltd is to provide merchant banking services that include management of public offerings, portfolio management, registrar to shares, underwriting of securities, and fund management of mutual fund schemes, depository participant's service under Central Depository Service (CDS), corporate advisory services and administration and record keeping of securities of its clients. The company has gone under the process of liquidation with the regulatory requirement Bank cannot hold ownership in more than one merchant banking company.

JBNL SECURITIES LTD

The principal activities of the JBNL Securities Ltd is to provide the share broker services. The entity is yet to obtain the business license.

2. BASIS OF PREPARATION

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1. STATEMENT OF COMPLIANCE

The Financial Statement of the Bank which comprises of Statement of Financial Position, Statement of Profit or Loss and Statement of Other Comprehensive Income shown as two separate statements, Statement of Changes in Equity, Statement of Cash Flows, Notes to the Financial Statements have been prepared in accordance with Nepal Financial Reporting Standards 2013 as issued by the Nepal Accounting Standard Board and in compliance with the requirements of the Companies Act, 2006, directives issued by Nepal Rastra Bank and required disclosures as per Securities Board of Nepal.

The Consolidated Financial Statements which comprises of the Bank and subsidiaries have both adopted the uniform accounting policy for all like transactions except that the Subsidiary has not recognized the Employee Benefits in accordance with NAS 19 "Employee Benefits".

2.2. REPORTING PERIOD AND APPROVAL OF FINANCIAL STATEMENTS

The Banks reporting period is from 1st Shrawan 2076 to 31st Asar 2077.

These financial statements have been approved by the Board of Directors on 3rd Poush 2077.

2.3. FUNCTIONAL AND PRESENTATION CURRENCY

Items included in these Financial Statements are measured using the currency of the primary economic environment in which the Bank operates. These Financial Statements are presented in Nepalese Rupees, the Bank's functional and presentation currency.

2.4. USE OF JUDGMENTS AND ESTIMATES

In preparing the Financial Statements of the Bank in conformity with NFRSs and NASs, the management has made judgments, estimates and assumptions which affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized prospectively. Significant areas of critical judgments, assumptions and estimation uncertainty, in applying accounting policies that have most significant effects on the amounts

recognized in the Financial Statements of the Bank are explained below separately. The significant areas where the estimates and judgments have been used in applying accounting policies that have the most significant effects on the amounts recognized in these Financial Statements are as below:

- Fair value of financial instruments
- Impairment losses on financial and non-financial assets
- Useful economic life of property and equipment
- Defined benefit obligations
- Provisions for liabilities, commitments and contingencies

Information about significant areas of estimation and critical judgments in applying accounting policies, other than those stated above, and which have significant effects on the amounts recognized in the financial statements are described in respective notes.

2.5. CHANGES IN ACCOUNTING POLICIES

Changes in accounting policies if any have been followed after the accounting standards were issued by the Institute of Chartered Accountants of Nepal which will be effective from the issued date have been consistently applied.

2.6. NEW STANDARDS ISSUED BUT NOT YET EFFECTIVE

Following are the list of new standards issued by International Accounting Standard Board but not yet effective in Nepal because such standards are yet to be pronounced by the Accounting Standards Board of Nepal:

a. IFRS 9- Financial Instruments
b. IFRS 15 Revenue from contracts with Customers
c. IFRS 16 Leases

2.7. NEW STANDARDS AND INTERPRETATION NOT ADOPTED

Standards issued but not yet effective up to the date of issuance of the financial statements are disclosed below. The Bank intends to adopt these standards, if applicable when they become effective.

i. IFRS 9- Financial Instruments

In July 2014, the IASB issued IFRS 9 Financial Instruments, the standard that will replace IAS 39 for annual periods on or after 1 January 2018, with early adoption permitted.

Classification and Measurement

From a classification and measurement perspective, the new standard will require all financial assets, except equity instruments and derivatives, to be assessed based on a combination of the entity's business model for managing the assets and the instruments contractual cash flow characteristics.

The IAS 39 measurement categories will be replaced by: Fair Value through Profit or Loss (FVPL), Fair Value through Other Comprehensive Income (FVOCI) and amortized cost. IFRS 9 will also allow entities to continue to irrevocably designate instruments that qualify for amortized cost or fair value through OCI instruments as FVPL, if doing so eliminates or significantly reduces a measurement or recognition inconsistency. Equity instruments that are not held for trading may be irrevocably designated as FVOCI, with no subsequent reclassification of gains or losses to the income statement.

The accounting for financial liabilities will largely be the same as the requirements of IAS 39, except for the treatment of gains or losses arising from an entity's own credit risk relating to liabilities designated at FVPL. Such movements will be presented in OCI with no subsequent reclassification to the income statement unless an accounting mismatch in profit or loss would arise.

The bank has adopted NFRS 9 for the classification of financial assets and liabilities which is in alignment with IFRS 9. The bank has followed incurred loss model as per NAS 39. The bank will move from incurred loss model to 'expected loss model' when the Accounting Standard Board pronounce the full version of IFRS 9 in Nepal.

Overview of Impairment on financial assets under IFRS-9

IFRS 9 will fundamentally change the loan loss impairment methodology. The standard will replace IAS 39's incurred loss approach with a forward-looking expected credit loss (ECL) approach. The Bank will be required to record an allowance for expected losses for all loans and other debt financial assets not held at FVPL, together with loan commitments and financial guarantee contracts. The allowance is based on the expected credit losses associated with the probability of default in the next twelve months unless there has been a significant increase in credit risk since origination, in which case, the allowance is based on the probability of default over the life of the asset.

To calculate ECL, the Bank will estimate the risk of a default occurring on the financial instrument during its expected life. ECLs are estimated based on the present value of all cash shortfalls over the remaining expected life of the financial asset, i.e., the difference between:

- the contractual cash flows that are due to the Bank under the contract, and
- The cash flows that the Bank expects to receive, discounted at the effective interest rate of the loan.

In comparison to IAS 39, the Bank expects the impairment charge under IFRS 9 to be more volatile than under IAS 39 and to result in an increase in the total level of current impairment allowances.

The brief impairment methodology under NFRS 9, is set out below:

- Stage 1 – Performing loans: when loans are first recognized, the Bank recognizes an allowance based on 12-month expected credit losses.
- Stage 2 – Underperforming loans: when a loan shows a significant increase in credit risk, the Bank records an allowance for the lifetime expected credit loss.
- Stage 3 – Impaired loans: the Bank recognizes the lifetime expected credit losses for these loans. In addition, in Stage 3 the Bank accrues interest

income on the amortized cost of the loan net of allowances.

ii. IFRS 15 Revenue from contracts with Customers

In May 2014, the IASB issued IFRS 15 Revenue from Contracts with Customers, effective for periods beginning on 1 January 2018 with early adoption permitted. This standard is yet to be pronounced by the Accounting Standard Board Nepal. The Bank does not anticipate early adopting IFRS 15 and no impact has been evaluated.

IFRS 15 defines principles for recognizing revenue and will be applicable to all contracts with customers. However, interest and fee income integral to financial instruments and leases will continue to fall outside the scope of IFRS 15 and will be regulated by the other applicable standards

Revenue under IFRS 15, need to be recognized as on when goods and services are transferred, to the extent that the transferor anticipates entitlement to goods and services. The standard will also specify a comprehensive set of disclosure requirements regarding the nature, extent and timing as well as any uncertainty of revenue and corresponding cash flows with customers.

iii. IFRS 16 Leases

The IASB issued the new standard for accounting for leases - IFRS 16 Leases in January 2016, effective for periods beginning from 1st January 2019 with early adoption permitted. This standard is yet to be pronounced by the Accounting Standard Board Nepal.

The new standard does not significantly change the accounting for leases for lessors. However, it does require lessees to recognize most leases on their balance sheets as lease liabilities, with the corresponding right of-use assets. Lessees must apply a single model for all recognized leases, but will have the option not to recognize 'short-term' leases and leases of 'low-value' assets. Generally, the profit or loss recognition pattern for recognized leases will be similar to today's finance lease accounting, with interest and depreciation expense recognized separately in the statement of profit or loss.

2.8. DISCOUNTING

Financial assets and liabilities which are of long term nature i.e. either receivable/ payable after more than a year have been discounted using the appropriate discount rate which reflects the market rate of borrowings. Interest income or expenses has been recognized on unwinding of the assets and liabilities appropriately.

2.9. GOING CONCERN BASIS

The management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue its business for the foreseeable future. Management is not aware of any material uncertainties that may cast doubt upon the Bank's ability to continue as a going concern. Therefore, the Financial Statements of the Bank continue to be prepared on going concern basis.

2.10. ESTIMATES AND ASSUMPTIONS

Information about assumptions and estimates uncertainties that have a significant risk of resulting in material adjustments for the year ended 31st Asar 2077 are explained in notes.

2.11. FAIR VALUE OF FINANCIAL INSTRUMENTS

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position, for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The Bank measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements.

2.12. IMPAIRMENT LOSSES ON LOANS AND ADVANCES

The impairment losses on loans and advances has been calculated as per NAS 39 in accordance with incurred loss model.

The Bank has applied the carve out as issued by Institute of Chartered Accountants of Nepal Note no. 5 "Incurred Loss Model to measure the Impairment Loss on Loan and advances" which gives the option to charge the impairment amount higher of incurred loss model calculation and as per NRB directives. These are explained in detail in Note 4.7.

The Bank reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided in the Statement of Profit or Loss. In particular, the management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and hence, actual results may differ, resulting in future changes to the provisions made.

The individual impairment provision applies to financial assets evaluated individually for impairment and is based on management's best estimate of the present value of the future cash flows that are expected to be received. In estimating these cash flows, management makes judgments about a borrower's financial situation and the net realizable value of any underlying collateral. Each impaired asset is assessed on its merits, and the workout strategy and estimate of cash flows considered recoverable.

A collective impairment provision is established for:

- groups of homogeneous loans and advances that are not considered individually significant; and
- groups of loans and advances that are individually significant but that were not found to be individually impaired

The collective provision for groups of homogeneous loans is established using statistical methods (such as, net flow rate methodology, risk migration analysis) or a formula approach based on historical loss rate experience, using the statistical analysis of historical data on delinquency to estimate the amount

of loss. Management applies judgment to ensure that the estimate of loss arrived at, on the basis of historical information is appropriately adjusted to reflect the economic conditions and portfolio factors as at the reporting date. The loss rates are regularly reviewed against actual loss experience.

In assessing the need for collective impairment, management considers factors such as credit quality (for example, loan to collateral ratio, level of restructured performing loans), portfolio size, concentrations and economic factors. To estimate the required allowance, assumptions are made to define how inherent losses are modeled and to determine the required input parameters, based on historical experience and current economic conditions. The accuracy of the provision depends on the model assumptions and parameters used in determining the collective provisions.

2.13. IMPAIRMENT OF FINANCIAL INVESTMENTS MEASURED AT FAIR VALUE

The Bank also records impairment charges on equity investments when there has been a significant or prolonged decline in the fair value below their cost along with the historical share price movements, duration and extent up to which the fair value of an investment is less than its cost.

2.14. USEFUL LIVES OF PROPERTY & EQUIPMENT

The Bank reviews the residual values, useful lives and methods of depreciation of property & equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty. Details useful lives of property and equipment are disclosed in Note 4.38 "Depreciation and Amortization".

2.15. DEFERRED TAX ASSETS

Deferred tax assets are recognized in respect of tax losses to the extent that it is probable that future taxable profit will be available and can be utilized against such tax losses. Judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

2.16. DEFINED BENEFIT OBLIGATION

The cost of the defined benefit plans are determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, salary escalation rate, withdrawal rate, mortality rates, etc. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty.

2.17. PROVISIONS FOR LIABILITIES, COMMITMENTS AND CONTINGENCIES

The Bank may receive legal claims in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claims is uncertain, as is the amount of possible outflow of economic benefits. Timing and cost ultimately depends on the due processes in respective legal jurisdictions.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies other than those stated above that have significant effects on the amounts recognized in the financial statements are described in Note 4.28.

2.18. PRESENTATION OF FINANCIAL STATEMENTS

The assets and liabilities of the bank presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. Previous year's figures presented in the financial statements does not include the figures of merged/acquired entities.

2.19. OFFSETTING

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or to realize the assets and settle the liabilities simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by Nepalese Financial Reporting Standards or Interpretation (issued by the International Financial Reporting Interpretations Committee (IFRIC) and Standard Interpretations Committee (SIC)) and as specifically disclosed in the Significant Accounting Policies of the Bank.

2.20. MATERIALITY AND AGGREGATION

Each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately, unless they are immaterial as permitted by the Nepal Accounting Standard – NAS 1 on 'Presentation of Financial Statements'.

Notes to the Financial Statements are presented in a systematic manner which ensures the understandability and comparability of Financial Statements of the Bank. Understandability of the Financial Statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

3. SIGNIFICANT ACCOUNTING POLICIES-GENERAL

3.1. BASIS OF MEASUREMENT

The financial statements have been prepared under the historical cost convention, except for following material items stated in the Statement of Financial Position:

- Fair value and impairment of financial instruments
- Defined Benefit Obligation where, net liability for defined benefit obligations are recognized as the present value of the defined benefit obligation, less net total of the plan assets, plus recognized actuarial gains, less recognized past service cost and recognized actuarial losses.

3.2. BASIS OF CONSOLIDATION

a. Business Combination
The Group's Financial Statements comprise consolidation of the Financial Statements of the Bank and its Subsidiaries in accordance with the Nepal Accounting Standard - NFRS 10 (Consolidated Financial Statements).

During the year the Bank had acquired then Hathway Finance Company Ltd and merged with then Janata Bank Nepal Ltd, both institutions licensed by Nepal Rastra Bank (central bank of Nepal). With respect to differences in share swapping ratios arising out of the merger/acquisition, the same has been recognized into Capital Reserve as required under the Merger and Acquisitions Bylaws, 2073 issued by Nepal Rastra Bank and in this connection no goodwill or bargain gain has been measured in accordance with NFRS 3 "Business Combinations".

b. Non-Controlling Interest
Nepal Accounting Standard 27 (NAS 27) defines non-controlling interest as "the equity in a subsidiary not attributable, directly or indirectly, to a parent". The similar term **"minority interest"** was previously used in standards. Non-Controlling Interest (NCI) refers to ownership of a company which does not give the shareholder the control of the company.

c. Subsidiaries
Subsidiaries are entities that are controlled by the bank. The bank is presumed to control an entity when it is exposed or has rights to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. At each reporting date the Bank reassesses whether it controls an entity, if facts and circumstances indicate that there are changes to one or more elements of control mentioned above.

The Financial Statements of subsidiaries are fully consolidated from the date on which control is transferred to the bank and continue to be consolidated until the date when such control ceases. The Financial Statements of the bank's subsidiaries are prepared for the same reporting year as the bank, using consistent accounting policies.

d. Loss of Control
The loss of control of a subsidiary is a transaction or another event in which a parent company sells its controlling interest in a subsidiary to another party.

If a parent loses control of a subsidiary, the parent:

- derecognizes the assets and liabilities of the former subsidiary from the Consolidated Statement of Financial Position
- recognizes any investment retained in the former subsidiary when control is lost and subsequently accounts for it and for any amounts owed by or to the former subsidiary in accordance with relevant IFRSs. That retained interest is remeasured and the remeasured value is regarded as the fair value on initial recognition of a financial asset in accordance with NFRS 9 Financial Instruments or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture.
- recognizes the gain or loss associated with the loss of control attributable to the former controlling interest.

e. Transaction elimination on consolidation
All the intergroup transactions between subsidiary and parent are eliminated on preparing consolidated financial statements.

3.3. CASH AND CASH EQUIVALENTS
Cash and cash equivalents as referred to in the cash flow statement comprises of cash on hand, non–restricted balances with Nepal Rastra Bank, amounts due from financial institutions and investments with an original maturity of three months or less.

3.4. FINANCIAL INSTRUMENTS- INITIAL RECOGNITION AND SUBSEQUENT MEASUREMENT

3.4.1. Date of recognition
Financial Instruments, including loans and advances to customers and balances due from customers, are initially recognized on the trade date, i.e., the date that the Bank becomes a party to the contractual provisions of the instrument. This includes regular way trades: purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

Initial measurement of financial instruments
The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention when acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss.

3.4.2. Classification of Financial assets or liabilities
The Bank classifies its financial assets into the following measurement categories:

- those to be measured at fair value (either through other comprehensive income or through profit or loss); and
- those to be measured at amortized cost.

The classification depends on the Bank's business model for managing financial assets and the contractual terms of the financial assets' cash flows.

The Bank classifies its financial liabilities at amortized cost unless it has designated liabilities at fair value through profit or loss or is required to measure liabilities at fair value through profit or loss.

Held for trading assets and liabilities are recorded and measured in the statement of financial position at fair value. Changes in fair value are recognized in net trading income. Interest and dividend income or expense is recorded in net trading income according to the terms of the contract, or when the right to payment has been established.

3.4.3. Financial instruments measured at amortized cost

Financial instruments are measured at amortized cost where they have:

- contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and interest on the principal amount outstanding; and
- are held within a business model whose objective is achieved by holding to collect contractual cash flows.

These financial instruments are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the Effective Interest Rate (EIR) less impairment. The measurement of credit impairment is based on the incurred loss model described below in Note 3.6 Impairment of financial assets.

Financial instruments measured at amortized cost are included in Note 4.1 "Cash and cash equivalents", Note 4.2 "Due from Nepal Rastra Bank", Note 4.3 "Placements with Bank and Financial Institutions" Note 4.6 "Loans and advances to BFIs", Note 4.7 "Loans and advances to customers", Note 4.8 "Investment securities".

3.4.4. Financial instruments measured at fair value through other comprehensive income

a. Debt Instruments

Investments in debt instruments are measured at fair value through other comprehensive income when they have:

- contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and interest on the principal amount outstanding; and
- are held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets.

These debt instruments are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at fair value. Gains and losses arising from changes in fair value are included in other comprehensive income within a separate component of equity. Impairment losses or reversals, interest revenue and foreign exchange gains and losses are recognized in profit and loss. Upon disposal, the cumulative gain or loss previously recognized in other comprehensive income is reclassified from equity to the income statement.

b. Equity Instruments

Investment in equity instruments that are not held for trading are measured at fair value through other comprehensive income, where an irrevocable election has been made by management.

Amounts presented in other comprehensive income are not subsequently transferred to profit or loss. Dividends on such investments are recognized in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment.

3.4.5. Financial instruments measured at fair value through profit or loss

Instruments measured at fair value through profit or loss comprise:

- Instruments held for trading
- Instruments specifically designated as fair value through profit or loss on initial recognition; and
- Debt instruments with contractual terms that do not represent solely payments of principal and interest.

Financial instruments measured at fair value through profit or loss are initially recognized at fair value, with transaction costs recognized in the income statement as incurred. Subsequently, they are measured at fair value and any gains or losses are recognized in the income statement as they arise

a. Financial instruments held for trading

A financial instrument is classified as held for trading if it is acquired or incurred principally for the purpose of selling or repurchasing in the near term, or forms part of a portfolio of financial instruments that are managed together and for which there is evidence of short-term profit taking, or it is a derivative.

b. Financial instruments designated as measured at fair value through profit or loss

Upon initial recognition, financial instruments may be designated as measured at fair value through profit or loss. A financial asset may only be designated at fair value through profit or loss if doing so eliminates or significantly reduces measurement or recognition inconsistencies (i.e. eliminates an accounting mismatch) that would otherwise arise from measuring financial assets or liabilities on a different basis.

Classes of Financial Instruments

The bank classifies the financial instruments into the following classes as per NFRS 9.

Classification as defined by NFRS 9		Sub Class			Assets/ Liabilities
Financial Assets	Financial Assets at Fair Value Through Profit or Loss	Financial Assets Held for Trading	Debt Securities		NO
			Equity Securities		NO
		Designated at fair value through profit and loss	Debt Securities		NO
			Equity Securities		NO
	Financial Assets at Amortized Cost	Loans and Advances to Financial Institutions			YES
		Loans and Advances to Customers	Loans to Individuals	Overdrafts	YES
				Credit Cards	YES
				Term Loans	YES
				Mortgage Loans	YES
			Loans to Corporate Entities	Large Corporate Customers	YES
				SMEs	YES
				Others	YES
		Investment Securities –Debt Listed		NO	
				Unlisted	NO
		Other Receivables			YES
	Financial Assets at Fair Value through OCI	Investment Securities -Debt Listed		NO	
		Investment Securities -Equity		Listed	YES
				Unlisted	YES
Financial Liabilities	Financial Liabilities At Fair Value Through Profit or Loss	Financial Liabilities Held for Trading			NO
		Designated at fair value through profit and loss			NO
	Financial Liabilities at Amortized Cost	Deposits from Banks			YES
		Deposits from Customers		Retail Customers	YES
				Corporate Customers	YES
				SMEs	YES
				Others	YES
		Debt Securities Issued			YES
		Other Financial Liabilities			YES
Off- Balance Sheet Financial Instruments	Loan Commitments				YES
	Guarantees, Acceptance and Other Financial Liabilities				YES

3.4.6. Determination of fair value

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability or
- In the absence of principal market, in the most advantageous market for asset or liability.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- **Level 1 - financial instruments –** Those where the inputs used in the valuation are unadjusted quoted prices from active markets for identical assets or liabilities that the Bank has access to at the measurement date.

The bank considers markets as active only if there are sufficient trading activities with regards to the volume and liquidity of the identical assets or liabilities and when there are binding and exercisable price quotes available on the balance sheet date.

- **Level 2 - financial instruments –** Those where the inputs that are used for valuation are significant, are derived from directly or indirectly observable market data available over the entire period of the instrument's life. Such inputs include quoted prices for similar assets or liabilities in active markets, quoted prices for identical instruments in inactive markets and observable inputs other than quoted prices such as interest rates and yield curves, implied volatilities, and credit spreads. In addition, adjustments may be required for the condition or location of the asset or the extent to which it relates to items that are comparable to the valued instrument. However, if such adjustments are based on unobservable inputs which are significant to the entire measurement, the Bank will classify the instruments as Level 3.

- **Level 3 – financial instruments –** Those that include one or more unobservable input that is significant to the measurement as a whole

The bank evaluates the leveling at each reporting period on an instrument-by-instrument basis and reclassifies instruments when necessary based on the facts at the end of the reporting period. The bank also considers the following in measuring the fair value of financial assets.

a. Effective interest rate
The effective interest rate (EIR) is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate at a shorter period, to the net carrying amount of the financial asset or financial liability. The amortized cost of the financial asset or financial liability is adjusted if the Bank revises its estimates of payments or receipts. The adjusted amortized cost is calculated based on the original or latest re-estimated EIR and the change is recorded as 'Interest income' for financial assets and 'Interest expense' for financial liabilities. The accounting policies for the EIR method vary by instruments and are further explained in Notes:

- for 'Financial Assets Measured at Amortized Cost'
- for 'Financial assets measured at fair value through other comprehensive income '
- for 'Financial assets measured at fair value through other profit or loss '
- for 'Due from banks and loans and advances to customers'
- for 'Debt securities issued and other borrowed funds'

b. Day 1 profit or loss
When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique with the variables including only data from observable markets, the Bank immediately recognizes the difference between the transaction price and fair value (a Day 1 profit or loss) in net trading income. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognized in the income statement when the inputs become observable, or when the instrument is derecognized.

3.4.7. De recognition of financial assets and liabilities

a. Financial Assets
A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognized when the rights to receive cash flows from the asset have expired. The Bank also derecognizes the assets if it has both transferred the asset, and the transfer qualifies for de recognition.

The bank has transferred the asset if and only if, either:

- The bank has transferred its contractual rights to receive cash flows from the asset; Or
- It retains the rights to the cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass–through' arrangement.

A transfer only qualifies for de recognition if either:

- The bank has transferred substantially all the risks and rewards of the asset; or
- The bank has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

In relation to the above, bank considers the control to be transferred if, and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without needing to impose additional restrictions on the transfer. The bank also derecognizes a financial asset, in particular, a loan to customer when the terms and conditions have been renegotiated to the extent that it substantially became a new loan, with the difference recognized as impairment in the income statement.

b. Financial Liabilities
A financial liability is derecognized when the obligation under the liability is discharged, cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as de recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognized in profit or loss.

3.4.8. Reclassification of Financial Instruments
The bank may choose to reclassify its financial assets when and only when, an entity changes its business model for managing financial assets. When the

entity changes its business model all the affected financial assets are reclassified in accordance with Note 3.4. Financial assets measured at fair value through profit or loss will not be reclassified to other category.

Reclassifications are made at fair value as of the reclassification date. Fair value becomes the new cost or amortized cost as applicable, and no reversals of fair value gains or losses recorded before reclassification date are subsequently made. Effective interest rates for financial assets reclassified to financial assets measured at amortized cost are determined at the reclassification date. Further increases in estimates of cash flows adjust effective interest rates prospectively. The Bank has not made any reclassification among its financial assets from the initial recognition.

3.4.9. Impairment of financial assets

The bank assesses at the end of each reporting period whether there is any objective evidence that a financial asset or group of financial assets has impaired. A financial asset or group of financial assets is impaired and impairment losses are incurred if, and only if, there is an objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

Objective evidence that financial assets are impaired can include:

- significant financial difficulty of the obligor
- default or delinquency by a borrower
- breach of loan covenants or conditions, restructuring of a loan or advance
- indications that a borrower or issuer will enter bankruptcy,
- the disappearance of an active market for a security,
- deterioration in the value of collateral,
- or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers in the group, or economic conditions that correlate with defaults in the group.

In the case of equity investments classified as available for-sale, objective evidence would additionally include a significant or prolonged decline in the fair value of the instrument below its cost. The bank deems more than 20% decline below cost as "significant" and a decline for more than 6 months as "prolonged".

i. Financial assets carried at amortized cost

The bank's impairment methodology for financial assets carried at amortized cost, such as amounts due from banks, held to maturity investments comprises:

A. Specific impairment losses for individually significant or specifically identified exposures

B. Collective impairment of:
   i. Individually not significant exposures
   ii. Incurred but not yet identified losses

A. Specific impairment losses for individually significant or specifically identified exposures

It is the Bank's policy to regularly monitor its loan portfolio. For retail and consumer lending, a specific assessment is made on an individual basis for loans that are 180 days past due. For the corporate and small business portfolio impairment indicators include:

- internal rating of the borrower indicating default or near-default,
- the borrower requesting emergency funding from the Bank;
- the borrower having past due liabilities to public creditors or employees;
- a material decrease in the underlying collateral value where the sale of the financed asset is required to repay the loan;
- a material decrease in the borrower's turnover or the loss of a major customer;
- a material decrease in estimated future cash flows;
- any material facility at the debtor level falling beyond 90 past due;
- a covenant breach not waived by the Bank.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the assets carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognized in "Impairment charges for Loans" in the income statement.

Loans and advances together with the associated allowances are written off when there is no realistic prospect of future recovery and all collateral has been realized or has been transferred to the Bank. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced (but only up to the extent of the carrying amount had the impairment not been recognized) by adjusting the allowance account. If a future write–off is later recovered, the recovery is credited to the "Loan Impairment allowance".

B. Collective Impairment

For the purposes of a collective evaluation of impairment, financial assets are grouped on the basis of similar credit risk characteristics (that is, on the basis of the product characteristics, industry, past-due status and other relevant factors). Those characteristics are relevant to the estimation of future cash flows for groups of such assets by being indicative of the debtors' ability to pay all amounts due according to the contractual terms of the assets being evaluated.

Collective impairment losses reflect impairment losses that have been incurred in the performing portfolio but have not yet been identified by either the specific or collective assessment. These loans, similar to the 'individually not significant' exposures, are grouped into smaller homogenous portfolios by risk drivers. The methodology combines probability of default (PD), exposure at

the time of default (EAD) and loss given default (LGD) over the loss emergence period (the period between the loss event and the impairment being identified). The loss emergence period is determined and regularly monitored by the Bank for each portfolio.

ii. Financial assets carried at fair value through profit or loss

For financial assets carried at fair value through profit or loss, the bank assesses at each reporting date, whether there is objective evidence that an investment has impaired.

In the case of debt instruments classified as at fair value through profit or loss, the bank assesses individually whether there is objective evidence of impairment regarding a decline in estimated future cash-flows impacting the bank's ability to recover all cash flows. In case of equity instruments changes in fair values are charged to statement of profit or loss.

iii. Financial assets carried at fair value through other comprehensive income

For financial assets carried at fair value through other comprehensive income, the bank assesses at each reporting date, whether there is objective evidence that an investment has impaired.

In the case of debt instruments classified as at fair value through other comprehensive income, the following amortized cost information is presented in profit or loss:

- Interest revenue is calculated using the effective interest method that is applied to financial assets measured at amortized cost
- Foreign exchange gains and losses on the amortized cost are recognized in profit or loss
- Impairment gains and losses are derived using the same methodology that is applied to financial assets measured at amortized cost

The fair value gains and losses on these financial assets are recognized in other comprehensive income. When these financial assets are derecognized, the cumulative gains and losses previously recognized in other comprehensive income are not reclassified (i.e., 'recycled') from equity to profit or loss as a reclassification adjustment.

For equity instruments where the initial irrevocable option has been taken to measure the equity instruments at fair value through other comprehensive income, all changes in fair value are recognized in other comprehensive income.

Dividends received are recognized in the statement of profit or loss. When these financial assets are derecognized, the cumulative gains and losses previously recognized in other comprehensive income are not reclassified from equity to profit or loss.

3.5. TRADING ASSETS

A financial instrument is classified as trading assets if it is acquired or incurred principally for the purpose of selling or repurchasing in the near term, or forms part of a portfolio of financial instruments that are managed together and for which there is evidence of short-term profit taking, or it is a derivative.

3.6. DERIVATIVE ASSETS AND DERIVATIVE LIABILITIES

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorized as trading unless they are designated as hedging instruments. All derivatives are initially recognized and subsequently measured at fair value, with all revaluation gains recognized in income statement. Fair value is based on the quoted market price, quotes from brokers or dealers, or estimates based upon discounted expected cash flows as appropriate. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

3.7. PROPERTY AND EQUIPMENT

Property and equipment is stated at cost excluding the costs of day–to–day servicing less accumulated depreciation and accumulated impairment in value. Changes in the expected useful life are accounted for by changing the amortization period or methodology, as appropriate, and treated as changes in accounting estimates.

Subsequent expenditures are included in the asset's carrying amount or are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the bank and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred.

Depreciation on freehold land has not been calculated. Depreciation on other property and equipment is calculated using the straight–line method to allocate their cost to their residual values over their estimated useful lives. The estimated useful lives are included in Note 4.38 "Depreciation and Amortization"

3.8. GOODWILL AND INTANGIBLE ASSETS

An intangible asset is recognized only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the bank.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses. The useful lives of intangible assets are assessed to be either finite or indefinite.

3.9. INVESTMENT PROPERTY

Non-Banking Assets which are acquired as part of recovery of loans are classified as investment property and are carried at cost i.e. acquired value. The Bank's policy is to determine whether a repossessed asset can be best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred

to their relevant asset category at the repossessed value. Land and Building of repossessed collateral are classified as investment property. Assets for which selling is determined to be a better option are transferred to assets held for sale at their fair value or fair value less cost to sell for non-financial assets at the repossession date in line with the bank's policy.

3.10. INCOME TAX

i. Current tax
Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from, or paid to, the taxation authorities. The tax rates and tax laws used to compute the amount are rates applicable as per income tax act 2058.

Current income tax relating to items recognized directly in equity is recognized in equity and not in the statement of profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

ii. Deferred tax
Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences, except:

- Where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss

- In respect of taxable temporary differences associated with investments in subsidiaries, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it becomes probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Current and deferred taxes are recognized as income tax benefits or expenses in the income statement except for tax related to the fair value re measurement of available-for-sale assets, actuarial gains/losses, which are charged or credited to Other Comprehensive Income. These exceptions are subsequently reclassified from Other Comprehensive Income to the income statement together with the respective deferred loss or gain.

The bank only off-sets its deferred tax assets against liabilities when there is both a legal right to offset and it is the Bank's intention to settle on a net basis.

3.11. DEPOSITS, DEBT SECURITIES ISSUED AND SUBORDINATED LIABILITIES
Deposit from customers are the deposits accepted by bank from the individuals, corporate entities and other organized institutions. These deposits are in the form of saving, time, call, margin and demand. Deposit from customers are recognized when the funds reaches to the banks. These are measured at amortized cost using the effective interest rate.

Financial instruments issued by the bank that are not held for trading or designated at FVTPL, are classified as liabilities under 'Debt securities issued' where the substance of the contractual arrangement results in the Bank having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares.

After initial measurement, deposits, debt issued and other borrowings are subsequently measured at amortized cost using the EIR. Amortized cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR.

3.12. PROVISIONS
Provisions are recognized when the Bank has a present obligation (legal or constructive) as a result of past events, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. When the effect of the time value of money is material, the Bank determines the level of provision by discounting the expected cash flows at a pre-tax rate reflecting the current rates specific to the liability. The expense relating to any provision is presented in the income statement net of any reimbursement in other operating expenses.

3.13. REVENUE RECOGNITION

a. Interest Income
Interest income is booked on accrual basis using the effective interest rate (EIR) method. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset.

b. Fees and Commission Income
Fees and commission income earned from services that are provided over a certain period of time which includes fees and commission collected from issuance

of letter of credit, guarantees, and card related fees are recognized on time proportion basis.

c. Dividend Income
Dividend income from assets is recognized when the bank's right to receive the payment is established.

d. Net trading Income
All the gain/loss arising from change in fair value are recognized as net trading income.

e. Net income from other financial instrument at fair value through Profit or Loss
Changes in fair value for the financial instruments measured at fair value through profit or loss are recognized as net income from other financial instruments at FVTPL.

f. Net changes in financial instrument at fair value through Other Comprehensive Income
Changes in fair value of equity instruments and mutual funds which are measured at fair value through other comprehensive income are charged to Other Comprehensive Income

3.14. INTEREST EXPENSE
Interest expense is recorded using the effective interest rate (EIR) method. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial liability.

3.15. EMPLOYEE BENEFITS

a. Short Term Employee Benefits
Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. Benefits includes salaries, allowances, provident fund and annual staff bonus.

b. Long term Employee Benefits
Long term employee benefit obligations are measured on discounted basis using the actuarial valuation and are expensed over the service period of the employees. These benefits are gratuity and leave encashment which are settled at the time of resignation of staff or completion of service period of the employee.

3.16. LEASES
The determination of whether an arrangement is a lease, or contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets or whether the arrangement conveys a right to use the asset.

Bank as a lessee
Leases that do not transfer to the bank substantially the entire risks and benefits incidental to ownership of the leased items are operating leases. Operating lease payments are recognized as an expense in the income statement on a straight-line basis over the lease term. Contingent rental payable is recognized as an expense in the period in which they it is incurred.

3.17. FOREIGN CURRENCY TRANSLATION

a. Functional and presentation currency
Items included in the financial statements of each of the Bank's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency').The financial statements are presented in Nepalese Rupees, which is the Bank's presentation currency.

b. Transactions and balances
Transactions in foreign currencies are translated to the functional currency of the relevant Bank entity at the foreign exchange rate at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the foreign exchange rates at the respective reporting date. Non-monetary items that are measured at historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

The foreign currency gain or loss on monetary assets and liabilities is the difference between amortized costs in the functional currency at the beginning of the period, adjusted for interest accrued using the effective interest rate and payments during the period, and the amortized cost in foreign currency translated at the exchange rate at the end of the period.

Foreign exchange differences arising on translations are recognized in profit or loss, except for differences arising on translation on equity instruments measured at FVTOCI unless the difference is due to impairment in which case foreign currency differences that have been recognized in other comprehensive income are reclassified to profit or loss.

All foreign exchange gains and losses recognized in the income statement are presented on net basis in the statement of profit or loss within the corresponding item. Foreign exchange gains and losses on other comprehensive income items are presented in other comprehensive income within the corresponding item.

As at 31st Asar 2077, the principal rates of exchange used for translating foreign currency balance is NPR 120.20 to USD 1 (31st Asar 2076: NPR 109.85 to USD 1)

3.18. FINANCIAL GUARANTEE AND LOAN COMMITMENT
In the ordinary course of business, the bank issues financial guarantees, consisting of letters of credit, guarantees and acceptances. Financial guarantees are initially recognized in the financial statements at fair value, being the premium received. The premium received is recognized in the income statement in net fees and commission income on a straight line basis over the life of the guarantee.

3.19. SHARE CAPITAL AND RESERVES

Share capital is increased when dividends in form of scrip are paid to the shareholders. Proposed bonus shares are not shown as increment to share capital until approval by annual general meeting. Reserves are the accumulation of profit over the years which comprises of statutory reserves and regulatory reserve created with the direction of Nepal Rastra Bank and the retained earnings after the allocation of statutory reserve and distribution of dividend to shareholders.

3.20. EARNINGS PER SHARE INCLUDING DILUTED

The Bank presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary equity of the Bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity share holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares, if any.

3.21. SEGMENT REPORTING

An operating segment is a component of the Bank that engages in business activities from which it may earn revenue and incur expenses, including revenue and expenses that relate to transactions with any of the Bank's other components, whose operating results are reviewed regularly by the chief operating decision maker to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available. For management purpose, the bank has identified seven province as operating segments. The detail disclosure regarding segment reporting are reported in Notes 5.4.

3.22. IMPAIRMENT OF NON-FINANCIAL ASSETS

The bank assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the bank estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating Unit's fair value less costs to sell and its value in use. Where the carrying amount of an asset or Cash Generating Unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre–tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used.

For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the bank estimates the asset's or CGU's recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the income statement.

3.23. LOANS AND ADVANCES TO CUSTOMERS

Loans and advances to customers include non-derivative financial assets with fixed or determinable payments and are solely for the purpose of collecting contractual cash flows and are not quoted in an active market and are measured at amortized cost using the effective interest rate (EIR) method less allowance for impairment. Amortized cost is not calculated by taking into account of any discounts/ premium, fees and costs on acquisition.

3.24. COLLATERAL VALUATION

The bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting agreements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Bank's annual reporting schedule.

To the extent possible, the bank uses active market data for valuing financial assets held as collateral. Other financial assets which do not have readily determinable market values are valued using models. Non-financial collateral, such as real estate, is valued based on data provided by third parties such as valuators, government published price indices, audited financial statements, and other independent sources.

3.25. INVESTMENT IN SUBSIDIARY

Subsidiaries are entities that are controlled by the bank. The bank is presumed to control an entity when it is exposed or has rights to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. At each reporting date the Bank reassesses whether it controls an entity if facts and circumstances indicate that there are changes to one or more elements of control mentioned above.

The Financial Statements of subsidiaries are fully consolidated from the date on which control is transferred to the bank and continue to be consolidated until the date when such control ceases. The Financial Statements of the bank's subsidiaries are prepared for the same reporting year as per the bank, using consistent accounting policies.

3.26. INVESTMENT IN ASSOCIATES

An associate is an entity over which the Bank has significant influence but not control. Significant influence is the power to participate in the financial and operating policy decisions of the investee but does not have control or joint control over these policies. The Bank's

investments in associates, are accounted at cost as per NAS 28 "Investment in Associates and Joint Ventures" and with the principles of NAS 27 "Separate Financial Statements" and the carve out issued by Institute of Chartered Accountants of Nepal. The carve out gives the exemptions for equity accounting under consolidated financial statements where the financial statements of associates are not prepared using uniform accounting policy of the bank. Equity accounting is based on the profit reported by associate entities on their financial statements using the policy disclosed in the financial statements.

3.27. DIVIDEND ON ORDINARY SHARES

Dividend on ordinary shares are recognized as a liability and deducted from equity when they are approved by the Bank's shareholders, through annual general meeting. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

3.28. CASH FLOW STATEMENT

The cash flow statement has been prepared using 'The Direct Method', whereby gross cash receipts and gross cash payments of operating activities, finance activities and investing activities have been recognized.

3.29. CARVE OUT TAKEN BY BANK FROM CARVE OUT ISSUED BY INSTITUTE OF CHARTERED ACCOUNTANTS OF NEPAL

i. Calculation of Effective Interest rate

Transaction cost and fees incurred and received in obtaining deposits and lending to customers are not included in calculating the effective interest rate. Those costs and fees are not of material item and the effect of these will not materially differ in the original effective interest rate and re-calculated effective interest rate. This carve out applies till FY 2019-20.

ii. Incurred loss model to measure the Impairment Loss on Loans and advances.

Bank has applied carve out which mandate for providing loss allowance for loans and advances as per the directive issued by Nepal Rastra Bank.

iii. Accounting for Investment in Associates as per equity method using uniform accounting policies.

Investments in associates has been measured as per equity method using the reported profit of the associates at the year end. Carve out has been applied for the same where the entity's financials statements shall be prepared using uniform accounting policies for like transactions and events in similar circumstances unless, it is impracticable to do so. This carve out applies till FY 2019-20.

4. NOTES TO CONSOLIDATED FINANCIAL STATEMENT

4.1. CASH AND CASH EQUIVALENT

Cash and cash equivalents include cash in hand, balance with local and foreign financial institution and money at call and short notice. Cash and cash equivalents are carried at amortised cost in the Statement of Financial Position.

Bank has classified financial investments with original maturities of less than three months as cash and cash equivalents. These investments are investments in treasury bills and placements with local financial institutions and foreign financial institutions which are considered highly liquid and held for the purpose of managing short term commitments of the Bank. Interest accrued on these cash and cash equivalents are also included in cash and cash equivalents.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
cash in hand	5,249,181,431	3,049,801,775	5,246,317,894	3,049,613,781
balance with financial institution	3,878,776,808	1,664,565,459	3,476,116,950	1,272,490,242
money at call and short notice	-	-	-	-
other cash and cash equivalent	11,648,454,265	7,229,452,866	11,361,223,949	7,209,452,866
	20,776,412,504	**11,943,820,100**	**20,083,658,794**	**11,531,556,889**

4.2. DUE FROM NEPAL RASTRA BANK

Due from Nepal Rastra Bank includes the balance maintained with Nepal Rastra Bank in local currency and convertible foreign currency. Theses balance are also used in maintaining the cash reserve and liquidity ratio required by Nepal Rastra Bank. As required by the Directives no. 13 (Mandatory Cash Reserve and Statutory Liquidity Ratio) issued by Nepal Rastra Bank, minimum cash balance is maintained with the Nepal Rastra Bank. As at 31st Asar 2077, the minimum cash reserve requirement was 3 % (2076: 4 %) of the total local currency deposit liabilities.

As at 31st Asar 2077, the statutory liquidity ratio to be maintained was 10 % (2076: 10 %) of the local currency deposit liabilities. For the purpose of calculating statutory liquidity ratio mandatory cash reserve can also be included. Balances with Nepal Rastra Bank are carried at amortised cost in the Statement of Financial Position.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
statutory balance with Nepal Rastra Bank	11,803,412,752	5,239,466,652	11,775,494,215	5,217,312,678
securities purchased under resale agreement	-	-	-	-
other deposit and receivable from NRB	-	-	-	-
	11,803,412,752	**5,239,466,652**	**11,775,494,215**	**5,217,312,678**

4.3. PLACEMENT WITH BANK AND FINANCIAL INSTITUTIONS

Placement with bank and financial institutions are the inter bank deposits within Nepal and outside Nepal placed for short term. This includes placements in nepalese rupees and foreign currency within the commercial bank of Nepal and foreign currency placements with international banks outside Nepal. Placements with maturities of less than 3 months are classified as cash and cash equivaleents as these are highly liquid in nature. Placements are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and are measured at amortised cost using the EIR, less provision for impairment, except when the bank designates placements at fair value through profit or loss.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
placements				
with domestic B/FIs Nepal	2,500,000	40,000,000	-	-
with foreign B/FIs	-	-	-	-
less: allowances for impairment	-	-	-	
	2,500,000	**40,000,000**	**-**	**-**

4.4. DERIVATIVE FINANCIAL INSTRUMENTS

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorised as trading unless they are designated as hedging instruments.

All derivatives are initially recognised and subsequently measured at fair value, with all revaluation gains recognised in income statement. Fair value is based on the quoted market price, quotes from brokers or dealers or estimates based upon discounted expected cash flows as appropriate. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Held for trading				
interest rate swap	-	-	-	-
currency swap	-	-	-	-
forward exchange contract	-	-	-	-
others	-	-	-	-
Held for risk management		-	-	-
Interest rate swap	-	-	-	-
Currency swap	-	-	-	-
forward exchange contract assets	8,876,123,504	4,112,517,152	8,876,123,504	4,112,517,152
others	-	-		
	8,876,123,504	**4,112,517,152**	**8,876,123,504**	**4,112,517,152**

4.5. OTHER TRADING ASSETS

Trading assets are securities held by bank for the purpose of resselling them for profit. These assets include treasury bills, government and NRB bonds, equities, mutual fund units and other securities held for trading. These assets are initially recorded at fair value and are subsequently measured at fair value through profit or loss with any realized and unrealized gains and losses included in net trading income. The bank has not acquired any assets with the intention of trading them in short term.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Teasury bills	-	-	-	-
Government bonds	-	-	-	-
NRB Bonds	-	-	-	-
Domestic Corporate bonds	44,472,452	5,000,000	-	-
Equities	445,392,327	378,381,622	-	-
Other	895,000	-	-	-
	490,759,779	383,381,622	-	-
Pledged			-	-
Non-pledged	490,759,779	383,381,622	-	-
	490,759,779	**383,381,622**	**-**	**-**

4.6. LOANS AND ADVANCES TO BANKS AND FINANCIAL INSTITUTIONS

Loans and advances to banks and financial institutions includes loans provided to class "D" financial institutions and cooperatives as classified under deprived sector as directed by Nepal Rastra Bank. These loans are in the form of short term lending or term loan. These loans are initially measured at fair value and subsequently measured at amortized cost using effective interest rate.

Loan loss provisions on loans and advances to banks and financial institutions are provided on the basis of directives issued by Nepal Rastra Bank. These loans are categorised under pass, watchlist, sub-standard, doubtful and loss category for providing the loan loss provisions.The loan loss provision provided are the percentage of total loan outstanding on the basis of their overdue days and other criteria set out in the directive number 2 issued by Nepal Rastra Bank.

Using the principles of NFRS, Loan loss provision are calculated separately. Bank has applied both collective and individual assessment for calculating the impairment for loans and advances to banks and financial institutions. Loans and advances to banks and financial institutions are individulally tested for impairment. No any specific impairment has occur for the year and the previous years. Collective impairment also did not occur for loans and advances to BFIs as no historical loss ratio exists for such loans and advances. Loans to microfinance institutions and others include interest income accrued on such loans.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Loans to microfinance institutions	6,063,717,445	3,497,384,830	7,525,814,586	4,048,725,415
Others	223,600,366	46,840,664	223,600,366	46,840,664
Less: Allowances for Impairment	(62,757,461)	(35,419,070)	(77,378,433)	(40,932,476)
	6,224,560,350	**3,508,806,424**	**7,672,036,520**	**4,054,633,604**

4.6.1: Allowances for impairment

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Balance at Sawan 1	35,419,070	32,938,907	40,932,475	35,938,907
Impairment loss for the year:				
Transfer from Merger/Acquisition	18,078,722	-	18,078,722	-
Charge for the year	9,259,669	6,766,824	18,367,234	9,280,230
Recoveries/reversal	-	(4,286,661)	-	(4,286,661)
Amount written off	-	-	-	-
Balance at Asar end	**62,757,461**	**35,419,070**	**77,378,432**	**40,932,475**

4.7. LOANS AND ADVANCES TO CUSTOMERS

Loans and advances to customers comprises of non-derivative financial assets with fixed or determinable payments that are not quoted in an active market which includes short term lending, term based lending, hire purchase lending, mortgage lending, personal lending, loans to employees and others. Loans and advances are initially measured at fair value and subsequently measured at amortised cost.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. Bank has not taken in account to calculate the upfront service fees collected on the individual loans to customers as the upfront service fees collected in terms of term based loans are less than 1% of the loan amount. Total income from service fees earned from term based loan is not material to the net interest earned by the bank. As per NAS 1 these service fees are taken to the income and not taken for recalculating the EIR of loans on the basis of materiality.

Loan loss provisions on loans and advances to customers are provided on the basis of directive number 2 issued by Nepal Rastra Bank. These loans are categorised under pass, watchlist, sub-standard, doubtful and loss category and provisions are made accordingly. Loan loss provisions are provided on the basis of percentage of total loan outstanding or on the basis of their overdue days or other criteria set out in the directives of Nepal Rastra Bank.

Staff loans which are fair valued at initial recognition and subsequently measured at amortized cost are included in loans and advances to customers measured at amortized cost. Loans and advances to customers include accrued interest on these loans.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Loan and advances measured at amortized cost	199,117,529,514	113,958,665,684	195,432,483,944	110,699,769,129
Less: Allowances for Impairment				
Collective impairment	(3,064,667,012)	(1,263,477,712)	(2,941,552,108)	(1,231,075,705)
Individual impairment	(2,154,079,246)	(499,893,695)	(2,154,079,246)	(491,085,738)
Net amount	**193,898,783,257**	**112,195,294,276**	**190,336,852,590**	**108,977,607,686**
Loan and advances measured at FVTPL				-
Total	**193,898,783,257**	**112,195,294,276**	**190,336,852,590**	**108,977,607,686**

Impairment of loans and advances to customers under NFRS

Bank applies the principles of incurred loss model set out in NAS 39 for measurement of impairment of loans and advances to customers.

Impairment of individually assessed loans

Bank has reviewed its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided in the Statement of profit or loss. The bank has assessed more than 40% of its total loan portfolio for the specific impairment of individually significant loans under the five loan products namely hire purchase loans, home loans, term loans, mortgage loans and short term loans. All the possible objective evidence are assessed on such significant loans which the bank has designed in assessing the specific impairment tests. Reasonable estimates and assumptions are made on assessing the objective evidence, so that there is no understatement or overstatement of the impairment amount on the individually assessed loans.

Bank reviews its non-performing loans and receivables at each reporting date to assess whether an allowance for impairment should be recorded in the statement of comprehensive income. In particular, the judgment of the management is required in estimating the amount and timing of future cash flows when determining the level of allowance required. Such estimates are based on assumptions about a number of factors, and actual results may differ, resulting in future changes to the allowance.

Additionally the bank has conducted specific assessment on the 100% provisioned loans as per NRB directives. These assessments are made on the judgment and estimates of the management for the amount and timing of future cash flow recovery from such loans on the basis of the security value possessed and the projected cash flows to be received from such loans.

Impairment of collectively assessed loans

All other loans where no specific impairment is established are assessed collectively based on the products which bear similar type of risk characteristics. The bank has segregated five major products with similar risk characteristics namely:

a. Hire Purchase Loans
b. Home Loans
c. Mortgage Loans
d. Short term Loans
e. Term Loans

Collective impairment losses reflect impairment losses that have been incurred in the performing portfolio but have not yet been identified by either the specific or collective assessment. Collective assessment is performed on the net flow rate method where the bank assesses the movements of outstanding principal as per overdue days. This establishes the bank's historical trend for the amount of loans moving to default zone from the issue of loans. The bank has identified default zone as 180 days. The methodology combines probability of default (PD), exposure at the time of default (EAD) and loss given default (LGD) over the loss emergence period (the period between the loss event and the impairment being identified).

Impairment amount calculated with the principles of NAS 39 are as below:

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Impairment under NFRS				
Collective impairment	-	-	1,946,626,260	246,233,481
Individual impairment	-	-	212,844,454	52,690,166
Total Impairment under NFRS	**-**	**-**	**2,159,470,714**	**298,923,647**
Loan Loss Provision under NRB	**-**	**-**	**5,095,631,354**	**1,722,161,443**

4.7.1. Analysis of Loans and Advances – By Product

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Product				
Term loans	46,337,639,445	17,012,805,191	42,712,088,088	17,012,805,191
Overdraft	41,923,673,689	25,509,904,970	41,923,673,689	25,509,904,970
Trust receipt/Import loans	11,473,664,167	5,204,348,947	11,473,664,167	5,204,348,947
Demand and other working capital loans	39,974,314,547	28,281,864,623	39,974,314,547	28,281,864,623
Personal residential loans	17,051,747,119	11,291,383,978	17,051,747,119	11,291,383,978
Real estate loans	4,703,791,582	3,820,381,541	4,703,791,582	3,820,381,541
Margin lending loans	2,205,665,529	1,948,823,187	2,205,665,529	1,948,823,187
Hire purchase loans	11,353,757,981	7,981,576,779	11,353,757,981	7,981,576,779
Deprived sector loans	3,130,541,981	1,379,362,573	3,130,541,981	1,379,362,573
Bills purchased	-	-	-	-
Staff loans	1,244,638,579	459,865,018	1,244,638,579	459,865,018
Other	17,738,930,578	10,766,325,719	17,738,930,578	7,536,746,994
Sub total	**197,138,365,196**	**113,656,642,525**	**193,512,813,839**	**110,427,063,800**
Interest Receivable	1,979,164,318	302,023,158	1,919,670,104	272,705,329
Grand total	**199,117,529,514**	**113,958,665,683**	**195,432,483,944**	**110,699,769,129**

4.7.2. Analysis of loan and advances – By Currency

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Nepalese rupee	188,581,197,264	109,448,535,157	184,955,645,907	106,218,956,432
Indian rupee			-	-
United State dollar	8,557,167,933	4,208,107,368	8,557,167,933	4,208,107,368
Great Britain pound			-	
Euro			-	
Japenese yen			-	
Chinese yuan			-	
Other			-	
Sub total	**197,138,365,196**	**113,656,642,525**	**193,512,813,839**	**110,427,063,800**

4.7.3. Analysis of loan and advances – By Collateral

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Secured				
Movable/immovable assets	174,511,815,110	96,277,075,430	173,613,922,495	96,277,075,430
Gold and silver	50,886,696	-	50,886,696	-
Guarantee of domestic B/FIs	-	-	-	-
Government guarantee	22,385,806	-	22,385,806	-
Guarantee of international rated bank	-	-	-	-
Collateral of export document	-	-	-	-
Collateral of fixed deposit receipt	568,779,073	488,451,765	568,779,073	488,451,765
Collateral of Governement securities	-	152,908,761	-	152,908,761
Counter guarantee	-	4,247,689	-	4,247,689
Personal guarantee	472,527,487	265,254,889	472,527,487	265,254,889
Other collateral	21,511,971,024	16,468,703,991	18,784,312,282	13,239,125,266
Sub total	**197,138,365,196**	**113,656,642,525**	**193,512,813,839**	**110,427,063,800**
Unsecured				-
Grand Total	**197,138,365,196**	**113,656,642,525**	**193,512,813,839**	**110,427,063,800**

4.7.4. Allowances for Impairment

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Specific allowances for impairment				
Balance at Shrawan 1	491,085,738	529,416,851	491,085,738	529,416,851
Impairment loss for the year:			-	-
Transfer from Merger/Acquisition	722,894,258	-	722,894,258	-
Charge for the year	940,099,250	209,781,192	940,099,250	209,781,192
Recoveries/reversal during the year	-	(248,112,305)	-	(248,112,305)
Write-offs			-	
Exchange rate variance on foreign currency impairment			-	
Other movement			-	
Balance at Asar end	**2,154,079,246**	**491,085,738**	**2,154,079,246**	**491,085,738**
Collective allowances for impairment				
Balance at Shrawan 1	1,272,285,669	1,015,840,917	1,231,075,705	999,551,079
Impairment loss for the year:				
Transfer from Merger/Acquisition	714,516,275.43	-	714,516,275.43	-
Charge for the year	1,077,865,067	684,361,733	995,960,128	659,441,606
Recoveries/reversal during the year	-	(427,916,980)	-	(427,916,980)
Exchange rate variance on foreign currency impairment				
Other movement				
Balance at Asar end	**3,064,667,011**	**1,272,285,669**	**2,941,552,108**	**1,231,075,705**
Total Allowances for impairment	**5,218,746,257**	**1,763,371,407**	**5,095,631,354**	**1,722,161,443**

4.8. INVESTMENT SECURITIES

Investment in securities comprises of Investments in government securities like development bonds, treasury bills, Nepal Rastra Bank bonds, deposit instruments with Nepal Rastra Bank, equity instruments and units of mutual funds and others. Investment securities like are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the Effective Interest Rate (EIR) less impairment.

All the listed ordinary equity shares and mutual fund units are measured at fair value using Level 1 input as described in NAS 13 "Fair Value Measurement". Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. For the promoter shares where the quoted prices cannot be accessed at the measurement date, they are at cost. All of unquoted equity securities are recorded at cost since it is the most reasonable value available to represent the market value of these investments at the reporting date. Management carried out an impairment assessment of the unquoted share investments held by the Bank and concluded that no impairment is required as there is no evidence for a permanent decline in value of the investment. Changes in fair vaue of mutual fund investments are recognised in other comprehensive income as fair value change.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Investment securities measured at amortized cost	24,710,641,040	11,630,482,174	24,696,551,040	11,630,482,174
Investment securities measured as at FVTOCI	1,719,704,092	1,534,504,317	1,704,850,352	1,522,669,818
	26,430,345,133	**13,164,986,491**	**26,401,401,393**	**13,153,151,992**

4.8.1. INVESTMENT SECURITIES MEASURED AT AMORTIZED COST

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
debt securities	14,090,000	-	-	-
government bonds	22,320,067,079	9,024,432,215	22,320,067,079	9,024,432,215
government treasury bills	2,376,483,962	2,606,049,959	2,376,483,962	2,606,049,959
nepal rastra bank bonds	-	-	-	-
nepal rastra bank deposit instruments	-	-	-	-
	24,710,641,040	**11,630,482,174**	**24,696,551,040**	**11,630,482,174**
Less: specific allowances for impairment			-	-
Total	**24,710,641,040**	**11,630,482,174**	**24,696,551,040**	**11,630,482,174**

4.8.2. Investment in equity measured at fair value through other comprehensive income

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Equity Instruments				
unquoted equity instruments	1,337,628,400	1,367,087,062	1,336,628,400	1,366,087,062
quoted equity instruments	162,784,442	31,525,117	162,155,702	31,165,618
Mutual Funds	**219,291,250**	**135,892,138**	**206,066,250**	**125,417,138**
	1,719,704,092	**1,534,504,317**	**1,704,850,352**	**1,522,669,818**

4.8.3. Information relating to investmennt in quoted equities

4.8.3.1 Investment securities measured at FVTPL

Amount in Rs.

	GROUP						BANK					
	CURRENT YEAR			PREVIOUS YEAR			CURRENT YEAR			PREVIOUS YEAR		
	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE
Quoted Equity Investments												
Agricultural Development Bank Ltd.	3,337	1,250,460	1,284,745	7,500	3,128,020	3,067,500	-	-	-	-	-	-
Api Power Company Ltd.	20,726	2,561,505	2,238,408	37	5,336	5,291	-	-	-	-	-	-
Arun Kabeli Hydropower Company Ltd.	35,986	4,629,499	4,174,376	-	-	-						
Arun Valley Hydropower Development Co. Ltd.	108,524	11,852,569	10,092,732	39,770	5,294,335	4,414,470	-	-	-	-	-	-
Asian Life Insurance Co. Ltd	-	-	-	600	232,349	229,800	-	-	-	-	-	-
Bank of Kathmnadu Ltd	39,017	10,478,134	8,544,723	10,890	3,388,037	2,776,950	-	-	-	-	-	-
Butwal Power Company Ltd.	72,612	28,640,327	26,067,708	76,252	33,395,324	31,187,068	-	-	-	-	-	-
Century Commercial Bank Ltd.	15,065	2,636,319	2,485,725	10	1,730	1,770	-	-	-	-	-	-
Chhimek Laghubitta Bikas Bank Ltd.	839	627,387	914,510	3,223	3,057,095	3,061,850	-	-	-	-	-	-
Chilime Hydropower Company Ltd.	82,098	38,928,303	32,675,004	45,119	26,485,789	23,506,999	-	-	-	-	-	-
Citizaen Investment Trust.	298	620,608	723,544	100	250,433	242,900	-	-	-	-	-	-
Citizens Bank International Ltd.	8,000	1,480,932	1,504,000	-	-	-	-	-	-	-	-	-
Civil Bank Ltd.	-	-	-	2,626	387,808	414,908	-	-	-	-	-	-
Deprosc Development Bank Ltd.	1,611	1,179,582	1,395,126	10,081	8,819,086	7,278,482	-	-	-	-	-	-
Everest Bank Ltd.	4,113	3,327,112	2,776,275	7,583	6,497,071	5,050,278	-	-	-	-	-	-
First Micro Finance Development Bank Ltd.	1	491	555	8,005	3,426,161	3,001,875	-	-	-	-	-	-
Forward Community Microfinance Bittiya Sansthan Ltd.	1,002	1,353,333	1,602,198	3,391	5,547,733	4,503,248	-	-	-	-	-	-
Garima Bikas Bank Ltd.	2,240	520,279	499,520	-	-	-	-	-	-	-	-	-
Global IME Laghubitta Bittiya Sanstha Ltd.	33	35,435	43,494	97	238,241	116,594	-	-	-	-	-	-
Guheshowori Merchant Bank & Finance Co. Ltd.	2,000	237,359	246,000	23,512	2,964,565	3,080,072	-	-	-	-	-	-
Guras Life Insurance Co. Ltd.	1	389	465	5,144	3,875,028	2,391,960	-	-	-	-	-	-
Gurkhas Finance Ltd.	26,210	4,205,554	3,171,410	11,032	2,206,452	1,334,872	-	-	-	-	-	-
Himalayan Bank Ltd.	4,768	2,628,574	2,574,720	4,059	2,468,011	2,240,568	-	-	-	-	-	-
Himalayan Distillery Ltd.	628	946,779	1,004,172	-	-	-	-	-	-	-	-	-
Hydroelectricity Investment and Dev. Co. Ltd .	6,098	866,312	811,034	1,934	306,401	311,374	-	-	-	-	-	-
ICFC Finance Company Ltd.	2,479	452,112	428,867	9,580	1,679,665	1,609,440	-	-	-	-	-	-
IME General Insurance Ltd.	1,500	604,119	658,500	-	-	-	-	-	-	-	-	-
Joshi Hydropower Development Co Ltd.	8,960	584,759	448,000	1,040	98,104	80,080	-	-	-	-	-	-
Jyoti Bikas Bank Ltd.	11,141	2,021,912	1,849,406	500	83,997	81,500	-	-	-	-	-	-
Kabeli Bikas Bank Ltd.	-	-	-	3,461	1,080,349	622,980	-	-	-	-	-	-
Kailash Bikas Bank Ltd.	-	-	-	1,000	233,342	238,000	-	-	-	-	-	-
Kumari Bank Ltd.	19,152	4,104,595	3,562,272	12,038	2,660,085	2,648,360	-	-	-	-	-	-
Laxmi Bank Ltd.	3,635	797,698	759,715	6,357	1,445,378	1,436,682	-	-	-	-	-	-
Lumbini Bikas Bank Ltd.	3,214	571,559	581,734	7,196	1,433,402	1,417,612	-	-	-	-	-	-
Lumbini General Insurance Ltd.	81	34,437	36,693	-	-	-	-	-	-	-	-	-

contd... Investment securities measured at FVTPL

contd... Investment securities measured at FVTPL

Amount in Rs.

	GROUP						BANK					
	CURRENT YEAR			PREVIOUS YEAR			CURRENT YEAR			PREVIOUS YEAR		
	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE
Machhapuchhre Bank Ltd.	17,859	4,865,009	3,928,980	9,003	2,643,892	2,376,792	-	-	-	-	-	-
Mahila Sahayatra Laghubitta Bittiya Sanstha Ltd.	2,252	1,666,335	1,711,520	1,025	990,288	452,025	-	-	-	-	-	-
Mega Bank Ltd.	2,238	501,919	465,504	-	-	-	-	-	-	-	-	-
Mero Microfinance Laghubitta Bittiya Sanstha Ltd.	3,096	2,060,771	2,086,704	-	-	-	-	-	-	-	-	-
Mission Development Bank Ltd.	-	-	-	7,060	1,754,777	1,143,720	-	-	-	-	-	-
Mithila Laghubitta Bittiya Sanstha Ltd.	-	-	-	243	119,628	97,929	-	-	-	-	-	-
Mountain Hydro Nepal Ltd.	170	14,745	13,430	-	-	-	-	-	-	-	-	-
Muktinath Bikas Bank Ltd.	12,381	3,958,187	3,862,872	10,220	4,016,919	3,781,400	-	-	-	-	-	-
Nabil Bank Ltd.	1,757	1,320,318	1,344,105	5,854	4,561,414	4,683,200	-	-	-	-	-	-
National Hydro Power Company Ltd.	63,503	4,470,084	3,365,659	31,634	2,500,949	2,024,576	-	-	-	-	-	-
National LIfe Insurance Company Ltd.	43,705	33,417,462	28,932,710	11,314	9,884,563	6,618,690	-	-	-	-	-	-
NB Insurance Co. Ltd.	-	-	-	10,418	4,455,047	3,802,570	-	-	-	-	-	-
Neco Insurance Co. Ltd.	250	138,899	151,750	-	-	-	-	-	-	-	-	-
Nepal Bangladesh Bank.	13,218	3,057,155	2,762,562	1,849	434,022	410,478	-	-	-	-	-	-
Nepal Bank Ltd.	70,743	19,369,856	17,615,007	67,159	19,724,490	22,565,424	-	-	-	-	-	-
Nepal Credit And Commercial Bank Ltd.	2,000	400,274	372,000	1,172	307,668	288,312	-	-	-	-	-	-
Nepal Doorsanchar Company Ltd.	-	-	-	6,364	4,495,159	4,410,252	-	-	-	-	-	-
Nepal Grameen Bikas Bank Ltd.	-	-	-	22,245	10,102,885	8,008,200	-	-	-	-	-	-
Nepal Insurance Company Ltd.	144	60,128	63,216	11,855	4,949,888	4,196,670	-	-	-	-	-	-
Nepal Investment Bank Ltd.	87,464	37,338,013	31,749,432	43,607	22,274,224	20,408,076	-	-	-	-	-	-
Nepal Life Insurance Co. Ltd.	4,987	6,227,080	6,283,620	1,260	1,244,064	1,135,260	-	-	-	-	-	-
Nepal Reinsurance Co. Ltd.	302,363	30,236,331	76,195,476	302,363	30,236,300	30,236,300	-	-	-	-	-	-
Nepal SBI Bank Ltd.	168	77,550	73,080	2,800	1,370,002	1,313,200	-	-	-	-	-	-
Ngadi Group Power Ltd.	9,554	1,399,687	1,098,710	-	-	-	-	-	-	-	-	-
NIC Asia Bank Ltd.	10,600	6,338,013	5,861,800	-	-	-	-	-	-	-	-	-
NLG Insurance Company Ltd.	693	426,537	455,301	105	-	80,010	-	-	-	-	-	-
NMB Bank Ltd.	15,237	6,404,269	6,049,089	9,597	3,435,350	3,666,054	-	-	-	-	-	-
NMB Laghubitta Bittiya Sanstha Ltd.	501	353,857	404,808				-	-	-	-	-	-
Orinetal Hotal Ltd.	18,192	7,881,508	5,985,168	19,537	11,402,899	11,858,959	-	-	-	-	-	-
Panchakanya Mai Hydropower Ltd.	1,110	109,819	78,810	670	74,619	73,700	-	-	-	-	-	-
Prabhu Bank Ltd.	4,998	1,288,256	1,149,540	115,466	32,966,327	30,713,956	-	-	-	-	-	-
Prudential Insurance Co. Ltd.	5,000	2,931,134	2,465,000	-	-	-	-	-	-	-	-	-
Prime Commercial Bank Ltd.	37,575	11,445,323	9,581,625	7,593	2,308,888	2,110,854	-	-	-	-	-	-
Radhi Bidhyut Company Ltd.	-	-	-	233	37,096	34,717	-	-	-	-	-	-
Rastriya Beema Company Ltd.	3,832	37,277,518	31,177,152	2,519	26,217,625	22,361,163	-	-	-	-	-	-
Ridhi Hydropower Co. Ltd.	45,597	4,129,348	3,830,148	16,852	1,677,859	1,516,680	-	-	-	-	-	-
RSDC Laghubitta Bittiya Sanstha Ltd.	-	-	-	7,085	4,031,914	2,430,155	-	-	-	-	-	-
Sagarmatha Insurance Co.Ltd.	-	-	-	3,329	2,507,548	2,014,045	-	-	-	-	-	-

contd... Investment securities measured at FVTPL

contd... Investment securities measured at FVTPL

Amount in Rs.

	GROUP						BANK					
	CURRENT YEAR			PREVIOUS YEAR			CURRENT YEAR			PREVIOUS YEAR		
	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE
Sahara Bikas Bank Ltd.	158	72,680	72,680	158	72,680	72,680	-	-	-	-	-	-
Sana Kisan Bikas Bank Ltd.	1,208	1,149,736	1,571,608	4,432	4,522,654	4,201,536	-	-	-	-	-	-
Sanima Bank Ltd.	5,398	1,887,694	1,781,340	24,939	9,875,137	8,678,772	-	-	-	-	-	-
Sanima Mai Hydropower Ltd.	16,709	3,949,385	3,726,107	9,492	2,448,965	2,325,540	-	-	-	-	-	-
Saptakoshi Development Bank Ltd.	26,910	4,564,536	3,229,200	-	-	-	-	-	-	-	-	-
Shangrila Development Bank Ltd.	1,266	187,177	189,900	-	-	-	-	-	-	-	-	-
Shikhar Insurance Co. Ltd.	2,133	2,028,494	2,173,527	2,456	2,063,765	1,893,576	-	-	-	-	-	-
Shine Resunga Development Bank Ltd.	6,304	1,396,261	1,399,488	9,074	2,514,231	2,286,648	-	-	-	-	-	-
Shivam Cement Ltd.	24,958	15,771,907	14,924,884	8,460	5,646,744	5,143,680	-	-	-	-	-	-
Shree Investment Finance Co.Ltd.	225	34,868	35,775	9,600	1,522,635	1,507,200	-	-	-	-	-	-
Shrijana Finance Financial Institution Ltd.	274	201	57,540	1,611	408,221	330,255	-	-	-	-	-	-
Siddhartha Bank Ltd.	30,218	9,861,734	8,944,528	44,180	16,882,778	14,049,240	-	-	-	-	-	-
Siddhartha Insurance Co. Ltd.	1,000	542,070	580,000	-	-	-	-	-	-	-	-	-
Sindhu Bikas Bank Ltd.	19,461	2,719,199	2,607,774	2,593	352,456	373,392	-	-	-	-	-	-
Soaltee Hotel Ltd.	13,373	2,632,581	2,059,442	5,335	1,304,494	1,301,740	-	-	-	-	-	-
Standard Chartered Bank Ltd.	5,450	3,558,171	3,515,250	17,540	13,102,731	11,962,280	-	-	-	-	-	-
Sunrise Bank Ltd.	99,986	30,038,614	23,396,724	26,488	10,146,590	6,569,252	-	-	-	-	-	-
Surya Life Insurance Company Ltd.	-	-	-	22,997	13,150,634	10,486,632	-	-	-	-	-	-
Swadeshi Laghubibitta Bittiya Sanstha Ltd.	-	-	-	3,356	2,091,624	1,939,768	-	-	-	-	-	-
Mahuli Laghubibitta Bittiya Sanstha Ltd.	1,000	947,000	895,000	-	-	-	-	-	-	-	-	-
Synergy Power Development Ltd.	15,885	1,731,099	1,556,730	2,973	391,203	267,570	-	-	-	-	-	-
Tinau Mission Development Bank Ltd.	7,688	1,869,673	1,345,400	-	-	-	-	-	-	-	-	-
United Insurance Ltd.	10,660	4,272,911	3,944,200	2,405	2,388,241	2,044,250	-	-	-	-	-	-
United Finance Ltd.	130	24,936	21,450	-	-	-	-	-	-	-	-	-
United Modi Hydropower Ltd.	-	-	-	2,000	221,357	218,000	-	-	-	-	-	-
Universal Power Company Ltd.	8,715	764,593	610,050	6,165	570,690	548,685	-	-	-	-	-	-
Womi Microfinance Bittiya Sansthan Ltd.	250	214,354	250,250	-	-	-	-	-	-	-	-	-
Nabil Equity Fund	11,264	112,640	105,093	11,264	112,640	105,093	-	-	-	-	-	-
Nabil Balance Fund 2	50,000	500,000	495,000	50,000	500,000	500,000	-	-	-	-	-	-
NIC Asia Balance Fund	400,000	3,885,416	4,152,000	-	-	-	-	-	-	-	-	-
Nmb Hybrid Fund 1	40,776	408,983	387,372	40,776	403,143	408,983	-	-	-	-	-	-
10% Sunrise Bank Debenture 2080	5,000	5,000,000	5,428,327	5,000	5,000,000	5,000,000	-	-	-	-	-	-
10.25% Nepal Banladesh Bank Debenture 2085	25,000	25,000,000	29,950,438	-	-	-	-	-	-	-	-	-
10% Sanima Bank Debenture	75	76,731	79,200	-	-	-	-	-	-	-	-	-
10% Himalayan Bank Debenture	2,500	2,500,000	2,849,267	-	-	-	-	-	-	-	-	-
10.35% Agriculture Dev. Bank Debenture	5,229	5,229,000	6,153,826	-	-	-	-	-	-	-	-	-
		490,276,462	**490,759,779**		**427,109,241**	**383,381,622**	**-**	**-**	**-**	**-**	**-**	**-**

4.8.3.2 Investment securities measured at FVTOCI

Amount in Rs.

	GROUP						BANK					
	CURRENT YEAR			PREVIOUS YEAR			CURRENT YEAR			PREVIOUS YEAR		
	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE
Quoted Equity Investments												
Chautari Laghubitta Bittiya Sanstha Ltd.	60,000	6,000,000	27,840,000	-	-	-	60,000	6,000,000	27,840,000	-	-	-
Chhimek Laghubitta Bikas Bank Ltd.	1,160	-	1,264,400	-	-	-	1,160	-	1,264,400	-	-	-
Kalika Microcredit Development Bank Ltd.	176	8,200	145,200	-	-	-	176	8,200	145,200	-	-	-
Laxmi Laghubitta Bittiya Sanstha Ltd.	173	12,300	210,022	4		2,644	173	12,300	210,022	4		2,644
Mithila Laghubitta Bikash Bank Ltd.	488	33,100	394,792	-	-	-	488	33,100	397,720	-	-	-
Nagbeli Laghubitta Bikash Bank Ltd.	88	5,300	51,744	-	-	-	88	5,300	51,744	-	-	-
Naya Nepal Laghu Bitta Bikas Bank Ltd.	300	28,400	250,200	-	-	-	300	28,400	250,200	-	-	-
Nerude Laghubitta Bikas Bank Ltd.	40	-	30,440	-	-	-	40	-	30,440	-	-	-
Rural Microfinance Development Centre Ltd.	1,875	1,154,323	1,314,375	-	-	-	1,875	1,154,323	1,314,375	-	-	-
NMB Microfinance Bittaya Sanstha Ltd.	50	4,000	40,400	-	-	-	50	4,000	40,400			
Gurans Life Insurance Co. Ltd.	20,511	1,535,385	9,537,615	18,991	1,535,385	8,830,815	20,511	1,535,385	9,537,615	18,991	1,535,385	8,830,815
National Life Insurance Co. Ltd.	3,033	27,809	2,007,846	2,928	27,809	1,712,880	3,033	27,809	2,007,846	2,928	27,809	1,712,880
Nepal Life Insurance Co.Ltd	12,710	7,686,450	16,014,600	399	320,625	359,499	12,211	7,365,825	15,385,860	-	-	-
NLG Insurance Company Ltd.	4,518	239,545	2,968,326	931	-	686,562	4,518	239,545	2,968,326	931	-	686,562
NLG Insurance Company Ltd (P)	28,462	1,050,000	2,846,200	28,462	1,050,000	10,844,022	28,462	1,050,000	2,846,200	28,462	1,050,000	10,844,022
Nepal Reinsurance Co. Ltd. (P)	421,963	42,196,262	42,196,262	-	-	-	421,963	42,196,262	42,196,262	-	-	-
Jalvidhyut Lagani Tatha Bikas Company Ltd.	15,930	1,448,200	2,118,690	-	-	-	15,930	1,448,200	2,118,690	-	-	-
Chilime Hydropower Company Ltd.	14,269	5,029,893	5,679,062	-	-	-	14,269	5,029,893	5,679,062	-	-	-
Ngadi Group Power Ltd.	636	57,900	73,140	-	-	-	636	57,900	73,140	-	-	-
Ridi Hydropower Development Company Ltd.	402	26,000	33,768	-	-	-	402	26,000	33,768	-	-	-
Nepal Doorsanchar Company Ltd.	71,810	49,758,328	47,035,550	13,115	9,014,195	9,088,695	71,810	49,758,328	47,035,550	13,115	9,014,195	9,088,695
Soaltee Hotel Limited	4,733	1,079,180	728,882		-	-	4,733	1,079,180	728,882	-	-	-
		117,380,573	**162,781,514**	**-**	**11,948,013**	**31,525,117**		**117,059,948**	**162,155,702**	**-**	**11,627,388**	**31,165,618**
Quoted Mutual Fund Investments												
Laxmi Valued Fund-1	-	-	-	34,443	344,430	351,319	-	-	-	34,443	344,430	351,319
Global IME Samunnat Yojana-I	15,230,328	152,303,280	130,679,143	15,230,328	152,303,280	127,630,149	13,980,328	139,803,280	119,951,214	13,980,328	139,803,280	117,155,149
NMB Hybrid Fund -1	946,441	9,464,410	8,991,190	788,701	7,887,010	7,910,671	946,441	9,464,410	8,991,190	788,701	7,887,010	7,910,671
Laxmi Equity Fund	1,169,916	11,699,160	10,260,163	-	-	-	1,169,916	11,699,160	10,260,163	-	-	-
Nabil Balance Fund 2	1,000,000	10,000,000	10,000,000	-	-	-	1,000,000	10,000,000	10,000,000	-	-	-
Nabil Equity Fund	788,550	7,885,500	7,357,172	-	-	-	788,550	7,885,500	7,357,172	-	-	-
NIBL Samriddhi Fund -1	173,890	1,738,900	1,721,511	-	-	-	173,890	1,738,900	1,721,511	-	-	-
NIC ASIA Balance Fund	750,000	7,500,000	7,785,000	-	-	-	750,000	7,500,000	7,785,000	-	-	-
Sunrise First Mutual Fund	600,000	6,000,000	6,000,000	-	-	-	500,000	5,000,000	5,000,000	-	-	-

contd... Investment securities measured at FVTOCI

contd... Investment securities measured at FVTOCI

Amount in Rs.

	GROUP						BANK					
	CURRENT YEAR			PREVIOUS YEAR			CURRENT YEAR			PREVIOUS YEAR		
	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE
Siddhartha Investment Growth Scheme II	2,000,000	20,000,000	20,000,000	-	-	-	2,000,000	20,000,000	20,000,000	-	-	-
NMB 50_Mutual Fund	1,650,000	16,500,000	16,500,000	-	-	-	1,500,000	15,000,000	15,000,000	-	-	-
	-	**243,091,250**	**219,294,179**	**-**	**160,534,720**	**135,892,138**	**-**	**228,091,250**	**206,066,250**	**-**	**148,034,720**	**125,417,138**
Unquoted Equity Investments												
Nepal Clearing House Ltd.	152,968	10,722,700	15,296,800	64,308	6,430,800	6,430,800	152,968	10,722,700	15,296,800	64,308	6,430,800	6,430,800
Banking Finance and Insurance Inst. Ltd.	-	-	-	30,000	3,000,000	3,000,000	-	-	-	30,000	3,000,000	3,000,000
ICRA Nepal Ltd.	7,600	760,000	760,000	7,600	760,000	760,000	7,600	760,000	760,000	7,600	760,000	760,000
National Banking Training Institute P. Ltd	12,000	1,200,000	1,200,000	12,000	1,200,000	1,200,000	12,000	1,200,000	1,200,000	12,000	1,200,000	1,200,000
Nepal Electronics Payment System Ltd.	-	-	-	150,000	15,000,000	15,000,000	-	-	-	150,000	15,000,000	15,000,000
General Insurance Company Ltd.	200,000	20,620,000	20,620,000	-	-	-	200,000	20,620,000	20,620,000			
Nepal Reinsurance Co. Ltd. (P)	-	-	-	421,963	42,196,262	42,196,262	-	-	-	421,963	42,196,262	42,196,262
Reliable Nepal Life Insurance Co. Ltd.	2,000,000	200,000,000	200,000,000	2,000,000	200,000,000	200,000,000	2,000,000	200,000,000	200,000,000	2,000,000	200,000,000	200,000,000
Care Ratings Nepal Ltd.	25,000	2,500,000	2,500,000	25,000	2,500,000	2,500,000	25,000	2,500,000	2,500,000	25,000	2,500,000	2,500,000
Nepal Infrastructure Bank Ltd.	10,950,000	1,095,000,000	1,095,000,000	10,950,000	1,095,000,000	1,095,000,000	10,950,000	1,095,000,000	1,095,000,000	10,950,000	1,095,000,000	1,095,000,000
Prabhu Capital Ltd.	3066	300,000	306,600	-	-	-	3066	300,000	306,600	-	-	-
Karja Suchana Kendra Ltd.	9450	94,500	945,000	-	-	-	9450	94,500	945,000	-	-	-
Nepal Finsoft Company Ltd.	10,000	1,000,000	1,000,000	10,000	1,000,000	1,000,000	-	-	-	-	-	-
	-	**1,332,197,200**	**1,337,628,400**	**-**	**1,367,087,062**	**1,367,087,062**	**-**	**1,331,197,200**	**1,336,628,400**	**-**	**1,366,087,062**	**1,366,087,062**
Total Investment in Securities measured at FVTOCI	**-**	**1,692,669,023**	**1,719,704,092**	**-**	**1,539,569,795**	**1,534,504,317**	**-**	**1,676,348,398**	**1,704,850,351**	**-**	**1,525,749,170**	**1,522,669,818**

4.9. CURRENT TAX ASSETS

Current tax assets consist of amounts paid to the Inland Revenue Department in respect of the current year and the carried forward balance of advance taxes paid in previous years net off of those years, income tax payable on those years using the tax rates enacted on the reporting date and any adjustment to tax payable in respect of prior years. Current tax liabilities consist of the amount of self assessed tax liabilities by the bank for the current year.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Current Tax Assets				
Current year income tax assets	1,712,793,918	1,317,330,086	1,639,870,182	1,259,701,665
Tax assets of prior periods	-	-		-
Current Tax Liabilities				
Current year income tax liabilities	1,343,033,016	1,245,969,517	1,294,604,441	1,202,570,465
Tax liabilities of prior periods	-	-		
Net tax assets / (liabilities)	**369,760,902**	**71,360,569**	**345,265,741**	**57,131,199**

4.10. INVESTMENT IN SUBSIDIARIES

Subsidiaries are entities in which the Bank directly or indirectly holds the majority of the voting rights and where it determines their financial and business policies and is able to exercise control over them in order to benefit from their activities. At each reporting date the Bank reassess whether it controls an entity, if facts and circumstances indicate that there are changes to one or more elements of control mentioned. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date on which control ceases.

Inter-company transactions, balances and intergroup gains on transactions between group companies are eliminated. Intergroup losses are also eliminated unless the transaction provides evidence of impairment of the asset transferred.

Transactions and non-controlling interests

The group applies a policy of treating transactions with non-controlling interests as transactions with equity owners of the group. For purchases from non-controlling interests, the difference between any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

Interests in the equity of subsidiaries not attributable to the parent are reported in consolidated equity as non-controlling interest. Profits or losses attributable to non-controlling interests are reported in the consolidated comprehensive income as profit or loss attributable to non-controlling interests.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Investment in quoted subsidiaries	-	-	132,095,250	54,775,000
Investment in unquoted subsidiaries	-	-	425,000,000	165,000,000
Total investment	**-**	**-**	**557,095,250**	**219,775,000**
Less: Impairment allowances				
Net carrying amount	**-**	**-**	**557,095,250**	**219,775,000**

4.10.1. Investment in quoted subsidiaries

Amount in Rs.

	CURRENT YEAR			PREVIOUS YEAR		
	UNITS	COST	FAIR VALUE	UNITS	COST	FAIR VALUE
Global IME Laghubitta Bittiya Sanstha Limited	1,546,404	132,095,250	1,019,080,236	773,202	54,775,000	464,694,402
		132,095,250	**1,019,080,236**		**54,775,000**	**464,694,402**

4.10.2. Investment in unquoted subsidiaries

Amount in Rs.

	CURRENT YEAR			PREVIOUS YEAR		
	UNITS	COST	FAIR VALUE	UNITS	COST	FAIR VALUE
Global IME Capital Limited	1,612,529	165,000,000	165,000,000	1,612,529	165,000,000	165,000,000
Janata Capital Limited	2,000,000	200,000,000	200,000,000	-	-	-
JBNL Securities Limited	600,000	60,000,000	60,000,000	-	-	-
		425,000,000	**425,000,000**		**165,000,000**	**165,000,000**

4.10.3. Information relating to subsidiaries of the Bank

Amount in Rs.

	PERCENTAGE OF OWNERSHIP HELD BY THE BANK	
	CURRENT YEAR	PREVIOUS YEAR
Global IME Capital Ltd	75%	75%
Global IME Laghubitta Bittiya Sanstha Ltd	70%	70%
Janata Capital Ltd	100%	
JBNL Securities Ltd	100%	

4.10.4. Non Controlling interest of the subsidiaries

Amount in Rs.

	CURRENT YEAR	
	GILBSL	GICL
Equity interest held by NCI (%)	30%	25%
Profit/(loss) allocated during the year	27,992,483	13,943,729
Accumulated balances of NCI as on Asar end 2076.	138,369,013	72,908,464
Dividend paid to NCI	-	-

4.10.5. Non Controlling interest of the subsidiaries

Amount in Rs.

	PREVIOUS YEAR	
	GILBSL	GICL
Equity interest held by NCI (%)	30%	25%
Profit/(loss) allocated during the year	24,329,235	10,074,517
Accumulated balances of NCI as on Asar end 2075.	64,065,967	67,973,616
Dividend paid to NCI	-	-

4.11. INVESTMENT IN ASSOCIATES

An associate is an entity over which the investor has significant influence where significant influence is defined as power to participate in the financial and operating policy decisions of the investee but is not control or joint control of those policies. If an entity holds 20% or more of the voting power (directly or through subsidiaries) on an investee, it will be presumed the investor has significant influence unless it can be clearly demonstrated that this is not the case. If the holding is less than 20%, the entity will be presumed not to have significant influence unless such influence can be clearly demonstrated. A substantial or majority ownership by another investor does not necessarily preclude an entity from having significant influence.

Bank holds directorialship in two listed "D" class financial institution and one non listed life insurance company. Though the the bank holds less than 20% of voting power, the bank has identified them to be associates with the presumption as per NAS 28 "Investments in Associates and joint venture" para 6.

Investment in associates are accounted at cost with the provision of NAS 27 "Separate financial statements" para 10 which states when an entity prepares separate financial statements, it shall account for investments in subsidiaries, joint ventures and associates either:

a. at cost, or
b. in accordance with NFRS 9.

The Group has accounted its investment in associates using equity method by taking the carve out issued by The Institute of Chartered Accountants of Nepal as disclosed in Note 3.29. The carve out gives the exemptions for equity accounting under consolidated financial statements where the financial statements of associates are not prepared using uniform accounting policy of the bank. Equity accounting is based on the profit reported by associate entities on their financial statements using the policy disclosed in the financial statements.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Investment in quoted associates	284,942,762	202,326,473	170,222,561	119,577,861
Investment in unquoted associates	266,726,974	219,821,606	234,000,000	200,000,000
Total investment	**551,669,736**	**422,148,079**	**404,222,561**	**319,577,861**
Less: Impairment allowances	-	-	-	-
Net carrying amount	**551,669,736**	**422,148,079**	**404,222,561**	**319,577,861**

4.11.1. Investment in quoted associates

Amount in Rs.

	CURRENT YEAR			PREVIOUS YEAR		
	UNITS	COST	FAIR VALUE	UNITS	COST	FAIR VALUE
First Microfinance Dev Bank Limited	1,179,642	82,554,861	156,345,499	1,008,242	82,554,861	135,694,048
Mero Micro Finance Bittya Sanstha Ltd	1,197,545	74,067,700	114,997,263	460,460	37,023,000	66,632,425
Sparsha Laghubitta Bittiya Sanstha Ltd.	136,000	13,600,000	13,600,000	-	-	-
		170,222,561	**284,942,762**		**119,577,861**	**202,326,473**

4.11.2. Investment in unquoted associates

Amount in Rs.

	CURRENT YEAR			PREVIOUS YEAR		
	UNITS	COST	FAIR VALUE	UNITS	COST	FAIR VALUE
IME Life Insurance Co. Limited	2,000,000	200,000,000	232,726,974	2,000,000	200,000,000	219,821,606
Nepal Electronics Payment System Ltd.	310,000	31,000,000	31,000,000	-	-	-
Banking Finance And Insurance Institution Ltd.	30,000	3,000,000	3,000,000	-	-	-
		234,000,000	**266,726,974**		**200,000,000**	**219,821,606**

4.11.3. Information relating to associates of the Bank

Amount in Rs.

	PERCENTAGE OF OWNERSHIP HELD BY THE BANK	
	CURRENT YEAR	PREVIOUS YEAR
First Microfinance Dev Bank Limited (O)	3.80%	3.80%
First Microfinance Dev Bank Limited (P)	10.93%	10.93%
Mero Micro Finance Bittya Sanstha Ltd (P)	14.00%	7.00%
Sparsha Laghubitta Bittiya Sanstha Ltd. (P)	16.39%	
IME Life Insurance Co. Limited (P)	10.00%	10.00%
Nepal Electronics Payment System Ltd. (P)	17.61%	
Banking Finance And Insurance Institution Ltd. (P)	6.67%	

4.12. INVESTMENT PROPERTY

Bank classifies the non-banking assets as repossessed collateral which are non-financial assets acquired by the Bank in settlement of overdue loans. The assets are initially recognized at fair value when acquired and included in investment property or other assets depending on their nature and the bank's intention in respect of recovery of these assets and are subsequently re-measured and accounted for in accordance with the accounting policies for these categories of assets.

Land and Building are classified as investment property and all other assets repossessed for settlement of overdue loans are classified as other assets.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Investment in quoted associates	284,942,762	202,326,473	170,222,561	119,577,861
Investment in unquoted associates	266,726,974	219,821,606	234,000,000	200,000,000
Total investment	**551,669,736**	**422,148,079**	**404,222,561**	**319,577,861**
Less: Impairment allowances	-	-	-	-
Net carrying amount	**551,669,736**	**422,148,079**	**404,222,561**	**319,577,861**

4.13. PROPERTY AND EQUIPMENT

Property and equipment is stated at cost excluding the costs of day–to–day servicing, less accumulated depreciation and accumulated impairment in value. Changes in the expected useful life are accounted for by changing the amortization period or methodology, as appropriate, and treated as changes in accounting estimates.

Subsequent expenditures are included in the asset's carrying amount or are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the bank and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred. Depreciation on freehold land has not been calculated. Depreciation on other property and equipment is calculated using the straight–line method to allocate their cost to their residual values over their estimated useful lives. The estimated useful lives are included in Note 4.38 "Depreciation and Amortization".

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date of the statement of financial position. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. The recoverable amount is the higher of the asset's fair value less costs to sell and value in use. No property and equipment were impaired as at 31st Asar 2077 (2076: nil). Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are recognized in other operating expenses in the statement of profit or loss.

Amount in Rs.

	GROUP							
COST:	LAND	BUILDINGS	MACHINERY	OFFICE EQUIPMENT	MOTOR VEHICLES	LEASEHOLD IMPROVE-MENT	TOTAL	TOTAL ASAR 31 2076
As on Shrawan 1, 2076	**487,819,460**	**223,532,749**	**198,830,965**	**799,416,325**	**404,480,517**	**444,592,906**	**2,558,672,922**	**2,318,350,834**
Additions	-	-	6,103,512	76,233,543	34,688,143	54,865,392	171,890,590	316,747,758
Transfer from Merger/Acquisition	392,193,020	109,219,025	134,810,676	458,225,954	336,917,500	400,206,154	1,831,572,329	-
Disposals	-	-	(1,092,254)	(17,482,468)	(36,281,900)	(14,853,459)	(69,710,081)	(76,425,671)
Balance on Asar end 2077	**880,012,480**	**332,751,774**	**338,652,899**	**1,316,393,354**	**739,804,261**	**884,810,993**	**4,492,425,760**	**2,558,672,922**
Accumulated Depreciation								
As on Shrawan 1, 2076	-	10,268,562	139,992,103	509,477,785	212,971,365	266,852,345	1,139,562,160	956,903,782
Transfer from Merger	-	17,430,251	60,693,516	228,344,277	85,402,354	115,745,024	507,615,423	-
Depreciation charge for the year	-	7,287,631	22,658,855	123,270,005	74,730,335	64,127,989	292,074,814	234,827,297
Disposals	-	-	(1,092,249)	(13,227,937)	(22,102,812)	-	(36,422,999)	(52,168,918)
Balance on Asar end 2077	**-**	**34,986,444**	**222,252,225**	**847,864,130**	**351,001,242**	**446,725,358**	**1,902,829,399**	**1,139,562,160**
Capital WIP							-	
Net book value:								
As on Asar 31, 2076	**487,819,460**	**213,264,187**	**58,838,862**	**289,938,540**	**191,509,152**	**177,740,561**	**1,419,110,762**	**-**
As on Asar 31, 2077	**880,012,480**	**297,765,330**	**116,400,674**	**468,529,223**	**388,803,019**	**438,085,635**	**2,589,596,362**	**1,419,110,761**

Amount in Rs.

COST:	BANK							
	LAND	BUILDINGS	MACHINERY	OFFICE EQUIPMENT	MOTOR VEHICLES	LEASEHOLD IMPROVE-MENT	TOTAL	TOTAL ASAR 31 2076
As on Shrawan 1, 2076	**476,373,816**	**223,532,749**	**181,910,333**	**782,635,211**	**384,026,523**	**440,372,320**	**2,488,850,952**	**2,265,002,381**
Additions			5,003,750	74,539,779	32,488,143	54,251,878	166,283,550	300,126,671
Transfer from Merger/Acquisition	392,193,020	109,219,025	134,810,676	457,022,994	336,917,500	396,858,091	1,827,021,307	-
Disposals			(1,092,254)	(17,482,468)	(36,281,900)	(14,853,459)	(69,710,081)	(76,278,100)
Balance on Asar end 2077	**868,566,836**	**332,751,774**	**320,632,505**	**1,296,715,516**	**717,150,267**	**876,628,830**	**4,412,445,728**	**2,488,850,952**
Accumulated Depreciation								
As on Shrawan 1, 2076	-	10,268,562	130,886,839	500,476,746	207,437,838	266,207,233	1,115,277,218	940,531,650
Transfer from Merger/Acquisition		17,430,251	60,693,516	228,262,433	85,402,354	115,610,545	507,399,100	-
Depreciation charge for the year		7,287,631	20,216,498	120,690,559	71,961,344	62,822,938	282,978,970	226,789,905
Disposals			(1,092,249)	(13,227,937)	(22,102,812)		(36,422,999)	(52,044,338)
Balance on Asar end 2077	**-**	**34,986,444**	**210,704,604**	**836,201,800**	**342,698,724**	**444,640,716**	**1,869,232,288**	**1,115,277,218**
Capital WIP							-	
Net book value:								
As on Asar 31, 2076	**476,373,816**	**213,264,187**	**51,023,494**	**282,158,466**	**176,588,685**	**174,165,087**	**1,373,573,734**	**-**
As on Asar 31, 2077	**868,566,836**	**297,765,330**	**109,927,901**	**460,513,717**	**374,451,542**	**431,988,114**	**2,543,213,440**	**-**

4.14 GOODWILL AND INTANGIBLE ASSETS

The bank's intangible assets include the value of computer software, Core Banking Software and other software used in Banking. An intangible asset is recognized only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the bank. The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortized over the useful economic life. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life, or the expected pattern of consumption of future economic benefits embodied in the asset, are accounted for by changing the amortization period or methodology, as appropriate, which are then treated as changes in accounting estimates.

The amortization expense on intangible assets with finite lives is presented as a separate line item in the income statement. Amortization is calculated using the straight–line method to write down the cost of intangible assets to their residual values over their estimated useful lives, as mentioned in Note 4.38 "Depreciation and Amortization".

Amount in Rs.

PARTICULARS	GROUP					
	GOODWIL	SOFTWARE		OTHER	TOTAL	TOTAL ASAR 31 2076
		PURCHASED	DEVELOPED			
As on Shrawan 1, 2076	**3,750,000**	**119,617,432**	**-**	**-**	**123,367,432**	**111,943,697**
Additions	-	109,623,290	-	-	109,623,290	10,595,069
Transfer from Merger/Acquisition	-	197,805,291	-	-	197,805,291	-
Goodwill on consolidation	(3,750,000)	-	-	-	(3,750,000)	-
Disposals	-	(1,090,450)	-	-	(1,090,450)	-
Balance on Asar end 2077	**-**	**425,955,563**	**-**	**-**	**425,955,563**	**122,538,766**
Accumulated Amortization						
As on Shrawan 1, 2076	-	87,550,400	-	-	87,550,400	73,962,045
Transfer from Merger/Acquisition	-	73,091,918	-	-	73,091,918	-
Amortization for the year	-	22,796,371	-	-	22,796,371	12,590,188
Disposals	-	(143,981)	-	-	(143,981)	-
Balance on Asar end 2077	**-**	**183,294,708**	**-**	**-**	**183,294,708**	**86,552,233**
Net book value:						
As on Asar 31, 2076	**3,750,000**	**32,067,032**	**-**	**-**	**35,817,033**	**-**
As on Asar 31, 2077	**-**	**242,660,855**	**-**	**-**	**242,660,855**	**35,986,533**

Amount in Rs.

PARTICULARS	BANK					
	GOODWIL	SOFTWARE		OTHER	TOTAL	TOTAL ASAR 31 2076
		PURCHASED	DEVELOPED			
As on Shrawan 1, 2076		**111,107,600**			**111,107,600**	**103,081,397**
Additions		109,501,250			109,501,250	8,026,203
Transfer from Merger/Acquisition		196,678,681			196,678,681	
Disposals					-	
Balance on Asar end 2077		**417,287,531**		**-**	**417,287,531**	**111,107,600**
Accumulated Amortization						
As on Shrawan 1, 2076		82,818,991			82,818,991	71,304,462
Transfer from Merger/Acquisition		73,055,777			73,055,777	-
Amortization for the year		21,142,964			21,142,964	11,514,529
Disposals					-	
Balance on Asar end 2077	**-**	**177,017,731**	**-**	**-**	**177,017,731**	**82,818,991**
Net book value:						
As on Asar 31, 2076	**-**	**28,288,609**	**-**	**-**	**28,288,609**	
As on Asar 31, 2077	**-**	**240,269,800**	**-**	**-**	**240,269,800**	

4.15 DEFERRED TAX ASSETS / (LIABILITIES)

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax assets are recognized for all deductible temporary differences, carried forward unused tax losses (if any), to the extent it is probable that taxable profit will be available gainst which the deductible temporary differences, carried forward unused tax credit and unused tax losses can be utilized. The Bank has created deferred tax assets and liabilities for each adjustments made in adopting the NFRS for any future tax liability or asset creating against these NFRS adjustments.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates that have been enacted at the reporting date.

Amount in Rs.

	GROUP			BANK		
	CURRENT YEAR			CURRENT YEAR		
	DEFERRED TAX ASSETS	DEFERRED TAX LIABILITIES	NET DEFERRED TAX ASSETS/ (LIABILITIES)	DEFERRED TAX ASSETS	DEFERRED TAX LIABILITIES	NET DEFERRED TAX ASSETS/ (LIABILITIES)
Deferred tax on temporary differences on following items						
Loan and Advance to B/FIs	-	-	-	-	-	-
Loans and advances to customers	-	-	-	-	-	-
Interest receivable on loans to customers	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-
Investment securities	-	8,438,950	(8,438,950)	-	8,550,586	(8,550,586)
Property & equipment	17,672,169	-	17,672,169	20,330,442	-	20,330,442
Employees' defined benefit plan	267,021,947	-	267,021,947	265,442,776	-	265,442,776
Lease liabilities	3,586,844	-	3,586,844	3,586,844	-	3,586,844
Provisions	2,877,061	-	2,877,061	-	-	-
Other temporary differences	-	17,084,789	(17,084,789)	763,475	-	763,475
Deferred tax on temporary differences	**291,158,021**	**25,523,739**	**265,634,282**	**290,123,537**	**8,550,586**	**281,572,951**
Deferred tax on carry forward of unused tax losses						-
Deferred tax due to changes in tax rate						-
Net Deferred tax asset/(liabilities) as on Asar 31, 2077			**265,634,282**			**281,572,951**
Deferred tax (asset)/liabilities as on Shrawan 1, 2076			220,120,199			212,078,419
Transferred From Merged Entities			60,675,561			58,736,755
Origination/(Reversal) during the year			**15,161,478**			**(10,757,777)**
Deferred tax expense/(income) recognised in profit or loss			(9,513,792)			(35,380,637)
Deferred tax expense/(income) recognised in other comprehensive income			24,697,861			24,622,861
Deferred tax expense/(income) recognised in directly in equity						

Amount in Rs.

	GROUP			BANK		
	PREVIOUS YEAR			PREVIOUS YEAR		
	DEFERRED TAX ASSETS	DEFERRED TAX LIABILITIES	NET DEFERRED TAX ASSETS/ (LIABILITIES)	DEFERRED TAX ASSETS	DEFERRED TAX LIABILITIES	NET DEFERRED TAX ASSETS/ (LIABILITIES)
Deferred tax on temporary differences on following items						
Loan and Advance to B/FIs	-	-	-	-	-	-
Loans and advances to customers	-	-	-	-	-	-
Interest receivable on loans to customers	-	9,085,153	(9,085,153)	-	-	-
Investment properties	-	-	-	-	-	-
Investment securities	1,988,561	-	1,988,561	923,806	-	923,806
Property & equipment	64,423,201	-	64,423,201	50,141,126	-	50,141,126
Employees' defined benefit plan	160,949,493	-	160,949,493	159,219,630	-	159,219,630
Lease liabilities	1,793,857	-	1,793,857	1,793,857	-	1,793,857
Provisions	50,241	-	50,241	-	-	-
Other temporary differences	-	-	-	-	-	-
Deferred tax on temporary differences	**229,205,352**	**9,085,153**	**220,120,199**	**212,078,419**	**-**	**212,078,419**
Deferred tax on carry forward of unused tax losses						-
Deferred tax due to changes in tax rate						-
Net Deferred tax asset/(liabilities) as on Asar 31, 2076			**220,120,199**			**212,078,419**
Deferred tax asset/(liabilities) as on Shrawan 1, 2075			188,284,780			177,846,130
Origination/(Reversal) during the year			**31,835,419**			**34,232,289**
Deferred tax expense/(income) recognised in profit or loss			(27,968,047)			(30,605,877)
Deferred tax expense/(income) recognised in other comprehensive income			(3,867,372)			(3,626,412)
Deferred tax expense/(income) recognised in directly in equity						-

4.16 OTHER ASSETS

Other assets includes those assets which are not classified separately in the financial statements. Accrued income, prepayments, security deposits, account receivables and prepaid employee benefit balance are classified as other assets. Prepaid employee benefits are the benefits which arises as a result of lower interest rate on the staff loans. These benefits are amortized over the term of the staff loan availed by the employees.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Assets held for sale				-
Other non banking assets	-	-	-	-
Bills receivable	-	-	-	-
Account receivables	761,093,103	320,543,425	715,972,634	236,417,714
Accrued Income	590,080	-	-	-
Prepayments and deposit	189,468,494	117,807,069	186,399,425	116,199,817
Income tax deposit	22,926,444	21,091,926	22,926,444	21,091,926
Deferred employee expenditure	1,336,179,440	589,231,481	1,336,179,440	589,231,481
Other assets	473,872,564	65,020,724	467,997,855	112,160,695
	2,784,130,125	**1,113,694,624**	**2,729,475,798**	**1,075,101,633**

4.16.1 Deferred employee expenditure

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
opening balance	589,231,481	430,538,465	589,231,481	430,538,465
adjustment for new loan granted	872,373,306	216,823,011	872,373,306	216,823,011
adjustment for settled loan	(49,501,077)	(26,974,329)	(49,501,077)	(26,974,329)
charge to personnel expenses	(75,924,269)	(31,155,667)	(75,924,269)	(31,155,667)
closing balance	**1,336,179,440**	**589,231,481**	**1,336,179,440**	**589,231,481**

4.17 DUE TO BANK AND FINANCIAL INSTITUTIONS

Interbank borrowings and deposits from banks and financial institution are classified as due to bank and financial institutions. These are subsequently measured at amortized cost using effective interest rate. All the transaction cost are considered in calculating effective interest rate. The bank has not incurred any additional cost in collecting the deposits or borrowings from the banks. Deposits from BFIs are in nature of term, current deposits from B, C and D class financial institutions.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Money market deposits	-	-	-	-
Inter bank borrowings	1,109,155,965	1,971,516,298	-	-
Deposits from BFIs	14,327,698,147	4,325,584,840	14,327,698,147	4,410,876,030
Settlement and clearing accounts	-	-	-	-
	15,436,854,113	**6,297,101,138**	**14,327,698,147**	**4,410,876,030**

4.18 DUE TO NEPAL RASTRA BANK

Bank has classify any amount due to Nepal Rastra Bank as subsequently measured at amortized cost using effective interest rate. All the transaction cost, incurred if any, are considered in calculating effective interest rate. The bank has not incurred any additional transaction cost in taking the refinance facility from the Nepal Rastra Bank.

The Bank has borrowed fund of Rs. 820,855,670 from the Nepal Rastra Bank under the program "Sustainable Economic Development in Rural Areas", a program of German Financial Cooperation implemented by KFW (**Kreditanstalt für Wiederaufbau**) German government owned development bank and Government of Nepal (represented by Ministry of Finance) on December 2017. These borrowing is used to provide access to financial services to Micro Small and Medium Enterprises (MSMEs).This borrowing is classified as financial liability and are measured at amortised cost. The borrowing carry the interest rate as defined in the agreement between Nepal Rastra Bank which has acted as On - lending Agent and Global IME Bank acting as Project - Executing Agency.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Refinance from NRB	820,855,670	713,294,510	820,855,670	713,294,510
Standing Liquidity Facility	-	-	-	-
Lender of last resort facility from NRB	-	-	-	-
Securities sold under repurchase agreements	-	-	-	-
Other payable to NRB	518,505,701	518,505,701	518,505,701	518,505,701
Total	**1,339,361,371**	**1,231,800,211**	**1,339,361,371**	**1,231,800,211**

4.19 DERIVATIVE FINANCIAL INSTRUMENTS

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorised as trading unless they are designated as hedging instruments.

All derivatives are initially recognised and subsequently measured at fair value, with all revaluation gains recognised in income statement. Fair value is based on the quoted market price, quotes from brokers or dealers, or estimates based upon discounted expected cash flows as appropriate. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Held for trading				
interest rate swap	-	-	-	-
currency swap	-	-	-	-
forward exchange contract	-	-	-	-
others	-	-	-	-
Held for risk management				-
Interest rate swap	-	-	-	-
Currency swap	-	-	-	-
forward exchange contract liabilities	8,773,443,817	3,879,901,668	8,773,443,817	3,879,901,668
others	-	-		-
	8,773,443,817	**3,879,901,668**	**8,773,443,817**	**3,879,901,668**

4.20. DEPOSIT FROM CUSTOMERS

Deposit from customers are the deposits accepted by bank from the individuals, corporate entities and other organized institutions. These deposits are in the form of saving, time, call, margin and demand. Deposit from customers are recognized when the funds reaches to the banks. These are measured at amortized cost using the effective interest rate. Any transaction cost incurred if any are considered in determining the effective interest rate payable on deposit from customers. Bank launches the deposit collection programme, dormant account activation, new deposit products awareness on regular basis to the employees of the bank. Bank provides incentives and bonus for the motivation to carry out the programme effectively. These incentives and bonuses has not been included as transaction cost in calculating the effictive interest rate of the deposits as these cost are in immaterial nature and allocation of the cost to individual deposit is not feasible.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Institutional Customers				
term deposits	60,414,592,980	36,496,884,206	60,649,592,980	36,496,884,206
call deposits	9,659,997,124	8,644,338,513	10,108,638,972	8,664,196,148
current deposits	13,929,633,751	7,153,824,867	13,929,633,751	7,153,824,867
other deposits	1,333,466,726	1,168,106,400	1,333,466,726	1,168,106,400
Individual Customers				
term deposits	49,278,817,772	23,924,182,190	49,278,817,772	23,924,085,133
saving deposits	77,458,808,699	42,741,879,849	76,141,440,328	41,867,299,132
current deposits	844,209,416	797,409,685	844,209,416	797,409,685
other deposits	29,585,116	16,634,493	29,585,116	16,634,493
	212,949,111,584	**120,943,260,203**	**212,315,385,060**	**120,088,440,064**

4.20.1. Currency wise analysis of deposit from customers

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Nepalese rupee	209,141,802,920	118,463,188,527	208,508,076,397	117,608,368,388
Indian rupee	-	-	-	-
United State dollar	3,784,566,592	2,450,342,039	3,784,566,592	2,450,342,039
Great Britain pound	3,640,511	19,913,440	3,640,511	19,913,440
Euro	18,957,579	9,599,244	18,957,579	9,599,244
Japenese yen	24,311	-	24,311	-
Chinese yuan	-	-	-	-
Other- AUD	119,670	216,951	119,670	216,951
Total	**212,949,111,584**	**120,943,260,203**	**212,315,385,060**	**120,088,440,064**

4.21. BORROWINGS

Borrowings are financial liabilities accepted by bank with fixed or determinable payments. Subsequent to initial recognition, these financial instruments are measured at amortised cost using effective interest rate. These borrowings can be from governement or other multinational financial institutions. During the year the Bank had borrowed an amount of USD 20 Million from International Finance Corporation with three year tenure from the date of borrowing. The borrowing has been shown in equivalent NPR with revaluation at each year end at the closing rate. The borrowing interest rate is based on the Relevant spread plus LIBOR which changes on semiannually basis.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Domestic Borrowing				
Nepal Government	-	-	-	-
Other Institutions	-	18,000,000	-	-
Other	-	-		-
Sub total	**-**	**18,000,000**	**-**	**-**
Foreign Borrowing				
Foreign Bank and Financial Institutions	2,404,000,000	-	2,404,000,000	-
Multilateral Development Banks	-	-	-	-
Other Institutions	-	-	-	-
Sub total	**2,404,000,000.00**	**-**	**2,404,000,000**	**-**
Total	**2,404,000,000**	**18,000,000**	**2,404,000,000**	**-**

4.22. PROVISIONS

A provision is recognised when the bank has a present legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. Where the effect of the time value of money is material, the amount of a provision is determined by discounting the anticipated future cash flows expected to be required to settle the obligation at a pre-tax rate that reflects the risks specific to the liability.

A provision for onerous contracts is recognised when the expected benefits to be derived by the bank from a contract are lower than the unavoidable cost of meeting the obligations under the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and net cost of continuing with the contract. Before a provision is established, the bank recognises any impairment loss on the asset associated with that contract.

There has not been any instances or arise of any obligation for which the bank is required to make the provisions for them. Any provisions that arises are reviewed at each reporting date and adjusted to reflect the current best estimate.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Provisions for redundancy	-	-	-	-
Provision for restructuring	-	-	-	-
Pending legal issues and tax litigation	-	-	-	-
Onerous contracts	-	-	-	-
Other	-	-	-	-
Total	**-**	**-**	**-**	**-**

4.22.1. Movement in provision

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Opening Balance	**-**	**-**	**-**	**-**
Provisions made during the year	-	-	-	-
Provisions used during the year	-	-	-	-
Provisions reversed during the year	-	-	-	-
Unwind of discount	-	-	-	-
Closing Balance	**-**	**-**	**-**	**-**

4.23. OTHER LIABILITIES

Creditors and accruals

Creditors and accruals are financial liabilities which are initially measured at fair value, and subsequently measured at amortised cost. These includes any payables to the vendors by bank for service gained from them in the business operation.

Liability against employees

Bank makes the provisions for long term benefits in the form of gratuity and accrued leave which are payable at the time of retirement or termination. These long term benefits are provided on the basis of actuarial valuation. The bank also makes a provision for staff bonus at 10% of profit before tax and after bonus as a short term benefits for the service rendered to the bank.

Defined benefit obligation has been valued as per actuarial valuation. Actuarial valuation has been conducted only for the parent. Liabilities accrued for subsidiaries are not valued using actuarial valuation. So all the disclosures in Note 4.23.1 to 4.23.6 are the disclosure pertaining to the bank financial statements.

Statutory liabilities

Bank is under obligation to deposit the tax deducted at source collected from the payment of interest on deposits, borrowings, and other vendors by the 25th of next month. These liabilities to inland revenue are presented separately from other liabilities.

Other liabilities

All other liabilities in the form of bills payable, interest payable on deposits and borrowings, unpaid dividend are measured at amortized cost.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Liability for employees defined benefit obligations	511,289,866	372,860,965	503,458,376	368,137,661
Liability for long-service leave	388,063,465	166,821,195	381,350,876	162,594,439
Short-term employee benefits	945,254	1,379,072	394,147	442,689
Bills payable	28,828,025	27,582,259	28,828,025	27,582,259
Creditors and accruals	1,447,277,556	1,897,296,822	869,777,699	1,575,747,432
Interest payable on deposits	249,191,234	157,513,303	183,907,804	130,161,781
Interest payable on borrowing	89,263,198	63,962,236	89,185,116	63,962,236
Liabilities on defered grant income	-	-	-	-
Unpaid dividend	97,518,179	31,222,390	96,727,754	30,431,965
Liabilities under Finance Lease	-	-	-	-
Employee bonus payable	564,415,392	408,259,964	543,517,843	393,391,826
Other statutory liabilities	280,396,823	162,340,244	279,678,353	161,898,443
Other liabilities	120,778,974	123,778,536	113,811,014	97,000,285
Total	**3,777,967,966**	**3,413,016,987**	**3,090,637,007**	**3,011,351,016**

4.23.1. Defined benefit obligations

The amounts recognised in the statement of financial position are as follows:

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Present value of unfunded obligations	-	-	884,809,252	530,732,100
Present value of funded obligations	-	-	-	-
Total present value of obligations	**-**	**-**	**884,809,252**	**530,732,100**
Fair value of plan assets	-	-	-	
Present value of net obligations	-	-	884,809,252	530,732,100
Recognised liability for defined benefit obligations	**-**	**-**	**884,809,252**	**530,732,100**

4.23.2. Plan Assets

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Equity securities	-	-	-	-
Government bonds	-	-	-	-
Bank deposit	-	-	-	-
Other	-	-	-	-
Total	**-**	**-**	**-**	**-**
Actual Return on Plan Assets	**-**	**-**	**-**	**-**

4.23.3. Movement in the present value of defined benefit obligations

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Defined benefit obligations at Shrawan 1	-	-	530,732,100	482,063,370
Actuarial losses/(gains)	-	-	35,595,676	3,879,921
Benefits paid by the plan	-	-	(57,363,469)	(75,986,620)
Acquisition/Business Combination/Divestiture	-	-	240,248,317	-
Current service costs and interest	-	-	135,596,628	120,775,429
Defined benefit obligations at Asar end	**-**	**-**	**884,809,252**	**530,732,100**

4.23.4. Movement in the fair value of plan assets

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Fair value of plan assets at Shrawan 1	-	-	-	-
Contributions paid into the plan	-	-	-	-
Actuarial losses	-	-	-	-
Benefits paid by the plan	-	-	-	-
Expected return on plan assets	-	-	-	-
Fair value of plan assets at Asar end	**-**	**-**	**-**	**-**

4.23.5. Amount recognised in profit or loss

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Current service costs	-	-	90,836,705	80,276,835
Interest on obligation	-	-	44,759,923	40,498,594
Expected return on plan assets	-	-	-	-
Total	**-**	**-**	**135,596,628**	**120,775,429**

4.23.6. Amount recognised in other comprehensive income

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Acturial (gain)/loss for the period	-	-	(69,458,433)	(16,800,614)
Total	**-**	**-**	**(69,458,433)**	**(16,800,614)**

4.23.7. Actuarial assumptions

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Discount rate	-	-	9%	9.0%
Expected return on plan asset	-	-	0%	0%
Future salary increase	-	-	As per Level	As per Level
Withdrawal rate	**-**	**-**	**11%**	**12%**

4.24. DEBT SECURITIES ISSUED

The bank has issued 1,500,000 debentures of Rs 1000 each during the financial year on 28th Chaitra 2075 (11th April 2019). The debenture carries an interest rate of 10.25 % per annum payable semi-annually and the term of the bond is 5 years from the date of issue. Debenture is measured at amortized cost using the effective interest rate. All the transaction cost incurred upto the time of allotment formed part of effective interest rate.

As per the NRB directive No. 16 licensed institutions which have issued the debentures shall compulsorily create the capital redemption reserve proportionately for the maturity term. Nepal Rastra Bank has exempted from creating the debenture redemption reserve on the year of issue of debenture and year of redemption. During the financial year Rs. 379,111,842 has been transferred to debenture redemption reserve.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Debt securities issued designated as at fair value through profit or loss	-	-	-	-
Debt securities issued at amortised cost	1,497,064,851	1,496,452,596	1,497,064,851	1,496,452,596
	1,497,064,851	**1,496,452,596**	**1,497,064,851**	**1,496,452,596**

4.25. SUBORDINATED LIABILITIES

These are the liabilities which are in lower ranks to the borrowers and other debts in terms of obligations. These are the unsecured liabilities which are repaid only after the depositors in case of liquidation. The bank has not issued any subordinated liabilities till the date of reporting from its inception.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Redeemable preference shares	-	-	-	-
Irredemable cumulative preference shares (liabilities component)	-	-	-	-
Other	-	-	-	-
	-	**-**	**-**	**-**

4.26. SHARE CAPITAL

Ordinary share capital represents the par value of ordinary shares issued. Share issuance cost which were incurred for raising the capital has not been shown as deduction from share capital but are charged to statement of profit or loss. Share premium represents the excess consideration received by the bank over the par value of ordinary shares issued, and is classified as equity.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Ordinary shares	18,975,879,857	10,310,515,959	18,975,879,857	10,310,515,959
Convertible preference shares (equity component only)	-	-	-	-
Irredemable preference shares (equity component only)	-	-	-	-
Perpetual debt (equity component only)	-	-	-	-
Total	**18,975,879,857**	**10,310,515,959**	**18,975,879,857**	**10,310,515,959**

4.26.1. Ordinary shares

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Authorized Capital				
250,000,000 Ordinary share of Rs. 100 each	25,000,000,000	16,000,000,000	25,000,000,000	16,000,000,000
Issued capital				
189,758,798.57 Ordinary share of Rs. 100 each	18,975,879,857	10,310,515,959	18,975,879,857	10,310,515,959
Subscribed and paid up capital				
189,758,798.57 Ordinary share of Rs. 100 each	18,975,879,857	10,310,515,959	18,975,879,857	10,310,515,959
Total	**18,975,879,857**	**10,310,515,959**	**18,975,879,857**	**10,310,515,959**

4.26.2. Ordinary shares ownership

Amount in Rs.

	CURRENT YEAR		PREVIOUS YEAR	
	PERCENT	AMOUNT	PERCENT	AMOUNT
Domestic ownership	**100%**	**-**	**100%**	**-**
Nepal Government	0.11%	21,815,611	0.00%	-
"A" class licensed institutions	0.00%	-	0.00%	-
Other licensed intitutions	0.00%	-	0.00%	-
Other Institutions	11.05%	2,096,144,773	15.52%	1,600,630,661
Public	48.65%	9,231,683,229	48.80%	5,032,030,786
Other	40.19%	7,626,236,242	35.67%	3,677,854,471
Foreign ownership				
Total	**100%**	**18,975,879,856**	**100%**	**10,310,515,918**

4.26.3. Share ownership 0.5% and above

Amount in Rs.

	CURRENT YEAR		PREVIOUS YEAR	
	NO. OF SHARES	PERCENT	NO. OF SHARES	PERCENT
World Wide Investment	7,694,862.24	4.06%	6,824,206.39	6.62%
Ime Investment Pvt.	6,941,988.32	3.66%	6,156,474.85	5.97%
Sumit Kumar Agarwal	3,801,390.31	2.00%	3,125,616.38	3.03%
Bishnu Prasad Neupane	3,276,795.92	1.73%	2,745,935.39	2.66%
Continental Investment	3,191,581.74	1.68%	2,830,671.17	2.75%
Uttam Kumar Nepal	2,608,822.72	1.37%	2,313,811.89	2.24%
Homeland Developers	2,493,866.72	1.31%	2,211,855.18	2.15%
Usha Investment	2,354,874.48	1.24%	2,088,580.47	2.03%
Sandeep Agarwal	1,899,048.20	1.00%	1,672,391.84	1.62%
Hem Raj Dhakal	1,859,930.98	0.98%	1,649,606.19	1.60%
Cabinet Shrestha	1,759,682.15	0.93%	1,560,693.70	1.51%
Suraj Kumar Shrestha	1,473,488.80	0.78%	1,343,766.57	1.30%
Rastriya Beema Sansthan	1,291,206.93	0.68%		
Binod Kumar Bhimsaria	1,246,548.11	0.66%	1,105,585.25	1.07%
Nimisha Investment Pvt.	1,147,847.38	0.60%	1,018,046.45	0.99%
Durga Prasad Neupane	1,007,449.72	0.53%	893,525.25	0.87%
Tikaram Neupane			815,903.17	0.79%
Shovakar Neupane			757,310.38	0.73%
Shasa Shrestha			699,780.93	0.68%
Mala Investment			674,815.34	0.65%
Prabha Goenka Bhimsaria			654,631.85	0.63%
Susan Vaidya Shrestha			652,579.21	0.63%
Suhrid Raj Ghimire			513,979.63	0.50%

4.27. RESERVES

Statutory Reserves

Statutory reserves represents the mandatory reserves maintained by the bank as per Nepal Rastra Bank directives. This includes general reserve,exchange equilization reserve, capital redemption reserve, investment reserve, interest capitilized reserves, corporate social responsibility reserve, training and development reserve and other reserve notified by Nepal Rastra Bank. These reserves are not available for distribution of dividend to the shareholders.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Statutory general reserve	4,440,272,467	2,564,971,175	4,407,857,977	2,547,591,343
Exchange equilisation reserve	163,922,277	121,192,258	163,922,276	121,192,258
Corporate social responsibility reserve	38,283,568	43,906,143	37,322,668	43,428,258
Capital redemption reserve	379,111,842	-	379,111,842	-
Training Reserve	9,798,829	9,112,564	9,798,829	9,112,564
Interest capitalized reserve	43,720,000	43,720,000	43,720,000	43,720,000
Investment adjustment reserve	421,680,000	42,956,262	421,680,000	42,956,262
Capital reserve	1,491,986,799	22,605,030	1,446,129,461	-
Other reserve	18,552,717	15,241,889	-	-
Deferred Tax Reserve	-	-	3,616,245	-
Fair value reserve	19,170,469	(3,199,623)	19,951,368	(2,155,546)
Regulatory reserve	1,215,819,881	579,293,295	1,254,834,335	550,314,646
Actuarial gain/(loss)	(8,431,964)	1,872,130	(8,431,964)	1,872,130
Total	**8,233,886,885**	**3,441,671,122**	**8,179,513,038**	**3,358,031,915**

a. General Reserve

According to Banks and Financial Institutions Act, 2073 amount equal to 20% of net profit from each year is transferred to the general reserve fund. No type of dividend (cash or bonus share) shall be distributed from the amount in general/statutory reserve fund without prior approval of Nepal Rastra Bank .

b. Exchange Equalization Reserve

Financial Institutions which has earned foreign exchange revaluation gain on foreign currency other than Indian Currency has to allocate 25% of such revaluation gain to his reserve as per Banks and Financial Institutions Act, 2073.

c. Regulatory Reserve

Regulatory reserve represents the reserves created as a result of first time adoption of NFRS in Nepal. These reserve are the amounts allocated from profit or retained earnings of the Bank as per the Directive of NRB for the purpose of implementation of NFRS. These include interest income recognized but not received in cash, fair value of investment property, amount equal to deferred tax asset in financial statement, amount equal to actuarial (loss) recognized till date or reporting. These reserves too are not available for distribution of dividend to shareholders. Interest realized upto 16th October 2020 from the overdue interest as of 15th July 2020 has been considered for the allocation of regulatory reserve as per Nepal Rastra Bank Directives.

Amount in Rs.

	DEFERRED TAX RESERVE	INVESTMENT PROPERTY	FAIR VALUE OF INVESTMENT	ACCRUED INTEREST	ACTUARIAL GAIN/LOSS	TOTAL REGULATORY RESERVE
Balance as on Asar 31 2076	**212,078,419**	**118,685,464**	**2,155,546**	**217,395,216**	**-**	**550,314,646**
Transfer from Merger/Acquisition	51,054,097	142,476,410	-	345,185,150	84,178,567	622,894,224
Transfer during the period	18,440,435	-	-	191,007,499	-	209,447,934
(Withdrawal) during the period	-	(49,920,319)	(2,155,546)	-	(75,746,603)	(127,822,469)
Balance as on Asar 31 2077	**281,572,951**	**211,241,555**	**-**	**753,587,866**	**8,431,964**	**1,254,834,335**

d. Fair Value Reserve

The fair value reserve comprises the cumulative net change in the fair value of financial assets that are measured at fair value and the changes in fair value is recognized in other comprehensive income, until the assets are derecognized. Difference of the purchase value and the market value of financial equity instruments and mutual fund units are recognized as fair value reserve.

Amount in Rs.

Balance as on Shrawan 1 2076	**(2,155,547)**
Transfer from Merger	13,274,475
Transfer/(Withdrawal) during the period	8,832,439
Balance as on Asar 31 2077	**19,951,368**

e. Revaluation Reserve

Fair value change of property and investment property if any revalued to match the market value of such assets are included in revaluation reserve. These amounts are not available for distribution.

f. Other Reserves

i. Capital Redemption Reserve

Capital redemption reserve is created for the payment of future long term liability, which the bank has raised for its capital. This reserve includes the reserve set aside for redemption of Bank's debenture at its maturity.

ii. Interest Capitalized Reserve

Interest accrued in the loans provided to infrastructure project and are under the monatarium period are capitalized and the same amount is kept in interest capitalized reserve.

iii. Capital Reserve

Capital reserve has ben created as a result of acquisition of Hathway Finance Company Ltd and Merger with then Janata Bank Nepal Ltd. The differnce between combined total share capital of the entities before merger/acquisition and total share capital after merger/ acquisition is recognised as capital reserve amounting to Rs. 1,446,129,461. This amount is available oly for distribution of bonus shares.

iv. Investment Adjustment Reserve

Investment adjustment reserve are created as a cushion for adverse price movements in the bank's ivestments as per the directive issued by Nepal Rastra Bank. The Bank has created investment adjustment reserve in the following investments as er directive of Nepal rastra Bank.

Amount in Rs.

INVESTMENTS	CURRENT YEAR	PREVIOUS YEAR
Nepal Reinsurance Co. Limited	-	42,196,262
ICRA Nepal Ltd.	760,000	760,000
Prabhu Capital Ltd.	300,000	-
General Insurance Company Ltd.	20,620,000	-
Reliable Nepal Life Insurance Co. Limited	200,000,000	-
IME Life Insurance Company Ltd	200,000,000	-
Total (Balance as at 31st Asar 2077)	**421,680,000**	**42,956,262**
Less: Transfer from Merger	**300,000**	**-**
Addition/ (Withdrawal) during the year	**378,423,738**	**(180,000,000)**

v. Corporate Social Responsibility Reserve

As per NRB directive financial institutions are required to allocate 1% of its Net profit on Corporate Social Responsibility Fund. Bank has used the fund in economic transformtion mainly in the field of education, financial awareness, community conservation and community health by directly or by support to various event organizers. This fund is used to expense out in next financial year in the welfare of society as directed by the directive created as below:

Amount in Rs.

Balance as on Shrawan 1 2076	**43,428,258**
Transfer from Merger/Acquisition	14,581,402
Less: Corporate Social Responsibility expense during the year	(49,773,636)
Add: Additional Reserve for the next financial year	29,086,644
Balance as on Asar 31 2077	**37,322,668**

vi. Training Reserve

As per NRB directive financial institutions are required to incur minimum 3% of its total employee expenses of previous year on training and development of their employees. This reserve is created for the training and development of the Bank's employees as per said directive. However Nepal Rastra Bank has exempted from creating any training reserve for the financial year 2076-77.

Amount in Rs.

Balance as on Shrawan 1 2076	**9,112,564**
Transfer from Merger/Acquisition	686,265
Less: Training expense during the year	
Add: Additional Reserve for the next financial year	
Balance as on Asar 31 2077	**9,798,829**

The detail movement in the other reserves are as below:

Amount in Rs.

	CAPITAL REDEMPTION RESERVE	CAPITAL RESERVE	INTEREST CAPITALIZED RESERVE	INVESTMENT ADJUSTMENT RESERVE	CSR FUND	TRAINING RESERVE	OTHER RESERVE	ACTUARIAL GAIN/LOSS	TOTAL OTHER RESERVE
Balance as on Shrawan 1 2076	**-**	**-**	**43,720,000**	**42,956,262**	**43,428,258**	**9,112,564**	**-**	**1,872,130**	**141,089,214**
Transfer from Merger/Acquisition	-	1,446,129,461	-	300,000	14,581,402	686,265	3,616,245	(58,924,997)	1,406,388,376
Transfer during the period	379,111,842	-	-	378,423,738	-	-	-	48,620,903	806,156,484
(Withdrawal) during the period	-	-	-	-	(20,686,992)	-	-	-	(20,686,992)
Balance as on Asar 31 2077	**379,111,842**	**1,446,129,461**	**43,720,000**	**421,680,000**	**37,322,668**	**9,798,829**	**3,616,245**	**(8,431,964)**	**2,332,947,081**

Retained earnings

Retained earnings represents the cumulative net earnings or profit after accounting for dividends to shareholders and mandatory reserves required as per directives issued by Nepal Rastra Bank before distributing dividend.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
opening balance	**2,825,449,981**	**1,561,267,902**	**2,663,622,463**	**1,460,832,125**
add: profit for the year	3,081,514,339	2,892,357,853	2,908,664,367	2,761,953,667
add: transfer from merger	202,826,636	-	186,928,361	-
less: transfer to regulatory reserves	(141,454,831)	(111,705,020)	(209,447,934)	(84,038,733)
less: transfer from regulatory reserves	127,822,469	9,888,299	127,822,469	9,888,299
add: transfer from statutory reserves	31,991,450	529,157,372	-	529,157,372
less: transfer to statutory reserves	(1,359,206,318)	(605,786,558)	(1,342,668,193)	(592,030,134)
less: cash dividend for FY 2074-2075	-	(17,504,485)	-	-
less: scrip dividend for FY 2074-2075	-	(1,432,225,382)	-	(1,422,140,132)
less: cash dividend for FY 2075-2076	(1,373,813,674)	-	(1,330,655,780)	-
less: scrip dividend for FY 2075-2076	(1,357,717,867)	-	(1,330,655,780)	-
closing balance	**2,037,412,184**	**2,825,449,981**	**1,673,609,973**	**2,663,622,463**

4.28. CONTINGENT LIABILITIES AND COMMITMENTS

Even though these obligations may not be recognized on the statement of financial position, they do contain credit risk and are therefore part of the overall risk of the Bank.

Letters of credit and guarantees (including standby letters of credit) commit the Bank to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Guarantees and standby letters of credit carry a similar credit risk to loans.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Contingent Liabilities	38,169,017,386	28,672,622,871	38,169,017,386	28,672,622,871
Undrawn disbursed facilities	20,144,102,951	15,150,022,095	20,144,102,951	15,150,022,095
Capital commitments	-	-	-	-
Lease commitments	-	-	-	-
Litigations	-	-	-	-
	58,313,120,337	**43,822,644,966**	**58,313,120,337**	**43,822,644,966**

4.28.1. Contingent liabilities

Contingent liabilities are possible obligations that arise out of past events and whose existence will be confirmed only by the occurrence of or non-occurrence of one or more uncertain future events not wholly within the control of the Bank. These can also be present obligations that arise from past events but they are not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation, or the amount of the obligation cannot be measured with sufficient reliability. Contingent liabilities are measured with the provisions of as defined in Nepal Accounting Standard- NAS 37 - Provisions, Contingent Liabilities and Contingent Assets.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
1. Acceptances & Endorsements	**1,721,049,795**	**1,453,802,342**	**1,721,049,795**	**1,453,802,342**
2. Documentary Credit				
Expiring within 6 Months	5,042,794,896	5,760,208,140	5,042,794,896	5,760,208,140
Expiring within 6 Months to 1 Year	463,493,390	492,921,462	463,493,390	492,921,462
Expiring after 1 Year	461,608,705	301,515,100	461,608,705	301,515,100
3. Bills for collection				**-**
4. Forward exchange contracts	**8,754,924,321**	**4,025,464,909**	**8,754,924,321**	**4,025,464,909**
5. Guarantees/Bonds				
i.) Advance Payment Guarantee				
Expiring within 6 Months	1,863,439,861	2,381,666,749	1,863,439,861	2,381,666,749
Expiring within 6 Months to 1 Year	1,313,541,577	1,699,907,831	1,313,541,577	1,699,907,831
Expiring after 1 Year	581,157,800	181,194,950	581,157,800	181,194,950
ii. Bid Bonds				
Expiring within 6 Months	1,449,802,890	1,910,196,615	1,449,802,890	1,910,196,615
Expiring within 6 Months to 1 Year	2,887,000	21,622,000	2,887,000	21,622,000
Expiring after 1 Year	3,996,246	-	3,996,246	-
iii. Performance Bonds				
Expiring within 6 Months	3,966,610,354	3,078,600,888	3,966,610,354	3,078,600,888
Expiring within 6 Months to 1 Year	3,045,344,695	1,972,679,513	3,045,344,695	1,972,679,513
Expiring after 1 Year	7,009,498,187	3,906,341,679	7,009,498,187	3,906,341,679
iv. Other Guarantee/ Bonds				
Expiring within 6 Months	1,283,156,385	781,709,915	1,283,156,385	781,709,915
Expiring within 6 Months to 1 Year	714,103,000	532,800,000	714,103,000	532,800,000
Expiring after 1 Year	364,683,000	51,500,000	364,683,000	51,500,000
6. Underwriting commitment		**-**	**-**	**-**
7. Contingent Liabilitiies on Income Tax	**126,925,283**	**120,490,779**	**126,925,283**	**120,490,779**
Total	**38,169,017,386**	**28,672,622,871**	**38,169,017,386**	**28,672,622,871**

4.28.2. Undrawn and undisbursed facilities

To meet the financial needs of customers, the Bank enters into various irrevocable commitments and contingent liabilities. These consist of financial guarantees, letters of credit and other undrawn commitments to lend.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
1. Undisbursed amount of loans				
Expiring within 6 Months	3,502,631,844	1,678,578,672	3,502,631,844	1,678,578,672
Expiring within 6 Months to 1 Year	-	-	-	-
Expiring after 1 Year	-	-	-	-
2. Undrawn limits of overdrafts				
Expiring within 6 Months	6,623,273,367	3,299,656,586	6,623,273,367	3,299,656,586
Expiring within 6 Months to 1 Year	3,790,412,374	2,132,339,996	3,790,412,374	2,132,339,996
Expiring after 1 Year	40,399,852	11,002,066	40,399,852	11,002,066
3. Undrawn limits of credit cards	**939,959,978**	**380,070,305**	**939,959,978**	**380,070,305**
4. Undrawn limits of letter of credit	**5,242,925,537**	**7,619,545,871**	**5,242,925,537**	**7,619,545,871**
5. Undrawn limits of guarantee	**4,500,000**	**28,828,600**	**4,500,000**	**28,828,600**
Total	**20,144,102,951**	**15,150,022,095**	**20,144,102,951**	**15,150,022,095**

4.28.3. Capital Commitments

There are no any Capital expenditure approved by relevant authority of the bank, which requires provision in financial statements.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Capital commitments in relation to Property and Equipment				
Approved and contracted for	-	-	-	-
Approved but not contracted for	-	-	-	-
Capital commitments in relation to Intangible assets				
Approved and contracted for	-	-	-	-
Approved but not contracted for	-	-	-	-
Total	**-**	**-**	**-**	**-**

4.28.4. Lease Commitments

Lease commitments entered by bank for the leasing of spaces for expanding branch operations but provision not made in financial statements.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Operating lease commitments				
Future minimum lease payments under non-cancellable operating lease, where the bank is lessee				
Not later than 1 year				
Later than 1 year but not later than 5 years				
Later than 5 years				
Finance lease commitments				
Future minimum lease payments under non-cancellable finance lease, where the bank is lessee				
Not later than 1 year				
Later than 1 year but not later than 5 years				
Later than 5 years				
			-	-
Total	**-**	**-**	**-**	**-**

4.28.5. Litigations

a. Income Tax

Tax assessment cases which are pending for decision under Supreme Court, Revenue Tribunal and Inland Revenue Department there are provided below:

Amount in Rs.

CASES AT	CURRENT YEAR	PREVIOUS YEAR
Supreme Court	55,942,704	55,942,704
Revenue Tribunal	46,777,797	46,777,797
Inland Revenue Department	24,204,782	17,770,278
Total	**126,925,283**	**120,490,779**

b. Others

Except for the above cases there are no other litigation cases, which will give rise to material outflow of bank's resources and affect the going concern of the bank

4.29. INTEREST INCOME

Interest income is recorded using the effective interest rate (EIR) method. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset.

Interest incomes include interest income on loans and receivables to financial institutions and customers, on cash balances and on bonds and other interest bearing securities in all financial assets. Using the Carve Out issued by Institute of Chartered Accountants of Nepal, the origination fees on loans to customers or financial institution has not been considered in calculating the EIR. The Bank has not recognized the interest income that has been accrued on the bad loans due to the uncertainty of the cash flows. Further the Bank does not recognize accrued interest on Substandard and Doubtful classified loans, unless such interest along with principal are covered by the collateral valuation as defined by Nepal Rastra Bank Directives.

Due to the spread of Pandemic COVID 19, across the globe, the economic activities has been virtually halted all economic activities - in production, distribution and, to a great extent, consumption, in the past 4 months of financial year. Earnings of the Banking industry has been seriously impacted with the rise in excessive liquidity and the default in repayment of loans as there has been uncertainty in every walk of national life by the unknown presence of the pandemic duration, followed by a long lockdown announced by the government. The Bank has provided all the incentives for the business affected by the COVID 19, in terms of rebate and interest rate reduction to support its customers. These incentives has led to the reduction in Bank's revenue from the interest. Rs. 45,324,143.75 had been provided as rebate to the customers (credited to customers) who had paid their monthly/quarterly dues till Chaitra end 2076 as per Nepal Rastra Bank Circular. Similarly Rs. 735,881,138.92 had been provided as rebate through discount of 2 % on their effective interest upto Ashad end 2077.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
from cash and cash equivalents	219,430,704	196,960,677	168,066,253	173,061,687
from due from Nepal Rastra Bank	-	-	-	-
from placements with bank and financial institutions	1,608,524	3,297,457	1,608,524	1,953,416
from loans and advances to banks and financial institutions	506,315,253	359,043,719	584,096,393	397,451,662
from loans and advances to customers	19,412,037,905	12,744,414,210	18,751,536,927	12,347,481,177
from investment securities	912,519,424	507,897,426	912,519,424	507,897,426
from loans and advances to staff	66,483,874	96,589,971	66,379,702	96,589,971
from others agency balance	4,942,726	22,467,011	5,193,445	6,449,458
	21,123,338,411	**13,930,670,471**	**20,489,400,668**	**13,530,884,797**

4.30. INTEREST EXPENSE

Interest expense is recorded using the effective interest rate (EIR) method. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial liability. Interest expenses include interest on deposits from customers, deposits from banks, debt securities issued, and other interest bearing financial liabilities. Expenses for promotion and incentives provided to bring the deposits are not included in the calculation of effective interest rate because of the immaterial nature and allocation of the cost to individual deposit is not feasible.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
on dues to bank and financial institutions	417,703,527	224,240,347	198,357,497	66,777,051
on dues to Nepal Rastra Bank	-	-	-	-
on deposit from customers	11,968,631,861	8,163,451,546	11,887,817,337	8,118,365,381
on borrowings	27,464,016	25,815,332	26,850,782	22,493,962
on debt securites issued	154,362,255	80,902,385	154,362,255	80,902,385
on subordinated liabilities	-	-	-	-
	12,568,161,660	**8,494,409,611**	**12,267,387,871**	**8,288,538,779**

4.31. FEES AND COMMISSION INCOME

Fees and commission income earned from services that are provided over a certain period of time which includes fees and commission collected from issuance of letter of credit, guarantees, and card related fees are recognized on time proportion basis. Loan administration fees, service fees swap fees are collected at the time of issuing new loans or renewal of underlying credit facilities. These fees collected by the bank for managing the loans and are collected at the range of 0% to 1 % of the loan size.

The management estimates that these fees collected are not an alternative for reduction of interest rate charged to the customers and does not form part of calculating the effective interest rate. Other fees include commission income from remittance, custody and advisory fees as well as fees from insurance brokerage, foreign exchange transactions.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
from loan administration fees	367,732,790	251,031,080	367,732,790	249,859,930
from service fees	265,676,829	204,441,440	173,277,270	104,994,393
from consortium fees	-	-	-	-
from commitment fees	4,222,283	161,400	4,222,283	161,400
from D.D/ T.T/swift fees	28,370,016	19,101,019	28,370,016	19,101,019
from credit card/ATM issuance and renewal fees	253,473,671	264,532,212	253,473,671	264,532,212
from prepayment and swap fees	9,000,299	5,607,960	9,000,299	5,607,960
from investment banking fees	-	-	-	-
asset management fees	561,934	7,165,807	-	-
from brokerage fees	-	-	-	-
from remittance fees	171,368,819	181,678,781	171,065,785	181,678,781
from commission on letter of credit	100,228,971	79,086,123	100,228,971	79,086,123
from commission on guarantee contract issued	249,140,345	179,553,929	249,140,345	179,553,929
from commission on share underwriting/issue	18,898,330	18,108,552	-	-
from locker rental	7,596,150	5,320,250	7,596,150	5,320,250
from other fees and commission income	111,381,786	94,285,995	108,027,763	91,200,131
Total fees and commission income	**1,587,652,225**	**1,310,074,547**	**1,472,135,345**	**1,181,096,127**

4.32. FEES AND COMMISSION EXPENSE

Fee and commission expense relate mainly to transactions and services fees which are expensed as the services are received. Fee and commission expense are recognized on an accrual basis.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
on ATM management fees	-	-	-	-
on VISA/Master card fees	95,422,514	75,711,687	95,422,514	75,711,687
on guarantees	-	-	-	-
on brokerage	-	-	-	-
on D.D/ T.T/swift fees	13,345,290	8,602,031	13,345,290	8,602,031
on remittance commission	75,521,767	80,024,003	75,521,767	80,024,003
other commission expenses	62,017,326	74,400,522	57,715,921	52,095,846
Total fees and commission expense	**246,306,898**	**238,738,243**	**242,005,492**	**216,433,567**

4.33. NET TRADING INCOME

Net trading income includes all gains and (losses) from changes in fair value, related capital gains/ losses, foreign exchange trading gains/ (losses), interest income from trading assets and dividend from financial assets measured at fair value through profit or loss. Dividend income from assets is recognized when the bank's right to receive the payment is established.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
from changes in fair value of trading assets	48,124,046	5,332,357	-	-
from gain/loss on disposal of trading assets	19,971,228	25,615,660	-	-
from interest income on trading assets	-	-	-	-
from dividend income on trading assets	-	-	-	-
from gain/loss foreign exchange transation	579,515,071	412,125,157	579,515,071	412,125,157
from other trading income	-	-	-	-
Total net trading income	**647,610,345**	**443,073,174**	**579,515,071**	**412,125,157**

4.34. OTHER OPERATING INCOME

Gain/ (loss) from sale of investment securities, dividend on investment securities, gain/ (loss) on sale of investment securities and properties, gain/ (loss) from trading of gold and silver and subsidies received from the government or other financial institutions are recognized in other operating income. Subsidy received for the purchase of equipment are deducted from the cost of related equipment. Profit / (loss) on sale of property and equipment are recorded when the control over those are transferred to the buyer and fair consideration has been received.

Profit / (loss) on sale of repossessed collateral classified as investment property are recorded when control over those collateral are transferred and a fair consideration has been received from the buyer. Dividend income from assets is recognized when the bank's right to receive the payment is established.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
from foreign exchange revaluation gain	96,346,926	88,135,015	96,346,926	88,135,015
from gain/loss on sale of investment securities	913,850	16,424,361	-	16,424,361
from fair value gain/loss on investment properties	-	-	-	-
from dividend on equity instruments	37,377,784	39,333,469	31,465,889	35,606,539
from gain/loss on sale of property and equipment	(6,129,788)	5,953,376	(5,183,319)	5,953,376
from gain/loss on sale of investment property	8,930,556	-	8,930,556	-
from operating lease income	-	-	-	-
from gain/loss on sale of gold and silver	1,867,733	3,784,539	1,867,733	3,784,539
from others	72,623,353	32,668,232	63,385,515	13,153,816
Total other operating income	**211,930,414**	**186,298,992**	**196,813,300**	**163,057,647**

4.35. IMPAIRMENT CHARGE/ (REVERSAL) FOR LOANS AND OTHER LOSSES

Net impairment charge or reversal on loans are the movement in collective impairment allowance and specific impairment allowance from the previous year on the basis of individual assessment of loans and historical loss experience on loans. The Bank has applied the carve out as issued by Institute of Chartered Accountants of Nepal Note no. 5 "Incurred Loss Model to measure the Impairment Loss on Loan and advances" which gives the option to charge the impairment amount higher of incurred loss model calculation and as per NRB directives. Net impairment losses relate to allowance recognized both at individual and portfolio (collective) level. This includes recoveries on written-off-loans removed from the statement of financial position in previous years.

The spread of COVID 19 across the globe has directly affected the economic activities of the country where in, many loans floated in the COVID impacted sector has been affected. Due to the rise in default for repayment credit risk has sore up significantly and affected the impairment charge in loans. Nepal Rastra Bank has issued various rebates in form of interest rates and time extension for repayment of loans. Nepal Rastra Bank has also issued the directives in charging the impairment for affected loans wherein the Bank has fully complied with those provisions and has charged the impairment charge/(reversal) for loans accordingly.

Impairment charge/ (reversal) for loans and other losses comprise of impairment losses and reversal of impairment on, investments, cash and bank balance measured at amortized cost and the account receivable balance identified for impairment. Net impairment losses relate to allowance recognized at individual assessment for those financial assets.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
on loans and advances to B/FIs	9,259,669	2,480,163	18,367,234	4,993,569
on loans and advances to customer	2,017,964,317	218,113,639	1,936,059,378	193,193,513
on investment securities	-	-	-	-
on cash and cash equivalents	-	-	-	-
on placement with banks and financial institutions	-	-	-	-
on property and equipment	-	-	-	-
on goodwill and intangible assets	-	-	-	-
on investment properties	-	-	-	-
on account receivables	-	-	-	-
Total impairment charge/(reversal)	**2,027,223,985**	**220,593,802**	**1,954,426,612**	**198,187,082**

4.36. PERSONNEL EXPENSES

Short Term Employee Benefits

The cost of all short-term employee benefits is recognized as an expense during the period in which the employee renders the related service. Accruals for employee entitlements to salaries, bonus and annual leave represent the amount which the bank has a present obligation to pay as a result of employees' services provided up to the reporting date. The accruals have been calculated at undiscounted amounts based on current salary rates.

Defined Contribution Plans

A defined contribution plan is a post-employment benefit plan under which an Bank pays fixed contribution into a separate bank (a fund) and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee services in the current and prior periods, as defined in Nepal Accounting Standard – NAS 19 (Employee Benefits).

The contribution payable by the employer to a defined contribution plan in proportion to the services rendered to bank by the employees and is recorded as an expense under 'Personnel expenses' as and when they become due. Unpaid contributions are recorded as a liability under 'Other liabilities' in Notes 4.23. Bank contributed 10% on the salary of each employee to the Employees' Provident Fund. The above expenses are identified as contributions to 'Defined Contribution Plans' as defined in Nepal Accounting Standards – NAS 19 (Employee Benefits).

Defined Benefit Plans- Gratuity and unutilized accumulated leave

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. Accordingly, staff gratuity and leave encashment has been considered as defined benefit plans as per Nepal Accounting Standards – NAS 19 (Employee Benefits).

An actuarial valuation is carried out every year to ascertain the liability under gratuity and accumulated leave. The liability recognized in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the date of the statement of financial position less the fair value of plan assets, together with adjustments for unrecognized actuarial gains or losses and past service costs. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to other comprehensive income. Interest cost, present service cost and past-service costs are recognized in statement of profit or loss. The demographic assumptions underlying the valuation are retirement age (58 years or 25 years of service whichever is earlier), early withdrawal from service and retirement on medical grounds.

Staff Bonus

Bank provides annual staff bonus as per Bonus Act at 10% of profit before tax.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
salaries	860,601,443	506,219,174	790,648,997	450,042,256
allowances	858,294,514	473,912,931	814,759,957	444,279,721
gratuity	73,974,029	85,723,213	70,263,769	83,398,822
provident fund	80,954,785	47,752,805	75,240,776	43,905,800
uniform	380,975	730,921	-	-
training and development expenses	18,748,778	31,931,393	16,411,159	30,142,927
leave encashment	159,254,453	60,817,053	155,425,936	58,057,141
medical insurance	5,820,259	4,282,379	5,802,495	4,282,379
life insurance	7,946,731	7,979,625	7,060,566	7,157,174
employee incentives	-	-	-	-
cash settled share-based payments	-	-	-	-
pension expenses	-	-	-	-
finance expense under NFRS	75,924,269	31,155,666	75,924,269	31,155,666
other staff expenses	-	33,848,365	-	33,848,165
	2,141,900,236	**1,284,353,524**	**2,011,537,922**	**1,186,270,053**
employees bonus	483,996,235	408,259,964	463,098,686	393,391,826
Total personnel expenses	**2,625,896,472**	**1,692,613,488**	**2,474,636,608**	**1,579,661,879**

4.37. OTHER OPERATING EXPENSES

Bank operates in a competitive environment for making the banking service easily available and accessible to the public. The bank incurs various expenses in form of lease rent, travelling, security, fuels and electricity, communication and advertisements and directly related expenses. These expenses are incurred and accounted on an accrual basis and are charged to income statement unless those expenses form the capital nature.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
directors' fees	5,998,500	2,877,700	4,027,000	1,732,000
directors' expenses	6,539,055	3,490,499	5,913,875	3,094,197
auditor's remuneration	3,023,950	2,536,616	2,644,200	2,260,000
other audit related expenses	40,749	340,591	-	-
professional and legal expense	15,457,053	7,110,429	15,097,741	6,799,429
office administration expenses	883,002,270	644,151,182	853,576,979	618,350,827
operating lease expenses	333,574,440	228,750,034	317,795,542	217,158,922
operating expense on investment properties	-	-	-	-
corporate social responsibility expenses	49,773,636	10,013,889	49,773,636	10,013,889
onerous lease provisions	-	-	-	-
other operating expenses	-	-	-	-
Total operating expense	**1,297,409,653**	**899,270,940**	**1,248,828,973**	**859,409,263**

4.37.1. Office administration expenses

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Water & electricity	53,104,203	39,827,641	52,069,693	38,734,470
Repairs and maintenance				
(a) Building	97,013	369,474	97,013	369,474
(b) Vehicle	7,903,173	6,327,333	7,903,173	6,100,220
(c) Computer and accessories	520,294	659,408	520,294	659,408
(d) Office equipment and furniture	6,414,634	7,280,464	6,414,634	7,280,464
(e) Other repairs	7,559,188	8,496,969	5,860,827	7,207,221
Insurance	13,521,259	7,906,672	12,978,810	7,620,890
Postage, telex, telephone,fax	70,635,727	46,038,754	68,081,609	43,807,760
Printing and stationery	74,340,289	62,951,967	70,738,802	58,810,281
Newspaper, books and journals	1,487,218	1,768,928	1,431,937	1,726,701
Advertisement	72,755,203	36,626,720	72,494,863	35,890,170
Donation	-	-	-	-
Security expenses	190,985,640	146,691,111	189,723,408	145,673,238
Deposit and loan guarantee premium	63,112,357	44,670,075	63,112,357	44,670,075
Travel allowance and expenses	50,080,567	37,122,775	48,010,407	34,311,030
Entertainment	2,415,171	2,492,448	2,348,600	2,492,448
Annual/special general meeting expenses	1,507,345	1,636,211	985,809	1,403,592
Other				
(a) ATS/AMC expenses	66,801,267	57,510,360	65,812,935	56,098,297
(b) Bank charges	8,113,945	6,366,178	8,099,213	5,922,155
(c) Business promotion	22,386,361	25,717,748	22,111,693	25,717,748
(d) Cleaning & gardening	14,698,543	14,460,215	14,276,198	14,220,274
(e) Fees & taxes	23,563,262	22,198,839	23,330,762	22,198,839
(f) Fuel & other lubricants	29,271,368	23,376,569	27,403,621	21,830,982
(g) Membership fees	4,067,107	1,279,036	3,971,597	847,370
(h) Office goods and supply	7,054,851	8,092,873	6,533,333	8,092,873
(i) Pantry expenses	10,293,069	9,385,873	9,054,457	8,056,157
(j) Share registration expenses	14,863,010	8,559,843	14,863,010	8,559,843
(k) Others	65,450,205	16,336,698	55,347,924	10,048,846
Total operating expense	**883,002,270**	**644,151,182**	**853,576,979**	**618,350,827**

4.38. DEPRECIATION AND AMORTIZATION

Depreciation of Property, and Equipment

Bank provides depreciation from the subsequent month of assets being put to use, while no depreciation is charged in the month of disposal, at the following rates on a straight line basis over the periods appropriate to the estimated useful lives of asset's future economic benefits are expected to be consumed by the bank. Leased assets are amortized over the period of 5 years or lease term which is earlier. Freehold lands are not depreciated as they are non depreciable assets.

Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale or the date the asset is derecognised. Depreciation does not cease when the asset becomes idle or is retired from active use unless the asset is fully depreciated.

PROPERTY & EQUIPMENT	EXPECTED LIFE	RESIDUAL VALUE
Building	40 Years	Re. 1
Vehicle	7 Years	Re. 1
Furniture- Wooden	7 Years	Re. 1
Furniture- Metal	10 Years	Re. 1
Office Equipment	5 Years	Re. 1
Computer	5 Years	Re. 1
Machinery including ATMs	5 Years	Re. 1

Because of uncertainties inherent in business activities, many items in financial statement cannot be measured with precision but can only be estimated. The estimation involves judgments based on the latest available reliable information. The use of reasonable estimates is an essential part of financial statements and does not undermine their reliability.

Amortization of Intangible Assets

Intangible assets,except for goodwill, are amortized on a straight line basis in the Statement of Profit or Loss from the subsequent month of assets being put to use, over the best estimate of its useful economic life based on a pattern in which the asset's economic benefits are consumed by the Bank. The useful life estimated by the Bank is 5 years from the date put to use. Bank assumes that there is no residual value for its intangible assets.

During the merger with then Janata Bank Nepal Ltd, Intangible Assets has been transferred on cost basis. Amortization of Core Baking System used by then Janata Bank Ltd is being continuously used for data retrivation of customers of then Janata Bank Nepal Ltd. The software has been amortized using the same principle the Bank follows for amortization of other Inatngible Assets.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
on property and equipment	292,074,814	235,300,383	282,978,970	226,789,905
on investment property	-	-	-	-
on software and intangibles	22,796,371	12,616,185	21,142,964	11,514,529
Total Depreciation & Amortisation	**314,871,185**	**247,916,568**	**304,121,934**	**238,304,434**

4.39. NON OPERATING INCOME

Non-operating income are those generated by activities outside of the core operating activities of the banks. These includes recovery for earlier written off loans. Share of profit from investment in associates are shown separately as non-operating income as equity method has only been applied while preparing consolidated financial statements.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
from recovery of written off loans	641,568	27,289,531	641,568	27,289,531
from other income	-	-	-	-
from share of profit from investment in associates	44,876,958	40,899,015	-	-
Total non operating income	**45,518,526**	**68,188,546**	**641,568**	**27,289,531**

4.40. NON OPERATING EXPENSES

Non-operating expenses are those incurred outside of the core operating activities of the banks. These includes write off for uncollectible loans and others like expenses of redundancy and restructuring. During the year the Bank had opened Voluntary Retirement Scheme to the eligible employees. The cost incurred for the employees opting the scheme has been presented as expense of restructuring.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
on loan written off	58,520,553	-	58,520,553	-
on redundancy provision	-	-	-	-
on expense of restructuring	20,689,739	-	20,689,739	-
on other expense	-	-	-	-
Total non operating expense	**79,210,292**	**-**	**79,210,292**	**-**

4.41. INCOME TAX EXPENSE

Current Taxation

'Current tax' comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax receivable or payable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted, as at the reporting date. Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purpose in accordance with the provisions of the Income Tax Act.

Deferred Taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and
- taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available, against which they can be used. Deferred tax assets are reviewed at each Reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available, against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, i.e. using tax rates enacted or substantively enacted as at the reporting date. The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Bank expects as at the reporting date to recover or settle the carrying amount of its assets and liabilities.

This Note includes the major components of tax expense, the effective tax rates and a reconciliation between the profit before tax and tax expense, as required by the Nepal Accounting Standard – NAS 12 on 'Income Taxes'.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
current tax expense				
income tax expense based on profit for current year	1,343,033,015	1,245,969,517	1,294,604,441	1,202,570,465
adjustment for prior years under/(over) provision	-	-	-	-
	1,343,033,015	1,245,969,517	1,294,604,441	1,202,570,465
deferred tax expense				
origination and reversal of temporary differences	(9,513,792)	(27,968,044)	(35,380,637)	(30,605,877)
change in tax rates	-	-	-	-
recognition of previously unrecognised tax losses	-	-	-	-
	(9,513,792)	**(27,968,044)**	**(35,380,637)**	**(30,605,877)**
Total income tax expenses	**1,333,519,223**	**1,218,001,473**	**1,259,223,804**	**1,171,964,588**

4.41.1: Reconciliation of tax expense and accounting profit

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Profit before tax	-	-	4,167,888,171	3,933,918,255
Tax Amount at rate of 30%	-	-	1,250,366,451	1,180,175,477
Add: Tax effect of expenses that are not deductible for tax purpose	-	-	152,838,589	98,219,107
Less: Tax effect on exempt income	-	-	(9,439,767)	(9,840,384)
Add/(Less):Tax effect on NFRS adjustments				
Less: Tax effect of expenses that are deductible for tax purpose	-	-	(99,160,833)	(65,983,734)
Total Income tax	**-**	**-**	**1,294,604,441**	**1,202,570,465**
Effective tax rate			**31.06%**	**30.57%**

4.42. EARNINGS PER SHARE

The bank presents basic and diluted Earnings per Share (EPS) for its ordinary shares. Basic earnings per share (EPS) is calculated by dividing the net profit for the year attributable to ordinary equity holders of Bank by the weighted average number of ordinary shares outstanding during the year.

Diluted Earnings per Share is determined by adjusting both the profit attributable to the ordinary equity holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares if any.

a. Earnings per Share: Basic

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Amount used as the numerator		
Profit after tax for the year attributable to equity holder (Rs)	2,908,664,367	2,761,953,667
No. of ordinary shares used as the denominator		
Weighted average number of ordinary shares	161,713,962	117,671,717
Basic/Diluted earnings per ordinary shares (Rs)	**17.99**	**23.47**

b. Earnings per Share: Diluted

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Amount used as the numerator		
Profit after tax for the year attributable to equity holder (Rs)	2,908,664,367	2,761,953,667
No. of ordinary shares used as the denominator		
Weighted average number of ordinary shares	161,713,962	117,671,717
Basic/Diluted earnings per ordinary shares (Rs)	**17.99**	**23.47**

c. Weighted average Number of Ordinary Shares for basic/Diluted EPS

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Number of Shares held at 1st of Shrawan	103,105,160	88,883,758
Add: Additional shares issued	-	-
Add: Number of shares issued due to final bonus (FY 2074-75)		14,221,401
	103,105,160	**103,105,160**
Add: Additional shares issued to acquired entity in 18th Bhadra 2076	1,260,000	1,260,000
Add: Additional shares issued to acquired entity in 19th mangsir 2076	44,042,244	-
Add: Number of shares issued due to final bonus (FY 2075-76)	13,306,558	13,306,558
Adjusted Number of Shares eligible EPS calculation	**161,713,962**	**117,671,717**

4.43. PROPOSED AND DISTRIBUTED DIVIDEND

Provision for final dividend are recognised at the time the dividend is recommended by the Board of Directors, and approved by the shareholders. Following are the details for dividend paid and proposed during the financial year.

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Final dividend paid for the years 2075-76 & 2074-75 respectively		
Bonus shares distributed	1,330,655,780	1,422,140,132
Cash dividend paid	1,330,655,780	-
	2,661,311,559	**1,422,140,132**
Dividend paid per ordinary share of Rs 100 each	**25.50**	**16.00**
Final dividend proposed for the years 2076-77 & 2075-76 respectively		
Bonus shares Proposed	2,656,623,180	1,330,655,780
Cash dividend proposed	379,517,597	1,330,655,780
	3,036,140,777	**2,661,311,559**
Dividend proposed per ordinary share of Rs 100 each	**16.00**	**25.50**

STATEMENT OF DISTRIBUTABLE PROFIT OR LOSS

For Year ended 31st Asar 2077 (As per NRB Regulation)

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Net profit or (loss) as per statement of profit or loss	**2,908,664,367**	**2,761,953,667**
Appropriations:		
a. General reserve	(581,732,873)	(552,390,733)
b. Foreign exchange fluctuation fund	(24,086,732)	(22,033,754)
c. Capital redemption reserve	(379,111,842)	347,619,047
d. Corporate social responsibility fund	20,686,992	(17,605,647)
e. Employees' training fund	-	1,538,325
f. Investment adjustment Reserve	(378,423,738)	180,000,000
g. Interest capitalise Reserve		-
h. Other		
Profit or (loss) before regulatory adjustment	**1,565,996,174**	**2,699,080,905**
Regulatory adjustment :		
a. Interest receivable (-)/previous accrued interest received (+)	(191,007,499)	(20,882,512)
b. Short loan loss provision in accounts (-)/reversal (+)	-	-
c. Short provision for possible losses on investment (-)/reversal (+)	2,155,546	(2,155,546)
d. Short loan loss provision on Non Banking Assets (-)/resersal (+)	49,920,319	(26,768,385)
e. Deferred tax assets recognised (-)/ reversal (+)	(18,440,435)	(34,232,289)
f. Goodwill recognised (-)/ impairment of Goodwill (+)	-	-
g. Bargain purchase gain recognised (-)/resersal (+)	-	-
h. Actuarial loss recognised (-)/reversal (+)	75,746,603	9,888,299
i. Other	-	-
Distributable profit or /(loss)	**1,484,370,708**	**2,624,930,471**

ADDITIONAL DISCLOSURES AND INFORMATION

5.1. RISK MANAGEMENT

Risk is inherent in the Bank's activities, it is managed through an integrated risk management framework, including ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her responsibilities. The Bank is exposed to Credit Risk, Liquidity Risk, Market Risk and Operational Risk. It is also subject to country risk and various operating and business risks.

5.1.1. Definitions

A. Credit Risk

Credit Risk is the failure of customers (companies, individuals, banks, financial institutions, states etc) to perform their obligation towards Bank. Credit risk is paramount that bank is exposed to during the normal course of lending and credit under writing. Global IME Bank's Credit Policy Guidelines is the highest level policy document and it reflects long-term expectations and represents a key element of uniform, constructive and risk-aware culture throughout the Bank.

B. Liquidity Risk

Liquidity risk is the risk arising from our potential inability to meet all payment obligations when they come due or only being able to meet these obligations at excessive costs. Liquidity risk can be a situation arising from where short-term assets values are not sufficient to match short-term liabilities or unexpected cash outflows. Liquidity Risk arises from funding needs during challenging money market conditions.

The Bank has been maintaining Liquid Assets to Deposit Ratio as per approved guidelines of the bank and has been monitoring the ratio in the daily basis. The major liquid assets of the Bank includes investment government securities, which is easily convertible into cash level funds during times of liquidity tightness.

C. Market Risk

Market risk is the risk that the value of an investment will decrease due to changes in market factors. These factors will have an impact on the overall performance on the financial markets and can only be reduced by diversification into assets that are not correlated with the market – such as certain alternative asset classes. Market risk is sometimes called "systematic risk" because it relates to factors, such as a recession, that impact the entire market.

D. Operational Risk

Operational Risk is the risk of loss resulting from inadequate or failed internal processes, people and system or from external causes, whether deliberate, accidental or natural and includes legal risk.

Operational Risk Management unit under Integrated Risk Management Department oversees the operational risk aspect. Operational risk is inherent in all business activities. Whilst risks can never be eradicated, Bank follow a number of procedures and practices to manage and mitigate them to preserve and create value of our business. Bank manages operational risks through standardization of internal processes and monitoring mechanisms. Staffs allowed participating in various trainings, workshops, conferences in different arena of the banking function to minimize operational risk caused due to lack of knowledge and skills on the part of staffs.

5.1.2. Risk Mitigation

Risk mitigation involves taking action to reduce an organization's exposure to potential risks and reduce the likelihood that those risks will happen again. Risk mitigation is one of the steps in risk management, which includes identifying the risk, analyzing the risk, and mitigating the risk.

A. Credit Risk

Risk Management Committee is constituted by the Board of Directors which oversee portfolio analysis, stress testing, existing product papers, policy, and procedures on credit, market and operational risk management on regular interval.

The Bank's credit strategy is based on a clear understanding of various risks, disciplined risk assessment and measurement procedures and continuous monitoring. Number of proactive credit risk management techniques and tools under a broad risk framework used by the Bank is outlined below:

- Credit applications undergo a comprehensive credit evaluation and Bank has procedures for Credit Approval for both retail and corporate credit proposals that ensure appropriate resources and tools are employed for the type of credit assessment.

- Credit proposals are routed through Credit Control Unit with evaluation of underlying risk, where borrowers are classified according to risk grade to reflect the risk of default. Lending authority has not been assigned to the staff under Credit Control Unit and headed by Chief Manager. This Unit is independent of business unit and report to Chief Risk Officer of the Bank.

- Primary importance is given on understanding and assessing the existing and future cash flows of the business whereas secondary security is taken as fixed asset collateral security and personal guarantee / third part guarantee to support the life of loan as well as cash collateral to the possible extent.

- Credit Control Unit will support the credit proposal after reviewing inherited risk and forward to Lending Officer for approval with mitigating covenants. Bank is having various level approving authority depending upon proposed limits, inherent risks etc. Credit limits are approved under dual approval system.

- Credit Control Unit should mandatorily review the risks related with each credit exposure having exposure above Rs. 2.5 Million in individual or group accounts except loan against Fixed Deposit / Cash Back facilities. Earlier, the same threshold was of above Rs. 5.0 Million.

- Approved loans are forwarded to Credit Administration Department that administers the post approval processes including review of security documentation, contracts and other legal paper in line with NRB directives, CPG, Product Papers and as per the approved terms and conditions. Credit Administration Department verifies the certification and completion of all formalities and disburses the loan in the system.

- Credit exposures once approved / disbursed are effectively monitored and reviewed on annual basis to determine changes in risk levels. Bank has standard procedures for credit review and monitoring systems, which is documented in Credit Policy Guidelines.

- Early warning signals from customers in financial difficulties are read early and remedial management action is implemented to minimize risk of default / loss.

- Bank reviews and monitors credit on a quarterly basis through diary notes, visit reports, customer's call/visit report and irregularity reports with respect to the management of excesses, overdue payments of principal or interest and past due bills and deficiencies identified therein reported to credit chain. The working capital loans are monitored through verification of statement of current assets provided by the borrower ensuring the utilization of limits are within the approved drawing power.

- Loans are priced appropriately through a Risk Based Pricing model. A template to this effect has been developed and circulated to branches. Relationship managers and Branch managers to identify/compute return on regulatory capital.

- Periodic reviews at portfolio levels are made in order to track performance and changes in quality of loan portfolio. Periodic business evaluation and quality of security / collateral to be done so as to avoid event of any negative downturns in their values. Various credit portfolio analyses to single client group, product and segment wise exposures etc. are reviewed on regular frequency and used to form strategies in future. Compliance of Acts, Policies and Laws promulgated by various governing bodies like Unified Directives, BAFIA, Company Act, Monetary Policy, Muluki Ain, etc. are being ensured.

- Bank has undertaken strategy to grow majority of business in the corporate sector followed by SME/Retail base in the current fiscal year in order to better manage the portfolio risk of the Bank. Product paper on various products have been developed/ reviewed on periodic basis with settling of prudential lending limit to a single client / obligor along with portfolio level in different product on corporate level.

Bank has been adopting a practice of analyzing various levels of risks and mitigations in credit for different sectors Project, Corporate, SMEs and Retail. Details are assessed below:

Assessment of Macro Environment Aspects / External Impacts

Change in economic indicators affecting credit portfolio such as GDP, Inflation, per capita income, demand supply mismatch, changes in consumption patterns etc.

The risks that could trigger out of above indicators could ultimately lead to a credit default or even loss and Bank has developed a mechanism of assessing its impact to a potential credit loss through extensive and elaborative credit analysis such as industry/market risk assessment where various factors are assessed such as:

- Market Trend – Introductory, Growing, Mature, Local vs. Exports, Quality, Quantity, Market Substitutes, Prevailing Pricing Structures, Demand & Supply Scenario etc.

- Entry / Exit Barriers – License regulations, Associations Permits and Restrictions, Investments Prohibitions and Practices etc.

- Competition – Players in the Industry. Ability to withstand in the market place despite competition, development of core competence and distinctiveness to thrive in the market place.

- Vulnerability – Changes in Political scenario with corresponding changes in administration, Legal Framework, Socio-Cultural impacts and their affects in the credit.

Business Risks Analysis – To an individual client/group/section

Bank has also been undertaking various risks assessment mechanisms while assigning credit lines to an individual credit customer/group and they are:

- Product of the company whether are at introductory stage that warrant massive market penetration strategies involving costs factors or growing products in the market place with potentials of further growth or are at matured stage with declining tendencies.

- Buyer / Supplier – Size, Credibility, Performance, Conduct etc.
- Market Share – Small, Moderate. Leader etc.

- Technology – Obsolesce, Sound / Stable etc.

- Operating Cycle – Assets Conversion Time Frame etc.

- Networking - Sales and Distribution / Dependency on few

Financial Risks Analysis

Bank has been taking very cautious measures in order to analyze the financial aspects of a credit client. The major risks perceived in this area are considered to be timely submission of financial statements, audited balance sheets, validation of financial statements, disclosures and transparency. Whilst these phenomena are common issues in the industry, Bank has been adopting a practice of analyzing financial aspects more meticulously and with great degree of vigilance to overcome risks prevalent herein. Some of them are studied below:

- Trend Analysis – Sales, Profit, Cash Flows, Performance, Forecast, Projections etc.
- Key Indicators – Liquidity, Solvency. Margin, Debt Coverage, etc.
- Operating Cycle – Assets Conversion Cycle Time
- Payback Period, Internal Rate of Return, Break Even Analysis etc.
- Others – Costs Overrun Analysis, Sensitivity Analysis in project financing, etc.

Promoters Profile / Management expertise

The experience and expertise of promoters in the given filed of business play a pivotal role in the success of any business venture. Bank's analysis also encompasses detailed analysis in these critical areas some of which includes:

- Promoters / Management – Expertise and Experience in the given or related filed.
- Common / Diverse Interest of the promoters.
- Continuity and Succession Plans / Successors,
- Fall Back Position & Strength,
- Other Investment and Ventures

Bad Debt work-out procedures

Restructuring implies modifying the material terms and conditions of the initial agreement, that enables the client to fulfil its liabilities on more manageable terms (e.g.: modified principal or/and interest repayment term, interest rate, the rate calculation method, etc.).The Bank gives more attention to restructured loans through detailed monitoring.

In order to maximise the efficiency of bad debt work out procedures the bank has established a recovery department. Where possible, the Bank seeks to restructure loans to borrowers experiencing temporary financial difficulties rather than to take possession of collateral. This may involve modification of the contractual payment terms of loans in order to improve the management of customer relationships and maximise collection opportunities.

The Bank employs a set of preventive measures for identification of the financial difficulties experienced by clients. Such measures include:

- developing special expertise in identifying potential client risks prior to the critical deterioration of the issue
- timely cooperation with the client's management representatives in order to seek optimal solutions for problem situations.

B. Liquidity Risk

The Management defines the liquidity and funding risk strategy for the bank, as well as the risk appetite, based on recommendations made by the Asset Liability Committee ("ALCO"). The Board reviews and approves the limits which are applied to measure and control liquidity risk as well as Bank's long-term funding and issuance plan.

Treasury is mandated to manage the overall liquidity and funding position of the bank, and is responsible for reviewing the liquidity risk framework, proposing the risk appetite to ALCO and the validation of Liquidity Risk models which are developed by Treasury, to measure and manage the Bank's liquidity risk profile.

Treasury manages the maturity analysis of assets and liabilities. Modelling of assets and liabilities is necessary in cases where the contractual maturity does not adequately reflect the liquidity risk position. The most significant example in this context would be immediately repayable deposits from retail and transaction banking customers which have consistently displayed high stability throughout even the most severe financial crises. Financial assets and financial liabilities must be disclosed by their by their contractual maturity, based on undiscounted cash flows.The gap is monitored on periodic basis to maintain the sufficient liquidity by the Asset Liabilities Committee.

Treasury manages liquidity and funding, in accordance with the Board-approved risk appetite across a range of relevant metrics, and implements a number of tools to monitor these and ensure compliance. In addition, Treasury works closely in conjunction with ALCO, and the business, to analyze and understand the underlying liquidity characteristics of the business portfolios. The Bank has been regularly maintaining the minimum liquidity required to be kept as assigned by Nepal Rastra Bank. Further, bank has regular conducting Stress Tests to assess stress hypothetical scenarios on liquidity. ALCO is able to use this information as well as other analyses such as GAP to manage liquidity effectively for the Bank.

C. Market Risk

Bank's investments in form of foreign/ local placements and foreign borrowings are subject to market risk. Risk can arise from changes in interest rates, credit spreads, foreign exchange rates and other relevant parameters, such as market volatility and market implied default probabilities.

Bank's aim to accurately measure all types of market risks by a comprehensive set of risk metrics reflecting economic and regulatory requirements. In accordance with economic and regulatory requirements, Bank measure market risks by several internally developed key risk metrics and regulatory defined market risk approaches.

The Risk Management Department of bank is responsible for monitoring market risk, reporting and analyzing, making proposals, setting limits and guidelines, and formulating and implementing plans relating to market risk management. Assets Liabilities Committee of the Bank have been monitoring the market risk as on date and recently Market Risk Unit have been established to closely monitor the fluctuations in interest rate and price and shall be involved in developing the policies related to market risk management. The strategy shall also be on strengthening Treasury Middle Office.

D. Operational Risk

The Chief of Country Operation (COCO) is fully accountable for the setup and maintenance of the Operational Risk Management Framework, including the adherence to all applicable legal and regulatory requirements. COCO oversees its ongoing development as well as the

capital calculation process and manages relevant model risks and sets up appropriate controls.

Bank manage operational risk using the Operational Risk management Framework which enables us to determine our operational risk profile in comparison to our risk appetite, to systematically identify operational risk themes and concentrations, and to define risk mitigating measures and priorities.

In order to cover the broad range of risk types underlying operational risk, Bank's framework contains a number of operational risk management techniques. These aim to efficiently manage the operational risk in our business and are used to identify, assess and mitigate operational risks.

The continuous collection of operational risk loss events, as a prerequisite for operational risk management, includes analyses and provision of timely information to senior management. The Lessons Learned process is triggered for events. This process includes, but is not limited to:

- systematic risk analyses, including a description of the business environment in which the loss occurred, previous events,
- root cause analysis,
- review of control improvements and other actions to prevent or mitigate the recurrence, and
- assessment of the residual risk exposure.

The bank has adopted the following strategies and measures in its endeavor to create an effective system of operational management and its impact on capital adequacy of the bank:

- Centralized monitoring and approval process of branch operations activities through central operations unit. Branch visits and surprise cash verification, vault checking is carried out on a periodical basis to ensure the branch has properly managed the vault and cash operations.
- Compliance policy of the bank to the suggestions and instruction on shortcomings as observed in internal, external audit and periodical inspections from Nepal Rastra Bank. Audit reports are reviewed periodically and follow up are made with the branch to update pending instances within the deadline as per commitments made by the branches.
- Periodical review of branch operations functions by dedicated team of Operational Risk Management Unit and Internal Audit Department.
- Periodical review, amendments and implementation of operational manuals and guidelines to address each aspect of branch operations.
- Communication and regular monitoring and follow up of policies, circulars and directives issued by Nepal Rastra Bank timely through the Compliance Department.
- Regular training and orientation of staffs of the Bank on various operational processes and procedures.
- Periodic visit, review and assessment of operational activities in branches by the central operations unit.
- Implementation of the system for data recording, management and reporting system for monitoring branch operation activities. Updates for additional field in system for mandatory requirement of customer data, KYC information has been implemented for required MIS and reporting purpose. Restriction has been placed in the system for user limits in cash transaction for proper control and double-check mechanism to avoid the instances of wrong postings and mistakes.
- Procedures for review of customer in case of account opening and draft issuance for sanction screening through sanction screening software has been procured and is to be implemented shortly.
- For central record and monitoring of draft and TT issuance for import related transaction, a system is being developed to insert transaction details by branches on issuance of draft/TT.
- Monitoring of pending documents, limit of applicants, follow up and NRB reporting shall be monitored through the system.
- Procedures for validation of Good for Issuance (GFP) cheque and Balance Certificate (BC) issuance and Bank guarantee issuance shall be implemented so that the authenticity of such documents can be checked and reviewed from the point of customers / beneficiary via the bank's website.
- Job description to each individual staff is provided so as to make clarity on the assignments and responsibility of individual staff and keep the staff more accountability while carrying out their assigned task.

Some of the potential risks associated with banking operation in current scenario are listed as follows:

Compliance Risk

Compliance Risk is the risk resulting from non-compliance with laws and regulations and lack of adequate documentation to demonstrate compliance and risk from failure to comply with financial reporting standards, agreements or regulatory requirements. The main Compliance Risk components are generally referred to as regulatory, financial reporting and legal risk. Bank is constantly monitoring and mitigating compliance risk through the adoption of appropriate policies and timely reporting as per the regulatory requirements.

Compliance Risk is the current or prospective risk to earnings and capital arising from violations or non-compliance with laws, rules, regulations, agreements, prescribed practices or ethical standards and can lead to fines, damages and/ or the voiding of contracts and can diminish an institution's reputation. Compliance Risk is managed by the Bank's Compliance department

(supported by the Bank's business divisions and infrastructure functions) through identification of the adherence to material rules and regulations where non-compliance could lead to endangerment of the Bank's assets as well as acting to implement effective procedures for compliance and the setup of the corresponding controls. The Compliance department further provides advisory services on the above and performs monitoring activities in relation to the coverage of new or changed material rules and regulations and assesses the corresponding control environment; regularly reporting the results to the AML/CFT Committee.

Legal Risk

Legal Risk is the potential loss that a company or individual could face as the result of a legal issue. It could be a claim made against them, a change in the law or failure to take the proper legal measures to protect themselves. The Legal Department, is committed to the management of the Bank's legal risk.

People Risk

Human Resource Department is involved in managing people who are considered as one of the biggest assets of the organization. Hence, HRD is engaged in a broad range of human resource management practices to capitalize on those assets. In this regard, the risk is basically associated with the human capital and processes for their mitigation are cited follows:

Major Risk	Risk Mitigation Strategy
1. Submission of Fake Sheet along with all other Academic Credentials 2. Internal Fraud 3. Biasness in Performance Appraisal 4. Mismanagement in handling Staff Facilities 5.Out dated and inadequate HR policies and procedures 6. Late Attendance 7. HRIS System Failure 8. Poor Staff Management 9. Payroll Misappropriation 10. Lack of Departmental Co-ordination	The Bank has prepared and implemented Personnel policy guidelines to mitigate risk related to the people. Operational risk can occur due to poor or failed transaction processing or poor management of the process. These losses could be due to individual mistakes or due to a poor process itself like data entry errors, accounting errors, memos delivery failures, incomplete legal documentation etc. For making department's activities / workflow more effective more efficient, HRD is working to prepare an **Activities Process Management Manual.**

Information Security Risk

Bank functions in a dynamic operating environment marked by rising customer expectations, constantly changing economic landscape, widening scope and intensity of industry regulation, and leveraging technological innovation, while staying vigilant against evolving Information Technology risks. Further, the success of the banking sector is contingent upon maximizing the shareholders' wealth while controlling the financial health of the world economy with fairer practices amidst increasing transparency.

Major Risk	Risk Mitigation Strategy
1. Hardware system failure 2. Software system failure 3. Cyber Security and incident response 4. Electrical / Power system failure 5. Network / Connectivity system failure 6. System Intrusion 7. Risk of Human Errors	The bank has already prepared and implemented various IT related Policies and guidelines in line with IT guidelines issued by NRB along with IT Continuity of Business Plan & Policy. These policies/ guidelines outline IT related risk factors and their impact IT systems as well as impact on daily operations/business of the bank. In addition, these policies/guidelines also list down necessary risk mitigating techniques implemented and contingencies to continue IT operations in case of adverse conditions. Further Bank has full fledge Information Security Unit to monitor overall Information Security Risk of the Bank.

5.2. CAPITAL MANAGEMENT

The dynamic growth of financial markets and the increased use of complex banking products have brought about substantial changes in the business environment faced by the banks and financial institutions today. These challenges require functioning system for the limitation and targeted control of each institution's risk situation. In addition to describing methods for calculating regulatory capital requirements, the new regulatory capital framework (Basel lll) places increased emphasis on risk management and integrated bank wide risk management. Therefore, to ensure the capital adequacy level of banks in commensurate with their risk profiles at all times, need to undertake in-depth analysis of their total risk exposure and capital and put in place the suitable procedures and systems. The ICAAP framework is rooted in the implementation of the Capital Adequacy Framework which implements BASEL framework as well as in the implementation of "ICAAP Guidelines (2012)" prescribed by NRB.

The ICAAP is therefore, based on the three pillars of Basel, in particular, the second pillar - Supervisory Review Process (SRP). The three-pillar model of Basel ll ensures that banks not only have adequate capital to support all the risks in their business, but also to encourage banks to develop and use better risk management techniques in monitoring and managing their risks. Therefore, ICAAP enables banks to ensure this through stringent Board and Senior Management Oversight, Sound Capital Assessment, Comprehensive Assessment of risks, Monitoring & Reporting and Internal Control Review. lt further provides guidelines for the calculation of capital requirements and defining extended disclosure requirements.

Thus, in accordance with the model, GIBL is constantly faced with the challenge of developing the most efficient internal procedures and systems in order to ensure that the bank possesses adequate capital resources in the long run with due attention to all material risks involved.

The bank's management has introduced Internal Capital Adequacy Assessment Process (hereinafter referred to as ICAAP). The ICAAP comprises the Bank's procedures and measures designed to ensure the following:

a. An appropriate identification and measurement of risks to which the Bank is or might be exposed to.
b. An appropriate level of internal capital in relation to Bank's risk profile; and
c. Application and further development of suitable risk management systems for the Bank.

5.3. CLASSIFICATION OF FINANCIAL ASSETS AND LIABILITIES

Financial instruments are measured on an ongoing basis either at fair value or at amortized cost. The following table analyses the carrying amounts of financial instruments by category as defined in Nepal Financial Reporting Standard NFRS 9 (Financial Instruments) under headings of Statement of Financial Position.

Amount in Rs.

		AS ON 31ST ASAR 2077			
	NOTE	AT AMORTIZED COST	AT FVTPL	AT FVTOCI	TOTAL
Financial Assets					
Cash and Cash Equivalents	4.1	20,083,658,794	-	-	20,083,658,794
Due from Nepal Rastra Bank	4.2	11,775,494,215	-	-	11,775,494,215
Placement with Bank and Financial Institutions	4.3	-	-	-	-
Derivative financial instruments	4.4	-	8,876,123,504	-	8,876,123,504
Other trading assets	4.5	-	-	-	-
Loan and advances to B/FIs	4.6	7,672,036,520	-	-	7,672,036,520
Loans and Advances to Customers	4.7	190,336,852,590	-	-	190,336,852,590
Investment Securities	4.8	24,696,551,040	-	1,704,850,352	26,401,401,393
Investment in subsidiaries	4.9	557,095,250	-	-	557,095,250
Investment in associates	4.10	404,222,561	-	-	404,222,561
Investment property	4.12	335,304,055	-	-	335,304,055
Other Assets	4.16	1,074,528,127	-	-	1,074,528,127
Total Financial Assets		**256,935,743,152**	**8,876,123,504**	**1,704,850,352**	**267,516,717,008**
Financial Liabilities					
Due to Banks and Financial Institutions	4.17	14,327,698,147	-	-	14,327,698,147
Due to Nepal Rastra Bank	4.18	1,339,361,371	-	-	1,339,361,371
Derivative financial instruments	4.19	-	8,773,443,817	-	8,773,443,817
Due to Customers	4.20	212,315,385,060	-	-	212,315,385,060
Borrowings	4.21	2,404,000,000	-	-	2,404,000,000
Other Liabilities	4.23	1,783,116,216	-	-	1,783,116,216
Debt Securities Issued	4.24	1,497,064,851	-	-	1,497,064,851
Total Financial Liabilities		**233,666,625,646**	**8,773,443,817**	**-**	**242,440,069,463**

Amount in Rs.

	NOTE	AS ON 31ST ASAR 2076			
		AT AMORTIZED COST	AT FVTPL	AT FVTOCI	TOTAL
Financial Assets					
Cash and Cash Equivalents	4.1	11,531,556,889	-	-	11,531,556,889
Due from Nepal Rastra Bank	4.2	5,217,312,678	-	-	5,217,312,678
Placement with B/FIs	4.3	-	-	-	-
Derivative financial instruments	4.4	-	4,112,517,152	-	4,112,517,152
Other trading assets	4.5	-	-	-	-
Loan and advances to B/FIs	4.6	4,054,633,604	-	-	4,054,633,604
Loans and Advances to Customers	4.7	108,977,607,686	-	-	108,977,607,686
Investment Securities	4.8	11,630,482,174	-	1,522,669,818	13,153,151,992
Investment in subsidiaries	4.9	219,775,000	-	-	219,775,000
Investment in associates	4.10	319,577,861	-	-	319,577,861
Investment property	4.12	118,685,464	-	-	118,685,464
Other Assets	4.16	349,863,481	-	-	349,863,481
Total Financial Assets		**142,419,494,838**	**4,112,517,152**	**1,522,669,818**	**148,054,681,808**
Financial Liabilities					
Due to Banks and Financial Institutions	4.17	4,410,876,030	-	-	4,410,876,030
Due to Nepal Rastra Bank	4.18	1,231,800,211	-	-	1,231,800,211
Derivative financial instruments	4.19	-	3,879,901,668	-	3,879,901,668
Due to Customers	4.20	120,088,440,064	-	-	120,088,440,064
Borrowings	4.21	-	-	-	-
Other Liabilities	4.23	2,193,695,240	-	-	2,193,695,240
Debt Securities Issued	4.24	1,496,452,596	-	-	1,496,452,596
Total Financial Liabilities		**129,421,264,140**	**3,879,901,668**	**-**	**133,301,165,808**

5.4. OPERATING SEGMENT INFORMATION

1. General Information.

Chief operating decision maker uses the branch wise information to make the decision. These information are generated on a daily basis. The bank is in the process of establishing the province office which will monitor their respective branches. Bank derives its revenue from the following products and services:

a. Lending Sevices
b. Treasury Services
c. Remittance Services
d. Card Services

2. The following table shows the operating segment information:

Amount in Rs.

PARTICULARS	PROVINCE 1	PROVINCE 2	BAGMATI PROVINCE	GANDAKI PROVINCE	LUMBINI PROVINCE	KARNALI PROVINCE	SUDUR PASCHIM PROVINCE	OTHERS	TOTAL
Revenue from external customers	2,126,036,079	2,051,703,980	11,640,926,896	1,193,173,777	2,447,514,845	307,281,770	637,394,388	2,436,948,412	22,840,980,147
Intersegment revenues	67,454,550	32,292,820	6,791,901,971	167,171,717	396,359,232	54,421,093	132,394,771	38,393,771	7,680,389,926
Gross Revenues	**2,193,490,629**	**2,083,996,800**	**18,432,828,867**	**1,360,345,495**	**2,843,874,077**	**361,702,863**	**769,789,159**	**2,475,342,183**	**30,521,370,073**
Interest Revenue	2,030,457,985	1,943,897,648	11,019,641,591	1,134,095,079	2,323,714,862	288,044,478	588,655,781	1,105,907,110	20,434,414,535
Interest Expenses	611,940,781	370,445,730	9,121,020,537	508,054,647	971,066,815	74,650,931	230,475,512	379,732,919	12,267,387,871
Net Interest Revenue	**1,418,517,205**	**1,573,451,918**	**1,898,621,054**	**626,040,432**	**1,352,648,048**	**213,393,548**	**358,180,269**	**726,174,191**	**8,167,026,664**
Depreciation and amortization	21,193,540	18,723,459	70,459,699	20,918,312	28,850,223	6,353,069	12,685,653	12,685,653	191,869,608
Segment profit/(loss)	**226,745,955**	**379,013,033**	**2,440,197,781**	**205,308,032**	**516,385,353**	**61,905,381**	**109,648,423**	**228,684,214**	**4,167,888,171**
Entity's interest in the profit or loss of associates accounted for using equity method	-	-	-	-	-	-	-	-	-
Other material non-cash items	-	-	-	-	-	-	-	-	-
Impairment of assets	763,288,579	392,629,098	2,965,386,220	236,628,790	614,821,688	53,712,103	146,543,308	-	5,173,009,786
Segment assets	22,270,568,970	20,517,299,697	115,198,050,518	10,591,620,669	23,940,232,117	2,852,696,282	6,406,132,842	16,337,819,938	218,114,421,033
Segment liabilities	13,510,824,907	9,324,450,812	155,044,478,439	12,907,580,218	25,553,670,023	2,972,334,948	6,648,036,690	681,707,171	226,643,083,208

3. Any transactions that occurred between the reportable segments are recorded using interbranch transaction account. This account is used mainly for accounting the inter branch revenue. These reveneus are cancelled out at the reporting date. There is no difference between the measurement of reportable segment's assets and entity's assets.

4. Reconciliations of reportable segment revenues, profit or loss, assets and liabilities.

a. Revenue

Amount in Rs.

Total Revenues for reportable segments	**30,521,370,073**
Elimination of intersegment revenues	(7,680,389,926)
Entity's revenues	**22,840,980,147**

b. Profit or Loss

Amount in Rs.

Total profit/loss for reportable segments	**4,167,888,171**
Elimination of intersegment revenues	-
Profit before Income Tax	**4,167,888,171**

c. Assets

Amount in Rs.

Total assets for reportable segments	**218,114,421,033**
Other assets	2,729,475,798
Unallocated amounts- Staff Loans & Int Receivable	3,175,880,376
Unallocated amounts- Cash and Balance with NRB	11,361,223,949
Unallocated amounts- Investment Securities	27,362,719,204
Unallocated amounts- Current Tax Assets	1,639,870,182
Unallocated amounts- Investment Property	335,304,055
Unallocated amounts- Derivative financial Instruments	8,876,123,504
Unallocated amounts- Deferred Tax Assets	281,572,951
Entity's Assets	**273,876,591,053**

d. Liabilities

Amount in Rs.

Total liabilities for reportable segments	**226,643,083,208**
Other liabilities	3,090,637,007
Unallocated amounts-Due to Nepal Rastra bank	1,339,361,371
Unallocated amounts- Current tax liabilities	1,294,604,441
Unallocated amounts- Derivative financial Instruments	8,773,443,817
Unallocated amounts-Debt Securities and Borrowing	3,901,064,851
Entity's Liabilities	**245,042,194,695**

5. Information about products and services

Amount in Rs.

Loans and advances	19,347,026,889
Investment securities	1,087,387,646
Remittance	171,065,785
Card services	259,716,426
Others	1,975,783,400
Total Entity's Revenue	**22,840,980,147**

6. Information about geographical areas

Amount in Rs.

Domestic	
Province 1	2,126,036,079
Province 2	2,051,703,980
Bagmati Province	11,640,926,896
Gandaki Province	1,193,173,777
Province 5	2,447,514,845
Karnali Province	307,281,770
Sudur Paschim Province	637,394,388
Others	2,436,948,412
Foreign	-
Total Entity's Revenue	**22,840,980,147**

7. Information about major customer.

The bank does not have any customer, which generates more than 10% of the entity's revenue.

5.5. SHARE OPTIONS AND SHARE BASED PAYMENT

The bank does not issue shares and options to its employees that would be accounted as per NFRS 2 " Share based payments".

5.6. CONTINGENT LIABILITIES AND COMMITMENT

Details of contingent liabilities and commitments have been explained in Note 4.28.

5.7. RELATED PARTY DISCLOSURES

The bank carries out transactions in the ordinary course of business with the parties who are defined as related parties in the Nepal Accounting Standard – NAS 24 (Related Party Disclosures), the details of which are reported below:

Amount in Rs.

S. NO.	NAME	TYPE	RELATIONSHIP WITH BANK	DATE OF JOINING/ (RESIGNATION)
1	Mr. Chandra Prasad Dhakal	KMPs	Chairman	
2	Mr. Keshav Bahadur Rayamajhi	KMPs	Director	With effect from 06.12.2019
3	Mr. Suman Pokharel	KMPs	Director	
4	Mr. Sudarshan Krishna Shrestha	KMPs	Director	
5	Mr. Pawan Kumar Bhimsaria	KMPs	Director	Resigned with effect from 01.10.2019
6	Mr. Numanath Poudel	KMPs	Director	Resigned with effect from 14.01.2020
7	Mr. Krishna Prasad Sharma	KMPs	Director	
8	Mr. Vineet Kumar Agrawal	KMPs	Director	With effect from 06.12.2019
9	Mr. Devendra Pratap Shah	KMPs	Director	With effect from 24.01.2020
10	Mr. Parshuram Kunwar Chhetri	KMPs	CEO	With effect from 06.12.2019 and resigned with effect from 16.07.2020
11	Mr. Ratna Raj Bajracharya	KMPs	CEO	With effect from 17.08.2020
12	Mr. Mahesh Sharma Dhakal	KMPs	SDCEO	Act CEO upto 05.12.2019
13	Global IME Laghubitta Bittiya Sanstha Ltd	Entities where control exists	Subsidiary	Subsidiary
14	Global IME Capital Ltd	Entities where control exists	Subsidiary	Subsidiary
15	Janata Capital Ltd	Entities where control exists	Subsidiary	With effect from 06.12.2019
16	JBNL Securities Ltd	Entities where control exists	Subsidiary	With effect from 06.12.2019
17	Mero Microfinance Bittiya Sanstha Limited	Entities where significant influence exists	Associate	Associate
18	First Microfinance Laghubitta Bittiya Sanstha Limited	Entities where significant influence exists	Associate	Associate
19	Sparsha Laghubitta Bittiya Sanstha Ltd	Entities where significant influence exists	Associate	With effect from 06.12.2019
20	IME Life Insurance Company Ltd	Entities where significant influence exists	Associate	Associate
21	Nepal Electronic Payment System Ltd	Entities where significant influence exists	Associate	With effect from 06.12.2019
22	Banking Insurance and Financial Institution Ltd	Entities where significant influence exists	Associate	

Parent and ultimate controlling party

The bank does not have an identifiable parent of its own.

Key Management Personnel

As per Nepal Accounting Standard – NAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of entity.

According to above definition, a person can not be considered as a KMP unless such person has both the authority and responsibility to carry out all three activities metioned in the above definition (i.e. planning, directing and controlling the activities of entity). In considering each possible related party relationship, attention is directed to the substance of the relationship, not merely the legal form.

Accordingly the board of directors and chief executive officer are considered as Key Management Personnel of the bank.

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Employment benefits		
salaries and allowances	12,686,700	18,165,807
post employment benefits	-	18,336,426
Director's fees and expenses	9,940,875	4,826,197
	22,627,575	**41,328,430**

In addition to above, the bank has also paid non cash-benefits such as fuel, repairs, telephone to KMPs who are employee of the bank in line with the approved benefit plans of the bank.

Close Family Members (CFM) of Key Management Personnel

CFMs of the KMP are those family members who may be expected to influence or be influenced by that KMP in their dealings with the entity. They may include KMP's domestic partner, children of the KMP's domestic partner and dependents of the KMP.

Subsidiaries and associates

The bank has a subsidiaries with an equity interest of 75%, 70% and 100% in Global IME Capital Ltd, Global IME Microfinance Bittiya Sanstha Ltd, Janata Capital Ltd and JBNL Securities Ltd. The subsidiaries nature of business are mentioned in Note 1.1.

The bank has associates with an equity interest of 14.73%, 14%, 16.39%, 10%, 17.61% and 6.67% in First Microfinance Laghubitta Bittiya Sanstha Ltd, Mero Microfinance Laghubitta Bittiya Sanstha Ltd , Sparsha Laghubitta Bittiya Sanstha Ltd, IME Life Insurance Company Ltd Nepal Electronic Payment System Ltd and Banking Finance and Insurance Institution Ltd.

Other Related Parties

Other relaated parties to banks are the entities which are controlled or jointly controlled by KMP or their close family members.

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Global IME Capital Limited		
deposits	24,542,825	19,857,635
For the year ended		
interest paid on deposit	3,038,808	1,062,288
dividend received	25,800,464	16,125,290
service fee paid by Bank	1,077,499	1,650,000
other commission received by Bank	1,856,598	621,044
service fee received by subsidiary	1,856,598	-
other commission paid by subsidiary	1,077,499	1,261,010
Global IME Laghubitta Bittiya Sanstha Limited		
loans and receivables	1,462,097,141	551,340,586
deposits	407,045,493	85,291,190
advance for right share	-	77320250
For the year ended		
interest received on loans	77,781,140	38,407,943
interest paid on deposit	250,719	41,289
service fee received by Bank	1,550,000	2,800,000
service fee paid by Subsidiary	1,550,000	2,800,000
Janata Capital Limited		
deposits	190,017,319	-
For the year ended		
interest paid on deposit	14,946,618	-
JBNL Securities Limited		
deposits	62,036,212	-
For the year ended		
interest paid on deposit	1,229,473	-
Mero Microfinance Bittiya Sanstha Limited		
loans and receivables	559,045,757	469,900,000
deposits	110,552,095	26,227,608
For the year ended		
interest received on loans	49,928,629	36,926,975
interest paid on deposit	580,629	302,804
First Microfinance Laghubitta Bittiya Sanstha Limited		
loans and receivables	904,501,513	565,704,565
deposits	89,158,682	39,226,119
For the year ended		
interest received on loans	67,208,932	58,816,287
interest paid on deposit	392,207	288,795
service fee received by Bank	-	40,000
service fee paid by Subsidiary	-	40,000
Sparsha Laghubitta Bittiya Sanstha Limited		
loans and receivables	56,985,515	-
deposits	1,621,477	-
For the year ended		
interest received on loans	5,322,996	-
interest paid on deposit	56,058	-
IME Life insurance co. Ltd.		
deposits	232,777,615	1,727,888
For the year ended		
interest paid on deposit	16,116,774	-

5.8. MERGER AND ACQUISITION

Merger with Janata Bank Nepal Ltd.

During the year Global IME Bank Ltd and Janata Bank Nepal Ltd a "A" Class Financial Institution completed the successful merger with each other on the approval of Nepal Rastra Bank and Annual General Meeting to form a single entity Global IME Bank Ltd. With the merger Global IME Bank Ltd became the larger commercial Bank in Nepal in terms of capital and the business volume. The Bank's customer reach has expanded to all the 77 districts in Nepal with more than 750 service outlets which includes branches, extension counter, branchless banking points, ATMs and representative office.

The merger was concluded with the swap ratio determined at 85 shares for every 100 shares held at then Janata Bank Nepal Ltd. The swap ratio was duly approved by both the entity's Annual General Meeting held on 2nd Mangsir 2076.

Joint Operation of the two entities commenced from 20th Mangsir 2076.

Assets, Liabilities and Reserves at the date of merger are as below:

Amount in Rs.

PARTICULARS	AS ON MANGSIR 19, 2076
Assets	
Cash and Cash Equivalents	3,297,160,779
Due from Nepal Rastra Bank	5,024,268,099
Placement with B/FIs	3,005,831,121
Derivative Financial Instruments	1,546,734,502
Other Trading Assets	5,029,893
Loans and Advances to B/FIs	1,824,688,762
Loans and Advances to Customers	70,351,915,186
Investment Securities	8,730,346,323
Investment in Subsidiaries	260,000,000
Investment in Associates	66,644,700
Investment Property	170,452,409
Property and Equipment	1,345,747,676
Goodwill and Intangible Assets	123,035,518
Deferred Tax Assets	65,723,086
Other Assets	1,042,540,219
Total Assets	**96,860,118,273**
Liabilities	
Due to Bank and Financial Institutions	11,507,153,517
Due to Nepal Rastra Bank	1,019,557,204
Derivative Financial Instruments	1,538,264,987
Deposits from Customers	69,342,518,122
Current Tax Liabilities	204,287,266
Other Liabilities	2,624,118,756
Total Liabilities	**86,235,899,852**
Equity	
Share Capital	8,480,833,080
Retained Earnings	310,354,109
Reserves	1,833,031,232
Total Equity Attributable to Equity Holders	**10,624,218,421**
Total Liabilities and Equity	**96,860,118,273**
Contingent Liabilities and Commitments	**12,024,947,091**

Acquisition of Hathway Finance Ltd.

During the financial Year the bank acquired Hathway Finance Ltd. A "C" Class Financial Institution with the swap ratio determined at 42 shares for every 100 shares held at then Hathway Finance Ltd. The swap ratio has been duly approved by the Special General Meeting held on Shrawan 14 2076. Joint Operation of the two entities commenced from Bhadra 18 2076.

Assets, Liabilities and Reserves at the date of merger are as below:

Amount in Rs.

PARTICULARS	AS ON BHADRA 17, 2076
Assets	
Cash and Cash Equivalents	156,181,587
Due from Nepal Rastra Bank	15,025,741
Loans and Advances to Customers	328,695,721
Investment Securities	100,000
Current Tax Assets	576,357
Investment Property	31,642,453
Property and Equipment	3,746,719
Goodwill and Intangible Assets	601,599
Other Assets	1,304,764
Total Assets	**537,874,940**
Liabilities	
Deposits from Customers	279,855,262
Provisions	291,573
Deferred Tax Liabilities	6,986,331
Other Liabilities	8,196,108
Total Liabilities	**295,329,274**
Equity	
Share Capital	300,000,000
Share Premium	5,393,490
Retained Earnings	(123,425,750)
Reserves	60,577,928
Total Equity	**242,545,668**
Total Liabilities and Equity	**537,874,940**

5.9. ADDITIONAL DISLOSURE OF NON CONSOLIDATED ENTITIES

All the subsidiaries of the bank are consolidated and presented as a single entity. However for the accounting of associates of bank the bank has applied the carve out issued by Institute of Chartered Accountants of Nepal for NAS 28 "Investments in associates and joint venture".

5.10. Events after reporting date

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the Financial Statements are authorized for issue. No circumstances have arised since the reporting date which would require adjustments to, or disclosure in the financial statements.

1. Capital Structure and Capital Adequacy Related disclosure as per New Capital Adequacy

Tier 1 Capital and breakdowns of its Components

Amount in Thousand

PARTICULARS	AMOUNT
Paid Up Capital	18,975,880
Share Premium	5,393
Proposed Bonus Equity Shares	-
Statutory General Reserve	4,407,858
Retained Earning	1,673,610
Un-audited current year cumulative profit/(loss)	-
Capital Redemption Reserve	379,112
Capital Adjustment Reserve	-
Dividend Equalization Reserve	-
Other Free Reserve	1,489,849
Less: Intangible Assets	(240,439)
Less: Deferred Tax Asset	-
Less: Investment in equity of institutions with financial interests	(964,803)
Less: Purchase of land & building in excess of limit and unutilized	(31,360)
Adjustment under Pillar II	**25,615,199**
Less: Loans & Facilities extended to related parties and restricted lending	-
Common Equity Tier I Capital	**25,695,100**
Additional Tier I Capital	
Perpetual Non-Cumulative Preference Share Capital	-
Perpetual Debt Instruments	-
Core Capital (Tier I)	**25,695,100**

Tier 2 Capital and breakdowns of its Components

Amount in Thousand

PARTICULARS	AMOUNT
Subordinated Term Debt	900,000
General Loan Loss Provision	2,480,580
Exchange Fluctuation Reserve	163,922
Investment Reserve Fund	421,680
Supplementary Capital	**3,966,182**

Detailed information about the Subordinated Term Debts :

The Bank had issued 1,500,000 "10.25% Global IME Bank Ltd Debenture 2080/81" of Rs.1,000 each during the FY 2075-76. The outstanding amount of the Debentures is Rs.1,500 million. Eligible amount for capital fund has been assigned at 20% of the total outstanding debenture as per the Nepal Rastra Bank Directives. Capital Redemption Reserve has been created during the financial year. Hence the outstanding balance in capital redemption reserve of Rs. 379,211,842.00 has been transferred from retained earnings in current financial year.

Deductions from capital

Deductions in Tier I Capital Fund have been made for equivalent amounts in respect of following items:

Amount in Thousand

PARTICULARS	AMOUNT
Bank's equity investment in institutions with financial interest	964,803
Intangible Assets	240,439
Purchase of land & building in excess of limit and unutilized	31,360
Total Deductions	**1,236,602**

Total qualifying Capital

Amount in Thousand

PARTICULARS	AMOUNT
Common Equity Tier I	25,695,100
Core Capital (Tier I)	25,695,100
Supplementary capital (Tier II)	3,966,182
Total Capital Fund	**29,661,282**

Capital Adequacy Ratio

PARTICULARS	RATIO
Common Equity Tier 1 Capital to Total Risk Weighted Exposures (After Bank's adjustments of Pillar II)	10.81%
Tier 1 Capital to Total Risk Weighted Exposures (After Bank's adjustments of Pillar II)	10.81%
Tier 1 and Tier 2 Capital to Total Risk Weighted Exposures (After Bank's adjustments of Pillar II)	12.48%

Summary of the Bank's internal approach to assess the adequacy of its capital to support current and future activities, if applicable;

The Management Team of the Bank is responsible for understanding the nature and level of risk taken by the Bank and relating the risk to capital adequacy level. For assessing the adequacy of the capital, the Bank's Management has introduced Internal Capital Adequacy Assessment Process (hereinafter referred to as ICAAP). The ICAAP comprises the Bank's procedures and measures designed to ensure the following:

a) An appropriate identification and measurement of risks;
b) An appropriate level of internal capital in relation to the Bank's risk profile; and
c) Application and further development of suitable risk management systems for the Bank.

In addition to this, the Bank in the last 3 years has merged with other Banks and financial institutions to maintain the level of capital adequacy in line with the increase in business. The Bank further plans to adopt and implement sound polices for maintaining the capital adequacy in the future.

2. Risk Exposure

Risk weighted exposures for Credit Risk, Market Risk and Operational Risk:

Amount in Thousand

PARTICULARS	AMOUNT
Risk Weighted Exposure for Credit Risk	209,246,693
Risk Weighted Exposure for Operational Risk	11,899,628
Risk Weighted Exposure for Market Risk	124,606
Total Risk Weighted Exposures	**221,270,927**
Add: 3% of the total RWE as per NRB directives (6.4 a 9)	6,638,128
Add: Desired level of disclosure requirement has not been achieved. Add 3% of RWE (6.4 a 10)	6,638,128
Add: additional capital charge of 3% of Gross Income as per NRB directives (6.4 a 7)	3,081,693
Total Risk Weighted Exposures (After Bank's Adjustments of Pillar II)	**237,628,876**

Risk Weighted Exposures under each of 11 categories of Credit Risk:

Amount in Thousand

PARTICULARS	AMOUNT
a) Claims on government & central bank	-
b) Claims on other official entities	712,470
c) Claims on banks	5,501,677
d) Claims on corporate & securities firms	113,068,952
e) Claims on regulatory retail portfolio	35,279,696
f) Claims secured by residential properties	12,181,874
g) Claims secured by commercial real state	1,301,452
h) Past due claims	2,559,058
i) High risk claims	12,699,650
j) Other assets	6,435,348
k) Off balance sheet items	19,506,516
Total Risk Weightage Assets	**209,246,693**

3. Details of Non-Performing loan (Total amount and net amount)

Amount in Thousand

PARTICULARS	AMOUNT
Restructured and rescheduled loan	-
Substandard loan	898,473
Doubtful loans	1,261,266
Bad loan	1,360,969
Total	**3,520,708**
Provision For Loss	2,193,174
Net Amount	**1,327,534**

Non-Performing Loan Ratio

	CURRENT YEAR	PREVIOUS YEAR
NPA Total Loan	1.76%	0.55%
Net NPA / Net Loan	0.68%	0.12%

Movement of Non-performing Assets:

Amount in Thousand

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR	CHANGES (%)
Non-Performing Assets (Gross)	3,520,708	622,521	465.56%
Non-Performing Assets (Net)	1,327,534	131,435	910.03%

Write off of loans and interest Suspense during the year :

Amount in Thousand

	CURRENT YEAR	PREVIOUS YEAR
Write off of loans during the year	58,521	-
Write off of interest Suspense during the year	10,520	-

Details of additional Loan Loss Provision:

Amount in Thousand

	CURRENT YEAR	PREVIOUS YEAR
1. Pass	692,991	208,370
2. Watch List	282,242	28,148
3. Restructured	-	(3,068)
4. Substandard	141,847	(17,685)
5. Doubtful	523,470	17,947
6. Loss	313,877	(35,525)
Total Loan Loss Provision	**1,954,427**	**198,187**

STATEMENT OF LOANS AND ADVANCES TO DIRECTORS/CHIEF EXECUTIVE /PROMOTERS/EMPLOYEES AND SHAREHOLDERS

Amount in Rs.

NAME OF PROMOTER/DIRECTOR/ CHIEF EXECUTIVE	OUTSTANDING UP TO PREVIOUS YEAR		RECOVERED IN CURRENT YEAR		ADDITIONAL LENDING	OUTSTANDING AS ON ASAR END 2077	
	PRINCIPAL	INTEREST	PRINCIPAL	INTEREST	CURRENT YEAR	PRINCIPAL	INTEREST
A. Directors							
1.	-	-	-	-	-	-	-
2.	-	-	-	-	-	-	-
3.	-	-	-	-	-	-	-
B. Chief Executive							
1.	-	-	-	-	-	-	-
2.	-	-	-	-	-	-	-
C. Promoters							
1.	-	-	-	-	-	-	-
2.	-	-	-	-	-	-	-
3.	-	-	-	-	-	-	-
D. Employees		-					
1.	-	-	-	-	-	-	-
2.	-	-	-	-	-	-	-
E. Shareholders							
1.	-	-	-	-	-	-	-
2.	-	-	-	-	-	-	-
3.	-	-	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**	**-**	**-**

CAPITAL ADEQUACY TABLE

Amount in Thousand

1. 1 RISK WEIGHTED EXPOSURES	CURRENT YEAR	PREVIOUS YEAR
a. Risk Weighted Exposure for Credit Risk	209,246,693	122,185,915
b. Risk Weighted Exposure for Operational Risk	11,899,628	7,083,229
c. Risk Weighted Exposure for Market Risk	124,606	2,209,202
Total Risk Weighted Exposures (Before adjustments of Pillar II)	**221,270,927**	**131,478,347**
Adjustments under Pillar II		
SRP 6.4a (5) ALM policies & practices are not satisfactory	-	-
SRP 6.4a (6) Add .....% of the total deposit due to insufficient Liquid Assets	-	-
SRP 6.4a (7) Add RWE equivalent to reciprocal of capital charge of 3 % of gross income.	3,081,692	1,581,100
SRP 6.4a (9) Overall risk management policies and procedures are not satisfactory. Add 3% of RWE	6,638,128	3,944,350
SRP 6.4a (10) Desired level of disclosure requirement has not been achieved.	6,638,128	3,944,350
Total Risk Weighted Exposures (After Bank's adjustments of Pillar II)	**237,628,875**	**140,948,148**

Amount in Thousand

1.2 CAPITAL	CURRENT YEAR	PREVIOUS YEAR
(A) Tier 1 Capital [Core Capital (CET 1 + AT 1)]	**25,695,100**	**14,884,899**
Common Equity Tier 1 (CET 1)	**25,695,100**	**14,884,899**
a. Paid up Equity Share Capital	18,975,880	10,310,516
b. Equity Share Premium	5,393	-
c. Proposed Bonus Equity Shares	-	-
d. Statutory General Reserves	4,407,858	2,547,591
e. Retained Earnings	1,673,610	2,663,622
f. Unaudited current year cumulative profit/(loss)	-	-
g. Capital Redemption Reserve	379,112	-
h. Capital Adjustment Reserve	-	-
i. Dividend Equalization Reserves	-	-
j. Other Free Reserve	1,489,849	96,261
k. Less: Goodwill	-	-
l. Less: Intangible Assets	240,439	28,289
m. Less: Deferred Tax Assets	-	-
n. Less: Fictitious Assets	-	-
o. Less: Investment in equity in licensed Financial Institutions	-	-
p. Less: Investment in equity of institutions with financial interests	964,803	704,803
q. Less: Investment in equity of institutions in excess of limits	-	-
r. Less: Investments arising out of underwriting commitments	-	-
s. Less: Reciprocal crossholdings	-	-
t. Less: Purchase of land & building in excess of limit and unutilized	31,360	-
u. Less: Cash Flow Hedge	-	-
v. Less: Defined Benefits Pension Assets	-	-
w. Less: Unrecognized Defined Benefit Pension Liabilities	-	-
x. Less: Other Deductions	-	-
Adjustments under Pillar II		
SRP 6.4a(1) Less: Shortfall in Provision	-	
SRP 6.4a(2) Less: Loans & Facilities extended to related parties and restricted lending	-	-
Additional Tier 1 (AT 1)	**-**	**-**
a Perpetual Non-Cumulative Preference Share Capital		
b Perpetual Debt Instruments		
c Stock Premium		

Amount in Thousand

1.2 CAPITAL	CURRENT YEAR	PREVIOUS YEAR
(B) Supplementary Capital (Tier 2)	**3,966,182**	**2,465,723**
a. Cumulative and/or Redeemable Preference Share	-	
b. Subordinated Term Debt less 20% Amortization (2.3(b) of Capital Adequacy Framework)	900,000	1,200,000
c. Hybrid Capital Instruments	-	-
d. Stock Premium	-	-
e. General Loan Loss Provision	2,480,580	1,101,575
f. Exchange Equalization Reserve	163,922	121,192
g. Investment Adjustment Reserve	421,680	42,956
h. Assets Revaluation Reserve	-	-
i. Other Reserves	-	-
Total Capital Fund (Tier I and Tier II)	**29,661,282**	**17,350,622**

1.3 CAPITAL ADEQUACY RATIOS	CURRENT YEAR	PREVIOUS YEAR
Common Equity Tier 1 Capital to Total Risk Weighted Exposures (After Bank's adjustments of Pillar II)	10.81%	10.56%
Tier 1 Capital to Total Risk Weighted Exposures (After Bank's adjustments of Pillar II)	10.81%	10.56%
Tier 1 and Tier 2 Capital to Total Risk Weighted Exposures (After Bank's adjustments of Pillar II)	12.48%	12.31%

Risk Weighted Exposure for Credit Risk

Amount in Thousand

A. BALANCE SHEET EXPOSURES	BOOK VALUE	SPECIFIC PROVISION	ELIGIBLE CRM	NET VALUE	RISK WEIGHT	RISK WEIGHTED EXPOSURES	PREVIOUS YEAR
	a	b	c	d=a-b-c	e	f=d*e	
Cash Balance	5,246,318	-	-	5,246,318	0%	-	-
Balance With Nepal Rastra Bank	11,775,494	-	-	11,775,494	0%	-	-
Gold	435	-	-	435	0%	-	-
Investment in Nepalese Government Securities	22,056,930	-	-	22,056,930	0%	-	-
All Claims on Government of Nepal	115,855	-	-	115,855	0%	-	-
Investment in Nepal Rastra Bank securities	4,250,853	-	-	4,250,853	0%	-	-
All claims on Nepal Rastra Bank	-	-	-	-	0%	-	-
Claims on Foreign Government and Central Bank (ECA 0-1)	-	-	-	-	0%	-	-
Claims on Foreign Government and Central Bank (ECA -2)	-	-	-	-	20%	-	-
Claims on Foreign Government and Central Bank (ECA -3)	-	-	-	-	50%	-	-
Claims on Foreign Government and Central Bank (ECA-4-6)	-	-	-	-	100%	-	-
Claims on Foreign Government and Central Bank (ECA -7)	-	-	-	-	150%	-	-
Claims On BIS, IMF, ECB, EC and MDB's recognized by the framework	-	-	-	-	0%	-	-
Claims on Other Multilateral Development Banks	-	-	-	-	100%	-	-
Claims on Domestic Public Sector Entities	712,470	-	-	712,470	100%	712,470	-
Claims on Public Sector Entity (ECA 0-1)	-	-	-	-	20%	-	-
Claims on Public Sector Entity (ECA 2)	-	-	-	-	50%	-	-
Claims on Public Sector Entity (ECA 3-6)	-	-	-	-	100%	-	-
Claims on Public Sector Entity (ECA 7)	-	-	-	-	150%	-	360,039
Claims on domestic banks that meet capital adequacy requirements	9,802,558	-	-	9,802,558	20%	1,960,512	1,161,504
Claims on domestic banks that do not meet capital adequacy requirements	32,851	33,251	-	-	100%	-	3
Claims on foreign bank (ECA Rating 0-1)	7,231,415	-	-	7,231,415	20%	1,446,283	777,316
Claims on foreign bank (ECA Rating 2)	239,578	-	-	239,578	50%	119,789	59,579

contd... RISK WEIGHTED EXPOSURE FOR CREDIT RISK

Amount in Thousand

A. BALANCE SHEET EXPOSURES	BOOK VALUE	SPECIFIC PROVISION	ELIGIBLE CRM	NET VALUE	RISK WEIGHT	RISK WEIGHTED EXPOSURES	PREVIOUS YEAR
	a	b	c	d=a-b-c	e	f=d*e	
Claims on foreign bank (ECA Rating 3-6)	1,864,914	-	-	1,864,914	100%	1,864,914	-
Claims on foreign bank (ECA Rating 7)	-	-	-	-	150%	-	-
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	550,896	-	-	550,896	20%	110,179	35,960
Claims on Domestic Corporates	113,411,293	264,791	77,550	113,068,952	100%	113,068,952	62,730,675
Claims on Foreign Corporates (ECA 0-1)	-	-	-	-	20%	-	-
Claims on Foreign Corporates (ECA 2)	-	-	-	-	50%	-	-
Claims on Foreign Corporates (ECA 3-6)	-	-	-	-	100%	-	-
Claims on Foreign Corporates (ECA 7)	-	-	-	-	150%	-	-
Regulatory Retail Portfolio (Not Overdue)	47,579,673	99,564	440,514	47,039,595	75%	35,279,696	19,899,530
Claims fulfilling all criterion of regularity retail except granularity	-	-	-	-	100%	-	-
Claims secured by residential properties	18,241,643	97,070	-	18,144,573	60%	10,886,744	7,407,513
Claims not fully secured by residential properties	-	-	-	-	150%		
Claims secured by residential properties (Overdue)	363,501	138,819	-	224,681	100%	224,681	226,422
Claims secured by Commercial real estate	1,308,336	6,884	-	1,301,452	100%	1,301,452	1,313,015
Past due claims (except for claims secured by residential properties)	3,780,924	2,074,344	541	1,706,039	150%	2,559,058	1,926,789
High Risk claims	5,533,477	15,259	30,794	5,487,424	150%	8,231,136	3,911,305
Lending against securities (bonds & shares)	2,193,337	3,883	-	2,189,454	100%	2,189,454	2,010,387
Investments in equity and other capital instruments of institutions listed in stock exchange	460,469	-	-	460,469	100%	460,469	194,212
Investments in equity and other capital instruments of institutions not listed in the stock exchange	1,212,393	-	-	1,212,393	150%	1,818,590	1,749,131
Staff loan secured by residential property	2,140,898	-	-	2,140,898	50%	1,070,449	564,251
Interest Receivable/claim on government securities	283,335	-	-	283,335	0%	-	-
Cash in transit and other cash items in the process of collection	-	-	-	-	20%	-	-
Other Assets (as per attachment)	8,183,504	1,748,156	-	6,435,348	100%	6,435,348	2,460,239
TOTAL (A)	**268,573,349**	**4,482,022**	**549,399**	**263,542,329**		**189,740,178**	**106,787,869**

contd... RISK WEIGHTED EXPOSURE FOR CREDIT RISK

contd... RISK WEIGHTED EXPOSURE FOR CREDIT RISK

Amount in Thousand

B. OFF BALANCE SHEET EXPOSURES	BOOK VALUE	SPECIFIC PROVISION	ELIGIBLE CRM	NET VALUE	RISK WEIGHT	RISK WEIGHTED EXPOSURES	PREVIOUS YEAR
	a	b	c	d=a-b-c	e	f=d*e	
Revocable Commitments	-	-	-	-	0%	-	-
Bills Under Collection	-	-	-	-	0%	-	-
Forward Exchange Contract Liabilities	15,415,349	-	-	15,415,349	10%	1,541,535	818,795
LC Commitments With Original Maturity Upto 6 months domestic counterparty	3,634,128	-	235,652	3,398,475	20%	679,695	998,368
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	20%	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-	-
LC Commitments With Original Maturity Over 6 months domestic counterparty	2,164,954	-	60,384	2,104,569	50%	1,052,285	636,013
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	20%	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-	-
Bid Bond, Performance Bond and Counter guarantee domestic counterparty	17,840,082	-	669,181	17,170,901	50%	8,585,450	5,926,123
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	20%	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-	-
Underwriting commitments	-	-	-	-	50%	-	-
Lending of Bank's Securities or Posting of Securities as collateral	-	-	-	-	100%	-	-
Repurchase Agreements, Assets sale with recourse	-	-	-	-	100%	-	-
Advance Payment Guarantee	3,758,139	-	62,037	3,696,102	100%	3,696,102	4,152,458
Financial Guarantee	-	-	-	-	100%	-	-
Acceptances and Endorsements	1,721,050	-	-	1,721,050	100%	1,721,050	1,453,802
Unpaid portion of Partly paid shares and Securities	-	-	-	-	100%	-	-
Irrevocable Credit commitments (short term)	10,439,083	-	-	10,439,083	20%	2,087,817	1,086,399
Irrevocable Credit commitments (long term)	-	-	-	-	50%	-	5,501
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	-	-	-	-	20%	-	-
Other Contingent Liabilities	126,925	-	21,090	105,835	100%	105,835	105,696
Unpaid Guarantee Claims	19,423	-	1,050	18,373	200%	36,747	214,891
TOTAL (B)	**55,119,133**	**-**	**1,049,395**	**54,069,738**		**19,506,516**	**15,398,046**
Total RWE for credit Risk Before Adjustment (A) +(B)	**323,692,482**	**4,482,022**	**1,598,794**	**317,612,067**		**209,246,693**	**122,185,915**
Adjustments under Pillar II							
SRP 6.4a(3) - Add 10% of the loans & facilities in excess of Single Obligor Limits to RWE						-	-
SRP 6.4a(4) - Add 1% of the contract (sale) value in case of the sale of credit with recourse to RWE						-	-
Total RWE for Credit Risk after Bank's adjustments under Pillar II						**209,246,693**	**122,185,915**

Eligible Credit Risk Mitigants

Amount in Thousand

CREDIT EXPOSURES	DEPOSITS WITH BANK	DEPOSITS WITH OTHER BANKS/FI	GOLD	GOVT.& NRB SECURITIES	G'TEE OF GOVT. OF NEPAL	SEC/G'TEE OF OTHER SOVEREIGNS	G'TEE OF DOMESTIC BANKS	G'TEE OF MDBS	SEC/G'TEE OF FOREIGN BANKS	TOTAL	PREVIOUS YEAR
	(A)	(B)	(C)	(D)	(E)	(F)	(G)	(H)	(I)		
Balance Sheet Exposures											
Claims on Foreign government and Central Bank (ECA -2)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign government and Central Bank (ECA -3)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign government and Central Bank (ECA-4-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign government and Central Bank (ECA -7)	-	-	-	-	-	-	-	-	-	-	-
Claims on Other Multilateral Development Banks	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Public Sector Entities	-	-	-	-	-	-	-	-	-	-	
Claims on Public Sector Entity (ECA 0-1)	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 2)	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 3-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 7)	-	-	-	-	-	-	-	-	-	-	-
Claims on domestic banks that meet capital adequacy requirements	-	-	-	-	-	-	-	-	-	-	1,700
Claims on domestic banks that do not meet capital adequacy requirements	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates	77,550	-	-	-	-	-	-	-	-	77,550	30,780
Claims on Foreign Corporates (ECA 0-1)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 2)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 3-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 7)	-	-	-	-	-	-	-	-	-	-	-
Regulatory Retail Portfolio (Not Overdue)	381,683	-	58,616	215	-	-	-	-	-	440,514	369,380
Claims fulfilling all criterion of regularity retail except granularity	-	-	-	-	-	-	-	-	-	-	-
Claims secured by residential properties	-	-	-	-	-	-	-	-	-	-	-
Claims not fully secured by residential properties	-	-	-	-	-	-	-	-	-	-	-
Claims secured by residential properties (Overdue)	-	-	-	-	-	-	-	-	-	-	-
Claims secured by Commercial Real Estate	-	-	-	-	-	-	-	-	-	-	-
Past due claims (except for claims secured by residential properties)	-	-	541	-	-	-	-	-	-	541	541
High Risk claims	30,584	-	209	-	-	-	-	-	-	30,794	-
Investments in equity and other capital instruments of institutions listed in stock exchange	-	-	-	-	-	-	-	-	-	-	-

contd... ELIGIBLE CREDIT RISK MITIGANTS

contd... ELIGIBLE CREDIT RISK MITIGANTS

Amount in Thousand

CREDIT EXPOSURES	DEPOSITS WITH BANK	DEPOSITS WITH OTHER BANKS/FI	GOLD	GOVT.& NRB SECURITIES	G'TEE OF GOVT. OF NEPAL	SEC/G'TEE OF OTHER SOVEREIGNS	G'TEE OF DOMESTIC BANKS	G'TEE OF MDBS	SEC/G'TEE OF FOREIGN BANKS	TOTAL	PREVIOUS YEAR
	(A)	(B)	(C)	(D)	(E)	(F)	(G)	(H)	(I)		
Investments in equity and other capital instruments of institutions not listed in the stock exchange	-	-	-	-	-	-	-	-	-	-	-
Other Assets (as per attachment)	-	-	-	-	-	-	-	-	-	-	-
Total	**489,817**	**-**	**59,367**	**215**	**-**	**-**	**-**	**-**	**-**	**549,399**	**402,401**
Off Balance Sheet Exposures											
Forward Exchange Contract Liabilities	-	-	-	-	-	-	-	-	-	-	-
LC Commitments With Original Maturity Upto 6 months domestic counterparty	235,652	-	-	-	-	-	-	-	-	235,652	-
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	239,666
Foreign counterparty (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
LC Commitments With Original Maturity Over 6 months domestic counterparty	60,384	-	-	-	-	-	-	-	-	60,384	-
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	51,114
Foreign counterparty (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
Bid Bond, Performance Bond and Counter guarantee domestic counterparty	669,181	-	-	-	-	-	-	-	-	669,181	-
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	408,050
Foreign counterparty (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
Underwriting commitments	-	-	-	-	-	-	-	-	-	-	-
Lending of Bank's Securities or Posting of Securities as collateral	-	-	-	-	-	-	-	-	-	-	-
Repurchase Agreements, Assets sale with recourse	-	-	-	-	-	-	-	-	-	-	-
Advance Payment Guarantee	62,037	-	-	-	-	-	-	-	-	62,037	-
Financial Guarantee	-	-	-	-	-	-	-	-	-	-	105,466
Acceptances and Endorsements	-	-	-	-	-	-	-	-	-	-	-
Unpaid portion of Partly paid shares and Securities	-	-	-	-	-	-	-	-	-	-	-
Irrevocable Credit commitments (short term)	-	-	-	-	-	-	-	-	-	-	-
Irrevocable Credit commitments (long term)	-	-	-	-	-	-	-	-	-	-	-
Other Contingent Liabilities	21,090	-	-	-	-	-	-	-	-	21,090	-
Unpaid Guarantee Claims	1,050	-	-	-	-	-	-	-	-	1,050	21,092
Total	**1,049,395**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**1,049,395**	**825,387**
Grand Total	**1,539,212**	**-**	**59,367**	**215**	**-**	**-**	**-**	**-**	**-**	**1,598,794**	**1,227,788**

contd... ELIGIBLE CREDIT RISK MITIGANTS

Risk Weighted Exposure for Operational Risk

Amount in Thousand

S.N.	PARTICULARS	FISCAL YEAR			PREVIOUS YEAR
		2073-74	2074-75	2075-76	
1	Net Interest Income	5,109,511	6,279,354	8,638,936	-
2	Commission and Discount Income	1,083,230	1,337,797	1,790,626	-
3	Other Operating Income	150,018	242,924	229,548	-
4	Exchange Fluctuation Income	305,833	372,461	641,562	-
5	Addition/Deduction in Interest Suspense during the period				
6	**Gross income (a)**	**6,648,593**	**8,232,536**	**11,300,672**	**-**
7	**Alfa (b)**	**15%**	**15%**	**15%**	**-**
8	**Fixed Percentage of Gross Income [c=(a×b)]**	**997,289**	**1,234,880**	**1,695,101**	**-**
9	**Capital Requirement for operational risk (d) (average of c)**	**1,309,090**	**-**	**-**	**708,323**
10	**Risk Weight (reciprocal of capital requirement of 11%) in times (e)**	**9.09**	**-**	**-**	**10**
11	**Equivalent Risk Weight Exposure [f=(d×e)]**	**11,899,628**	**-**	**-**	**7,083,234**

Risk Weighted Exposure for Market Risk

Amount in Thousand

S.NO.	CURRENCY	OPEN POSITION (FCY)	EXCHANGE RATE	OPEN POSITION (NPR)	RELEVANT OPEN POSITION	PREVIOUS YEAR RELEVANT OPEN POSITION
1	INR	56,022.20	1.60	89,680	89,680	4,279,628
2	USD	(682.72)	120.20	(82,062)	82,062	105,339
3	GBP	(7.79)	151.05	(1,177)	1,177	645
4	EUR	16.92	136.88	2,316	2,316	2,155
5	THB	395.86	3.81	1,507	1,507	177
6	CHF	3.69	127.63	471	471	35
7	AUD	94.98	83.82	7,962	7,962	3,689
8	CAD	47.10	88.57	4,172	4,172	1,231
9	SGD	23.60	86.40	2,039	2,039	1,191
10	JPY	488.31	1.12	548	548	46
11	HKD	143.30	15.51	2,222	2,222	335
12	DKK	97.55	18.37	1,792	1,792	656
13	SEK	1.56	13.19	21	21	3
14	SAR	563.37	32.04	18,052	18,052	8,515
15	QAR	372.31	33.02	12,295	12,295	6,157
16	AED	838.85	32.80	27,516	27,516	4,504
17	MYR	151.53	28.19	4,272	4,272	2,528
18	KRW	2,203.00	0.10	218	218	447
19	CNY	298.79	17.17	5,132	5,132	584
20	KWD	26.26	389.95	10,241	10,241	539
21	BHD	1.47	317.97	466	466	-
(a) Total Open Position				**107,682**	**274,160**	**4,418,405**
(b) Fixed Percentage					**5%**	**5%**
(c) Capital Charge for Market Risk (=a×b)					**13,708**	**220,920**
(d) Risk Weight (reciprocal of capital requirement of 11%) in times					**9.09**	**10**
(e) Equivalent Risk Weight Exposure (=c×d)					**124,606**	**2,209,202**

Statements of loan taken by Promoters/ Group of Promoters from Other Bank and Financial Institution against pledge of Promoters Shares

S.NO	NAME OF PROMOTERS/ GROUP OF PROMOTERS	TOTAL NO OF SHARE	PERCENTAGE WITH TOTAL PAID UP CAPITAL	NAME OF THE BANK/ FINANCIAL INSTITUTION	LOAN AMOUNT	NO OF PLEDGED SHARE	REMARKS
1	Suraj Adhikary	138,550	0.07%	Sunrise Bank Ltd	4,547,318.00	63,348	
2	Mira Pandey	29,932	0.02%	Mahalaxmi Bikas Bank Ltd .	1,000,000.00	20,052	
3	Bharat Regmi	37,312	0.02%	Siddhartha Bank Limited .	3,554,000.00	33,053	
4	Chhabi Lal Gnawali	25,214	0.01%	Civil Bank Limited	1,840,549.00	25,213	
5	Bicky Hardware House Private Limited	328,489	0.17%	Nabil Bank Limited Nabil Bank Limited	23,240,000.00	328,486	
6	Rochana Bhattarai	10,296	0.01%	Jyoti Bikash Bank Ltd	596,267.61	7,871	
7	Suresh Bhandari	11,974	0.01%	Manjushree Financial Institution Limited	1,970,000.00	7,189	
8	Salina Nepal	73,833	0.04%	Nepal Credit & Commerce Bank Limited	1,210,862.00	73,833	
9	Archana Thakur Mishra	5,986	0.00%	Jyoti Bikash Bank Ltd	804,960.00	4,160	
10	Sumit Kumar Agarwal	3,773,010	1.99%	Kumari Bank Limited Kumari	126,700,595.00	1,550,140	
11	Rajendra Khatri	12,727	0.01%	Progressive Finance Ltd .	818,000.00	11,568	
12	Rishab Rungta	29,933	0.02%	Garima Bikas Bank Ltd Ltd	1,850,000.00	20,805	
13	Prakash Joshi	74,614	0.04%	Prime Commercial Bank Ltd .	3,424,168.74	47,147	
14	Kishor Silwal	372,369	0.20%	Nepal Investment Bank Ltd Nibl	24,696,017.15	330,260	
15	Sushma Dwivedi Lohani	79,173	0.04%	Nepal Credit & Commerce Bank Limited	4,343,314.50	60,534	
16	Amit Koirala	21,992	0.01%	Kumari Bank Limited Kumari	1,603,033.94	21,991	
17	Prabin Man Shrestha	49,768	0.03%	Machhapuchchhre Bank Limited .	6,536,544.51	44,139	
18	Mahesh Raj Pandey	11,974	0.01%	Mahalaxmi Bikas Bank Ltd .	865,521.98	11,973	
19	Srijana Pandey Lamsal	11,974	0.01%	Mahalaxmi Bikas Bank Ltd .	865,521.98	11,973	
20	Prudential Capital Management Co. Pvt. Ltd	38,411	0.02%	Sunrise Bank Ltd	3,894,000.00	33,000	
21	Dipak Prasad Dahal	26,284	0.01%	Civil Bank Limited	1,940,539.60	26,283	
22	Subhash Kumar Khetan	15,043	0.01%	Siddhartha Bank Limited .	700,000.00	10,618	
23	Sher Bahadur Chhetri	29,933	0.02%	United Finance Limited United Finance Limit	2,056,262.00	20,805	
24	Geha Nath Dhungana	144,096	0.08%	Siddhartha Bank Limited .	6,414,000.00	60,256	
25	Shila Kumari Pokharel	22,937	0.01%	Siddhartha Bank Limited .	1,392,000.00	17,537	
26	Ishwor Gopal Shrestha	8,282	0.00%	Shanti Multipurpose Co-Operative Ltd Ltd	1,432,440.00	8,280	
27	Narayan Bhakta Uprety	11,974	0.01%	Sunrise Bank Ltd	381,385.25	5,845	
28	Rameshwor Aryal	60,839	0.03%	Nmb Bank Limited	2,221,155.11	30,931	
29	Ruchika Dugar	22,937	0.01%	Nepal Credit And Commerce Bank Ltd	1,322,000.00	17,537	
30	Mohana Lohani	29,933	0.02%	Sanima Bank Limited .	3,662,693.60	17,972	
31	Dhruba Prasad Dhakal	51,378	0.03%	United Finance Limited United Finance	3,688,026.16	51,376	
32	Kumar Poudel	61,422	0.03%	Garima Bikas Bank Ltd .	973,080.57	13,223	
33	Hathway Investment Nepal	224,189	0.12%	Nepal Bank Ltd	14,513,292.00	224,188	
34	Uma Bista	26,477	0.01%	Jyoti Bikash Bank Ltd	2,580,197.18	18,127	
35	Suraj Kumar Shrestha	1,151,488	0.61%	Himalayan Bank Ltd. Limited	106,796,250.00	375,000	
36	Ashwini Kumar Acharya	97,030	0.05%	Ime Co-Operative Service Ltd.	5,000,000.00	86,057	
37	Shyam Bahadur G C	2,596	0.00%	Jyoti Bikash Bank Ltd	142,848.00	1,984	
38	Santosh Babu Lohani	143,950	0.08%	Mahalaxmi Bikas Bank Ltd .	10,428,672.73	143,948	
39	Basanta Raj Adhikari	187,242	0.10%	Ime Co-Operative Service Ltd.	15,000,000.00	130,418	
40	Homeland Developers	1,816,936	0.96%	Nmb Bank Limited	585,000,000.00	443,467	
41	Raju Sapkota	16,349	0.01%	Prabhu Bank Limited Prabhu Bank	1,037,692.00	14,500	
42	Pranya Kaji Kansakar	12,461	0.01%	Prime Commercial Bank Ltd .	815,552.00	9,428	
43	Continental Investment	2,657,307	1.40%	Sanima Bank Limited .	76,057,962.00	1,015,867	
44	Suhrid Raj Ghimire	564,962	0.30%	Sanima Bank Limited .	32,340,920.00	431,961	
45	Dhan Bahadur Sherchan	101,714	0.05%	Sunrise Bank Ltd	6,000,000.00	90,000	

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S.NO	NAME OF PROMOTERS/ GROUP OF PROMOTERS	TOTAL NO OF SHARE	PERCENTAGE WITH TOTAL PAID UP CAPITAL	NAME OF THE BANK/ FINANCIAL INSTITUTION	LOAN AMOUNT	NO OF PLEDGED SHARE	REMARKS
46	Deepak Kumar Karki	29,933	0.02%	Prime Commercial Bank Ltd .	1,720,000.00	22,885	
47	Ashok Govinda Rajbhandari	110,359	0.06%	Siddhartha Bank Limited .	8,700,000.00	97,878	
48	Krishna Prasad Pandey	319,213	0.17%	Ime Co-Operative Service Ltd.	9,000,000.00	191,663	
49	Pramesh Kunwor	25,568	0.01%	Nmb Bank Limited .	3,016,215.21	19,549	
50	Huta Raj Joshi	19,192	0.01%	Shree Mangal Saving And Credit Cooperative Ltd	2,000,000.00	17,021	
51	Kamal Poudel	200,758	0.11%	Ime Co-Operative Service Ltd.	15,200,000.00	113,980	
52	Tikaram Neupane	670,228	0.35%	Prabhu Bank Limited Prabhu Bank	105,199,478.00	594,436	
53	Saraswoti Sharma	42,892	0.02%	Prabhu Bank Limited Prabhu Bank	7,114,541.00	30,219	
54	Roshani Swar	15,834	0.01%	Sapana Multipurpose Co-Operative Soceity Limited	650,000.00	3,197	
55	Base Enterprises Pvt. Ltd	29,169	0.02%	Prime Commercial Bank Ltd	3,165,000.00	21,081	
56	Sangita Sibakoti	31,669	0.02%	Manjushree Financial Institution Limited	2,100,000.00	22,012	
57	Nawa Datta Kaphle	59,866	0.03%	Muktinath Bikash Bank Ltd Mnbbl	7,800,717.40	53,095	
58	Kalpana Baral	9,989	0.01%	Civil Bank Limited	687,973.00	9,988	
59	Gayatri Kumari Sharma	19,937	0.01%	Shree Investment And Finance Co.Ltd Sifco	2,720,210.00	13,660	
60	Jhuma Vaidya	47,894	0.03%	Siddhartha Bank Limited .	2,894,000.00	28,756	
61	Yagya Raj Ghimire	18,796	0.01%	Progressive Finance Ltd .	1,348,326.00	18,792	
62	Asha Ram Suwal	107,408	0.06%	Citizens Bank International Limited Limited	6,865,800.00	68,658	
63	Kalpana Kharel	29,933	0.02%	Laxmi Bank Limited Ltd	3,756,000.00	26,547	
64	Bishnu Hari Bhandari	35,391	0.02%	Interntional Development Bank Limited Idbl	1,727,600.00	17,276	
65	Ramesh Poudyal	41,889	0.02%	Nepal Credit & Commerce Bank Limited	2,755,877.31	41,889	
66	Him Bahadur Gurung	3,987	0.00%	Gurkhas Finance Ltd .	228,607.00	2,771	
67	Ram Prasad Adhikari	11,439	0.01%	Siddhartha Bank Limited .	848,000.00	11,439	
68	Kiran Malla	31,327	0.02%	Laxmi Bank Limited Ltd	3,320,063.00	21,658	
69	Dhruba Bhattarai	4,961	0.00%	Nepal Bank Ltd	595,200.00	4,960	
70	Moti Raj Gyawali	180,886	0.10%	Mega Bank Nepal Limited Limited	8,227,500.00	150,000	
71	Samir Ghimire Bhanne Yagya Raj Sharma Ghi	24,902	0.01%	Nepal Credit And Commerce Bank Ltd	285,940.00	3,002	
72	Janesh Shrestha	173,614	0.09%	Citizens Bank International Limited Limited	21,766,499.00	144,149	
73	Renu Shrestha	17,335	0.01%	Sunrise Bank Ltd	1,494,190.00	17,334	
74	Saraswati Gyawali	20,000	0.01%	Sunrise Bank Ltd	1,421,400.00	20,000	
75	Bodh Prasad Tripathi	69,043	0.04%	Prabhu Bank Limited Prabhu Bank	3,525,000.00	50,000	
76	Manoj Rathi	10,812	0.01%	Mega Bank Nepal Limited Limited	778,409.94	10,812	
77	Sajjan Kumar Khetan	37,037	0.02%	Siddhartha Bank Limited .	2,736,000.00	37,033	
78	Dinesh Aryal	23,037	0.01%	Sunrise Bank Ltd	1,637,239.00	23,037	
79	Ajay Kumar Jalan	19,091	0.01%	Century Commercial Bank Limited .	2,330,000.00	13,269	
80	Hari Prasad Aryal	11,586	0.01%	Civil Bank Limited	490,393.80	6,618	
81	Sunita Sureka Agrawal	279,046	0.15%	Nepal Bangladesh Bank Ltd. Ltd	80,990,000.00	126,895	
82	Rajesh Upadhyay	343,069	0.18%	Nic Asia Bank Ltd. Nic Asia Bank	159,978,000.00	172,285	
83	Shyam Prasad Shrestha	89,297	0.05%	Kumari Bank Limited Kumari	5,905,701.00	68,274	
84	Dasi Ram Khanal	17,961	0.01%	Kailash Bikas Bank Ltd.	850,000.00	11,715	
85	Sanjay Adhikari	291,093	0.15%	Prabhu Bank Limited Prabhu Bank	15,986,989.00	258,154	
86	Kamlesh Kumar Rateria	23,947	0.01%	Nic Asia Bank Ltd. Nic Asia Bank	9,600,000.00	5,473	
87	Shiva Hari Dangal	136,987	0.07%	Nic Asia Bank Ltd. Nic Asia Bank	425,048.40	7,014	
88	Gau Mata Investment Co. Pvt. Ltd.	5,113	0.00%	Vibor Bikas Bank Limited	673,321.67	4,534	
89	Bishnu Mani Gautam	49,312	0.03%	Prime Commercial Bank Ltd .	3,518,812.50	49,000	
90	Pushpa Man Shrestha	178,695	0.09%	Prabhu Bank Limited Prabhu Bank	20,122,635.62	151,152	

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S.NO	NAME OF PROMOTERS/ GROUP OF PROMOTERS	TOTAL NO OF SHARE	PERCENTAGE WITH TOTAL PAID UP CAPITAL	NAME OF THE BANK/ FINANCIAL INSTITUTION	LOAN AMOUNT	NO OF PLEDGED SHARE	REMARKS
91	Dinesh Bahadur Dhaubanzar	18,795	0.01%	Civil Bank Limited	2,694,075.00	18,795	
92	Shyam Sundar Khetan	126,290	0.07%	Kumari Bank Limited Kumari	15,204,936.00	107,760	
93	Kunal Kayal	423,838	0.22%	Sanima Bank Limited .	11,000,000.00	175,000	
94	Pushpa Man Shrestha	178,695	0.09%	Prabhu Bank Limited Prabhu Bank	9,118,023.66	6,323	
95	Namkhang Lama	83,073	0.04%	Laxmi Bank Limited Ltd	271,283,025.00	77,300	
96	Bodh Prasad Tripathi	69,043	0.04%	Prabhu Bank Limited Prabhu Bank	1,342,531.50	19,043	
97	Kiran Malla	31,327	0.02%	Laxmi Bank Limited Ltd	1,481,902.00	9,667	
98	Rachit Agrawal	4,419	0.00%	United Finance Limited United Finance	277,707.00	3,918	
99	Captive Investment						
Company Pvt.Ltd .		51,124	0.03%	Kailash Bikas Bank Ltd.	1,981,505.02	28,021	
				Prime Commercial Bank Ltd .	1,602,065.95	23,102	
100	Durga Prasad Neupane	723,609	0.38%	Citizens Bank International Limited Limited	111,028,113.00	641,781	
				Muktinath Bikas Bank Limited Company	11,496,693.50	81,827	
101	Jiban Kumari Aryal Paudel	154,697	0.08%	Muktinath Bikash Bank Ltd Mnbbl	20,853,483.97	137,203	
				Citizens Bank International Limited Limited	2,851,359.00	17,493	
102	Kusang Dorje Lama	195,221	0.10%	Laxmi Bank Limited Ltd	284,332,705.00	157,763	
				Icfc Finance Limited Icfc	1,684,315.50	23,891	
103	Niraj Kharel	11,974	0.01%	Laxmi Bank Limited Ltd	1,502,000.00	10,619	
104	Sangeeta Gyawali	24,079	0.01%	Ime Co-Operative Service Ltd.	1,900,000.00	13,928	
105	Shamba lama	83,073	0.04%	Laxmi Bank Limited Ltd	120,000,000.00	46,942	
				Icfc Finance Limited Icfc	1,477,962.00	20,964	
106	Shovakar Neupane	622,096	0.33%	Interntional Development Bank Limited Idbl	88,198,039.00	475,644	
107	Sonam Gyatso	228,450	0.12%	Laxmi Bank Limited Ltd	301,948,171.00	196,170	
				Icfc Finance Limited Icfc	1,656,750.00	23,500	
				Icfc Finance Limited Icfc	313,725.00	4,450	
108	Surendra Bahadur Nhuchhe Pradhan	11,323	0.01%	Sincere Saving & Credit Cooperative	7,100,000.00	3,393	
109	Sujana Pradhan	736	0.00%	Sincere Saving & Credit Cooperative	7,100,000.00	249	
110	Sangeeta Pradhan	736	0.00%	Sincere Saving & Credit Cooperative	7,100,000.00	249	

Comparison of Unaudited and Audited financial statement as of financial year 2076/77

Amount in Thousand

	UNAUDITED FINANCIAL STATEMENT	AUDITED FINANCIAL STATEMENTS	VARIANCE		REASON FOR VARIANCE
			RS	%	
Assets					
Cash and Cash Equivalents	8,722,435	20,083,659	11,361,224	56.57%	Note 1
Due from Nepal Rastra Bank	11,775,494	11,775,494	-	0.00%	
Placement with B/FIs	9,459,379	-	(9,459,379)	-100.00%	Note 1
Derivative financial instruments	8,876,124	8,876,124	-	0.00%	
Other trading assets	-	-	-	0.00%	
Loan and advances to B/FIs	7,660,465	7,672,037	11,572	0.15%	
Loans and advances to customers	189,388,664	190,336,853	948,189	0.50%	Note 2
Investment securities	28,018,605	26,401,401	(1,617,204)	-6.13%	Note 1
Current Tax Assets	1,639,870	1,639,870	-	0.00%	
Investment in subsidiaries	557,095	557,095	-	0.00%	
Investment in associates	404,223	404,223	-	0.00%	
Investment property	335,304	335,304	-	0.00%	
Property and equipment	2,543,213	2,543,213	0.00	0.00%	
Goodwill and intangible assets	240,270	240,270	0.00	0.00%	
Deferred Tax Assets	279,843	281,573	1,730	0.61%	
Other Assets	4,181,975	2,729,476	(1,452,499)	-53.22%	Note 3
Total Assets	**274,082,959**	**273,876,591**	**(206,368)**	**-0.08%**	
Liabilities					
Due to B/FIs	14,327,698	14,327,698	-	0.00%	
Due to Nepal Rastra Bank	1,339,361	1,339,361	-	0.00%	
Derivative financial instruments	8,773,444	8,773,444	-	0.00%	
Deposit from customers	212,315,385	212,315,385	-	0.00%	
Borrowings	2,404,000	2,404,000	-	0.00%	
Current tax liabilities	1,294,771	1,294,604	(167)	-0.01%	
Provisions	-	-	-	0.00%	
Deferred Tax Liabilities	-	-	-	0.00%	
Other Liabilities	3,113,280	3,090,637	(22,643)	-0.73%	Note 4
Debt securities issued	1,497,065	1,497,065	-	0.00%	
Subordinated Liabilities	-	-	-	0.00%	
Total Liabilities	**245,065,005**	**245,042,195**	**(22,810)**	**-0.01%**	
Equity					
Share capital	18,975,880	18,975,880	-	0.00%	
Share premium	5,393	5,393	-	0.00%	
Retained earnings	1,618,563	1,673,610	55,047	3.29%	Note 5
Reserves	8,418,117	8,179,513	(238,604)	-2.92%	Note 5
Total equity attributable to equity holders	**29,017,954**	**28,834,396**	**(183,558)**	**-0.64%**	
Total Liabilities and Equity	**274,082,959**	**273,876,591**	**(206,368)**	**-0.08%**	

contd... COMPARISON OF UNAUDITED AND AUDITED FINANCIAL STATEMENT

contd... COMPARISON OF UNAUDITED AND AUDITED FINANCIAL STATEMENT

Amount in Thousand

	UNAUDITED FINANCIAL STATEMENT	AUDITED FINANCIAL STATEMENTS	VARIANCE		REASON FOR VARIANCE
			RS	%	
Interest Income	20,459,463	20,489,401	29,937	0.15%	Note 6
Interest Expenses	12,267,388	12,267,388	-	0.00%	
Net interest income	**8,192,075**	**8,222,013**	**29,937**	**0.36%**	**Note 6**
Fees, charges and commission income	1,472,135	1,472,135	-	0.00%	
Fees, charges and commission expenses	242,005	242,005	-	0.00%	
Net fee and commission income	**1,230,130**	**1,230,130**	**-**	**0.00%**	
Net interest, fee and commission income	**9,422,205**	**9,452,143**	**29,937**	**0.32%**	
Net Trading Income	579,515	579,515	-	0.00%	
Other Operating Income	206,648	196,813	(9,834)	-5.00%	
Total operating income	**10,208,368**	**10,228,471**	**20,103**	**0.20%**	
Impairment charge/(reversal) for loans and other losses	1,740,617	1,954,427	213,810	10.94%	Note 2
Net Operating Income	**8,467,751**	**8,274,044**	**(193,707)**	**-2.34%**	
Operating Expenses					
Personnel Expenses	2,486,110	2,474,637	(11,473)	-0.46%	
Other Operating Expenses	1,272,270	1,248,829	(23,441)	-1.88%	Note 7
Depreciation and Amortization	304,122	304,122	-	0.00%	
Operating profit	**4,405,249**	**4,246,457**	**(158,792)**	**-3.74%**	
Non operating income	642	642	-	0.00%	
Non operating expense	58,521	79,210	20,690	26.12%	Note 7
Profit before income tax	**4,347,370**	**4,167,888**	**(179,482)**	**-4.31%**	
Income Tax Expense					
Current tax	1,294,771	1,294,604	(167)	-0.01%	Note 8
Deferred tax	(35,443)	(35,381)	62	-0.18%	Note 8
Profit for the period	**3,088,042**	**2,908,664**	**(179,377)**	**-6.17%**	

Note 1 Reclassification of Placements with BFIs and T Bills with maturity less than 90 days to cash and cash equivalents

Note 2 Additional LLP and Classification of Interest receivable from other assets to loans and advances

Note 3 Classification of Interest receivable from other assets to loans and advances

Note 4 Change in Tax Calculation

Note 5 Cumulative effect of additional LLP, accrued income, income tax, deferred tax and transfer of reserve and revised regulatory reserve calculation

Note 6 Recognition of AIR as per accrual basis with effect of 100% provisioned loans

Note 7 Reclassification of VRS Expenses to Non-Operating Expenses

Note 8 Cumulative effect of change in LLP and additional income/expenses

PRINCIPAL INDICATORS

PARTICULARS	INDICATORS	F.Y. 2076/77	F.Y. 2075/76	F.Y. 2074/75	F.Y. 2073/74	F.Y. 2072/73	F.Y. 2071/72	F.Y. 2070/71	F.Y. 2069/70	F. Y. 2068/69	F. Y. 2067/2068
1. Percentage of Net Profit / Gross Income	%	28.44	40.72	41.24	43.41	35.03	30.32	41.05	24.40	28.97	26.19
2. Earnings Per Share	Rs.	17.99	23.47	23.64	25.51	19.33	15.58	19.57	16.15	11.79	14.06
3. Market Value per Share	Rs.	239	293	290	388	515	479	640	432	160.00	209.00
4. Price Earnings Ratio	Ratio	13.29	12.48	12.27	15.21	26.64	30.74	32.70	26.74	13.57	14.86
5. Stock Dividend on share capital (Bonus Share)	%	14.00	12.75	16.00	10.00	16.00	23.00	21.00	15.00	3.00	6.67
6. Cash Dividend on share Capital	%	2.00	12.75	0.00	10.00	-	-	4.00	-	10.00	5.35
7. Interest Income/Loans & Advances	%	12.02	12.29	12.88	10.20	8.98	10.00	10.88	13.43	13.27	15.37
8. Employee Expenses/Total Operating Expenses	%	61.44	59.00	56.54	59.13	44.26	46.10	36.96	37.40	34.22	39.50
9. Interest Expenses to Total Deposits and Borrowings	%	6.99	7.18	7.26	4.24	3.06	4.21	4.74	5.97	7.47	8.33
10. Exchange Fluctuation Gain/Total Income	%	6.61	7.38	6.91	5.89	6.36	6.41	5.84	3.97	5.52	3.60
11. Staff Bonus/ Total Staff Expenses	%	18.71	24.90	22.16	26.92	29.77	22.02	34.43	22.51	24.09	16.79
12. Total Operating Expenses/Total Assets	%	1.47	1.77	1.85	1.54	1.70	1.99	1.69	1.99	1.51	2.24
13. Net Profit/Loans & Advances	%	1.40	2.42	2.25	2.62	2.27	1.91	2.26	1.66	1.28	1.76
14. Net Profit/ Total Assets	%	1.06	1.82	1.67	1.75	1.58	1.39	1.62	1.15	0.87	1.28
15. Credit to Deposit Ratio											
a. Total Credit / Deposit	%	88.25	91.62	84.70	79.30	81.47	83.47	82.27	79.13	77.15	84.82
b. Total Credit / Deposit and Core Capital	%	73.18	78.69	75.35	71.24	72.96	74.41	73.64	72.28	70.51	78.02
16. Adequacy of Capital Fund on Risk Weightage											
Assets											
a. CET1	%	10.81	10.56	10.32	10.23	11.01	-	-	-	-	-
b. Core Capital	%	10.81	10.56	10.32	10.23	11.01	11.24	10.94	9.17	9.21	10.14
c. Total Capital Fund	%	12.48	12.31	11.47	11.37	12.35	12.69	12.38	11.14	11.66	11.09
17. Liquidity	%	24.58	22.13	25.34	33.54	35.14	30.12	31.11	32.25	34.13	27.23
18. Non-Performing Loans/Total Loans	%	1.76	0.55	0.77	1.60	1.89	2.23	2.55	2.27	1.64	2.52
19. Weighted Average Interest Rate Spread	%	4.43	4.47	4.86	3.36	4.52	4.11	5.34	4.21	3.88	3.27
20. Book Net worth (Rs. in Mio)	Rs.	28,834	16,332	13,579	12,376	8,706	7,323	6,126	3,231	2,537	1,708
21. Total Employees	No.	3,059	1,696	1,638	1,348	1,107	1,117	1,098	838	664	386

ABOUT SPECIAL RESOLUTION TO BE PRESENTED BEFORE 14TH ANNUAL GENERAL MEETING OF GLOBAL IME BANK LIMITED TO BE HELD ON 13TH JANUARY, 2021

Three Columns Format (Tin-Mahale) of the Amendments in the Memorandum of Association

S.N.	Clause	Existing Provision	Proposed Provision	Reason for the Amendment
2	5 (Kha)	The Issued share capital of the Bank shall be Rs. 18,975,879,856.98 (Rupees Eighteen Billion Nine Hundred Seventy Five Million Eight Hundred Seventy Nine Thousand Eight Hundred Fifty Six and 98/100 only).	The Issued share capital of the Bank shall be Rs. 21,632,503,036.09 (Rupees Twenty One Billion Six Hundred Thirty Two Million Five Hundred Three Thousand Thirty Six and 9/100 only).	To increase Bank's capital after issue of bonus share to shareholders.
3	5 (Ga)	The Paid-up share capital of the Bank shall be Rs. 18,975,879,856.98 (Rupees Eighteen Billion Nine Hundred Seventy Five Million Eight Hundred Seventy Nine Thousand Eight Hundred Fifty Six and 98/100 only).	The Paid-up share capital of the Bank shall be Rs. 21,632,503,036.09 (Rupees Twenty One Billion Six Hundred Thirty Two Million Five Hundred Three Thousand Thirty Six and 9/100 only).	To increase Bank's capital after issue of bonus share to shareholders.

NOTE

MANAGEMENT COMMITTEE

Mr. Ratna Raj Bajracharya
Chief Executive Officer

Mr. Mahesh Sharma Dhakal
Senior Deputy Chief Executive Officer

Mr. Kalyan Bikram Pande Deputy General Manager	**Mr. Surendra Raj Regmi** Deputy General Manager
Mr. Bhawani Dhakal Assistant General Manager	**Mr. Buddhi Akela** Assistant General Manager

Mr. Anil Joshi Chief Manager	**Mr. Raja Aryal** Chief Manager	**Mr. Deep Chandra Regmi** Chief Manager	**Mrs. Shanta Shiwakoti** Chief Manager

Mr. Parmeswor Shrestha
Chief Manager

HEAD OF DEPARTMENT

Anil Joshi Chief Information Tenchology Officer	**Raja Aryal** Chief Finance Officer	**Deep Chandra Regmi** Chief Human Resource Officer	**Shanta Shiwakoti** Chief Marketing Officer	**Parmeshwor Shrestha** Chief Digital Banking Officer
Sulav Hari Joshi Chief Cerdit Control	**Kshitij Khadka** Chief Infrastructure and Project Financing	**Rupendra Wagle** Chief SME Banking	**Bipul Bahadur Rayamajhi** Head Mid Corporate	**Anamika Singh** Chief of Country Operation
Sushil Shrestha Head Internal Audit	**Sushovan Devkota** Manager Corporate Banking Hub	**Madhu Sudhan Shrestha** Manager Corporate Banking Hub	**Satish Karki** Head General Service Department	**Pukar Subedi Chhetri** Manager General Compliance
Kamala Kumari Ojha Manager Central Operations	**Narahari Silwal** Head Retail Banking	**Bipul Devkota** Manager Central Operations	**Aashish Raj Pandey** Manager AML/CFT Unit	**Shashi Shekhar Sharma** Manager Trade Operation
Pralhad Nidhi Tiwari Manager Credit Administration	**Bhoj Raj Bhandari** Head Legal Department	**Ananta Raj Kafle** Head Treasury and International Banking	**Swaicha Rana** Head Remittance Business	**Nikita Bhandary Thapa** Manager Transaction Banking
Krishna Hari Adhikari Manager Recovery Department	**Rupesh Sharma** Manager Card Operations	**Yogesh Pokharel** Publice Relations Officer	**Sudharsan Raj Gurung** Incharge Branding and CSR Unit	

HEAD OF PROVINCE

Subash Sapkota	**Sujan Shrestha**	**Dhoje Saud**	**Mahesh Silwal**	**Ravi Shrestha**	**Bishnu Aryal**	**Mukunda Prasad Bhatta**
Province 1	Province 2	Bagmati Province	Gandaki Province	Lumbini Province	Karnali Province	Sudur Pachhim Province

BRANCHES AND BRANCH MANAGERS - **PROVINCE 1**

Dhundi Raj Bhattarai Biratnagar Branch 021-590070/75/76/78/79	**Rabin Raj Dahal** Gaighat Branch 035-420931/932	**Sanjeeb Koirala** Dhulabari Branch 023-560771/773	**Santosh Kumar Dahal** Phikkal Branch 027-540472
Binod Karki Itahari Branch 025-586617	**Subash Parajuli** Taplejung Branch 024-460630	**Pawan Kumar Poudyal** Birtamod Branch 023-544703	**Bhupal Ghimire** Dharan Branch 025-530340/527340
Krishna Prasad Nepal Chainpur Branch 029-570250	**Umesh Gautam** Phidim Branch 024-520323/990	**Om Prakash Bhandari** Terhathum Branch 026-460732	**Suresh Kumar Shrestha** Charali Branch 023-460601
Prabesh Lamsal Damak Branch 023-582364/365	**Krishna Prasad Luitel** Biratchowk Branch 021-545457	**Gourab Trital** Bhot Kola Branch 9849357420	**Prakash Regmi** Khotang Branch 036-420460/470
Nawanidhi Dhakal Solukhumbu Branch 038-520327	**Anup Shakya** Hile Branch 026-540705/706	**Dipak Kumar Pathak** Bhojpur Branch 9852058440	**Badri Kumar Acharya** Okhaldhunga Branch 520726/727
Binod Kumar Yadav Inaruwa Branch 02-5561773	**Mukesh Kumar Shah** Traffic Chowk Biratnagar Branch 021-513234/35 021-513412/13	**Yadu Kumar Shrestha** Pakhribas Branch 026-405151	**Rajiv Madhikarmi** Jirikhimti Branch 026-410085
Rashmi Koirala Dangihat 021-411190/188	**Pitambar Khadka** Ilam Branch 027-520577 027-520521/517	**Sudan Thapa** Faktanglung Branch 9842408204	**Rajesh Bista** Teenpaini Branch 9852076700
Binod Karki Jhumka Branch 9849272926			

BRANCHES AND BRANCH MANAGERS - **PROVINCE 2**

Vivek Tibrewal Birgunj Branch 051-530337/338	**Mahesh Kumar Mahato** Lahan Branch 033-561261/262	**Bijay Kumar Shah** Janakpur Branch 041-420305/206	**Shrawan Kumar Mahaseth** Golbazar Branch 035-540390
Lok Nath Paudel Mirchaiya Branch 033-550804	**Saroj Kumar Jha** Siraha Branch 033-521165	**Manish Mahaseth** Rajbiraj Branch 031-523582/583	**Maheshwor Parajuli** Lalbandi Branch 046-501672/673

BRANCHES AND BRANCH MANAGERS - **PROVINCE 2**

Abinash Sapkota Nijgadh Branch 053-540174	**Ranjit Kumar Mahato** Dakneshwari Branch 9817865822	**Hari Narayan Sah** Mithila Bihari Branch 9844114522	**Bidhyananda Chaudhary** Feta Branch 9842459350
Mukesh Kumar Thakur Fatuwa Branch 9855041370	**Raj Kumar Mahato** Belwa Branch 9854038760	**Dharmendra Yadav** Bardibas Branch 044-550197/651/684	**Sonalal Mahato** Nawalpur Branch 9816224392
Rakesh Yadhav Birgunj II Branch 051-531243/44	**Yam Prasad Mainali** Gaur Branch 055-521440/41	**Sanjib Kumar Shah** Hariwon Branch 046-530754/55	**Sajan Kumar Prajapati** Chandrapur Branch 055-540035
Kishwor Chaudhary Simraungadh Bara Branch 053-411047/48	**Basant Kumar Chaudhary Tharu** Rupani Branch 031-450030/31	**Arun Kumar** Jitpur Branch 053-412262/63	**Dron Bahadur Khatri** Dhalkebar Branch 041-560231/248
Sanjay Adhikari Sukhipur Branch 033-413081/082			

BRANCHES AND BRANCH MANAGERS - **BAGMATI PROVINCE**

Yadav Sharma Kantipath Branch 01-5328265/01-5331198/01-5331109	**Surendra Sharma Dhakal** New Road Branch 01-5713424/27	**Rajan Subedi** Gyaneshwor Branch 01-4543648	**Shova Neupane** Kirtipur Branch 01-4335941	**Prabhu Narayan Pradhan** Kuleshwor Branch 01-4286449/445
Merina Shrestha Lagankhel Branch 01-5548950/51	**Bishnu Prasad Pokhrel** Dhapasi Branch 01-4355919/4356449	**Sudip Bhakta Wagle** Thamel Branch 01-4701327/23	**Hemanta Acharya** Banasthali Branch 01-4366074	**Narayan Prasad Paudyal** Narayanghat Branch 056-571831/765/087
Dipak Pokhrel Chhetrapati Branch 01-4249033	**Rithee Shahi** Kupondole Branch 01-5549872/63	**Shusil Kumar Budhathoki** New Baneshwor Branch 01-4464366	**Shruti Hada Shrestha** Dillibazar Branch 01-4437388/7071	**Basant Raj Regmi** Panipokhari Branch 01-4002505/03
Ritu Pradhan Tripureshwor Branch 01-4239170/71	**Peshal Kumar Dahal** Gongabu Branch 01-4358657/4385986	**Pratiksha Shakya** Koteshwor Branch 01-402030	**Raju Devkota** Chabahil Branch 01-4487581 / 4469560 / 4488933	**Chamatkar Paudel** Kalanki Branch 01-5234074/75
Nitesh Rijal Anamnagar Branch 01-5705764/6242	**Sama Shah** Satdobato Branch 01-5152431/267	**Yubaraj Poudel** Tandi Branch 056-562780	**Bibekananda Aryal** Hetauda Branch 057-527368	**Dipak Khanal** Suryabinayak Branch 01-6615389/90
Rakesh Gyawali Kamaladi Branch 01-4446150/51	**Krishna Prasad Sapkota** Barhabise Branch 011-489268	**Saroja Hada Nyachhyon** Pulchowk Branch 01-5009275/76	**Sayar Upreti** Baireni Branch 010-692655/430086	**Jeshika Sunuwar** Sinamangal Branch 01-4478616

BRANCHES AND BRANCH MANAGERS - **BAGMATI PROVINCE**

Prakash K. C. Nakhu Branch 01-5185346/5084	**Bibek Thapa** Gwarko Branch 01-5547660	**Yek Raj Bartaula** Banepa Branch 11-663017/19	**Rabindra Prasad Nepal** Thankot Branch 01-4310235	**Bimal Dhakal** Sukedhara Branch 01-4375639
Sarad Sharma Dhungel Sundhara II Branch 01-4218989/27	**Sabin Maharjan** Manthali Branch 048-540456	**Karna Bahadur Shahi** Trishuli Branch 010-561626	**Khem Nath Sharma Paudel** Kholesimal Branch 056-413144/45	**Ramesh Niroula** Belchowk Branch 056-572007
Deepa Neupane Gyaneshwor II Branch 01-4441860/01-4441737	**Ramhari Bhandari** Kurintar Branch 056-410003	**Saroj K.C.** Bethanchowk Branch 011-421005	**Shailaja Rajya Laxmi Shah** Gothatar Branch 01-4993182	**Pratikshya Ojha** corporate Branch 01-4243891 01-4241219
Suresh Sharma Jorpati Branch 01-4911845	**Devendra Prasad Rijal** Manamaiju Branch 01-4027307	**Nabin Acharya** Hattigauda Branch 01-4375275 01-4376241	**Arbind Kumar Shah** Sindhuli Branch 047-521356	**Samjhana Shrestha** Khadichaur Branch 011-482143
Deepak Dhakal Nagarjun Branch 01-4271155/56	**Krishna Raj Neupane** Charikot Branch 049-421372/73	**Brajesh Aryal** Dhunche Branch 010-540028	**Navin Shrestha** Chautara Branch 011-620406/407	**Bishal Dhwaj Shrestha** Kumaripati Branch 01-5008792/93
Bhuban Neupane Bafal Kalanki Branch 01-4288816/17	**Subodh Adhikari** Balaju Branch 01-4389912/13/14	**Ganga Bahadur Roka** Jyatha Branch 01-4229012	**Maheshwar Acharya** Kalikasthan 010-542116/17	**Suresh Gautam** Charkhal Dillibazar Branch 01-4419087
Laxman Paudel Narayanghat III Branch 056-571831, 571765,571087	**Subarna Raj Kandel** Timure Branch 010-543010	**Reeshi Lohani** Rampur Branch 56-591149/50	**Himal Poudel** Parsa Branch 56-583260/61	**Devendra Raj Adhikari** Geetanagar Branch 056-400303/4
Pratap Kumar Tamang Madi Branch 056–501001/002	**Keshab Prasad Woli** Bharatpur Branch 056-521100 056-521800	**Raj Gopal Shrestha** Panauti Branch 011-440682/83, 441344	**Ujwal Pokharel** Bhakundebeshi Branch 011-404022	**Shambhu Karki** Thapathali Branch 01-4101636/37/38
Laxman Kumar Regmi Kuntabeshi Branch 011-412064	**Pranab Timsina** Putalisadak Branch 01-4417166	**Sanat Acharya** Tinkune Branch 01-5199232/115/471	**Prakash Shrestha** Battar Branch 010-561948	**Sachin Neupane** Sankhamul Branch 01-4786100 01-4785673/75
Manoj B.K. Bhandara Branch 056-550645	**Basu Dev Dhungana** Doramba Branch 9855070725	**Ramesh Paneru** Naukunda Branch 01-6924572/73	**Pushkar Bala** Thimi Bhaktapur Branch 01-5093317/172	**Anup Mangal Joshi** Sundhara Lalitpur Branch 01-5555617/18
Jaya Maharjan Nayabazar Kirtipur Branch 01-4334292/94	**Nafisha Maskey** Kharibot Banasthali Kathmandu Branch 01-5139287, 01-5139332	**Narayan Kumar Puwar Magar** Imakhel Thankot Branch 01-4312702/04	**Surya Prasad Sedai** Kandaghari Kathmandu Branch 01-4993409	**Mandita Ghimire** Khumaltar Lalitpur Branch 01-5230781/ 01-5230137
Ramesh Sanjel Baluwapati Branch 01-5158702/977 01-5158690	**Kalpana Devi Sharma** Kamalbinayak Branch 01-6619395/396	**Bhawana Shrestha** Sanagaon Branch 01-5709254, 01-5709356	**Sagar Shrestha** Shantinagar Branch 01-4117795/01-4117796	**Suroj Karki** Kapan Branch 01-4164350/51
Sudhir Prasad Dhakal Tokha Branch 01-5559225/26				

BRANCHES AND BRANCH MANAGERS - **GANDAKI PROVINCE**

Hem Raj Sharma Baglung Branch 068-522245/246	**Arjun Paudel** Pokhara (New Road) Branch 061-527503	**Hari Prasad Sharma** Kushmishera Branch 068-421077	**Sokendra Thapa Magar** Beni Branch 069-521004
Khem Raj Neupane Kawasoti Branch 078-540527/528	**Mandip Baral** Pokhara Branch - Sabhagriha Chowk 061-539406, 061-537881	**Prakash Sharma** Kusma Branch 067-421244	**Keshav Paudel** Manakamana Branch 064-460210
Deepak Basnet Besisahar Branch 066-521035	**Raju Shiva Bhakti** Damauli Branch 065-560009	**Shyam Prasad Dhakal** Galkot Branch 068-412040	**Janmabhumi Gurung** Bhotewodar Branch 06640075/6
Naba Raj Poudel Bhorletar Branch 066-410032/33	**Ishwor Rajbhandari** Burtibang Branch 068-410174/173	**Pradeep Joshi** Sundar Bazar Branch 066-402039	**Dinesh Adhikari** Begnas Branch 061-561779
Nirajan Shrestha Dumre Branch 065-580317	**Rajendra Dhakal** Gorkha Siranchowk Branch 064-691154	**Ram Chandra Kandel** Gorkha Bazar Branch 064-420337	**Kamana Poudel** Amarsingh Chowk Branch 061-432696/432377/430849
Sunil Poudel Gaidakot Branch 078-503047, 078-501155	**Chandra Kala Ghale Gurung** Udipur Branch 066-620038	**Shobhit Shrestha** Bandipur Branch 9846079949	**Arun Bhat** Pokhara IV 9856031699
Kishan Shrestha Daldale Branch 9855064206	**Bhuwan Wagle** Lekhnath Branch 061-561805/806	**Rabindra Paudel** Lakeside Pokhara Branch 061-457653, 061-457774	**Heera Kumar Moktan** Dordi Branch 9856046737
Pradip Gurung Sulikot Gorkha Branch 9855092000, 9816677909	**Madhuri Thapa** Budhibazar Kaski Branch 061-411491/492	**Lok Bahadur Bakabal Thapa** Dumkibas Branch 078-416187/188	**Ram Bahadur Kshetri** Waling Branch 063-440750
Sanjaya Adhikari Bungdikali Branch 9855075005	**Bhola Nath Paudel** Mustang Branch 069-590001/02	**Jeevan Gurung** Dulegauda Branch 065-414483	**Subash Kanta Joshi** Manang Branch 9856046192

BRANCHES AND BRANCH MANAGERS - **LUMBINI PROVINCE**

Sanjay Bagale Butwal - Ram Mandir Line Branch 071-551484/485	**Vikash Shrestha** Nepalgunj Branch - Tribhuwan Chowk 081-522037/38	**Premsagar Agrahari** Bhairahawa Branch 071-525001/2/3/4	**Dilli Raj Bhusal** Ghorahi Branch 082-562285
Navin Kumar Panthi Butwal-Milanchock 071-438174	**Pralhad Neupane** Arghakhanchi Branch 077-420754	**Pravin Acharya** Liwang Branch 086-440285	**Umang Adhikari** Tulsipur Branch 082-522844
Lokendra Bhandari Nepalgunj Branch - Puspalal Chowk 81-411085/86/87	**Yogendra Rayamajhi** Tamghas Branch 079-520038, 079-520744	**Shiva Prasad Gaire** Majuwa Branch 421010/421011	**Madhav Upadhyay** Wami Branch 079-412071/72
Uday Kumar Sharma Sulichaur Branch 086-401069	**Nirmal Raj Budhathoki** Kohalpur Branch 081-540241/391	**Dilli Raj Dhakal** Kapilvastu Branch 076-550352/353	**Bimlesh Chaudhary** Bhumahi Branch 078-415134/135

BRANCHES AND BRANCH MANAGERS - **LUMBINI PROVINCE**

Mahendra Chaudhari Gulmi Durbar Branch 079-620038	**Bir Bahadur Saru** Tansen Branch 9857032135	**Suman Raut** Purba Khola Branch, Palpa 9856046192	**Raj Kumar Thapa** Holeri Branch 9851137084
Loknath Sharma Krishnanagar Branch 076-520822/23	**Sushma Sharma** Bhairahawa Sez Branch 9857014963	**Rajesh Singh** Gulariya Branch 084-420617 084-420618	**Hemanta Kandel** Hospital Line Butwal Branch 071-550556/557/558
Santosh Bhakta Pant Pratappur Branch 078-419031/32	**Rajib Gautam** Butwal Milanchowk II Branch 071-5545543 071-551510	**Padam Raj Pokharel** Murgiya Branch 071-440079	**Tej Narayan Neupane** Sarai Branch 9857065109
Prabin Dev Pant Tahu Branch 9857065110	**Lil Bdr. Saru** Pokharathok Branch 9857065114, 9857069973	**Uma Gyawali** Motipur Branch 9857070575	**Prem Singh Ale** Chhahara Branch 9857068113
Anil Bhandari Bardaghat Branch 078-580615/615	**Ajaya Kumar Shrestha** Saljhandi Branch 071-465147	**Kamal Sharma** Khaireni Branch 071-577502	**Anil Karki** Lumbini Branch 071-580341
Madhav Prasad Gyawali Pravash Branch 075-411172	**Bishnu Kunwar** Chandrauta Branch 076-540435	**Prakash Deo** Pipara Branch 076-550044	**Manoj Sharma** Bangain Branch 076-411011
Basanta Shrestha Bhalwari Branch 071-561540/541	**Raju Bhandari** Kerwani Branch 9857017556	**Kamal Poudel** Maharajgunj Kapilvastu Branch 076-400025/26	**Dipendra Kc** Bijuwar Branch 086-460710/711
Pitamber Pokharel Devinagar Branch 071-410559,410152	**Bishnu Prasad Acharya** Naya Mill Branch 071-562992/91 9864578062	**Baburam Lamsal** Rampur Palpa Branch 075-400499	**Laxmi Narayan Sharma** Bhurigaun Bardiya Branch 081-403143
Dadhiram Belbase Duikholi Branch 9857033495	**Sugam Shrestha** Sukidaha Branch 9845399525	**Lok Narayan Neupane** Taulihawa Kapilvastu Branch 076-560714,560715	**Bishnu Raut** Thawang Branch 9843775970
Pradeep Gautam Lamahi Branch 082-540904/907	**Bishal Bhatta** Rukum East Branch 088-413187		

BRANCHES AND BRANCH MANAGERS - **KARNALI PROVINCE**

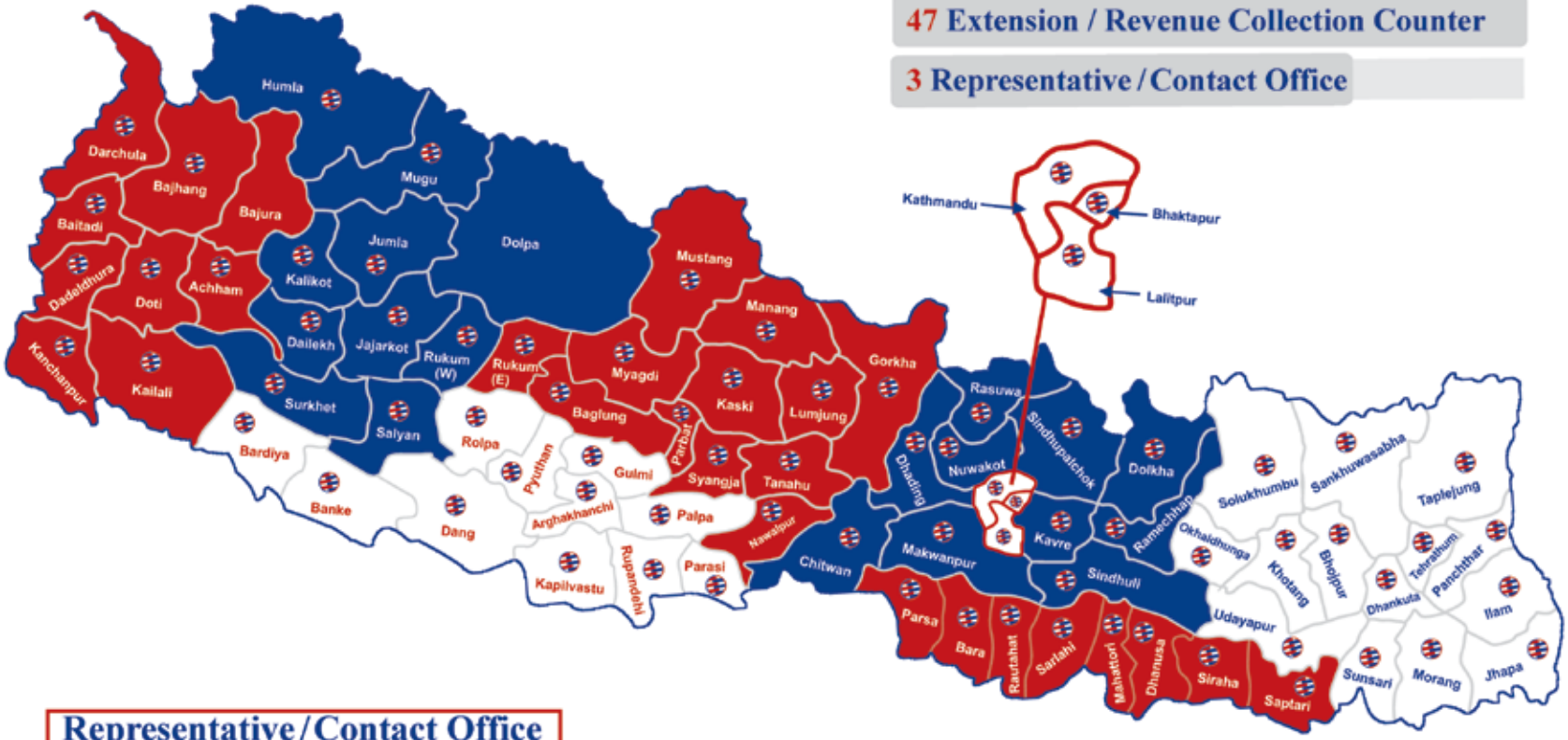
Krishna Raj Barakoti Surkhet Branch 083-525471/472	**Nimesh Puri** Rukum Branch 088-530218	**Nishan Bhattarai** Kalikot Branch 087-440273/274	**Dabal Bahadur Bohara** Raskot Branch 9848447209
Subodh Jnawali Salyan Branch 088-400255/56	**Arun Upadhyay** Dailekh Branch 089-410259/260	**Resham D.C** Tharmare Branch 088-412047	**Padam Timilsena** Gurbhakot Branch 9858052964
Binod Kumar Acharya Tatopani Jumla Branch 9858320688	**Khushi Ram Sapkota** Chhedagad Branch 9748120440, 9748169499	**Ramesh Kumar Rawal** Adanchuli Branch 9868528566	**Govinda Gyawali** Chankheli Branch 9849318762
Parwa Budha Tajakot Branch 9848760205	**Anuj Aryal** Mugu Branch 087-460311		

BRANCHES AND BRANCH MANAGERS - **SUDURPASHCHIM PROVINCE**

Toyanath Joshi Dadeldhura Branch 096–420276	**Subash Kandel** Lamki Branch 091–540506/505/507	**Shambhu Prasad Joshi** Dhangadi Branch 091–417238/239	**Khagendra Panday** Baitadi Branch 095–520542/543
Dipendra Bahadur Singh Mahendranagar Branch 099–521124	**Keshab Raj Joshi** Purchoudi Branch 096–690808	**Chet Raj Pathak** Bogtan Branch 9858030513	**Man Bahadur Dhanuk** Purbi Chauki Branch, Doti 9858485581
Deepak Pandey Ajayameru Branch 9858034431	**Liladhar Bhatt** Dogada Kedar Branch, Baitadi 9858488042	**Bhuban Prasad Bhatt** Attariya Branch 091-550987	**Shiv Raj Bist** Pipalla Bazar Dipayal Branch 094-412045
Thek Raj Binadi Setopul Dhangadi Branch 091-526923	**Krishna Sodari** Achham Branch 097-620317/19	**Hari Chandra Regmi** Darchula Branch 093-420383/102	**Bashu Dev Bhatt** Gokuleshwor Branch 9858776872
Prakash Datt Bhatt Tikapur Kailali 091-560557	**Dharmanand Bhatt** Naugad Branch 9848864632	**Lalit Dhungana** Baliya Branch 091-419071	**Chet Raj Bhandari** Bajhang Branch 092-421340/390

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Representative / Contact Office



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